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'Togetherness'

ENDURING PARTNERSHIPS THAT CHANGE LIVES

LOLC
imagine
the possibilities

LANKA ORIX LEASING COMPANY PLC

Annual Report 2014/15

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'Togetherness'

ENDURING PARTNERSHIPS THAT CHANGE LIVES

At LOLC, we are proud of our reputation as an exceptional financial service provider, with powerful partnerships both global and local. Our business portfolio is unique, based on a platform of shared services and synergies spanning diverse key economic growth sectors including financial services, agriculture and plantations, energy, leisure, construction, manufacturing and trading.

Above all, we are proud to have brought positive change to the lives of thousands of people in Sri Lanka and the region through our SME and micro-finance sector operations, driven by our collaboration with several reputed global lending agencies. In fact, LOLC is now Sri Lanka's leading micro-finance provider in the private sector.

This annual report describes a year of unprecedented success for your company; of outstanding results achieved in a challenging environment that made our accomplishment even more satisfying. Long term value generation remains our ultimate goal and we believe we can brighten the future for every Sri Lankan, delivering real benefits through the strategic alliances and enduring partnerships we create and nurture, now and into the years ahead.

Lanka ORIX Leasing Company PLC. Enduring partnerships that change lives.

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LOLC today offers the entire gamut of non-banking financial services such as Leasing, Lending, Micro and SME lending, Savings and Deposits, tailor made financial products for the SME sector, Factoring, Islamic Finance, Stock Broking and Insurance.

Governance

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About us

The LOLC Group

Ours is a legacy of dynamism, of vision and nimbleness… attributes which have seen us harness, create and meet many opportunities in the national landscape to become one of Sri Lanka's most successful and respected conglomerates.

The past few years have seen the rapid evolution of LOLC, from a leading financial services provider to the largest non banking financial institution, and today to be one of the largest and most diversified conglomerates in the country. LOLC's portfolio is broadly categorised as Financial Services and Non Financial Services, encompassing Leisure, Plantations, Agri Inputs, Renewable Energy, Construction, Manufacturing and Trading and other strategic investments.

The Group's presence in Sri Lanka spans every district, across the rural hinterlands to the cosmopolitan cities. We have also reached beyond the shores and ventured into two overseas investments, setting up operations in Cambodia and Myanmar. The success of these investments, has spurred us to expand our international presence and actively pursue new opportunities in the region.

As a leading player in the SME and Microfinance sectors of the country, the LOLC Group has been a catalyst in facilitating financial inclusion. The contribution we make to the nation's economic growth is one we hold in high esteem. Our role in microfinance has enabled us to impact beyond our own profitability, to benefit society at large and to be in sync with our Triple Bottom Line focus in enterprise. LOLC's businesses are in the thrust areas of the economy which currently spearhead Sri Lanka's growth agenda. We will thus see the Group growing in its potential and expanding its value creation for all stakeholders.

Scan the QR Code with your smart device to view this report online

Sector Overview

Financial Services

LOLC Group's journey began in the Financial Services sector in 1980, when it filled a lacuna in the country by pioneering a portfolio of leasing solutions. Before long, our business grew rapidly and expanded beyond Leasing, to other realms of financial services. LOLC today offers the entire gamut of non-banking financial services such as Leasing, Lending, Micro and SME lending, Savings and Deposits, tailor made financial products for the SME sector, Factoring, Islamic Finance, Stock Broking and Insurance. We are today Sri Lanka's largest Non Banking Financial Institution (NBFI) in the country. The Financial Services sector accounts for as much as 87 % of profitability and 78% of revenues of our diverse portfolio.

Agriculture & Plantations

Our Agriculture & Plantations sector comprises of agricultural solutions such as machinery and fertiliser managed by the Group's subsidiary Brown & Company PLC. and Plantations which consists of Tea, Rubber and sugar cane plantations managed by Pussellawa Plantations, Maturata Plantations and Gal Oya Plantations.

Through our agriculture subsidiary Browns, we are currently the market leader in agriculture equipment. We are also one of Sri Lanka's largest producers of tea with estates located in the region popularly known as "the Premium Valley of Ceylon Tea", renowned for superior quality tea. We are also the largest sugar cane producer in the country.

Leisure

Since our foray into the Leisure sector in 2010, LOLC has become a leading player in Sri Lanka's leisure sector. We are one of the few players who complement a presence in resorts with backward linkages into a GSA and outbound and inbound tour operations, and more recently into furniture manufacture for hotels.

Our resort portfolio presently includes two beach resorts along the Southern coast, one on the North Eastern coast, and another property set amidst the lush jungles of Dambulla, with 2 more properties under construction and scheduled to begin operations in 2016 and 2017.

Making strides towards our goal to become a regional player in the Leisure sector, the Group ventured overseas during the year, with the acquisition of an island in the Maldives.

Renewable Energy

The Group currently contributes 4.9 Mw of power to the national grid through 04 mini hydro power plants located on its estates. We are actively engaged in developing two other mini hydro power plants whilst also exploring other opportunities to develop renewable energy in Sri Lanka.

Construction

LOLC Group ventured into Construction with the acquisition of Sierra Construction Limited in 2010. With its core business activity of Construction, Sierra has a highly diversified portfolio of operations and is one of the largest and most high profile companies in the country's Construction sector. Its wide portfolio includes civil engineering and piling, irrigation, telecommunications, roads and bridges, water supply and sewerage. Sierra has also made investments into related areas such as the supply of ready mixed concrete, asphalt mix and the manufacture of power cables and PVC pipes.

Manufacturing & Trading

We manufacture our own brands and also represent a wide portfolio of world renowned brands in consumer and industrial products. LOLC has market leadership in several respective product categories of automotive batteries; power systems; machinery, hardware and water pumps; office automation solutions; thermal engineering products and veterinary pharmaceuticals.

The leading international brands we represent across the different product segments include Exide & Lucas; FG Wilson Generators; Makita, Maktex and Tai un Machinery,. Sharp, Giesecke, Vivitec, and Olympus; Vetzyme, MSD Zagro, and Eukanuba besides our own brand 'BG'.

Overseas Expansion

LOLC's expansion into overseas investments commenced with the acquisition of a 22.25% stake in PRASAC Micro Finance Institution Ltd, the largest micro finance institution in Cambodia providing access to financial services for rural communities and micro enterprises in Cambodia. Its current portfolio of overseas investments includes LOLC Myanmar Micro-Finance Company Ltd and Thaneakea Phum (Cambodia) Ltd. (TPC). Buoyed by the rapid success of these ventures we are actively engaged in expanding further in the region.

Other Strategic Investments

The LOLC Group holds a 33% share of ownership in Seylan Bank PLC, invested under Lanka ORIX Leasing Company PLC, LOLC Investments Limited and Brown & Company PLC.

Further, the Group inaugurated the Browns Hospital as a full-fledged, 70-bed multi-specialty general hospital equipped with cutting-edge technology.

Our Presence

Northern Province

08 05
01

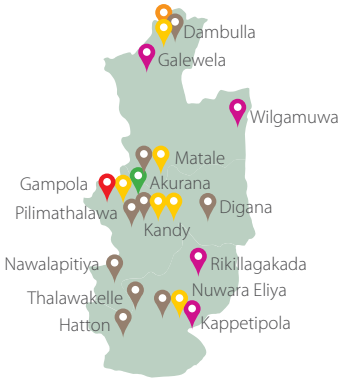
North-Central Province

08 01
05 01
08

North-Western Province

05 01
04 02
05

Central Province



09 01
04 01
06 01

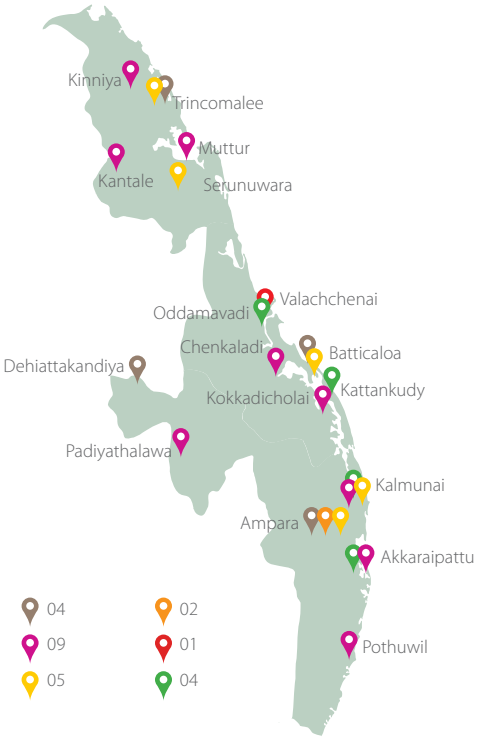
Sabaragamuwa Province

05 04
04

Southern Province

Uva Province

Eastern Province

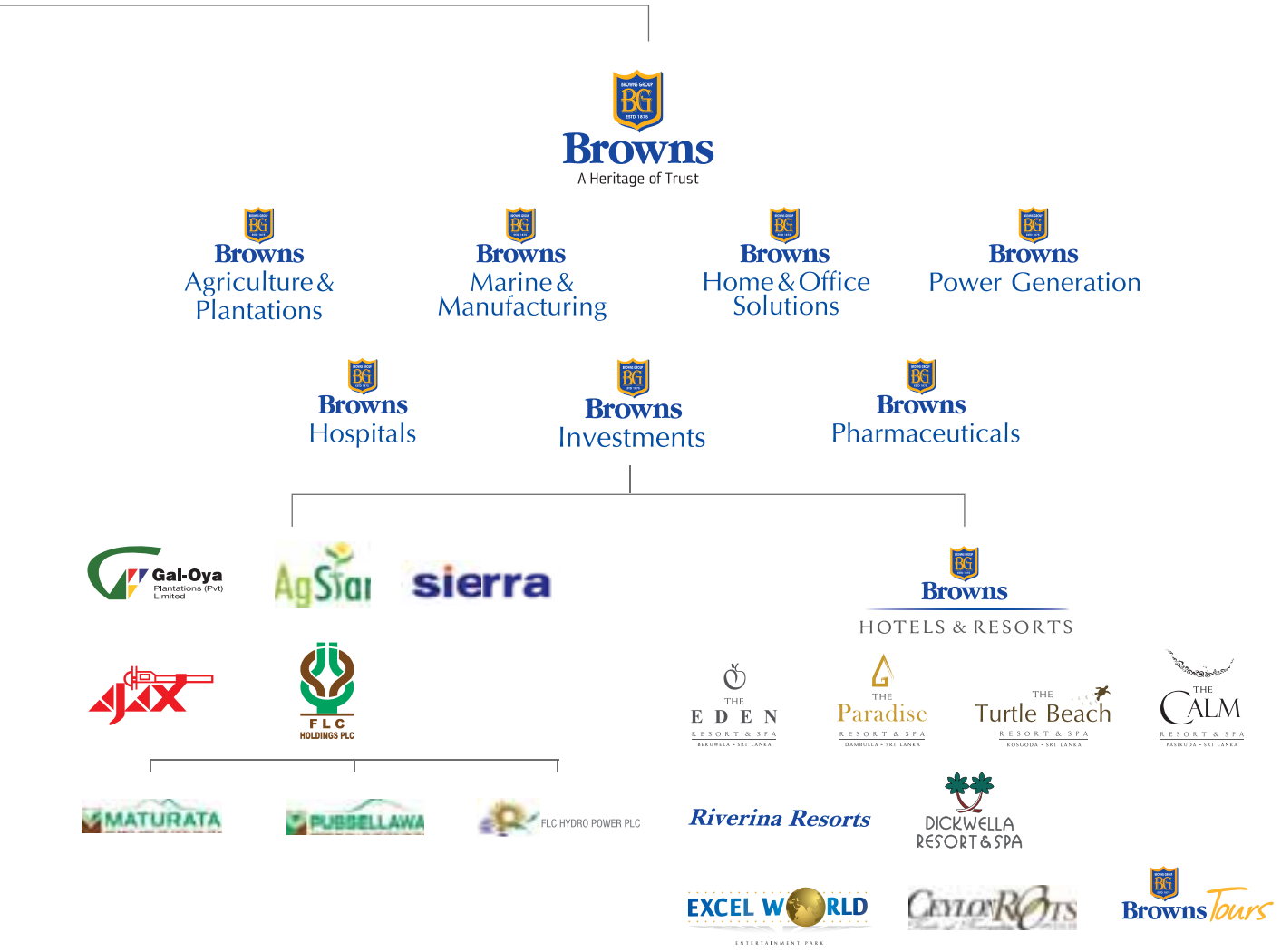


Western Province

as at 31st march

- LOFC and LOMC Channel Network
  - LOFC Branches
  - LOFC Savings Centres
  - LOFC School Centres
  - LOMC Service Centres
- LOFC, Al-Falaah Centres
- LOFC, Al-Falaah Savings Centres
- LOMC Post Office Service Centres & LOFC Collection Centres
- CLC & COMFAC Channel Network
- Browns Centres (Retail)* *Browns Dealers and Service Centres are located island-wide
- Isuru Diriya Branch

Group Structure


Browns
A Heritage of Trust
Browns Agriculture & Plantations
Browns Marine & Manufacturing
Browns Home & Office Solutions
Browns Power Generation
Browns Hospitals
Browns Investments
Browns Pharmaceuticals
Gal-Oya Plantations (Pvt) Limited
AgStar
sierra
FLC HOLDINGS PLC
MATURATA
PUBBELLAWA
FLC HYDRO POWER PLC
Browns HOTELS & RESORTS
THE EDEN RESORT & SPA
THE Paradise RESORT & SPA
THE Turtle Beach RESORT & SPA
THE CALM RESORT & SPA
Riverina Resorts
DICKWELLA RESORT & SPA
EXCEL WORLD ENTERTAINMENT PARK
CEYLON ROTS
Browns Tours

Funding Partners

	Institution	Type of Facility	Purpose of Funding	Value Addition
	Belgian Investment Company for Developing Countries N.V.	Long Term US $ Loan	Microfinance sector Financing and Development	Environmental Policy; Anti Money Laundering Policy
	OPEC Fund for International Development (OFID)	Long Term US $ Loan	Microfinance sector Financing and Development	
	The Netherlands Development Finance Company (FMO) -Netherlands	Long Term US $ Loan	SME & Microfinance Sector Financing and Development	Environmental Policy; Anti Money Laundering Policy
	French Development Agency Group (PROPARCO) - France	Long Term US $ / EURO Loan	Tsunami affected SME Sector Financing, SME Sector Financing and Development	Environmental Policy; Anti Money Laundering Policy
	Grameen Credit Agricole Microfinance Foundation	Long Term EURO Loan	Microfinance Sector Development	
	Citibank Nassau	Long Term US $ Loan	Microfinance Sector Development	
	Credit Suisse Microfinance Fund Management Company	Long Term US $ Loan	Microfinance Sector Development	
	Microfinance Enhancement Facility	Long Term US $ Loan	Microfinance Sector Development	
	ResponsAbility - Luxembourg	Long Term US $ Loan	Microfinance Sector Development	

	Institution	Type of Facility	Purpose of Funding	Value Addition
	Norwegian Microfinance Initiative (NMI) - Norway	Long Term US $ Loan	Microfinance Sector Development	
	Gawa Microfinance Fund - Luxembourg	Long Term US $ Loan	Microfinance Sector Development	
	Symbiotics - Switzerland	Long Term US $ Loan	Microfinance Sector Development	
	Microfinance Initiative for Asia (MIFA) Debt Fund SA, SICAV-SIF. (Blue Orchard – Switzerland)	Long Term US $ Loan	Microfinance Sector Development	
	Bank IM Bistum Essen - Germany	Long Term US $ Loan	Microfinance Sector Development	
	Triodos Bank - Netherlands	Long Term EURO Loan	Microfinance Sector Development	
	Microvest Short Duration Fund, LP	Long Term US $ Loan	Microfinance Sector Development	
	Developing World Markets - USA	Long Term US $ Loan	Microfinance Sector Development	
	FINNISH Development Finance Company (FINNFUND) - Finland	Long Term US $ Loan	SME Sector Financing and Development	Environmental Policy; Anti Money Laundering Policy
	Japan Bank for International Corporation	Long term Rupee Loan/ Refinancing Scheme	Environmental protection/ mitigate & eliminate industrial pollution and waste/energy saving, recycling & resource recovery in industries	Environmental Policy; Anti Money Laundering Policy
	European Investment Bank	Long term Rupee Loan/ Euro Refinancing Scheme	Tsunami-affected SME Sector development and support in tourism sector	Environmental Policy; Anti Money Laundering Policy

Funding Partners

	Institution	Type of Facility	Purpose of Funding	Value Addition
	Deutsche Investitionsund Entwicklungsgesellschaft mbH (DEG) – Germany	Long Term US $ Loan	SME Sector Financing and Development	Environmental Policy; Anti Money Laundering Policy, Liquidity risk management technology
	The World Bank	Long term Refinancing Rupee Loan	Refinancing of rural sector renewable energy development	Environmental Policy; Anti Money Laundering Policy
	Asian Development Bank	Long term Rupee Loan/ Refinancing Scheme	SME sector financing and development/ Tea smallholders income improvement and development. Development of the plantation sector in enhancing profitability. Improve the living and working conditions of the workforce	Environmental Policy; Anti Money Laundering Policy
	Export Development Corporation (EDC) - Canada	Long Term US $ Loan	SME sector financing & development with Canadian imports	
	Deutsche Gesellschaft fur Technische Zusammenarbeit (GTZ) - Germany	Technical Assistance for Microfinance	Development of Microfinance sectors	Promotion of Microfinance sector
	International Finance Corporation	Technical Assistance	Development of Microfinance sector	Institutional capacity development

Awards and Certifications

Al-Falaah was adjudged the 'Islamic Finance Entity of the Year 2014' at the 4th Sri Lanka Islamic Banking & Finance Industry (SLIBFI) Awards. Al-Falaah also emerged at the top for the 'Social Upliftment Award (CSR)' category by winning Gold and a Silver award in the category for the 'Rising Islamic Personality of the Year 2014'.

Commercial Leasing & Finance PLC won Silver Award at the SLITAD People's Development Awards 2014.

Al-Falaah brought honour to Sri Lanka and the LOLC Group, when it received recognition on two top categories at Redmoney's Global Awards, IFN BEST BANK POLL, Kuala Lumpur, Malaysia 2014.

Al-Falaah was adjudged Runner-Up in the category of 'Best Islamic Bank by Country – Indian Sub-Continent – Sri Lanka' and was also ranked 3rd in the 'Best Islamic Leasing Provider' category, becoming the only Sri Lankan financial institution to win metal in the Best Islamic Leasing provider category for the region, which fell under the overall Best Islamic Bank by Sector listing.

The LOLC Group was ranked first and awarded the Gold Award under the service sector, large scale category in the island-wide competition on Social Dialogue and Workplace Cooperation organised by the Labour Department of Sri Lanka.

Awards and Certifications

LOLC Technologies won the Gold Award for Best Islamic Finance IT Solutions Provider at the Sri Lanka Islamic Banking and Finance Industry (SLBFI) Awards 2014.

LOLC ranked among the top 20 Most Respected Entities in Sri Lanka

LOLC Motors Limited (LOMO), a subsidiary of the LOLC Group achieved ISO/9001:2008 certification for vehicle repairing and maintenance services.

LOLC Technologies was awarded National Best Quality ICT Award 2014 and the Merit Award for In-house Application Category - Service Desk Solutions.

LOLC wins the Silver Award at the HRM AWARDS 2014 organised by Human Resource Professionals - Sri Lanka.

The ORIX Connection

The ORIX Connection – another enduring partnership that continues to grow… changing lives

The ORIX Corporation was established in 1964 in Osaka, Japan as the Orient Leasing Company - pioneer in Leasing. It is today a leading integrated financial services group.

ORIX has remained at the leading edge of financial innovation since inception. Its growth, based on strategic and geographical expansion, demonstrates a boldness and scope that sets it apart from other large Japanese financial services firms. In 1989, it changed its name to ORIX Corporation in order to reflect it's increasingly international profile and to mark a move beyond leasing into other financial services.

Today, ORIX enjoys a diversity of revenue streams from operating and financing leases, low margin business, auto and equipment leasing, insurance, corporate rehabilitation, loan servicing, real-estate and other specialised finance, investment and retail banking and value added services. It provides innovative, value added financial products and services to SME's through a global network spanning 36 countries and regions worldwide. The Group is made up of 766 consolidated subsidiaries and 115 affiliates, with a total of 1,358 offices in Japan and another 554 locations in the United States, Asia, Oceania, Europe, the Middle East and Africa. It is listed on the Tokyo and New York Stock Exchanges.

Lanka ORIX Leasing Company received a special award from ORIX Japan for "Excellent Performance in the Overseas Operations category for 2014/15"

The Group is made up of 766 consolidated subsidiaries and 115 affiliates, with a total of 1,358 offices in Japan and another 554 locations in the United States, Asia, Oceania, Europe, the Middle East and Africa. It is also listed on the Tokyo and New York Stock Exchanges.

ORIX's entry into international markets began in the 1980's, with the establishment of offices in Sri Lanka, Taiwan, China, Australia, New Zealand and Pakistan, while laying the foundation for operations in the Middle East as well. Thus, 1980 saw the birth of Lanka ORIX Leasing Company (LOLC). LOLC has been one of the most successful, companies epitomizing the success of the ORIX strategies, business excellence and best practices overseas. The company has won many accolades over the years such as "Outstanding Performance Amongst ORIX Companies" and "Excellent Performance in Overseas Operations".

Since inception, ORIX Corporation has continued its active engagement in this success story with a 30% shareholding making it the main investment partner. ORIX Corporation is represented on the LOLC board by two senior executives of ORIX Japan. Today LOLC is one of Sri Lanka's leading conglomerates with a diverse portfolio of businesses in several thrust areas of the economy.

LOLC Group's relationship with ORIX continues to thrive and sustain growth in shareholder value as LOLC continues to benefit from the expertise, best practices, governance standards, stability and wisdom of ORIX, now a leading international conglomerate.

We are honored by the most recent accolade we received this year from ORIX Japan, for "Excellent Performance in the Overseas Operations category for 2014/15". The partnership will continue to inspire us to seek excellence in all that we do.

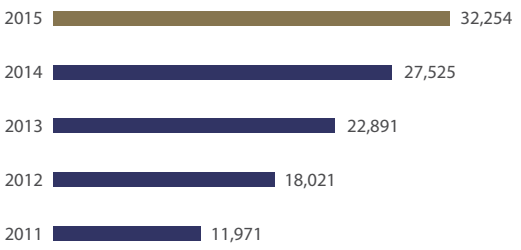
Together, we progress

Financial Highlights

For the year ended 31 March	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015
Group										
Performance Indicators (Rs. Mn)										
Net profit before tax	709	998	1,183	1,247	2,841	8,282	7,068	3,706	4,436	**8,150**
Net profit after tax	689	1,050	1,343	1,055	2,385	7,023	5,704	2,552	3,069	**6,280**
Total assets	16,227	24,484	32,994	46,287	75,371	113,070	145,204	162,982	167,440	**245,969**
New executions	10,064	13,340	14,320	14,906	21,963	47,392	58,233	48,119	65,299	**113,048**
Gross portfolio (rentals receivable)	14,806	23,057	29,282	44,824	47,351	70,077	105,932	107,038	112,747	**163,385**
Deposits from customers	1,194	1,746	3,340	5,229	10,095	17,899	26,233	35,397	49,615	**50,587**
Outstanding borrowings	10,475	17,001	22,887	31,764	38,235	49,256	65,425	72,946	68,368	**119,232**
Non-performing portfolio	113	137	526	1,933	1,431	1,159	1,702	3,071	3,354	**4,014**
Return on equity (%)	26.02	31.08	29.84	18.72	18.67	25.88	14.62	5.90	7.05	**12.94**
Key Indicators (Rs. Per share)										
Net asset value per share (adjusted)	6.10	7.96	10.78	12.65	16.63	27.53	41.22	43.96	48.19	**59.73**
Earnings per share (adjusted)	1.44	2.19	2.82	2.22	3.88	8.08	12.00	5.37	3.19	**11.36**
Company										
Performance Indicators (Rs. Mn)										
Net profit before tax	677	910	841	582	491	1,898	3,072	68	689	**458**
Net profit after tax	664	987	1,059	505	327	1,523	2,977	34	694	**504**
Total assets	13,298	20,889	28,996	31,335	29,738	54,213	58,028	53,239	49,254	**62,609**
New executions	8,858	12,068	12,127	12,170	4,569	5,036	3,926	271	–	**–**
Gross portfolio (rentals receivable)	12,858	19,851	25,056	25,185	17,958	11,897	7,704	3,881	2,134	**1,939**
Outstanding borrowings	9,824	16,250	22,273	24,850	23,087	22,379	23,807	19,738	14,254	**25,016**
Non-performing portfolio	113	137	443	538	769	545	500	357	178	**168**
KEY INDICATORS (Rs. per share)										
Dividends per share	0.30	0.15	0.23	0.28	–	–	–	1	–	**–**
Market price per share	10.10	10.75	11.78	6.95	16.50	119.60	54.00	60.70	75.00	**76.60**
Net asset value per share	6.00	7.77	10.02	10.74	11.42	15.67	69.97	68.86	71.82	**73.44**
(Times)										
Debt to equity ratio	3.45	4.40	4.66	4.87	4.25	3.00	0.72	0.60	0.42	**0.72**
Interest cover	1.96	1.63	1.28	1.14	1.16	1.80	2.19	1.02	1.25	**1.27**
Dividend cover	4.64	13.86	9.53	3.79	–	–	–	0.14	–	**–**

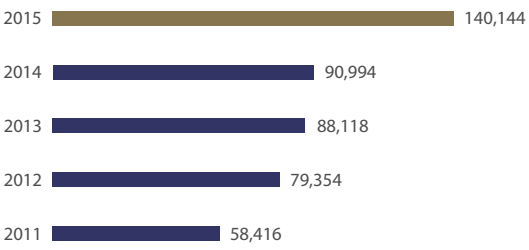
Income

(Rs. Mn)



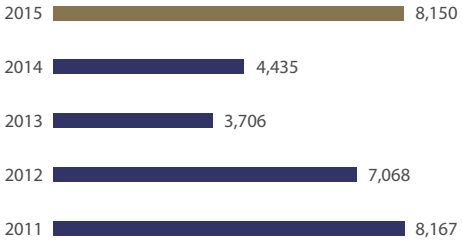
Net lending portfolio

(Rs. Mn)



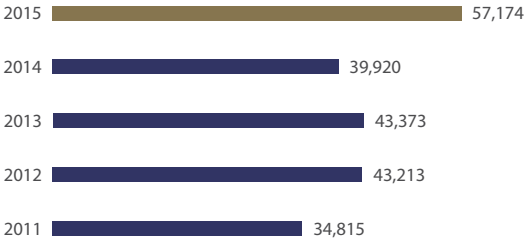
Profit before tax

(Rs. Mn)



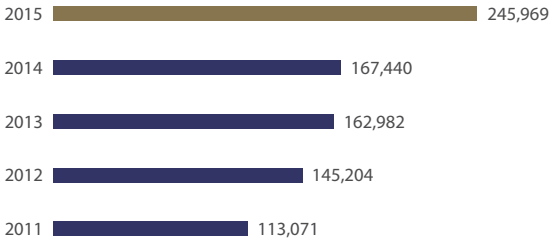
Shareholders' funds

(Rs. Mn)



Total assets

(Rs. Mn)



Milestones of the year

LOLC Technologies wins the Gold Award for Best Islamic Finance IT Solutions Provider at the 3rd consecutive Sri Lanka Islamic Banking and Finance Industry (SLIBFI) Awards.

LOLC Insurance holds Inaugural Sales Convention & Awards Night.

Lanka ORIX Finance PLC introduces Fixed Deposit Bond which is the first transferable term investment product introduced to the financial services sector in Sri Lanka.

LOLC ranked among the top 20 most respected entities in Sri Lanka.

LOLC Group was ranked first and awarded the Gold Award on Social Dialogue and Workplace Cooperation organised by the Labour Department of Sri Lanka.

LOLC Group acquires 60% stake in Cambodian Microfinance Company, TPC.

LOLC Leisure rebranded as Browns Hotels and Resorts.

LOLC Insurance and Al-Falaah joins in partnership to introduce Al-Falaah Takaful.

LOLC announces record breaking production at Hingurana Sugar Factory.

Al-Falaah was adjudged the Islamic Finance Entity of the Year 2014 at the 4th Sri Lanka Islamic Banking and Finance Industry (SLIBFI) Awards.

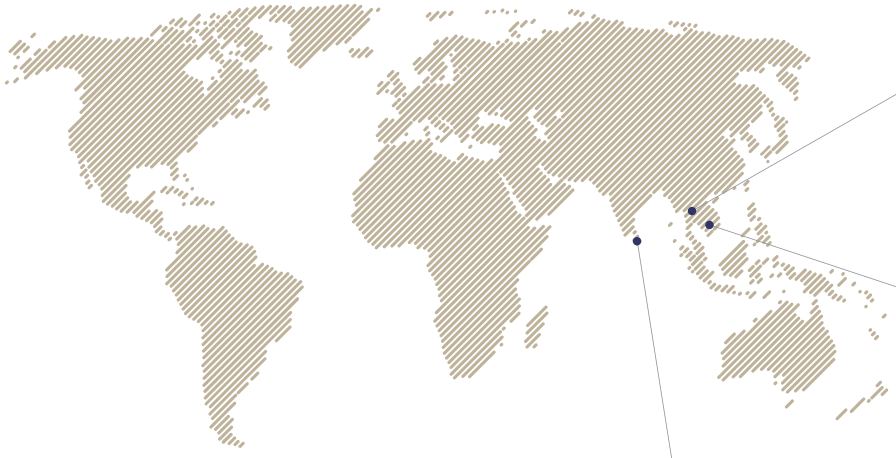
LOFC Joins LankaPay's Electronic Fund Transfer Network.

At the 4th SLBFI Awards, Al-Falaah also emerged at the top for the Social Upliftment Award (CSR) category by winning Gold and a Silver award in the category for the Rising Islamic Personality of the Year 2014.

LOLC wins the Silver Award at the HRM Awards 2014 organised by Human Resources Professionals - Sri Lanka.

Together, we expand

As at the end of Financial year 2014/15



Myanmar

- Commenced operations in September 2013
- 4th foreign operator in Myanmar
- Asset Base - USD 2.672 Mn
- Portfolio - USD 1.814 Mn
- Active Borrowers - 10,741
- Coverage - 6 Branches

Cambodia

PRASAC

- Largest MFI in Cambodia
- Asset Base - USD 766 Mn
- Portfolio - USD 647 Mn
- Number of Borrowers - 266,656
- Coverage - 180 Branches

TPC

- 5th Largest MFI in Cambodia
- Asset Base - USD 149 Mn
- Portfolio - USD 129 Mn
- Number of Borrowers - 185,867
- Coverage - 60 Branches

Sri Lanka

- Financial Services
- Agriculture & Plantations
- Leisure
- Renewable Energy
- Construction
- Manufacturing & Trading
- Overseas Expansion
- Other Strategic Investments

Overseas Investments

A significant milestone of the Group in the recent years has been the expansion into the Asian region, through investments in Cambodia, Myanmar and the Maldives. As the entry point, LOLC acquired 22.25% of PRASAC Micro Finance Ltd; Cambodia's largest microfinance company in 2006. September 2013 saw the inauguration of green field lending operation in Myanmar through LOLC Myanmar Micro Finance Ltd. In August 2014 LOLC acquired 60% of Thaneakea Phum (Cambodia) Ltd; the 5th largest microfinance company. During the year 2014/15, the Leisure Sector of LOLC expanded its arena to the Maldives by investing in three properties, pursuing the lucrative opportunities offered by the booming tourism industry.

Stakeholder expectations…. the reason for our existence

A letter from the Chairperson

Mrs. R L Nanayakkara
Chairperson

Dear Stakeholder,

It is my pleasure to welcome you to the 36th Annual General meeting of LOLC and to present to you the Annual Report and Audited Financial Statements for the year ended 31st March 2015 in which the Group achieved an excellent performance.

Looking back - a story of rapid growth & expansion

I took up the role of Chairperson in 2004 when LOLC, the pioneer in Leasing in Sri Lanka, was celebrating its 25th year in operation. The Company had already grown to establish a strong household brand in the country, thus enabling its subsidiaries (which were five at the time) to establish themselves as leaders in their respective sectors of Factoring, Deposit mobilization, Insurance broking, Stock broking and IT services.

The ensuing years saw the Group grow further to become a diversified conglomerate, expanding beyond financial services to encompass Leisure & Hospitality, Construction, Healthcare, Agriculture & Plantations and Trading, widening its reach across the length and breadth of Sri Lanka. Today, the Group has 121 companies in 6 key sectors of the economy. One of the significant milestones in the recent years has been its expansion overseas into the Asian region, through investments in Cambodia, Myanmar and the Maldives.

This rapid growth and diversification into a wide array of business sectors and industries over the past few years, saw LOLC move out of operational activities to become the holding company, taking responsibility for identifying and initiating investments, governance, risk compliance and reporting on consolidated performance. This new role as a holding company per se, has spurred the Board to focus on optimising its resources and on harnessing the myriad opportunities in both local and international market spaces with great efficacy.

I am also pleased to note that the Group's partnership with ORIX Corporation, one of the founding investors, has continued to strengthen and flourish over the past decade as LOLC became their most outstanding international subsidiary in performance in 2015, 2014, 2013 and 2011. ORIX continues to represent 30% of ownership of LOLC, and their expertise, best practices, guidance and information on international developments, add considerable value to your Group, at Board as well as management levels.

"The Group's partnership with ORIX Corporation, one of the founding investors, has continued to strengthen and flourish over the past decade as LOLC became their most outstanding international subsidiary in performance in 2015, 2014, 2013 and 2011"

Letter from the Chairperson

Performance in context

The Group posted an excellent performance during the year, with Profit After tax growing by 105% over the previous year. This was despite an adverse environment in the agriculture sector which constitutes a significant share of the Group's micro finance portfolio. This performance is discussed at length in the Group Managing Director's review. Let me provide a broad overview of the economic environment that formed and will continue to be the backdrop for the Group's performance.

Rs. 44.5 Bn
Gross Income

11%
Growth in Gross Income

Sri Lankan government policy to a great extent has remained stable, and the low inflation levels and a low interest rate regime in 2014 were largely conducive to business. The relaxed monetary policy stance adopted by the Central Bank since December 2012 continued into 2014 as well, facilitated by mild inflation expectations. Interest rates thus remained low throughout the year and fuelled credit growth, which is reflected in our Group's results. The decline in Sri Lanka's inflation has structural as well as cyclical roots, and the country was able to sustain downward pressure on interest rates throughout 2014. The recent downward revision of interest rates by the Central Bank in April 2015 points to the low interest rate environment continuing over the next few quarters.

Strong growth is expected to continue in 2015; which as per the International Monetary Fund's (IMF's) projections is to average 6.5% per year until 2020, whilst the Central Bank projects GDP growth of 7% in 2015 and 7.8% over the period 2016-2018. The expected slight moderation of economic growth in 2015 according to IMF estimates, is mainly due to the slowdown in public sector construction activity and the conservative sentiment of private investors, particularly in the first half of the year. Economic growth is expected to accelerate thereafter with the expected new policy initiatives of the new government. The envisaged high growth trajectory over the medium term is expected to benefit from the growth supportive domestic policy framework, improved investor sentiment and improvements anticipated in global economic activity.

The recovery of the global economy which began to take hold in October 2013 continued into 2014, albeit at a weaker than expected and uneven pace due to some setbacks. According to the IMF, global growth was thus, 3.4% in 2014 compared with 3.3% in 2013. The IMF projects growth to be moderate in 2015, at 3.5%, and in line with its forecasts made in January 2015. The moderate projections also reflect some possible challenges to world growth in 2015 such as shifts in global financial markets; currency instabilities, concerns of stagnation and low inflation in the Euro area and in Japan; an escalation of geo political tensions in the Middle East and Ukraine; and the sharp slowdown of the Russian economy.

> "The Group posted an excellent performance during the year, with Profit After tax growing by 105% over the previous year"

Governance

Your Group believes that the highest standards in governance is indispensable to creating long term value to its stakeholders and must be pursued uncompromisingly. Corporate Governance is about engendering trust and hence, about effective, transparent and accountable governance by the management including the Board- the highest governing body. The ultimate responsibility for good governance rests with

the Board of Directors. In order to effectively fulfil this responsibility, the Board has a sound governing structure and a process to monitor its effectiveness. A robust system of internal controls ensures the professionalism, integrity and commitment of the Board of Directors. Moreover, the management and employees and the partnerships we have with ORIX and leading international funding agencies, also play a valuable role in our continuous efforts to benchmark and raise the bar for ourselves.

The Group falls within the purview of the Securities and Exchange Commission of Sri Lanka. However, we strive to go beyond the minimum requirements by also incorporating relevant standards and regulations of the Central Bank of Sri Lanka.

Our sustainable model

In line with our Triple Bottom Line focus, the Group continues to integrate social and environmental value creation into our business strategy.

The SME and Micro finance businesses continue to be core focus areas of the Group, accounting for as much as 42% of the Group's revenue. And with a model that is unique in this sector, LOLC continues to be the largest private sector institution in the micro finance sector in Sri Lanka. As enumerated in my message last year, the Sustainability Committee has chosen "Empowering Women" as an area of priority in the Group's sustainability agenda, reflecting our belief that empowering women is not only the most effective route to alleviate poverty and enhance social standards but also the way to build better generations for the future. Women empowerment is one of our priorities not only in the Micro Finance sector, but also in other business sectors of the Group such as Leisure and Plantations.

The Group is also particularly happy to be an active player in supporting the national reconciliation efforts of the new administration in the post war resurgence of the North & East, by providing credit facilities to help rebuild lives and livelihoods and to economically and socially empower this segment of the population.

The Group's efforts in Social and Environmental sustainability and CSR are spearheaded at the highest level. In my last year's message, I noted that the Group's Sustainability Committee was reinstated under my direct supervision. The committee, comprising senior executives of different business units, follow a two pronged approach- a focus on internal measures on the one hand and external initiatives such as the environmental impact of climate change, women empowerment and LOLC Care, on the other hand.

Looking ahead

LOLC will continue to follow an agile business model which has been key to the Group's ability to identify and seize opportunities, to respond swiftly to evolving business needs and fast changing landscapes, in order to enhance value creation to all its stakeholders. This agile model is well complemented by an innovative culture that is nurtured across the organisation to empower every member of our team, to harness their individual potential and in turn the Group's.

The Group will continue to leverage on the strong partnerships it has established over the years with customers, funding partners, the founding partner- ORIX Corporation and other stakeholders, to ensure sustainable growth and profitability.

LOLC Group will look to expand its overseas presence in its core business sector of Financial Services as well as Leisure, in the South and East Asian regions. Our outlook for these investments is made all the more buoyant by the tremendous success of our maiden overseas venture in Cambodia and Myanmar, and the economic prospects for the region in a future when the Asian region is expected to give leadership to world growth.

Moreover, the Group's businesses are in sectors which have tremendous potential for growth such as SME and Micro lending, Leisure, Hospitals and Insurance; which find the Group well poised for significant sustainable growth in the future.

Acknowledgements

I would like to thank all our stakeholders who include our customers; investors, the regulators; banks and funding partners - both here and overseas for their trust, confidence and cooperation which have enabled our level of achievements over the last ten years. My appreciation also to my colleagues on the Board, for their cooperation, and the entire team of employees led by a very capable management team.

The Group's exceptional growth story is a result of combined effort and the contribution of all its stakeholders, made in the spirit of "Togetherness". As LOLC looks to consolidate its position as one of Sri Lanka's leading conglomerates, I envisage the years ahead to see the Group continue on its growth trajectory at an even faster pace, enhancing its value creation, fostering enduring partnerships and uplifting the standard of living of our people.

I take this opportunity to wish the Board of Directors, Management team and each and every employee of the LOLC Group, the very best in their future endeavours whilst congratulating and commending them for their loyalty, dedication and commitment to excellence.

Rohini Nanayakkara
Chairperson

An year of unprecedented success...

Review of the Deputy Chairman

Mr. Ishara Nanayakkara
Deputy Chairman

Dear Stakeholder,

It is a pleasure to share with you the performance, outlook and strategies as your Company ends the year with a remarkable performance and looks to an exciting future. LOLC Group continues to expand its footprint, impacting lives across the country, and now, across the oceans in the region.

Performance

The Group achieved a Profit Before Tax (PBT) of Rs. 8.1 Billion to grow by 84% over the previous year whilst revenues grew by 11% to Rs. 44.6 Billion. The key contributor to the Group's profits was the Financial Services sector, with a PBT of Rs. 7.1 Billion. Lanka ORIX Finance PLC (LOFC), Commercial Leasing and Finance PLC (CLC) LOLC Micro Credit Ltd (LOMC) and BRAC Lanka, were the main contributors to profits achieved by the Financial Services Sector which grew by 72% over the previous year to achieve a PBT of Rs. 7.1 Billion in 2015.

The performance of the Financial Services sector was further bolstered by an excellent performance by two of our overseas investments - in PRASAC and Thaneakea Phum Cambodia Ltd (TPC) in Cambodia, which together added Rs. 1.8 Billion to Group profits. LOLC invested in PRASAC, the largest micro finance institution in Cambodia in 2006. With the expertise and knowhow gained through PRASAC, LOLC confidently invested in a controlling stake of TPC- the fifth largest micro finance company in Cambodia in 2014. It is thus most rewarding that our investment, expertise, and the key strengths of our model have yielded considerable dividends enabling PRASAC and TPC to grow their profits by 78% and 75% respectively, over the previous year, within a short time span. Our green field lending operations in Myanmar, LOLC Myanmar Micro Finance Ltd. also made significant progress with strong growth in its portfolio. It is expected to breakeven in the near future. In Sri Lanka, the strategic investment in Seylan Bank also yielded a contribution of Rs. 1.1 Billion to the Group's profits during the year.

The year under review saw LOLC Group undergo a strategic positioning within the Group. LOLC being the financial conglomerate of the Group, repositioned its non-financial investments under Brown and Company for more effective management. Accordingly, all non-financial investments such as Leisure, Plantations, Construction, Trading & Manufacturing are now clustered under Browns while the diverse financial portfolio remains under LOLC. This complex process is now in transition and we expect to see its completion in the coming years.

"The performance of the Financial Services sector was further bolstered by an excellent performance by two of our overseas investments - in PRASAC and Thaneakea Phum Cambodia Ltd (TPC) in Cambodia, which together added Rs. 1.8 Billion to Group profits"

Review of the Deputy Chairman

Rs. 8.15 Bn
Profit Before Tax

84%
Growth in Profit Before Tax

In my last year's review, I mentioned the initiation of a strategic restructure of the then new entrant to our Group - Brown & Company PLC, to place it on a growth platform and harness the tremendous potential we have identified in the brand. The results during the year have been a most encouraging endorsement of our efforts as Brown & Company achieved a significant turnaround in performance, with an operational profit of Rs. 312 Million in comparison to an operational loss of Rs. 761 Million during the previous year. A noteworthy milestone during the year under review was the Group's foray into the Healthcare sector, with the launch of the first Browns Hospital - a fully-fledged multi speciality hospital in Ragama. With the concept of 'regional state of the art hospitals' in mind, Browns Healthcare aims to offer the best services at affordable rates, to fulfil a dire need in the country.

Browns Investments PLC (BI), the Browns Group's investment arm, made several significant new investments during the year into sectors with strong growth potential for the long term. It acquired the remaining 50% stake in F L C Joint Venture (Pvt) Ltd, securing 100% holding in the company which owns Maturata and Pussellawa Plantations, along with several other affiliate companies in the plantations sector. BI launched a process of restructure of the Company in order to align the businesses with the overall long term business and growth strategies of LOLC.

A sustainable model of growth

LOLC commenced its journey in 1980 as a pioneer in Leasing. The company was founded by ORIX Corporation of Japan with a consortium that included IFC, with the mission to empower the Small and Medium scale economic sector in Sri Lanka, which hitherto had no access to formal sources of financing. Our leasing solutions enabled this segment of the population which was neglected in the financial community, to acquire productive assets. LOLC thus began to revolutionise growth in the agriculture sector of the country by facilitating mechanisation, thereby helping to enhance productivity and value creation. The next key step for LOLC was Microfinance. Whilst most organisations would have adopted a bottom-up approach, ours, being a SME financier entering the micro sector was a top-down one. The Micro segment consists of a sizable population of the country which is considered "unbankable" and hence only exposed to the informal lending market. LOLC entered this Micro sector in 2003 through a World Bank initiative. Realising the considerable vacuum that prevailed and identifying the needs of this untapped market, LOLC soon carved out a separate micro portfolio to launch LOLC Micro Credit (LOMC) as a standalone micro finance institution in 2009. With 20% equity in LOMC held by our long standing partner – FMO – the Development Bank of Netherlands, LOMC has seen a rapid growth, to become the largest Mircofinance institution in the country in a span of just 6 years. As the largest agriculture financier in the country today, we are humbly proud to have been a catalyst for economic growth by empowering the Micro and SME sectors in the country throughout our existence.

I believe the success of this model which we have perfected over the years, has also been a key factor in LOLC becoming the preferred conduit for a multitude of international funding agencies for their commercial and development goals. Moreover, LOLC possesses market knowledge of the entire value chain in all segments from Corporate to SME and Micro. The Group has, if not the largest, one of the largest, array of international funding partners. Over the years these partnerships have expanded and strengthened and their contribution extends beyond funding. The capacity building, technical assistance, their processes and procedures have helped Group Companies to achieve operational excellence, set benchmarks in Sri Lanka for compliance, good governance and environmental standards, and develop state of the art IT systems. Our partnerships continue to be an invaluable factor in our rapid growth and success as a facilitator for the economic development of the country.

Our very agile culture and business model, combined with our expertise have also been key factors in propelling LOLC to become

"The contribution we make towards the country's developmental goals is one which we hold high and is intrinsic to the Triple Bottom Line approach to enterprise that we have adopted"

one of Sri Lanka's leading conglomerates within a short span of time and our agility will continue to be key in our ability to respond to rapidly changing landscapes, to create and meet new opportunities.

Our objective of economic empowerment also gives priority to the empowerment of women. Accordingly, one of our subsidiaries (BRAC Lanka) focuses on lending exclusively to women with a workforce which consists entirely of women. In addition to the direct empowerment through employment of women, the model also facilitates better communication and empathy and hence more "enduring partnerships" with one of our key stakeholder groups.

Reporting

This year the Group has adopted an Integrated form of reporting which better reflects our Triple Bottom Line focus in business. It is our first attempt, and the Group will look to build on this introductory format in the year ahead.

Outlook and Strategies

The Group's Financial Services sector has now reached a scale that befits the Group's potential and we look ahead to harness its potential and expand our footprint overseas. Encouraged by the success of our first overseas investments, expansion into the Mekong and South East Asian regions in our Financial and Leisure sectors will be amongst our key strategic priorities for the next few years.

The contribution we make towards the country's developmental goals is one which we hold high and is intrinsic to the Triple Bottom Line approach to enterprise that we have adopted. LOLC Group's core area of business has been the micro and Small and Medium Scale Enterprises (SME sector) of the country. We will continue to focus on the lower end of the SME and Micro segments, empowering the Micro entrepreneur to progress to the level of an SME and the SME's to grow into large enterprises.

Our Insurance sector follows a unique model and we are optimistic about the competitive advantage we have and the impact we can create in this sector in the medium to long term future.

The Group will also look to optimise the strengths of its distribution channel and introduce new products whilst exiting those which do not create sufficient value.

Our optimism and the new horizons we foresee are also underpinned by the number of new investments into fast growing sectors that we are in such as Leisure, Healthcare and Construction.

Our diverse and comprehensive portfolio has now reached a scale that offers significant opportunities for LOLC Group to reach greater heights. Our multitude of businesses will work together, in a spirit of "Ekamuthu", to drive the Group forward to establish itself as a stronger conglomerate whilst continuing its saga of growth and expanding its horizons.

Acknowledgements

I would like to express my sincere gratitude to our Chairperson and Board colleagues for their guidance and constant support and to all our international funding partners who have placed their confidence in us. Enduring partnerships are a key to our success. My sincere appreciation to ORIX Corporation of Japan which has been our investment partner since inception. I am proud to note that we have won the best performing overseas subsidiary of ORIX yet again in 2014.

A heartfelt thank you to our team for their unwavering commitment and passion and tireless efforts that continue to drive the Group forward. I also extend a very sincere thank you to our shareholders, customers, business associates and all other stakeholders for their continued support and confidence.

Ishara Nanayakkara
Deputy Chairman

A culture of business excellence...

Group Managing Director/CEO's Review

Mr. Kapila Jayawardena
Group Managing Director/ CEO

Dear Stakeholder,

It gives me great pleasure to share with you the review of an excellent year and our outlook and strategy for the year ahead.

Group performance & achievements

The year under review saw the Group achieve a record Profit Before Tax (PBT) of Rs. 8.1 Billion with a growth of over 84% over the previous year. The key contributors to this remarkable growth in profits were LOLC's main financial services entities comprising the flagship finance company, Lanka ORIX Finance PLC (LOFC), Commercial Leasing and Finance PLC (CLC) and LOLC Micro Credit Ltd (LOMC), which led the sector to record a 72% growth in PBT. The Trading sector of the Group which is managed by the Group subsidiary Brown & Company PLC. also made a contribution of Rs. 577 Million to Group PBT and this result is noteworthy and reflects the success of our restructure as the Company made an operational loss in the previous year.

Financial Service sector companies' Non Performing Assets Ratio (NPA) continued to remain well below industry averages. Although a few of our subsidiaries saw their NPA ratios rise during the year due to several macro environmental factors, the last six months saw significant progress in collections, and hence an overall improvement in performance for the NPA's to end the year at strong levels. We are confident that the positive trend seen during the year will continue in the years ahead.

LOLC's core business sector, financial services concluded the year on a very strong note with 87 % profit contribution from this sector to the Group. All Companies in the sector performed exceptionally well with the three finance and leasing Companies leading the profit contribution to the Group. LOFC recorded Rs. 2.2 Billion PBT with a 54% growth over last year. CLC and LOMC kept the same pace contributing Rs. 3.4 Billion to Group's profits. Both companies recorded solid business growth over last year. The lending book of the Group reached Rs. 140 Billion during the year, a remarkable achievement considering the complex external environment prevalent throughout the year.

LOLC's new acquisition, BRAC too contributed well to Group profits and shows immense potential to become the next strong contributor to the financial services sector of the Group. BRAC's micro finance business model differs much from that of our other company - LOMC, where 100% of BRAC's lending is to women entrepreneurs in the micro sector with an average lending value of Rs. 33,000 per facility.

"LOLC's new acquisition, BRAC too contributed well to Group profits and shows immense potential to become the next strong contributor to the financial services sector of the Group. BRAC's micro finance business model differs much from that of our other company - LOMC, where 100% of BRAC's lending is to women entrepreneurs in the micro sector with an average lending value of Rs. 33,000 per facility"

Group Managing Director/ CEO's Review

LOLC's Insurance arm LOIC performed well, expanding the non-life and life businesses and capitalizing on LOLC's strong foot print across the country. The Company records strong profits in the non-life business as a new entrant, and the rapid growth in the life business resulted in a life strain position where the company infused shareholder capital increasing the life fund from Rs. 282.5 Million to Rs. 759.1 Million. The Company has successfully established a 1,494 force agency network that operates throughout the country and is poised to deliver aggressive insurance business growth in the coming years.

Restructuring of the trading sector BCL, contributed well to the profit signature of the Group, with operational profits of Rs. 312 Million, compared with a Rs. 761 Million loss in the previous year.

Rs. 140 Bn
Loan book

Rs. 246 Bn
Total assets

Amongst the key initiatives during the year under review, was the issue of a senior debenture of Rs. 5 Billion in value with a tenure of 5 years by LOLC. Additionally, LOFIN issued a subordinated debenture with a tenure of 5 years. These initiatives contributed to the overall reduction in the borrowing cost of the Group as the mid-term funding strategy of strengthening local borrowing was taking shape during the year, The Group will continue to restructure the borrowings book with low cost funding which has already delivered excellent results in lowering Group borrowing costs. Two of our subsidiaries, Browns Investments PLC. and Palm Garden Hotel PLC, raised rights issues during the year and were able to raise equity capital of Rs. 2,325 Million and Rs. 1,785 Million respectively, in September 2014 and February 2015. These funds will be utilized for repayment of loans and fund Group's leisure projects.

The year under review also saw LOLC Group and its subsidiaries make a number of acquisitions into identified growth sectors of the economy as important stepping stones towards its strategic imperatives of local and regional expansion and enhanced value creation. The acquisitions in 2014/15 include the following:

- 60% of ownership in TPC, the fifth largest microfinance company in Cambodia, by LOLC Micro Investments Limited.
- Controlling interest in BRAC Lanka Finance PLC (a company in which LOLC group held 35% of the shareholding) by CLC who now holds majority share of ownership in BRAC.
- The balance 50% shareholding of FLC Joint Venture Company (Private) Limited (the holding company of Mathurata and Pussellawa plantations and FLC Hydropower PLC.) by Browns Investments PLC.
- 33.33% each of Bodufaru Beach Resort (Private) Limited; by Browns Investments PLC, Palm Garden Hotel PLC and Eden Hotel Lanka PLC.
- acquisition of 51% of Sun & Fun Resorts Limited, a resort hotel in Pasikudah, by Browns Investments PLC.
- 51% of Creation and Construction – a company which manufactures furniture for hotels and resorts.
- 60% of Ceylon Roots (Private) Limited-an inbound tour operating company, by Browns Investments PLC.

Furthermore, the Group also signed several MOU's to facilitate both backward and forward integration in its Leisure sector. Browns Hotels and Resorts entered into an

"The LOLC Group's agile business model has been a key to its ability to identify and harness myriad opportunities for value creation, and to respond to rapidly changing trends and landscapes. This model will continue to facilitate and empower our people and be a critical success factor in the Group's sustained growth"

agreement to develop a four star hotel in the Maldives. In the home front, Samudra Beach Resort signed an agreement with Starwood Hotels & Resorts Worldwide Inc. for management rights for our 5 star property – The Sheraton Kosgoda Turtle Beach Resort.

The Group's performance was also supported by an economic environment which was largely conducive to business.

Economic environment

Demonstrating resilience in the face of domestic as well as external challenges, the Sir Lankan economy continued on its growth momentum since 2013; to grow at a robust 7.4% in 2014, compared with a growth of 7.2% in 2013 and 6.3% in 2012. Accordingly, GDP Per Capita increased to US Dollars 3,625 in 2014 from US Dollars 3,280 in the previous year. The economy was driven by domestic consumption expenditure that constitutes the largest share of aggregate demand, while investments, particularly on construction, also provided an impetus to the economic expansion during the year. GDP Growth was broad-based, with the exception of agriculture which suffered from drought early in the year and heavy rains and flooding in the fourth quarter.

Sri Lanka's financial sector improved moderately in 2014 (compared with 2013) supported by continued expansionary monetary policy and improved macroeconomic performances. The Banking sector continue to expand. The Licensed Finance Companies (LFC) and Specialised Leasing Companies (SLC) sector, which represented 7% of Sri Lanka's financial system, also played a vital role in the financial sector in 2014. The LFC and SLC sector asset growth moderated during 2014 due to lower demand for credit, particularly during the early part of the year. However, the demand for credit picked up during the second half of 2014 encouraged by lower interest rates which helped to improve credit demand and to curtail the increase in non-performing loans at a manageable level.

Leveraging our strengths

LOLC Group's agile business model has been a key to its ability to identify and harness myriad opportunities for value creation, and to respond to rapidly changing trends and landscapes. This model will continue to facilitate and empower our people and be a critical success factor in the Group's sustained growth.

I've mentioned in my previous reviews but consider it worthy of re-emphasis that our employees have been our greatest asset in your Group's meteoric rise to become one of Sri Lanka's leading conglomerates. It is also a result of our performance based culture.

Moreover, the Group has defined its strategy and chartered its course with clarity, and this will continue to be a key differentiator in the Group's sustainable growth in the near and long term future.

We are heartened by several external accolades the Group received during the year in recognition of our quest for excellence. Some of the Group level awards are summarised below whilst a comprehensive list of accolades appear elsewhere in this report.

- LOLC was ranked among the top 20 most respected entities in Sri Lanka (August 2014).
- The group was ranked first and awarded the Gold Award under the service sector large scale category in the island wide competition on Social Dialogue and Workplace Cooperation organised by the Labour Department of Sri Lanka.
- Honored at the HRM Awards held in March 2015.

Outlook and strategies

Sri Lanka's GDP is expected to grow at a robust pace. The projected rise in Sri Lanka's per capita income, to U.S. Dollars 4,000 by 2016 and to U.S. 6,000 by 2020,augurs well for

Group Managing Director/ CEO's Review

a rise in domestic tourism and an increasing demand for more for vehicles and more sophisticated financial instruments and thus, for the potential for significant growth of the Group's businesses such as leisure, insurance and other financial services. We expect the next few years to be the golden era of transaction business and portfolio growth in Sri Lanka and our strategies have been developed and are constantly reviewed to harness the many opportunities we foresee in this dynamic environment.

We will continue to expand our regional presence in the micro finance sector and also venture into expanding our leisure sector overseas in the region The acquisition of the resort in Maldives is hence a stepping stone and is bolstered by the excellent growth in profitability achieved by our investments in the Micro Finance sector in Myanmar. The Group will also seek to further expand into the South Asian an South East Asian region.

We will also continue to focus on consolidation and re positioning of our rapidly grown portfolio. And as we journey ahead to become the most profitable conglomerate in the future we will also take pride in our ethos of "togetherness", - as a family of companies and as a team of individuals; ensuring the continuity of humane values which contribute to retention of our people and our customers.

Acknowledgements

I would like to convey my sincere appreciation to our Chairperson, Deputy Chairman, and my colleagues on the Board for their guidance, continual support and the confidence placed in me and for the team that makes up LOLC, whose unreserved effort and commitment have fueled the Group's success. My sincere appreciation also to our customers, funding partners, shareholders, business associates, and other stakeholders for their continued support and inspiration.

Kapila Jayawardena
Managing Director/ CEO

"I started my enterprise with my mother, of sewing parts of garments given by garment sellers with 3 or 4 machines; today we have about 10 machines and about 4 girls sewing for us, thanks to a loan we obtained from BRAC Lanka. The BRAC loan was facilitated by the local women's group (which comprises 5 members) of which we are members. We are very happy to be with BRAC."

H.K.H. Thushari - Small Scale Garment Factory Owner

Together, we grow

Management Discussion & Analysis

Introduction to the Group's first Integrated Report

This annual report is LOLC Group's first "Integrated Report" and marks a first step towards integration which we intend to build on, going forward. We have long since recognised that sustainable value creation is an integrated process, and is a result of interplay between all our capitals - financial, human, intellectual and manufactured, as well as the natural environment and society within which the Group operates.

As an integrated report the Sustainability Report this year is not presented as a separate section but is integrated into this Management Preview and Review, which looks at the quality, availability and effective management of all the capitals including nature and society at large. Uplifting larger communities of which we are a part is integrated into the Group's businesses, especially its core business sectors since inception – the Micro Finance and SME sectors and more recently, the Agri businesses which it ventured into in 2015.

Forward looking statements

This Integrated Annual Report contains certain forward looking statements which relate to the future performance and results of the operations of the Group. These statements by their nature involve risk and uncertainty as they relate to events and depend on circumstances that may be beyond our control and may occur in the future. Factors that could cause actual results to differ materially from those in the forward-looking statements include, but are not limited to, global and national economic conditions, changes in industry environment, interest rates, credit and the associated risk of lending, inventory levels, merchandise clearance rates, inventory levels, gross and operating margins achieved and competitive and regulatory factors.

The Process

Following the introduction of Integrated reporting during the year, your Group adopted a process to identify material topics which the directors and management believe will enable the Group to sustain growth into the future. This process has been informed by the Group's values and its vision encapsulated in its business philosophy, as well as the interests of the six key stakeholders, namely customers, shareholders, our employees, the regulators, the society and the natural environment.

LOLC Group, from a portfolio perspective, has identified key strategic imperatives as important for the Group to reach its next tier in sustainable value creation and to step forward towards becoming the most profitable conglomerate in Sri Lanka. These strategies are also those most likely to influence key stakeholders and their relationship with the Group. Strategic imperatives have been formulated considering the objectives, strengths and weaknesses of each of the diverse sectors as well as the opportunities and risks in the environment they operate in.

How the Group created value in 2014/15

Value creation by an enterprise occurs in the context of its operating environment and hence is a look at that context of the economy during the year under review.

Sri Lankan economy: The momentum continues

Demonstrating resilience in the face of domestic as well as external challenges, the Sir Lankan economy continued on the momentum since 2013 to grow at a robust 7.4%; compared with a growth of 7.2% in 2013 and 6.3% in 2012. Accordingly, GDP Per Capita increased to US Dollars 3,625 in 2014 from US Dollars 3,280 in the previous year. The economy was driven by domestic consumption expenditure that constitutes the largest share of aggregate demand, while investments, particularly on construction, also provided an impetus to the economic expansion during the year. GDP Growth was broad-based, with the exception of agriculture which suffered from drought early in the year, heavy rains and flooding in the fourth quarter. Sri Lankan government policy to a large extent has remained stable, and the low inflation levels and a low interest rate regime in 2014 were largely conducive to business. Strong growth is expected to continue in 2015; which as per the IMF's projections is to average 6.5% per year until 2020.

The Agriculture sector grew marginally by 0.3 % in 2014 reducing its share in GDP to 10.1 % from 10.8 % in 2013. Agriculture sector is discussed at length in the review of our Agri businesses. The Industry sector recorded a significant growth of 11.4 % in 2014 compared to 9.9 % in 2013. This expansion was supported by the positive contribution from all major sub sectors.

The Services sector, the largest sector of the economy with a share of 57.6 % of GDP, grew by 6.5 % in 2014 compared to 6.4 % growth in 2013. This growth was mainly attributable to the expansion in wholesale and retail trade sub sector, largely on account of the growth in the domestic trade along with import trade activities. Further, the banking, insurance and real estate sub sector also grew at a higher rate compared to the previous year.

GDP GROWTH % Change

1996-2005 avg	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016
4.3	4.7	6.8	6.0	3.5	8.0	8.2	6.3	7.3	7.0*	6.5*	6.5*

*Source, Central Bank of Sri Lanka; *IMF forecasts*

"LOLC Group, from a portfolio perspective, has identified key strategic imperatives as important for the Group to reach its next tier in sustainable value creation and to step forward towards becoming the most profitable conglomerate in Sri Lanka"

Sri Lanka's Domestic savings improved to 21.1% of GDP in 2014 from 20% in the previous year, and at slightly lower than the estimated 22.6% indicated last year. The improvement in domestic savings during the year was due to the continuous expansion in private savings amidst an increase in government dis-savings. National savings improved to 27% of GDP as a combined result of continued inflows in the form of workers' remittances and the deceleration in the negative growth of net factor income from abroad (NFIA) compared to the previous year. Investments as a percentage of GDP grew to 29.7%. These developments contributed to a narrowing of the savings-investment gap to 2.7 % of GDP in 2014 from 3.7 % of GDP in 2013 thus reducing the reliance on foreign financing sources.

The trade deficit which contracted during the first half of 2014 was reversed in the second half, resulting in a, year-on-year, expansion in the trade deficit. Improved external demand along with stable domestic macroeconomic environment supported the local industries in achieving enhanced export performance in 2014. Accordingly, earnings

Together, we grow

Management Discussion & Analysis

Sri Lanka's expected graduation to the upper middle income status in terms of per capita GDP would place the country among a new group of peers, strengthening its financing ability. Furthermore, the expected improvement in the investment climate along with developed infrastructure facilities would encourage investments flows to the country.

from exports increased by 7.1 % to a value of US Dollars 11,130 Million in 2014 compared to US Dollars 10,394 Million in 2013, with contributions from all major categories of exports.

Inflation - continues on the downward trend

Consumer price inflation remained subdued throughout 2014, and at low single digit levels for the 6th consecutive year, largely on account of effectively managed demand pressures and favourable international commodity prices. Headline inflation as measured by the year-on-year change in Colombo Consumers' Price Index (CCPI, Base: 2006/07=100), year-on-year and annual average inflation declined to 2.1 % and 3.3 %, respectively, by end 2014, from 4.7 % and 6.9%, respectively, at end 2013.

The Central Bank forecasts annual average consumer price inflation to be 3 % in 2015 and around 4% thereafter, supported by capacity expansion through new investment initiatives and prudent monetary policy measures. The IMF projections are slightly lower with inflation projected at 1.7% in 2015 and 4.3% in 2016, averaging at 5% from 2018-2020.

Interest Rates - still bottoming out

The relaxed monetary policy stance adopted by the Central Bank since December 2012 continued into 2014 as well, facilitated by mild inflation and inflation expectations. The decline in Sri Lanka's inflation has structural as well as cyclical roots, and was able to sustain downward pressure on interest rates throughout 2014.

Reflecting the accommodative monetary conditions in the economy, liquidity levels in the domestic money market remained high throughout 2014 and most market interest rates reached historically low levels. The Average Weighted Call Money rate (AWCMR) declined to 6.21 % from 7.66 % at end 2013, whilst the yield rates pertaining to government securities also declined to very low levels during the year. Reflecting the transmission of policy rates to market interest rates, commercial banks reduced their deposit and lending rates further during 2014. Accordingly, the average weighted deposit rate (AWDR), declined to 6.20 % while the average weighted fixed deposit rate (AWFDR) declined to 7.33 % at end 2014. Although at a slower pace than deposit rates, the weekly average weighted prime lending rate (AWPR) declined to 6.26 % by end 2014. Further, the average weighted lending rate (AWLR) declined to 11.91 % by end 2014. The decline in interest rates contributed to a higher demand for credit although reducing the margins in the NDFI and banking sector during the year.

Considering the low inflation levels, a sustained increase in credit granted by commercial banks to the private sector, a resilient external sector and strong official foreign reserves during the first three months of 2015, the Central Bank decided to reduce the policy interest rates by 50 basis points on 15 April 2015; and accordingly, the Standing Deposit Facility Rate (SDFR) and the Standing Lending Facility Rate (SLFR) of the Central Bank were reduced to 6.00 % and 7.50 %, respectively. Thus, it points to Interest rates remaining low in the remainder of 2015.

Exchange Rate - stays stable

The Sri Lankan Rupee appreciated during the first half of the year amidst higher inflows including higher export earnings, but this trend reversed during the second half of the year, mainly on account of increased expenditure on imports and net outflows associated with foreign investments in government securities. Consequently, the rupee remained relatively stable in 2014

while the real effective exchange rate indices appreciated during the year. Accordingly, the Rupee had appreciated by 0.29 % against the US Dollar by the end of the third quarter of 2014. However, increased import demand and net outflows associated with the government securities market exerted pressure on the Sri Lankan rupee in the last quarter of 2014 to depreciate by 0.47% against the US dollar resulting in an overall annual depreciation of 0.23 % and an annual average depreciation of 1.11%. Accordingly, the year end and annual average exchange rates against the US Dollar stood at Rs. 131.05 and Rs. 130.56, respectively.

Share Market Continues to be bullish

Colombo Stock Exchange (CSE) recorded a sustained growth in 2014, surpassing several previous records. The All Share Price Index (ASPI) increased by 23.4 % to 7,299 points and S&P SL20 index rose by 25.3 % to 4,089 points as at end 2014. This continuous growth was on the back of 4.8% growth in ASPI and 5.8% increase in the S&P SL20 index during the year 2013. The significant progress of the CSE could be attributed to the benign macro-economic condition, including low domestic interest rates, improved growth prospects, continued foreign purchases, relatively better corporate earnings and several steps taken to attract foreign investors.

The most notable improvement in the CSE was the continued foreign inflows to the market during 2014. The cumulative foreign purchases have been the highest in the history, a record Rs. 105.8 billion (US Dollars 799 million) while the cumulative foreign sales was Rs. 83.7 billion (US Dollars 638 million) in 2014.

Factors point to this growth momentum continuing in the CSE supported by increased investor confidence and interest on the back of anticipated greater transparency and accountability in the economy.

Outlook:

The Sri Lankan economy seems likely to continue on its high growth trajectory. An optimistic outlook is also bolstered by the political stability witnessed during and in the aftermath of elections where the smooth transition of administration enhanced the image of the country as a mature democracy. The IMF forecasts Sri Lanka's GDP to grow by 6.5% in 2015 whilst the Central Bank projects GDP growth of 7% in 2015 and 7.8% over the period 2016-2018. The expected slight moderation of economic growth in 2015 according to IMF estimates, is mainly due to the slowdown in public sector construction activity and the conservative sentiment of private investors, particularly in the first half of the year. Economic growth is expected to accelerate thereafter with the expected new policy initiatives of the government. The envisaged high growth trajectory over the medium term is expected to benefit from the growth supporting domestic policy framework, improved investor sentiment and improvements anticipated in global economic activity.

Sri Lanka's expected graduation to the upper middle income status in terms of per capita GDP would place the country among a new group of peers, strengthening its financing ability. Furthermore, the expected improvement in the investment climate along with developed infrastructure facilities would encourage investments flows to the country. Accordingly, inflows in the form of equity and FDI are projected to increase in the medium term.

A buoyant export performance is imperative for sustaining the growth momentum of the economy. The new administration has also declared that strengthening Sri Lanka's exports would be a high priority on its agenda for economic growth and the Group hopes this would translate into policies which would bolster value addition to Sri Lanka's agricultural exports which constitutes a share of its diverse portfolio such as the Fertiliser, Agricultural machinery Seeds, Milling and Plantation agriculture.

Together, we grow

Management Discussion & Analysis - Group Performance Highlights

Group achieved a revenue of

Rs. 44.6 Bn

Group Profits Before tax grew by 84% to

Rs. 8.15 Bn

Group Profit After Tax grew by 105% to

Rs. 6.28 Bn

The Group acquired two islands in the Maldives and will launch construction of two resorts.

Group ventured into healthcare with the opening of the Browns Hospital in Ragama.

Browns Investments (BI) PLC entered into an MOU to develop a city hotel in Colombo.

BI acquired the balance 50% stake in F L C Joint Venture Ltd, securing the 100% holding of the company which owns the plantation companies, Maturata Plantations and Pussellawa Plantations.

The Group enabled PRASAC and TPC to grow their profits by 65% and 59% respectively within a short time span.

Together, we grow

Management Discussion & Analysis - Financial Review

LOLC Group concluded a successful financial year with Profit Before Tax (PBT) growing 84% over the previous year to reach a PBT of Rs.8.1 Billion. The Groups' achievement in profits was mainly from the financial service sector companies contributing 87% to the Group PBT. The Groups' business portfolio spans financial services, Insurance, trading, leisure and other sectors, laying a solid foundation for reaching the Group's strategic goals by diversifying the investment portfolio.

Aggressive business growth nurturing the Groups' strategic direction resulted in the total asset base reaching to Rs.246 Billion during the year, an increase of 48% over the previous year. The resultant growth was mainly due to expansion of the existing business as well as new additions to the investment portfolio. The total lending portfolio which accounts for 57% of the total asset base grew by 54% over the previous year. Lending portfolio growth was achieved despite sliding interest rates pushing the margins down. This positive growth warranted further acquisitions into the financial service sector companies, namely BRAC Lanka Finance PLC. The Group also acquired the fifth largest micro finance company in Cambodia, Thaneakea Phum (Cambodia) Ltd (TPC). The Group Invested Rs.3.3 Bn in acquiring these two companies during the year. The Group's acquisition of the controlling interest in F L C Capital Joint Ventures (Pvt) Ltd, which consists of two large plantation companies, Maturata & Pussellawa was an investment of Rs.1.3 Bn. The Group's leisure sector investments too contributed towards the increase of its assets base. The total asset base of the leisure sector increased to Rs.23.5 Billion compared to the previous year of Rs.20.5 Billion.

Increase in the asset base was funded through internal funds as well as external financing. The Group has been able to raise low cost long term funding with favorable terms through long standing relationships and steady performance over the years. The total borrowing base of the Group was reported at Rs.169.8 Billion. This is an increase of Rs.53.3 Billion over the previous year. Growth in the existing lending businesses in financial services was the main contributor for this increase (Rs.49 Billion) and business expansions through acquisition caused an increase in the borrowing base. Net asset base of the Group increased to Rs.57.3 Billion from Rs.39.9 Billion over the previous year. The Gross income of the Group amounted to Rs.44.5 Bn an increase of 11% over the previous year. The main contributing factors for such increases are the increase in financial service sector revenue, which was reported at Rs.34.7 Billion, an increase of 15% the previous year. This increase is mainly due to the expansion of the lending portfolio of the financial service sector and new acquisitions into the financial service segment. Though this increase in income is moderate considering the growth in the book, it is considered remarkable, considering the sliding interest rates throughout the year, increasing pressure on margins. The other sectors of the Group contributed Rs 10.8 Billion to Gross income of the Group. Growth in the other income has fallen during the year, mainly due to the disposal gains of investments recognised during the previous year. Net Finance Cost of the Group reduced to Rs.12.5 Billion from Rs.14.8 Billion in the previous year. The decline in market interest rates caused the decline in the borrowing cost of the Group, contributing positively to the margins. This reduction was despite the borrowings of the Group increasing, facilitating the robust growth in the financial service sector mainly through institutional borrowing at lower interest rates. The management reduced deposit rates of the finance companies along with the market rates, which reduced the borrowing costs further. This led to a low growth in the deposit base compared with the previous year.

Direct expenses of the Group grew by 41% to Rs 3.1 Billion, mainly due to expansion in the insurance business. Personal cost increased by 43% due to the salary related increments & new recruitments in the financial service and Insurance sectors, supporting business growth. The new acquisitions also had a direct impact on the increase in expenses of the Group.

In comparison with the increase in lending portfolio of 54%, impairment provisions for bad and doubtful debts grew by 18% to Rs.4.1 Billion. Improvement in collection and recovery efforts facilitated the effective management of the impairment provisioning at current levels. The increase in the depreciation charge is mainly due to the increase in the non-current asset base in facilitating expansion in the Group.

Operational profits reached Rs.5.5 Billion, an increase of Rs. 3.1 Billion over the previous year. The reported PBT of Rs. 8.1 Billion also includes a healthy share of profits from the associate companies mainly, Seylan Bank PLC & PRASAC Micro Finance Institution Ltd in Cambodia.

Together, we grow

Management Discussion & Analysis - Financial Review

Profit attributable to shareholders of the Group amounted to Rs.5.4 Billion compared to the Rs.1.5 Billion in the previous year while the corresponding earning per share of the Group increased by 256% to Rs.11.36 per share.

Lanka ORIX Leasing Company PLC (The Parent)

Lanka ORIX Leasing Company PLC (LOLC) the parent company, provides strategic direction to Group companies. The companies' main operations include investments in equity shares, providing shared services to Group companies and the management of assets. The value of the total investment in Group companies increased to Rs. 49.8 Billion from Rs.39.6 Billion, during the year.

LOLC's lending book continues to shrink as no new facilities are being booked and the remaining portfolio continues to expire its term, a reduction to Rs.1.3 Billion from Rs.1.5 Billion in the previous year. The existing fleet management business will remain with the Company, with new business being booked under the subsidiary financial services companies. Corresponding income from financial services of LOLC therefore fell to Rs1.0 Billion from Rs2.1 Billion in the previous year.

LOLC provides shared services to its Group companies, reaping benefits of cost efficiency and operational synergies. Property plant & equipment increased to Rs 3.8 Billion during the year and these assets are hired by related companies for which the company earns an income. The increase in service charges to other companies together with earnings from other investments became the main contributor to the Gross Income of LOLC. The total other income earned reported dropped to Rs.1.9 Billion compared with Rs.3.3 Billion in the previous year. This decline is mainly due to the gain on disposal of Browns Leisure Limited in the previous year, thereby reducing other income in the current year.

The employee cost of the company increased by 20% to Rs.155 Million, due to general increase in the salary costs and other related expenses. Other overheads continued to reduce as a result of the financial services businesses being booked in the subsidiary companies.

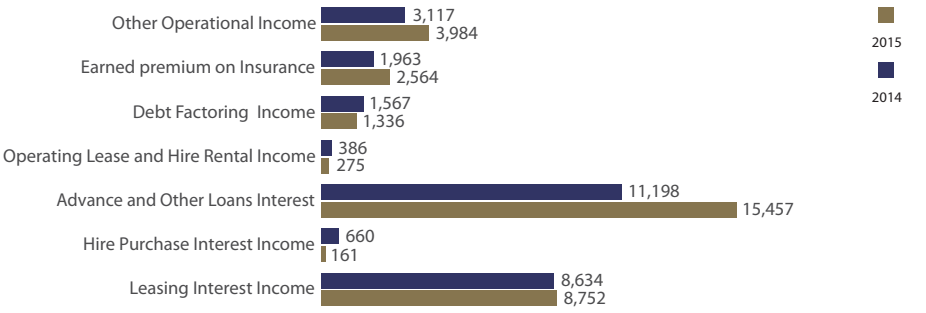
Financial Services Sector

The economic conditions prevailing in the country during the year reshaped the sector in many ways. Interest rates continuously reduced and were maintained at low levels, supporting the growth of the lending portfolio of the financial services and delivering an overall positive impact on profits. Companies within the financial services sector of LOLC are well established to reap the benefits from lower borrowing costs and higher disbursement, supported by a strong distribution network. Considering the long term vision of the Group and business alignment to the micro finance business, CLC acquired the controlling stake of BRAC Lanka Finance PLC. BRAC is being restructured to align to LOLC standards, and is already showing positive signs that it will perform well in the coming years. Acquisition of the controlling interest of TPC in Cambodia, too is a result of the long term regional expansion strategy of LOLC. All financial service sector companies performed extremely well in a challenging business environment and recorded remarkable growth in business income.

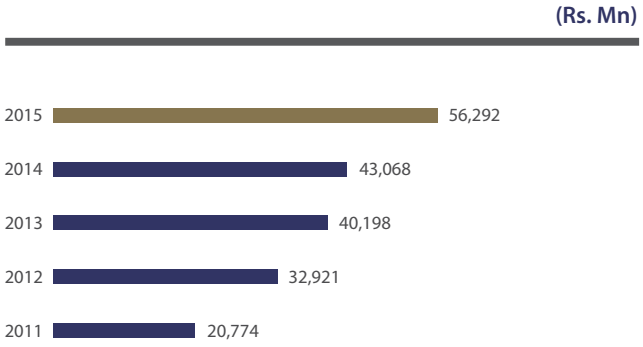
Considering the challenges of the business environment, the financial services sector has performed well. The Group has aligned its business and the product portfolio in the wake of the tax changes effected during the year which made leases not viable and subjected to VAT on FS.

Group Income

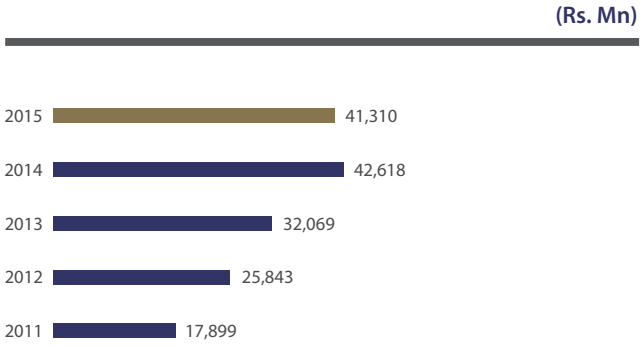
(Rs. Mn)



Lending Portfolio (LOFC)



Deposits (LOFC)



Lanka ORIX Finance PLC (LOFC)

The flagship financial services provider of the Group showed remarkable performance during the year. The company reported a PBT of Rs. 2.2 Billion, an increase of Rs. 784 Million, and a 54% growth over the previous year. The impressive growth achieved was amidst low interest rates.

The total lending portfolio of the Company grew by 31% to Rs.56.2 Billion from Rs.42.9 Billion in the previous year. The lending portfolio of LOFC consists of Leases, Hire Purchase, advances & other loans and factoring. The lease & hire purchase portfolio grew by 17% to Rs.13.2 Billion mainly on finance leases. However the change in customer preference has restricted growth in this segment as most of the customers opt for loan products. The loans and advance portfolio grew by 29% during the period under review. The company offers a variety of products to its customers. The company also provided Rs.1.5 Billion as provisions for impairment during the year.

Despite customer deposits being the main source of funding for the Company, a deliberate decision was made to reduce interest rates on customer deposits pushing down the overall borrowing cost of the Company. The customer deposit base reduced marginally to Rs. 41.3 Billion compared to the Rs.42. 6 Billion in the previous year. The other borrowing base increased to Rs.13.3 Billion from Rs.1.96 Billion in the previous year which included a debenture issue amounting to Rs.5 Billion. Due to these restructuring of the borrowing book, the borrowing costs reduced by 19%. The reported borrowing cost for the year amounted to Rs. 5.0 Billion when compared to the Rs.6.1 Billion in the previous year.

The lower level of interest rates in the market saw a moderate growth in interest income as the top line grew only by 3%. However considering the reduction in the market interest rates the company has performed well as the net interest income has grown 34% to Rs. 5.9 Billion during the year.

In terms of efficiency in managing the expenses, the Company performed fairly as cost to income ratio for the year stood at 45%. Expenses grew compared to the previous year owing to the general trend in the market and the business expansion. The increase in PBT resulted in an increase in corporate tax liability which stood at Rs. 742 Million, an increase of 68% over last year.

The total equity of the Company reached Rs. 8 Billion and the debt to equity ratio stood at 6.84 times during the year. Core capital adequacy ratio of the company was 13.11% and the total Capital Adequacy Ratio was 18.12%. This was much higher than the minimum requirement laid out by the CBSL of 5% and 10% respectively.

Commercial Leasing and Finance Company PLC (CLC)

CLC performed well in terms of lending expansions as well as profitability during the period under review. The Company recorded a PBT of Rs.1.7 Billion, over the previous year of Rs.1.3 Billion, resulting an increase of 34%. The strong growth in profitability emanates from the reduction in market interest rates coupled with the strong growth in the lending portfolio.

The lending portfolio which mainly consists of leasing, hire purchasing and loans grew from 27 Bn to Rs. 33 Billion. The low level of market interest rates paved the way for an increase in the lending business and the Company's distribution strategy supplemented an overall healthy increase in the portfolio of the lending book.

In terms of operational profitability, the net interest income of the company increased by Rs. 708 Million during the year, mainly due to the increase in the lending portfolio and the resultant income coupled with the decline in borrowing costs supported net income growth. The Company was able to maintain a cost to income ratio of 49% in comparison to the 49% in the previous year. CLC made conservative provisions on account of the

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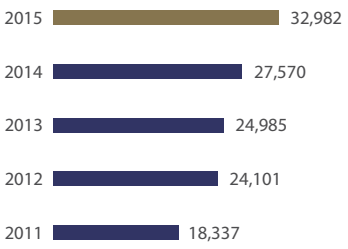
Management Discussion & Analysis - Financial Review

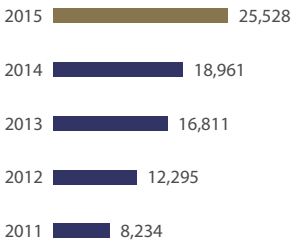
Lending Portfolio (CLC)

(Rs. Mn)



Lending Portfolio (LOMC)

(Rs. Mn)



bad and doubtful portfolio and the resulting provision for the year amounted to Rs.1.3 Billion.

The capital adequacy ratio of the Company was very healthy compared with that of the industry average and stood at 28.27%, making the Company one of the highest capitalized finance companies in the country. The gross NPL ratio of the Company was reported at 1.96% compared to the previous year's figure of 2.44%.

LOLC Micro Credit Limited (LOMC)

LOMC today, is recognised as one of the largest dedicated micro finance institutions in the country. A company well known for sustainable Micro financing business at grass root levels, LOMC now provides a variety of lending products to its micro finance clientele.

The Company recorded an impressive growth in terms of business volume as the lending portfolio grew from Rs. 19 Billion to Rs.25.5 Billion. The lending portfolio represents 84% of its total asset base. The impressive growth in the lending portfolio was possible given the strong pipeline of funding available from long standing funding partners at attractive terms. The overall borrowing base of the Company was maintained at Rs. 20.7 Billion from Rs.20.1 Billion in the previous year. The decrease in the borrowing base is mainly due to the utilization of excess funds available with the Company, which were invested in the investment portfolio.

The Company showed an increase of Rs.307 Million as provisioning for impairment losses as compared to the previous year. Sustainable collection processes followed by the Company have resulted in a decrease in the level of provision requirement of the overall business.

PBT of the Company in the year under review showed an increase of Rs.542 Million to Rs.1.6 Billion. PBT of the Company reported a growth of 53% over the previous year, mainly due to top line growth as a result of the increase in the lending portfolio and utilization of excess liquid available with the Company which had a direct impact on the borrowing cost. The falling market interest rates reduced the finance cost by 14% to Rs.2.1 Billion (the previous year's figure was Rs.2.4 Billion).

LOLC Insurance

LOLC Insurance (LOIC), the composite insurance arm of the Group, continued to expand its presence in the island. Following the new regulation issued by the Insurance Board of Sri Lanka (IBSL) LOIC is working towards segregating General & Life business. Both businesses saw strong growth with regional expansion through the LOLC branches and the resultant gross written premium surpassed Rs.2.8 Billion, which is an increase of 26% over the previous year. The increase in operational activities caused an increase in expenses including claims to Rs.3.1 Billion over the previous year's expense of Rs.2.1 Billion. The increase in business required additional reserving for both General & life and the respective technical reserve and the life fund reached Rs.1.6 Billion for General and Rs.775 Million for life. Supporting the aggressive business growth in the life business and the resultant capital strain on providing adequate reserving as per actuarial valuations, the life segment recorded a loss of Rs.272 Million.

Trading Sector

The trading sector of the Group is mainly represented by Brown & Company, providing a variety of trading services. The company recorded an operational profit of Rs.312 Million during the year compared to an operational loss in the previous year. This outstanding performance comes as the restructuring of operations is completed. The total revenue of the Company was Rs.7 Billion, mainly from the revenue earned through Trading and investment related activities. Total PBT of the Company was recorded at Rs.1.4 Billion compared to Rs. 2.1 Billion in the previous year. The decline in PBT is mainly due to the gain on disposal of shares, a non recurrent income earned during the previous year.

Leisure Sector

The Group also made an investment in the Leisure sector through construction and further acquisitions. The Group sees future potential for Leisure sector investments as the number of tourist arrivals increase year on year. Currently, the on-going Leisure sector constructions of two properties are underway to cater to the needs of the increased growth in this sector. This comprises of a 365 key room property, Riverina Resorts in Beruwela and a 172 room property, Kosgoda hotel is to be added to the operating hotel chain of the Group in the near future. As part of its regional expansion, the Group acquired a property in Maldives. The group has made a total investment in the leisure sector asset amounting to Rs.23.5 Billion and will explore the investment in the near future when all these properties commence full operations generating cash inflows. This sector did not make profits in the financial year, but recorded a loss of Rs.560 Million.

Plantation Sector

The Groups' investment into this sector consists of the Maturata and Pussellawa plantations, which were considered as associates during the year via the 50% investment made through Browns Investment PLC. Towards the latter part of the year, the Group acquired the remaining stake of the holding company of these two entities. These businesses will see a great deal of restructuring, aligning the companies with LOLC's strategy and processes which will enhance productivity and efficiency with the intention of turning the companies around.

The sectors that LOLC is in are considered to hold great long term potential and the Group businesses are well positioned to derive long term profitability and greater value in line with the overall vision of LOLC. The financial services strong profitability signature together with long term returns from the other sectors, place LOLC well on track to achieve the long term vision of the Group.

Together, we grow

Management Discussion & Analysis - Business Review

Financial Services

Offering a comprehensive portfolio of financial services, LOLC is today the largest NBFI in the country.

LANKA ORIX FINANCE PLC (LOFC)

Lanka ORIX Finance (LOFC), which is one of the largest Non-Banking Financial Institutions (NBFI's) and the highest contributor to Group profits, reported its best performance to date, achieving a commendable 48% growth in Profit After Tax which reached Rs. 1.48 Billion; supported by an environment of low interest and low inflation. The Company's net interest income grew by 34% to Rs. 7.16 Billion.

One of the key factors which supported growth in LOFC's profitability was the reduced costs of borrowing due to the low interest rate regime that prevailed during the year. The Company's new lending facility –'Speed Draft' continued to be a key driver of business, contributing to the credit growth of 31%, to outperform the industry which grew at 16%.

The year under review saw a significant milestone as LOFC joined the Sri Lanka Inter Bank Payment System (SLIPS), enabling same-day financial transactions between LOFC and all other SLIPS participants –mainly the Commercial Banks. SLIPS is a secure online interbank electronic fund transfer system operated by LankaClear (Pvt) Ltd, facilitating the movement of funds from one account to another. Electronic fund transfers can be carried out between banks and financial institutions which are already connected to the SLIPS network. We are now able to ensure speedier transactions without the hassle of handling intermediary level documentation, providing island wide reach for added convenience to all our customers for their daily financial transactions.

"The year under review saw a significant milestone as LOFC joined the Sri Lanka Inter Bank Payment System (SLIPS), enabling same-day financial transactions between LOFC and all other SLIPS participants – mainly the Commercial Banks"

- **Lanka ORIX Finance recorded its best performance to date achieving 48% growth in Profit After Tax.**
- **Commercial Leasing and Finance posted an excellent performance with PBT growing by 37% to Rs. 1.7 Billion.**

SECTOR HIGHLIGHTS

Together, we grow

Management Discussion & Analysis - Business Review

In the highly competitive environment of Sri Lanka's financial sector, we anticipate technology and service to overshadow price competitiveness as key differentiators for sustainable growth. Technology can provide a competitive advantage and be a key to sustaining profitability. LOFC will thus continue to harness one of its key strengths of access to a fully fledged IT solutions provider, within the Group. The Company's co-banking system is home grown and hence offers agility in an environment in which paradigms of technological possibilities are constantly changing. During the year under review, LOFC launched an internet banking platform –'ORIX Real Time'. Year 2015/16 would see enhanced customer convenience through 'ORIX Real Time' which would enable customers to access our services on their mobile phones, tablets and desktops. Savings account holders would also have the added benefit of paying their utility bills online.

Moreover, the LOLC Group's agile culture and its ability to reap the benefits of economies of scale through its shared services concept are key strengths which we will continue to leverage.

Socio economic trends in Sri Lanka over the past few years reveal an increasing proportion of dual wage earning households as well as a continuing increase in the number of migrant workers (which currently number about 2 million). These trends have contributed to a higher level of household savings which augurs well for Sri Lanka's economy and the financial sector.

We expect the low inflationary and low interest rate environment, which is likely to continue during 2015; to support our buoyant outlook for higher growth.

COMMERCIAL LEASING & FINANCE PLC

Commercial Leasing and Finance PLC (CLC) posted an excellent performance with PBT growing by 34% to Rs. 1.7 Billion, and contributing 21% of the Group's profits and 18% of revenue. CLC's capital surpassed Rs. 10 Billion during the year. Furthermore, the Company was able to maintain well below industry averages and norms at 2.9 times, vis a vis an industry average which is over 7 times. Our NPA ratio also continues to be exceptional at 1.96% as at 31 March 2015 compared with the industry average of 6.7%.

The Company's public deposits amounted to Rs. 9.4 Billion during the year, accounting for 28% of its lending portfolio. Moreover, we also continued to have a healthy mix in our borrowing portfolio with bank borrowings constituting 66% of borrowings and overseas borrowings making up another 32% - a fact which underpins our stability and growth potential.

The Company's performance was also facilitated by a most conducive external environment of low interest rates, low inflation and a stable exchange rate during the year. The low interest environment is expected to continue during the remainder of 2015, thus auguring well for continued growth in credit demand and capital investments in the country.

Amongst the key internal drivers of CLC's performance were its unique business model, its people, geographical footprint and an aggressive marketing strategy executed during the year. The strength of brand CLC, which has grown over the past 27 years with its attributes of trust, dependability and commitment to the highest ethical standards; combined with the partnerships we have with leading international funding agencies, position us well for sustained brand leadership in Sri Lanka's NBFI market.

We are proud to note that the Company enjoys one of the lowest staff turnover ratios in the industry and is a preferred employer in the industry. The commitment, loyalty and talents of our people will continue to be a cornerstone of our success.

CLC will look to further leverage its key advantages and build on the solid platform it has established. We will look to extend our geographic reach and develop new channels of distribution.

The access to a source of strong IT solutions has also been a key competitive advantage. Recognising the importance of IT enabled solutions to enhance customer convenience and service, CLC signed up with HNB to enable our customers transact via the HNB ATM network. The year ahead will also see us expand our online facilities to enable the online payment of utility bills by our savings customers.

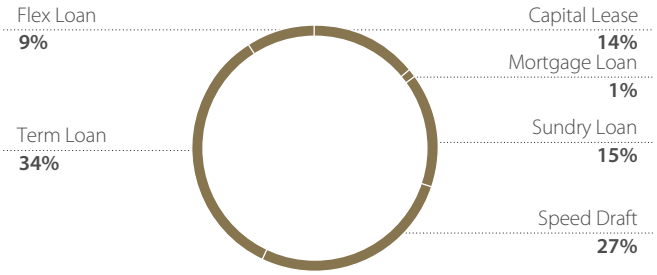
Commercial Factors, CLC's factoring arm also performed well with its portfolio growing by 33.8% to 2.4 Billion in 2014/15 from Rs. 1.8 Billion in the previous year. The contribution from the branches to the Factoring portfolio grew by a significant 136% to Rs 985 Million

whilst the number of clients utilising the Factoring portfolio at our branches increased by 73% to 218 as at 31st March 2015, compared with a portfolio of Rs. 417 Million and 126 clients as at 31, March 2014.

SME & DEVELOPMENT FINANCE

The SME and Development Finance business unit of LOLC achieved a commendable performance during the year with Turnover increasing by 36% to Rs. 38 Billion. The asset / lending portfolio of SME Financing stood at Rs. 41 Billion -as at the end of the financial year representing a growth of 24% over the previous year.

SME BU Executions for FY 2014/15



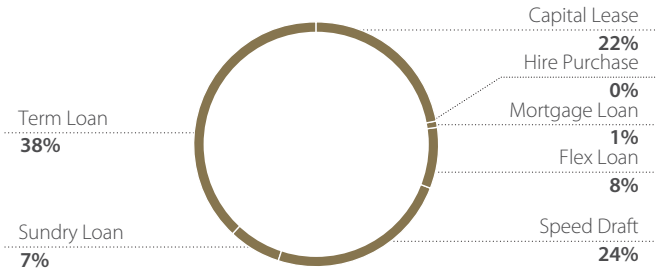
The year under review saw this business unit re -launch Flex Loan, as an extension for Term Loans and this contributed to a substantial growth in the Flex Loan facilities, to average Rs. 390 Million in disbursements per month. The Flex Loan portfolio as at financial year end rose to Rs. 3.2 Billion and total executions amounted to Rs. 3.5 Billion. The Company's success in harnessing its Business Introducer Model was a key contributor to growth, bringing Rs. 3.5 Billion to the portfolio during the year.

The unit introduced the Speed Draft in 2011 and an extension for it in 2013. The Speed Draft has proven to be a success and contributed to the significant increase in our portfolio. Revenues from Speed Draft grew by 89% during the year with the value of total disbursements reaching Rs. 10 Billion and a portfolio of Rs. 9.8 Billion as at year end.

- **The re-launch of Flex Loan contributed to a substantial growth in the Flex Loan facilities.**
- **LOLC Micro Credit became the only institution in Sri Lanka and only the 13th in the world to be certified for 'Commitment to Client Protection'.**

The unit's priorities for the year ahead include the further strengthening of the Business Introducer and Business Partner channels, strengthening Research & Development and market intelligence gathering and publicity and promotions in 2015/16.

Distribution of SME Porfolio FY 2014/15



LOLC Micro Credit

The year under review saw LOMC complete six consecutive years of robust growth. The total assets of LOMC grew by 14% and the total gross loan portfolio book grew by 32% whilst its active borrower base reached 248,974.

The business environment in the first half of 2014 was lacklustre; the second half however, saw the market pick up, supporting our growth in profitability. LOMC's PBT grew by 53% over the previous year to reach Rs. 1.56 Billion and this was after making provisions of Rs. 1.25 Billion.

It is a significant achievement that LOMC, during the year under review, became the only institution in Sri Lanka and only the 13th in the world, to be certified for "Commitment to Client Protection" by the Smart Campaign – a global initiative which exists to ensure strong client protection practices in the Micro Finance industry. The certification publicly recognises institutions providing financial service products to low-income

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households. The Smart Campaign's seven client protection principles cover important aspects such as pricing, transparency, fair and respectful treatment and prevention of over indebtedness. The certification process consists of a rigorous set of standards against which institutions are evaluated by independent third party evaluators who are licensed by the Smart Campaign. The certification is thus an endorsement of LOMC's commitment to win-win solutions and wider objectives of economic upliftment. It is also a reflection of our long term approach to business.

LOMC continued to have the best trained sales force in the financial services industry with technical assistance from its overseas partners who have been steadfast in their support. The entire balance sheet continued to be funded by overseas partners. Reflecting its growth and future plans, the Company recruited 224 loan officers in 2014, bringing the total number of Loan officers to 636.

In Social sustainability, LOMC continues to support "Sisu Upahara" – the year 5 scholarship program which is now in its fifth year, and is probably the largest single CSR project carried out by a NBFI in Sri Lanka.

The Company looks ahead with much optimism to continue on its growth trajectory which, in the year ahead is also likely to be well supported by a low interest regime.

BRAC LANKA FINANCE

BRAC Lanka Finance, acquired during the year under review and the Group's newest addition to its Micro Finance sector, caters to the lower end of the Micro lending segment in the country. The Company's active borrower base spread across the country, stood at 95,241 as at year end.

The Company recorded an excellent performance in its first year of operations as a member of LOLC Group, to achieve a Profit Before Tax of Rs. 175 Million from a loss of Rs. 5 Million during the previous year, thus recording a profit growth of 799%. BRAC's total portfolio also grew considerably by 288% to Rs. 2,844 Million whilst the total disbursement during the year was Rs. 4,746 Million compared with Rs. 2,493 Million in the previous year.

The Group's access to funding, its lending processes and procedures, the competitive advantage of technology and people and best practices were key internal factors that enabled BRAC to benefit from and post this performance. An industry environment which saw a rise in demand for Micro Credit also supported this excellent performance. The increasing demand for micro credit was fuelled by the strong performance of Sri Lanka's agricultural sector as well as the decline in fuel prices. The dedication, industry knowledge and skills of our people combined with the expertise of the Group's Micro Finance subsidiary- LOLC Micro Credit Limited (LOMC) were key factors which helped achieve a significant growth in performance in our first year. Moreover being a member of LOLC Group also helped BRAC reduce its cost of funds.

The Group will continue to focus on growing its Microfinance business, by expanding its portfolio of clients as well as products. We will also seek additional sources of funding at lower interest rates and look to establish new funding partnerships with international funding agencies. Amongst the growth areas we have identified, which can harness the many synergies across the Group are Micro Leasing solutions, Micro Housing loans, Micro Savings schemes and Micro Insurance solutions. The Company will also expand its Service Centre and launch a new IT system in the year ahead. Strengthening the internal control systems and processes of this newly acquired entity to be in line with the Group's standards and best practices would also be a priority for the year ahead.

LOLC FACTORS (LOFAC) (Working Capital Business Unit)

LOLC Factors Ltd (LOFAC) is the first factoring company established in Sri Lanka, and continues to be the market leader in the factoring business despite intensifying competition during the past decade.

The year under review, and the first quarter in particular, saw moderate portfolio growth However, from the 2nd quarter to the 4th quarter, the company achieved a record breaking growth in terms of portfolio and income.

Key achievements during the year :

- Asset portfolio grew by a significant 90% which is a growth of Rs. 4.39 Billion.

- The year end portfolio reached the highest ever level of Rs 9.24 Billion, which included Rs 2.74 Billion in loans.
- Achieved a record annual gross income of Rs 1.32 Billion

This business unit also continued to record the highest gross interest margin within the financial services sector of the Group. It is noteworthy that this achievement is in addition to maintaining its position as the business unit with the lowest costs.

LOFAC's priorities for the year ahead include rolling out its strategic growth plan by introducing factoring services island wide. This will be driven through LOLC's extensive branch network, by way of educating businesses across the country on leveraging factoring services to help carry out their business activities successfully.

ISLAMIC BUSINESS UNIT - Al Falaah

LOLC Group's Islamic Finance business, branded as Al Falaah, entered the market in 2007 as one of the early entrants. Today, it is a market leader in terms of market reach across the country.

During the year under review, Al Falaah performed well with a Profit Before Tax of Rs. 339 Million while contributing 12% to LOFC's consolidated asset base over the two years. The contribution to the liability base was around 11%-12% over the two years.

Al-Falaah has consistently gained headway as the front-runner of Sri Lanka's Islamic Banking & Finance industry, and we are heartened by the several national and international accolades it has received over the years in recognition of the business excellence, product innovation and the goodwill established over the years. Awards received during the year under review include the following:

- **Al-Falaah, emerged as the best Islamic Finance Entity of the year by winning Gold at the 4th SLBFI Awards.**

4th Sri Lanka Islamic Banking & Finance Industry Awards (SLIBFI), Colombo, Sri Lanka 2015.

- The Islamic Finance Entity of the Year 2014 - Gold Award.
- Social Upliftment Award (CSR) for 2014 – Gold Award.
- Silver award for Rising Islamic Personality of the Year was received by one of our staff members Mr. Ilsam Awfer for the Year 2014.
- Redmoney's Global Awards, IFN BEST BANK POLL, Kuala Lumpur, Malaysia 2014.
- Best Islamic Bank by Sector – Best Islamic Leasing Provider - 3rd Place.
- Best Islamic Bank by Country (Indian Sub-Continent) Sri Lanka - Runner-up.

In addition, Al-Falaah partnered LOLC Technologies in developing the 'Fusion Islamic Banking & Lending System' module, which received the highest award in the category : Best Islamic Finance IT Solutions Provider" for the year 2013 at the 3rd SLIBFI Awards, held in Colombo, Sri Lanka in 2014.

In line with the Company's mission to cater to a wider spectrum of Islamic business needs, the year under review saw Al-Falaah spearhead the launch of a General Insurance product – Al Falaah Takaful, to complement its core business of asset financing. Al-Falaah Takaful is a General Motor Insurance product and is now being offered under the wings of LOLC Insurance Ltd.

Operating under the purview of the regulatory framework of The Central Bank of Sri Lanka, Al-Falaah is supervised by a dedicated in-house Shari'ah Supervisory Board (SSB) and a full-time in-house Shari'ah advisor (ISA) which carry out periodic and systemic process reviews, compliance audits, product evaluations, staff training and assessments and reporting, to maintain compliance with the principles of Islamic trade and commerce.

Al-Falaah financial services are offered at five dedicated Al-Falaah centers located in Akkaraipattu, Kalmunia, Kattankudi, Oddamavadi and Akurana, whilst all other licensed LOFC branches across the island have dedicated Al-Falaah staff members or fully trained non-dedicated staff to handle inquiries.

Supported by the strength of LOLC Group and our brand value, Al Falaah stands well poised to harness the growing demand for Islamic finance products. It will look to increase its value addition to the industry, demonstrating that Islamic finance can be an attractive alternative to conventional finance.

LOLC INSURANCE

Whilst the Sri Lankan economy continued its high growth trajectory, Sri Lanka's Life Insurance industry grew by 7.2% whilst the Non-life Insurance sector grew by 3.6% during the year under review. Continuing its high growth trajectory since 2012, LOLC Insurance (LOIC) company achieved growth well in excess of the industry; a significant achievement given that the Company was in just its third year of operations.

During the year under review, the Sri Lankan Insurance industry primarily focussed on preparing for the regulatory changes that became effective from February 2015. All composite Insurance companies were required to bifurcate Life and General

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Insurance businesses into two separate legal entities as per segregation requirement under Section 53 of the Regulation of Insurance Industry (Amendment) Act No. 3 of 2011. Further, the Insurance Board of Sri Lanka (IBSL) introduced a new risk based capital (RBC) framework to monitor solvency requirements of the Insurance businesses to become effective from the year 2016, and the industry also prepared for its full implementation in 2016.

LOIC's General Insurance business achieved a total gross written premium of Rs. 1,887 Million, growing by 25% over the previous year. Moreover, LOIC was able to cross the Rs. half a Billion mark in Life gross written premiums during 2014, once again a remarkable achievement for an insurance company within a short span of just 3 years. The Life assurance total gross written premium grew by a significant 115% to Rs. 592 Million. The Company's total composite gross written premium for the year 2014 increased by 39% to Rs. 2,479 Million when compared with the previous year.

Being a fully owned subsidiary of LOLC PLC, has enabled LOIC to effectively leverage on the key strengths of the Group. The Group's brand strength, loyal customer base and island wide distribution reach, combined with team work have been the key factors that have supported this performance.

The Insurance market in Sri Lanka remains intensely competitive. The General Insurance industry in particular has been grappling with fierce price competition which is leading to reduced profitability. But your Company has been successful in meeting the challenges posed in this very competitive market by taking several strategically accurate decisions on its distribution channels and product offerings. In addition, prudent underwriting, focused claims management, sound investment policies and marketing strategies helped the Company to perform well despite the challenging market environment that prevailed.

- **Al-Falaah launched a General Insurance product – Al Falaah Takaful.**
- **LOLC Insurance crossed the Rs. half a billion mark in Life gross written premiums during the year.**

LOIC will split its Life & Non-life businesses into two separate entities during 2015. The two new companies aspire to be the most profitable Insurance businesses in the country, contributing significantly to LOLC Group's objectives.

Life Insurance in Sri Lanka remains significantly under-penetrated and this offers much potential to harness. However, we are also mindful that Life Insurance in the region is a product which needs to be driven, seldom being sought after. Demand thus needs to be created through awareness and education of the population, which in turn has long periods of gestation. During its first two years LOIC established a network of 1,200 Life agents across the country. With the envisaged increase in Sri Lanka's per capita income, the growth in the micro finance sector and resulting rise in incomes, backed by the brand strength of LOLC; LOIC is confident of growing the market in Life Insurance in the medium to long term. We will focus on expanding and enhancing our distribution network. Demographic changes such as the increase in the aging population also support a rise in demand for Insurance solutions which offer retirement benefits and health insurance.

In our General Insurance business, we will seek to widen our retail footprint in order to reduce dependence on our Group companies such as LOLC and CLC.

The LOLC Group is a leading entity in the financial services sector and Insurance being a complimentary product, which can expand the suite of products and enhance value for Group customers, is well positioned to become a key contributor to Group's revenues.

Whilst the last three years saw us focus on establishing infrastructure, the distribution channel and our processes and procedures, the year ahead will see us use the launch pad we've set in place, to grow and expand LOIC's business and its distribution channels with an unique model and long term strategies.

LOLC SECURITIES

LOLC Securities Limited, the Group's stock broking arm achieved a strong performance during the first half of the year, supported by the optimistic economic environment, but saw a negative performance towards the latter part of the year due to political volatility following the declaration of elections. Thus, the year under review overall saw a moderate growth in revenue.

The Company continued to strengthen its foothold in the retail investor space, increasing its client base. It is noteworthy that the branch network in particular performed well during the period, with the Kurunegala branch achieving the highest in brokerage turnover for the region.

The Company's research reports, due to their accuracy and objectivity sans sellers' influence, continued to be much sought after by investors.

LOLC Securities has up to now predominantly operated in the local investor space. During the year under review, the Company took a strategic decision to expand and diversify its portfolio into the continuous growth market of foreign investor interest. Accordingly, the Company initiated dialog with some of the large global players in investment management for collaborative efforts on research and trading. These steps would support its efforts to enter the foreign investor market. It also attended several road shows in Hong Kong, USA and Dubai, to promote equity investments into the country.

One of the strategic imperatives of the Company is diversification into new businesses in related areas. Accordingly, the year under review saw us lay the groundwork to venture into Investment Banking and Asset Management, thereby integrating further in the investment management value chain. The Company hopes to launch this new business in 2015/16.

The Stock Brokering industry is expected to remain volatile in the short term due to the current political uncertainty. However, against the backdrop of strong economic fundamentals, regained political stability and the country's bright prospects for growth, the Stock Brokering industry is expected to perform well, playing a pivotal role in the capital markets of the country. LOLC Securities is well poised to serve a wide range of customer segments whilst its new business ventures also augment our optimistic outlook as they are expected to help the company steer through the inherent volatility of the stock broking industry.

FLEET MANAGEMENT

The Group's Fleet Management Division consolidated its position in the fleet management services market which encompasses the hiring of vehicles and equipment for the long term and short term. Significant growth in the equipment hiring market helped the Group to grow its portfolio amongst a wide range of customers. Although the demand from the Corporate sector grew, it was a moderate and a gradual increase as many clients seemed to adopt a wait and see approach to invest and grow their businesses. Whilst competition responded by reducing their rental rates to grow the portfolio even at a loss, your Company chose to compete on service levels and offer flexible rental packages instead; and these measures proved effective, making the product attractive to customers.

The Company will increase its focus on the short term Rent-a-Car market by infusing more assets in order to ensure a higher turnover. In addition, we will also look at revamping our fleet and introducing other hiring related products. The Division will also strengthen its presence in the equipment hiring market, and has been actively engaged in taking this portfolio to the next tier.

LOLC MOTORS

LOLC Motors commenced its journey as the service provider for the Group's fleet of vehicles. In addition to this supporting role, it is now the service provider for an external clientele who lease vehicles from the Group. During the next two to five years, the Group will strive to expand and increase this external customer segment. The Company will also launch a campaign to capture the corporate market via the offer of value added services.

The year under review saw LOLC Motors receive ISO 9001:2008 Quality Management certification.

In the highly competitive market of the retail Motor Trade, where there is very little difference between the products and packages offered by Franchise Companies, we understand that our service standards and relationships with our customers are key to sustaining a competitive advantage. The vast local and foreign exposure of our technical and supervisory staff has also been vital to our ability to service the many brands and types of vehicles in the country.

At its inception, LOLC Motors pioneered 'Green House Technology' in the motor industry in Sri Lanka. Accordingly, our workshop harvests rain water whilst a waste water treatment plant enables the workshop re-use water and reduce dependence on the national water supply. The workshop is also designed to capture maximum natural daylight during normal working hours, reducing its dependency on the national grid. The Company will continue to constantly improve its environmental friendliness and seek ways to minimise its negative impacts.

LOLC Motors is also registered with the Leasing Association of Sri Lanka (LASL) as a valuer of vehicles and its people have been trained accordingly. Thus, more than 90% of LOFC's and CLC's vehicles are handled by the internal valuation unit. The Valuation unit achieved a noteworthy performance during the year with valuation income increasing by 31% to Rs. 68 Million. It also expanded its services to 25 branches, encompassing all regions in Sri Lanka.

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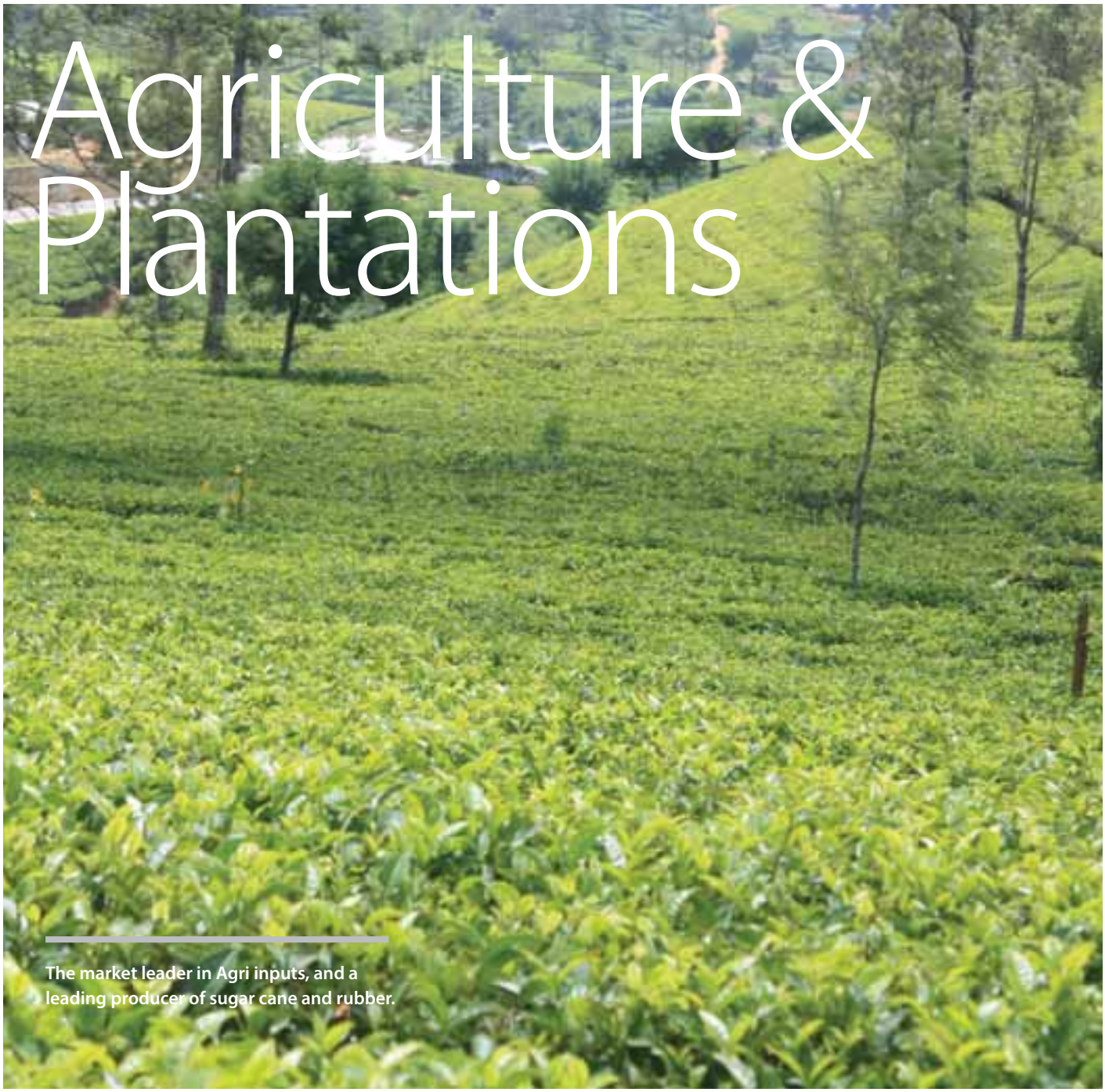

Agriculture & Plantations

The market leader in Agri inputs, and a leading producer of sugar cane and rubber.

Performance of Sri Lanka's Agri Sector in 2014

Sri Lanka's Agriculture sector grew marginally by 0.3 % in 2014 reducing its share in GDP to 10.1 % from 10.8 % in 2013. Impacted by adverse weather conditions, several key sub sectors including paddy (16.7 %), rubber (32.3 %) and minor export crops (15 %) contracted, largely contributing to the deceleration of growth in the Agriculture sector. The Tea sub sector declined marginally by 0.3%, due to unfavorable weather conditions which prevailed during the year and also due to the decline in demand from some of the major export destinations such as the Middle East and Russia as a result of political turmoil. Paddy output declined significantly in both Yala and Maha seasons. Rubber production declined for the third consecutive year, affected by weakened international demand for natural rubber as well as adverse weather conditions. However, the contraction in output of several key sub sectors was somewhat offset by the improved performance in the Coconut and other food crops sub sectors. The Coconut sub sector registered an increase of 7.9 % in output in 2014 as against a decline of 16.1 % in the previous year. The production of other food crops increased by 7.0 % in 2014 compared to the growth of 4.3 % in the previous year.

AGRI BUSINESS

Machinery

Brown & Company provides technology based farm machinery, a full range of implements and related services for the agriculture sector in Sri Lanka. It markets the globally recognised tractor brands Massey Ferguson, TAFE, Sifang and Howard Rotavator. This Division offers a comprehensive portfolio of agro-machinery solutions including two-wheel and four-wheel tractors, a full range of implements such as rotavators, tine tillers, mould board ploughs and disk ploughs, combine harvesters and laser land levellers. It also works closely with local suppliers who manufacture related products such as trailers and bowsers. Brown & Company has a long-standing reputation in Sri Lanka as pioneers in the agri-business industry. The company is also Asia's oldest distributor of Massey Ferguson.

This business unit's main customer base is farmers from the districts of Kurunegala, Puttalam, Anuradhapura, Polonnaruwa, Ampara, Trincomalee, Batticaloa and Moneragala. Some of the key factors that drive sales among this clientele are quality, price, accessibility of spare parts, after-sales services and the latest technical features.

"Sri Lanka's Agriculture sector grew marginally by 0.3 % in 2014 reducing its share in GDP to 10.1% from 10.8 % in 2013"

- **The growth of AgStar PLC outstripped that of the industry.**
- **Pussellawa Plantations invested a total of Rs. 288 Million in Tea & Rubber replanting during the year.**
- **Maturata Plantations engaged in Crop diversification into cinnamon & timber.**
- **Gal Oya Plantations recorded the highest sugar production of 19,939 MT.**

SECTOR HIGHLIGHTS

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"AgStar PLC's growth during the year under review, outstripped that of the industry, which currently counts 30 players. More importantly, we retained our medium sized business, focusing on being the best, rather than the biggest player in each segment"

Operating environment in the year under review

The year under review was a challenging one for this sector. Value Added Tax (VAT) was imposed on tractors for the first time. Therefore, the relatively higher prices of imported tractors on which VAT was applied, saw a decline in purchases over the first eight months of this year, for this Division.

Inflation saw a decrease to 3.2% in January 2015, which was a healthy level for business. However, due to exchange rate variations, the rise in the value of the dollar had a negative impact on business.

Drought during cultivation season affected the extent of agricultural lands that were cultivated, while heavy rains resulting in flooding during the harvesting season affected agricultural output. This situation in turn affected sales of tractors for this Division, which declined by almost 40% in the year under review. Sales were partly shored up however, by the adoption of new technologies and machinery such as rotovators and the fisheries wrench for the fisheries industry, which operates as a four-wheel tractor attachment. Technology adoption such as this, contributed to tractor sales during a challenging time for the business.

The tractor business has also seen heavy competition, with more than 20 brands currently operating in the market across different price points, with a total market size of less than 4,000 units. Browns maintains a competitive edge with its market leadership position and reputation in the industry for being a pioneering supplier of agricultural machinery in Sri Lanka. Browns is a household name and its 'heritage of trust' has meant that its products enjoy strong brand recognition and value among its customers. The company also has a highly efficient and responsive after-sales service team and a well-established network for spare parts while its products have a high second-hand value in the market.

Business performance in the year under review

The Agri-business division adopted a new approach to differentiate itself from its competition of not just selling a product to its customers, but training their clientele on how to obtain the maximum output from the products they purchase as well. The Division offers its customers the 'Browns Farm Machinery Training Centre Govi Nena Pahana' training programme, which is a programme designed to educate farmers about getting the most out of their tractors and related implements. The Division also offers the 'SAPSA Sisu Nena Pahana' programme for students of agricultural studies, to educate them on tractors and other farm machinery, correct usage and proper daily maintenance methods. Browns entered into a Memorandum of Understanding with the Farm Machinery Training Centre (FMTC) – the only state institute providing training programmes for farmers, in order to provide these training sessions. These programmes further add value to its service offering, laying the foundation for a sustained relationship with customers.

The Agri-business Division also acquired Sifang Lanka following an organisational restructuring of the company. This two-wheel tractor product further strengthened the Unit's product portfolio. Products were continuously improved such as the TAFE 45 DI. The high performing product has now further improved with power-steering and oil immersed brakes according to the needs of farmers. The after-sales service team also conducted free service campaigns all over the country. In the year under review, an innovative concept: Track Tech Mobile was also introduced, which provides mobile technical support as well as entertainment to customers.

The Division entered into a strategic partnership in the year under review, linking up with a leading insurance provider and offering customers free insurance cover for one year.

Future Outlook

There are several potential new areas for growth in the next financial year. Sales of the newly introduced wrench for the fisheries sector are expected to grow. Another new introduction was the front-end-loader which is used in the construction industry. The demand for machinery solutions for the cultivation of maize, mung beans and soya is also expected to increase, as farmers diversify into these crops as a hedge against changing weather patterns. As labour usage on farms reduces, machinery for harvesting is also expected to see a growth in demand in the near future.

Unpredictable weather patterns continue to be a challenge for the industry as can be seen in the experience of the past three years. A further challenge is the imposition of VAT, which significantly raises retail prices for farmers significantly.

AgStar PLC

Browns AgStar Division provides agricultural solutions to farmers and its product range encompasses five main segments, of Grains, Fertiliser, Seeds, Crop Care and Exports.

During the year under review, the company's growth outstripped that of the industry, which currently counts 30 players. More importantly, we retained our medium sized business, focusing on being the best, rather than the biggest player in each segment.

Growth rate

Fertiliser	7%
Crop Care	12%
Seeds	24%
Grains	136%
Exports	605%

Operating in the fertilizer business takes an enormous amount of resilience and fortitude, due to this sector's vulnerability to changes in government regulations and inclement weather patterns. The regulatory pressures that prevailed in 2014 adversely impacted all players in the industry. However, AgStar was able to grow despite its profitability being marginally affected. The Company's diversification measures such as the addition of new products, helped mitigate the impact of unfavorable conditions during the year.

Moving away from quota restricted products to non-quota categories in the Fertilizer segment, and increasing organic products are two of the strategies which your Company adopted, which are beginning to yield dividends. Moreover, the Company also introduced innovative technology-backed products during the year such as New Generation Grains, which are environmentally-friendly; Nutricoat from Japan, which is a control release product; and Hexxa, a fungicide. Encouraged by the positive response and the benefits these higher value products have yielded to our high value customers in the Plantations sector, the Company is actively engaged in bringing in more such products.

The Company's Crop Care segment is also challenged by an inordinate number of regulatory pressures. Chemicals are also viewed with distrust, despite the fact that they comply with existing regulations. Given the high demand for high quality crop care products, and with the long term in mind, the Company re- positioned its business in the top tier customer segment by enhancing all aspects of production, packaging, presentation and pricing. This re-positioning helped the Company achieve the targets it had set for its Crop Care segment.

Following slow growth at the start of the year the Company's exports picked up during the latter part of the year. Sri Lanka is globally acknowledged as the source of real Cinnamon and owns a strong competitive advantage in the export of Cinnamon. The Company's strategy – to commence with bulk exports with a gradual transition into value added exports, saw it embark on the first value added order during the year. AgStar established a packing plant which is USDA, EU and ISO certified and capable of supplying value added Cinnamon products to several key markets. The packing plant can also be used to diversify into packaging other agri exports in the future, to leverage on the growing demand for natural and organic products and herbal medicines, reaching customers directly with value added products.

The year under review saw the Company's Seeds segment focus on supplying high yielding hybrid seeds with offer higher profit margins. Accordingly, it established an alliance with the French Seeds Company to become the agent for its GSN Seeds. Furthermore, AgStar PLC also acquired 100% of Pirith Seeds (Pvt) Ltd during the year. These initiatives have enabled the Company to widen its portfolio of seeds, and perform well despite a spell of dry weather during the year. The Company is now positioned as the third-largest company in the seed paddy segment.

AgStar's state of the art rice milling plant located in Anuradhapura is scheduled to begin operations in the year ahead; and once in operation would multiply the Company's Seed & Grains production. AgStar will also develop newer varieties of rice which will be of higher quality, such as Golden rice, under

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Reflecting on our long term perspective in business, Pussellawa Plantations (PPL) continued to invest in best practices to enable the sustainability of the plantations. Some of these initiatives include the use of under utilized or unutilized land to plant timber and cinnamon. The Company continued Commercial timber planting programs, which have a double bottom line impact of income generation and the mitigation of soil erosion.

the brand name of 'Ransahal'. The Company also continued to focus on diversifying into other grain categories such as maize, soya bean and green gram. The buyback arrangement with farmers will see them harvest crops from the seeds provided by AgStar, and sell back to the Company. AgStar also plans to add further value by entering the instant soups and cereals segment as well as health related product innovations in the future.

Our focus in the next two years will be on developing new products and gaining market leadership status. Our Crop Care customers will see this division building strong brands in the future. The Company has also prioritized expansion into organic products, and envision these to make up a larger share of its portfolio over the next few years.

AgStar will continue to look for synergies with joint venture partners to sustain leadership in environmental safety products. As fertilizer industry regulations prohibit the formulation of chemicals in Sri Lanka, the Company is engaged in building strategic partnerships with reputed global fertilizer companies and multinationals to ensure that the products we import are formulated with safe chemicals. In keeping with the Group's wider objective to empower the nation's agricultural community, AgStar will continue to harness the latest in technology and products and nurture high yielding agricultural practices to uplift Sri Lanka's agriculture and farming communities.

PLANTATIONS

Pussellawa Plantations (PPL)

Pussellawa Plantations (PPL) which became a member of the LOLC Group in 2011 accounts for 2% and 2.4% share of Tea and Rubber production in the country respectively, with a total revenue-generating land extent of 5,661 hectares of which Tea makes up 2,476 hectares, Rubber constitutes 3,102 hectares and Coconut amounts to 83 hectares. PPL's principal activities include the cultivation, manufacture and sale of Orthodox and CTC Tea and Rubber, and the cultivation and sale of Timber and other crops. The Company also processes bought crop from Tea smallholders.

Performance

During the year, the company recorded a Turnover of Rs. 3,621.5 Million, which is a contraction of 7.8% over the previous year whilst it recorded a loss after tax of Rs. 1,312.3 Million compared to loss of Rs. 9.6 Million in the previous year. The loss is mainly due to the valuation of biological assets. Timber and Rubber tree stocks were valued at fair value. Loss on change in fair value of Timber and Rubber Trees stocks is Rs. 1,417.3 Million in 2014/15 vis a vis a loss of Rs. 255.3 Million in 2013/14.

Gross Profit of the company decreased by 74% compared to the previous year. The gross profit in the Tea sector declined by 64% due to the decrease in demand whilst the Gross Profit from Rubber decreased by 79% due to a decline in Rubber prices by Rs. 67.25 per kg. In its Rubber sector, the Company continued to strive for economies of scale to minimize the impact of escalating wage increases and input costs.

The Company invested a total of Rs. 288 Million in Tea & Rubber replanting during the year. The total immature extent under Tea and Rubber cultivation at present stands at 1,882.39 hectares valued at Rs. 2,006.9 Million.

Reflecting on our long term perspective in business, we also continued to invest in best practices to enable the sustainability of our plantations. Some of these initiatives during the year include the use of under utilized or unutilized land to plant timber and cinnamon, and 13.1 hectares of cinnamon was planted during the year. The Company also continued commercial timber planting programs, which have a double bottom

line impact of income generation and the mitigation of soil erosion. The Company plans to plant a further 70.65 Ha on its upcountry Estates with Eucalyptus grandis. In addition, PPL, in collaboration with the Mahaweli Authority of Sri Lanka, will also continue its stream bank conservation programme of planting Bamboo on its stream banks.

Sri Lanka's Tea industry continues to be beleaguered by escalating costs of production and hence, diminishing cost competitiveness in the global market. For one, due to continuous increases in wages sans a link to productivity improvements and secondly, due to declining yields of tea bushes which are more than 50 years of age. The Regional Plantation Companies (RPC's) with the exception of two years, have continued to incur losses for a period of 10 years ending in 2011. It is the companies who are diversified into other crops which have been able to buffer the losses in tea.
Sri Lanka's largest tea estates are managed by 20 listed and some government controlled RPC's. Whilst Sri Lanka's tea production has roughly doubled in 2012 from 1990 levels, its share of the global crop has declined to 7% from 21% in 1960.

The need for a wage model that is linked to productivity is an urgent imperative for the sustainability of the tea industry. Driven by a scenario of declining competitiveness in the Tea and Rubber plantations sector, PPL has identified several strategic initiatives to regain profitability and create sustained value on our plantations, and these include the following:

Strategic Imperatives

- Produce a quality tea to maximize market demand.
- Manage costs and minimize waste and reduce borrowings.
- Mechanize field operations
- Move from a wage guaranteed model to a livelihood guaranteed model as a win-win strategy which would reduce costs of production and improve productivity whilst also empowering the worker.
- Give priority to the development of renewable energy for a sustainable Triple Bottom Line impact.
- Add value to our tea and rubber and enhance branding and move closer to the end user to address Sri Lanka's declining cost competitiveness in the global market.
- Focus on sustainable agriculture policies and programmes to enhance land productivity
- Diversify into other products on land which cannot be used for tea or rubber. For example: timber planting and investments into hydro power.
- Enhance worker productivity and their potential through incentives and motivational measures.
- Explore opportunities for eco tourism by harnessing the potential of the natural resources on our estates such as renewable power generation.
- Continue the harvesting of timber
- Venture into water bottling.
- Venture into dairy farming.

"The year under review saw MPL achieve accreditation from the "Ethical Tea Partnership" (ETP) for 03 of its estates, whilst the High Forest and Ragalla tea factories obtained UTZ certifications. MPL will also work towards obtaining "Rainforest Alliance" certification for several identified factories in the High Grown region"

Maturata Plantations (MPL)

Maturata Plantations (MPL) consists of 19 estates stretching across 11,590 hectares. Tea is the Company's main revenue driver accounting for almost 95% of MPL's overall revenue with rubber contributing about 4% and coconut and other minor crops making up the balance.

The performance of Maturata Plantations also reflected the performance of the industry, due to adverse weather conditions and export market conditions for tea and rubber during the year. Despite adverse market conditions that prevailed during the latter

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During the year under review Gal-Oya Plantations recorded the highest cane crushing of 246,330 MT, the highest sugar production of 19,939 MT and highest sugar recovery percentage of 8.09 in the history of Hingurana since 1960. It is remarkable that we became the highest sugar producer in Sri Lanka in 2014, within a short span of recommencing operations at its factory.

part of the year, the Company was able to increase its Turnover by 8.29% over the previous year for which the Tea segment contributed largely with an increase in tea sales. The Company recorded a loss of Rs. 392.87 Million for the year ended 31st March 2015 against the loss of Rs. 173.10 Million in the previous year.

MPL increased its tea production by 4.44% over the previous year to 5.61 Million kgs during the year. Rubber production contracted by 14.78% to 0.42 Million kgs during the year compared to the previous year. The decline in rubber production was due to unfavourable and abnormal weather conditions which prevailed in the regions. Rubber prices also declined steeply during the year by as much as 28.39% over the previous last year. The cinnamon crop recorded a marginal profit for the first time, of 1.08 Million with a Turnover of Rs. 5.50 Million. The coconut crop increased by a significant 28.3% over the previous year whilst Gross Profit increased by 37.19% to Rs. 6.44 Million.

In addition to adverse weather and market conditions during the year, MPL's performance was also impacted by its high borrowings. Other factors which continue to challenge the industry continued to impact MPL as well. These include the shortage of labour, inadequate replanting, the severe competition for bought leaf in the low grown region and the deterioration of soil conditions in the plantation fields.

The year under review saw MPL achieve accreditation from the "Ethical Tea Partnership" (ETP) for 03 of its estates, whilst the High Forest and Ragalla tea factories obtained UTZ certifications. MPL will also work towards obtaining "Rainforest Alliance" certification for several identified factories in the High Grown region.

Driven by the diminishing cost competitiveness of the tea industry, the Company engaged in outsourcing of low productive fields; crop diversification into crops such as cinnamon and timber and increasing bought leaf.

Priorities for 2015/16

- Ensure that sustainable agri practices are carried out in a timely manner.
- Increase worker productivity.
- Enhance quality of our products.
- Improve our cinnamon crop and engage in branding.
- Explore the sale of tea in the local market through the Group's marketing arm.
- Outsource harvesting of C category fields.
- Focus on high yielding fields.
- Obtain accreditations such as ISO, ETP, HACCP, Rain Forest Alliance.
- Increase the planting for Timber trees.

As mentioned previously, the need for a productivity related wage model remains an urgent imperative. Moreover, it is also the fervent hope of companies that the government would grant permission for crop diversification and mining and lift restrictions on the harvesting of trees above 5000 feet.

Having estates located on all three elevations is a key strength of MPL which augurs well for a positive performance in the future. Moreover, MPL will also look to harness its other strengths which include the excess capacity at many of its tea factories, availability of cultivatable land and valuable timber trees which are available for harvesting and the reputed well established marks such as High Forest, Ragalla and Diddenipotha.

Galoya Plantations

Gal Oya plantations is Sri Lanka's leading sugar cane manufacturer comprising 7,659 hectares (ha) of land with approximately 5,200 ha of irrigated land allotted amongst 4,400 families for the cultivation of sugar cane. The Company became a member of the LOLC Group in 2008 and LOLC today owns 49% share of the Company. This is the largest industry in the Ampara District and this reawakened giant has been the catalyst for the tremendous improvements in the standard of living amongst the people, which has been evident since 2008.

During the year under review Gal-Oya Plantations recorded the highest cane crushing of 246,330 MT, the highest sugar production of 19,939 MT and highest sugar recovery percentage of 8.09 in the history of Hingurana since 1960. It is remarkable that we became the highest sugar producer in Sri Lanka in 2014, within a short span of recommencing operations at its factory. The factory which had been non operational for over 12 years when the Group acquired ownership in 2009, was restored and made operational in 2012. The Company has also been able to elevate its sugar cane cultivation and sugar production standards to be on par with global industry standards.

The company became operationally (PBIT) profitable for the first time with a PBIT of Rs. 299 Million compared with a Rs. 57 Million loss during the previous year, achieving a remarkable improvement in the bottom line. It recorded a Turnover of Rs. 1,713 Million, which is a contraction of 82% over the previous year and a loss after tax of Rs. 237 Million, compared to a loss of Rs. 555 Million in the previous year.

During the year under review, the Company entered into an agreement with Naran Lala Ltd, an Indian Company, to establish a new ENA plant on a turnkey basis at an investment of Rs. 650 Million. The construction of the plant with a capacity of 21.5 KLPD is currently underway with operations scheduled to be launched in end 2015.

Gal Oya plantations is also initiating a new power generation project to increase its current generation of 2 MW by the cogeneration power plant. Planned investments into a modernised power plant in 2016 would see the Group invest Rs. 2.5 Billion in this project, which, once completed in 2017, will bring the total power generation by the Company to 10 MW.

Gal Oya Plantations operates on an out grower model with allotments of land cultivated by the communities, and this model well exemplifies a successful win-win model which has integrated social sustainability. 5,200 hectares of land has been allotted at present, amongst 4,400 farming families. The progress of the farmers and the Company is, hence, mutually dependent and their welfare integrated into our business strategies. In addition to directly employing over 1,000 people and providing economic opportunities for over 15,000 people, the Company supports the farmers and their families and the wider communities in numerous other ways both financially and in kind. The Company has spent over Rs. 50 Million per year since 2011, to uplift community through the development of roads, canals, drainage and other facilities, the cost of which would otherwise be borne by the government. These are discussed in the ensuing Social and Environmental sustainability section of this MD&A.

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The Group continued to perceive value and potential in the leisure sector since its entry in 2010, with the sector outperforming itself in successive years and numbers of arrivals to Sri Lanka growing exponentially. The year under review was a milestone year, as it saw the Group make some strategic moves to consolidate and augment it's stature for a more commanding presence in the sector. The addition of a Destination Management Company (DMC) to complement its existing USPs in Travel, Resorts and Entertainment, and investments in new frontiers, were high points.

Industry environment

Tourism is now one of the largest and fastest growing economic sectors in the world. Despite occasional shocks, international tourist arrivals have seen almost uninterrupted growth – from 25 Million in 1950 to 278 Million in 1980, 528 Million in 1995, and 1087 Million in 2013 with continued expansion and diversification. Today tourism is estimated to account for 9% of world GDP, directly, indirectly and via induced impact and for 1 in 11 of jobs in the world. Many new destinations, in addition to the traditional favorites of Europe and North America, have emerged across the world which are making investments and turning tourism into a key driver of socio-economic progress, through export revenues, the creation of jobs and enterprises and infrastructure development

According to UNWTO's long term forecast, International tourist arrivals worldwide are expected to increase by 3.3% a year from 2010 to 2030 to reach 1.8 Billion by 2030. Arrivals between 2010 and 2030 are expected to increase by 4.4%, in emerging economies at twice the rate of those in advanced economies which are expected to grow by 2.2% a year. The market share of emerging economies increased from 30% in 1980 to 47% in 2013, and is expected to reach 57% by 2030, equivalent to over 1 Billion international tourist arrivals.

According to the UNWTO statistics, international tourist arrivals (overnight arrivals) grew by 4.4% in 2014 to reach 1,135 Million, surpassing the previous highest recorded last year. The growth was almost in line with projections made in January 2014 of 4.5%, and above the long term forecast of 3.3%.

"The Group embarked on substantial and strategic investments in the Maldives, in order to optimize returns from the sector"

- **The Calm Resort & Spa in Passikudah was opened during the year.**
- **Eden continues to enjoy very high ranking and positive reviews on Trip Advisor.**
- **Browns Tours' market position amongst all IATA agents improved to No. 10 from the position of 22 in the previous year.**

SECTOR HIGHLIGHTS

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"One of the significant steps during the year was the Group's venture overseas with strategic investments in the Maldives, in order to harness the tremendous potential in that market"

Sri Lanka's tourist arrivals increased to over 1.5 Million in 2014 increasing by 7.1% over the previous year whilst arrivals during the first three months up to March 2015 have grown by 13.6% over the comparative period last year. However, the industry revenues grew only marginally as revenues generated from European markets declined due to several factors such as the turmoil in Russia and Ukraine and the depreciation of the Euro vis a vis the U.S. Dollar which reduced spending by this segment. In addition, the industry was also impacted by the rise in cost of liquor and tobacco as they ceased to be VAT exempt. Moreover, lack of destination marketing by Sri Lanka also reduced demand whilst attractive off seasonal offerings by destinations such as Thailand and Vietnam also distracted tourists from Sri Lanka. The Sri Lanka Tourism Authority has set a target of 2 Million tourist arrivals in 2015 and 2.5 Million in 2016.

Sri Lanka's inventory of hotels have seen a steady rise since the post war boom which commenced in 2009. This has however, also resulted in excess capacity in certain areas of the country contributing to an intense price competition in the industry.

Group's Leisure sector performance

As described in last year's review, LOLC Group's Leisure sector was grouped under our subsidiary Browns Hotels & Resorts in 2014. Following the divestment of LOLC Leisure to Browns Investments (BI), the latter is now the controlling shareholder of the Group's Travel and Leisure entities. Reflecting our holistic approach, the Group acquired Ceylon Roots - a destination Management company, augmenting our stature in the sector. Strategic off shore investments were made in the Maldives to take advantage of the higher returns harnessed in that environment.

HOTELS

One of the significant steps during the year was the Group's venture overseas with strategic investments in the Maldives, in order to harness the tremendous potential in this market. The investments of substantial value include a hotel in the capital Male, and resorts on picturesque islands.

The site of the iconic "Nasundara Palace", which overlooks the passenger jetty in Male, will be utilized for a 14 storey mixed development of a hotel, residential apartments, offices, banquet hall and a shopping complex. The hotel and serviced apartments are to be managed by a reputed international hotel brand.

The Group will build a 100 room 4 star resort on BodufaruFinolhu island, in the Raa Atoll, which was acquired on a 50 year lease from the Government of the Republic of Maldives, in November 2014. The resort is to be commissioned in the first quarter of 2017.

During the year, the Group also engaged in successful negotiations with the Government of the Republic of Maldives to acquire 50 year leasehold rights to Bodufinolhu island in the South Ari Atoll. The lease was secured in June 2015 and the Group will begin construction of a resort similar in class and capacity in the year ahead.

The Group's three resort projects in Sri Lanka, described in last year's report, progressed during the year. The 71 room resort In Passikudah acquired in the previous year, underwent a redesign and refurbishment and was opened during the year. It has

been named "The Calm", in keeping with the picturesque seasonal calmness of the bay and pristine beaches it overlooks.

An agreement has been signed with Starwood Hotels and Resorts to assign their 5 Star "Sheraton" brand to the 172 room resort in Kosgoda which will function as "Sheraton Turtle Beach Resort", commencing early 2016.

The construction of the 363 roomed Riverina Project is also underway and scheduled to be opened during the first quarter of 2017.

Key strategies

- Expand to have a regional presence in the leisure sector.
- Enter into management contracts with globally leading hotel chains to benefit from their global reach, international marketing channels and industry expertise.
- Focus on increasing online bookings.
- Increase focus on new markets such as India, China and the Middle-East.

Sri Lanka's unique attribute and its hard to imitate competitive advantage is the diversity it can offer within a small land mass serving the wide array of tourists interests ranging from nature, history and culture. However, the industry also faces several challenges for the long term profitability and sustenance. Key amongst them is price competition due to excess capacity in some locations of the country and the dearth of high spending tourists. Thus attracting the less price sensitive tourist segment is an urgent imperative for the sustainability of the industry.

In addition to the severe price competition which is challenging the Sri Lanka hotel industry, legitimate players like your company also find it difficult to compete with the non-registered informal sector due to their avoidance of taxes and licenses. Thus, creating a more level playing field is essential for the long term sustainability of the industry.

An agreement has been signed with Starwood Hotels and Resorts to assign their 5 Star "Sheraton" brand to the 172 room resort in Kosgoda which will function as "Sheraton Turtle Beach Resort", commencing early 2016.

Accolades

The Eden Resort & Spa

- **Trip Advisor** - Inducted to "Hall of Fame" for securing Certificates of Excellence over 5 consecutive years.
- **CNCI** - Ceylon National Chamber of Industries - Achiever Awards 2014 for Industrial & Service Excellence - Merit, National Level Service Sector (Extra Large Category).
- **Holiday Check** Recommended 2014
- Regional Champion in the Anchor Pastry Challenge won by Eden Resort & Spa.

Paradise Resort & Spa

- **Trip Advisor** - Certificates of Excellence - 2014, 15.
- **CNCI** - Ceylon National Chamber of Industries - Achiever Awards 2014 for Industrial & Service Excellence - Merit, National Level Service Sector - (Small Category)
- **Holiday Check** Recommended - 2014

Dickwella Resort & Spa

- **Trip Advisor** - Certificate of Excellence 2015

The performance of Eden Resort & Spa, located on the southern coastline in Beruwala, was adversely impacted by the decline in arrivals from the Middle East due to the political conflicts in the region. Moreover, Eden is also impacted by the excess capacity in the southern region, which keeps intensifying the pressure on pricing and hence margins.

Eden continues to give high priority to the training and development of its people which was a key factor in one of its pastry chefs becoming the Champion at the Anchor Pastry Challenge in March 2015. It is also heartening that Eden continues to enjoy very high ranking and positive reviews on Trip Advisor.

Paradise Resort & Spa- the Group's 4 star luxury hotel in Dambulla achieved a 20% increase in Gross Operational Profits and increased its occupancy to 47%, from 32% over the previous year. Arrivals from the Chinese market and online bookings contributed to the increase whilst arrivals from European markets contracted due to the financial and political crises in countries such as Russia.

The market for Chinese tourists was also extremely competitive due to the availability of many options and over 1,000 rooms in the Cultural Triangle, which resulted in price wars. The resort converted almost 40 rooms to meet the Chinese requirement of twin beds and this helped in the resort becoming a preferred option.

Having identified the need to increase the share of online reservations, particularly in order to avoid the price wars, the resort took steps to strengthen its online channel, relaunching its web site and online booking portal during the year. The Paradise Resort also signed contracts with Overseas Tour Operators (OTA's) to avoid local price wars, and we expect these measures to show an impact in the year ahead to support the

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Excel World's growth was mainly driven by the growth in the F & B sector and the middle market which the company had identified as having much potential. The Company was thus able to successfully tap into this market spurring a rise in demand for Excel World as a venue for conferences, events, gatherings and meetings.

resort's target of maintaining occupancy levels at 60% in 2015.

The Dickwella Resort & Spa undertook a refurbishment to upgrade its facilities and the newly refurbished resort will reopen at the end of 2015.

Outlook

Our presence along several segments of the leisure value chain finds us well poised to be amongst the top three players in Sri Lanka. Browns Travels which consists of GSA's and inbound and outbound tour operations and the Destination Management Company – Ceylon Roots combined with the Entertainment segment – Excel World enable us to offer a comprehensive service and the necessary infrastructure to inbound tourists, thus enabling the Group derive synergies to create additional value through a holistic approach. Furthermore, the Group's recent acquisition of "Creations & Construction" a company which manufactures furniture for hotels has enabled us integrate further in the value chain. This also reflects the very buoyant outlook we have for the Group's Leisure sector –being in one of the fastest growing sectors in Sri Lanka as well as in the world. The Group will focus on expanding its presence to become a regional player whilst its Sri Lankan properties will benefit from management contracts with leading global hotel chains which will add value through marketing, industry expertise and establishment of international standards.

ENTERTAINMENT

The Group's Leisure & Entertainment sector which consists of the Excel World complex performed well during the year, and in the first three quarters of the year in particular. The performance in the last quarter of the year under review (January-March 2015) was negatively impacted by the political environment and the resulting slowdown in the economy due to uncertainty and a "wait and see" attitude adopted by the market.

Excel World's growth was mainly driven by growth in the F & B sector and the middle market which the company had identified as having much potential. The Company was thus able to successfully tap into this market spurring a rise in demand for Excel World as a venue for conferences, events, gatherings and meetings.

There were also a number of new entrants to the market with state of the art facilities, but Excel World performed well vis a vis the competition. Thus, pricing also continued to be a key factor as the demand stemmed from a cost conscious market segment looking for the same services amongst competing service providers.

Outlook

The year under review saw the Company launch a refurbishment and upgrading of the complex, in order to attract a higher percentage of high spending visitors. The refurbishment aims to attract a wider market by adding new products to its F&B services as well as state of the art products for entertainment.

We are aware of the need to keep abreast of the latest and the most innovative offerings in this rapidly changing market of entertainment where products are rendered obsolete very fast. With the addition of the latest in products, experienced staff and a superior service, Excel World will be perfectly poised for enhanced growth in the year ahead.

TRAVEL

Ceylon Roots

Ceylon Roots performed well and was able to achieve its revenue targets during the year under review. The Company's focus on MICE travel from Europe and the consolidation of all business units under Ceylon Roots were factors which supported a commendable performance during the year. Moreover, being a member of LOLC Group has also further bolstered the confidence of our partners, such as Destination Management Companies (DMC's).

The year under review saw the Company handling one of the largest MICE/Incentives groups to Sri Lanka in March 2015, to Heritance Kandalama, an Adventure camp site in Kandy and Centara Ceysands.

Outlook

Some of the Company's key strategies during the year which began to yield dividends included establishing itself as a DMC in China, and targeting new emerging markets with high volumes such as Russia and India, and increasing the visibility of Ceylon Roots, locally and internationally. The Company will continue to focus on volume based business in line with the Group's investments in the region. We expect arrivals from Europe to be inhibited due to the economic crises in Russia and Ukraine but the demand from markets such as China and India should see significant growth.

World travel trends give further credence to our buoyant outlook. For instance, the number of outbound trips in the world increased by 4.5% over the first eight months of 2014 despite the political and economic crises in key regions. Global outbound travel growth this year was once again driven by Asia (+8%) and South America (+5%) as well as North America (+5%). European outbound travel grew by a solid 3% despite low economic growth.

The Company's deep rooted knowledge of Sri Lanka; the speed of response to proposal requests; a tailormade approach to client requests and an unparalleled customer service led by an enthusiastic, creative and efficient staff, are key strengths which would support the company's future growth.

Browns Tours

Browns Tours performed well and its market position amongst all IATA agents improved to No. 10 during the year, from the position of 22 in the previous year. Browns was also a winner of the Galileo award for the top 10 agents in Sri Lanka.

Browns Tours revenues grew by 90.75% to Rs. 43.8 Million whilst profit grew by 186% to Rs. 7.2 Million

The Company expanded its branch network as well as it's corporate base during the year. The Company's African tours were adversely impacted by the Ebola outbreak whilst sales on Malyasian Airlines also declined over the previous year following the airline's flight related misfortunes during the year.

Outlook

The Company's strong branch network, its heritage of trust and partnerships within a conglomerate of financial giants such as LOLC & Seylan, are key strengths which provide a strong platform for higher profitability and expansion in the market.

The next year will see Browns Tours take steps to further strengthen its branch network and enhance its corporate base and also establish links with overseas outbound tour operators for their air tickets to facilitate new and exclusive destinations for outbound travelers.

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HYDRO ENERGY

The Group's Hydro Energy sector enjoyed its best year to date since the commissioning of its first plant in year 2003. The sector achieved its highest revenues and profits with Profit After Tax growing by a mammoth 1,270% to Rs. 74 Million, supported by favourable rainfall conditions in the second and third quarters. Revenue in this sector grew by a significant 115% to Rs. 187 Million.

LOLC ventured into hydropower by partnering with F L C Hydro Power PLC (formerly known as Hydro Power Free Lanka (Pvt.) Limited) in 2000, to explore the potential and develop hydro power on the Group's plantation sites. The Company commissioned its first plant in 2003 with an installed capacity of 1.6 Mw. The total installed capacity of the Group currently stands at 4.9 Mw.

The Group increased its total installed capacity by 0.9 Mw with the commissioning of the Stellenberg Mini Hydro Plant and by a further 0.8 Mw with the commissioning of the Thebuwana Mini Hydro Plant; bringing the total combined hydro power generation by the Group to 4.9 Mw. The Group's other two plants - Delta and Sanquhar, continue to generate 1.6 Mw each.

Furthermore, the Group also obtained an Energy Permit to develop Halgran Oya II - which would generate a further 0.65 Mw, whilst it actively pursues projects in Ragala and Deniyaya.

Amongst possible challenges faced however, in hydro electricity generation in Sri Lanka are, for one, the uncertainty with regard to tariff rates for the near future, and secondly, the new operational terms that would apply at the completion of the 20 year terms covered by the current Standard Power Purchase Agreements.

"The Group's Hydro Energy sector enjoyed its best year to date since the commissioning of its first plant in year 2003"

- **The sector achieved its highest revenue of Rs. 187 Million.**
- **Profit After Tax grew by a mammoth Rs. 74 Million.**
- **The Group obtained an Energy Permit to develop Halgran Oya II.**

Despite the decline in global oil prices since January 2014, which has facilitated some relief to consumers, fossil fuels will remain expensive for importing nations like Sri Lanka whose energy mix contains a high percentage of oil. Sri Lanka's widening trade deficit; depletion of the world's high yielding oil and gas reservoirs and growing environmental concerns both locally as well as globally; continue to increase the pressure to find alternate energy solutions which are more cost effective than those dependent on fossil fuels.

In keeping with our Triple Bottom Line focus and the value we place on contributing to the nation's developmental objectives, LOLC Group will continue to make new strategic investments to harness the potential for hydro power generation on its estates and also pursue opportunities for other forms of renewable energy.

SECTOR HIGHLIGHTS

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LOLC Group ventured into the construction industry with the acquisition of Sierra Construction Limited in 2010. Sierra Construction, has a core business activity in construction and a highly diversified portfolio of operations. It is one of the largest and most high profile companies in the country's construction sector. Its wide portfolio of activity includes civil engineering and piling, irrigation, telecommunications, roads and bridges, water supply and sewerage. Sierra has also made investments into related areas such as the supply of ready mixed concrete, asphalt mix and the manufacture of power cables and PVC pipes. It has also forward integrated with investments in property development, design and architectural services.

Rapid growth in large scale infrastructure initiated by the government of Sri Lanka, such as road networks and water supply projects during the last few years and private sector investment in sectors such as tourism and education provided an ideal environment for the construction industry. The country's infrastructure development efforts have also received the support of international funding agencies such as the ADB, World Bank and JBIC. The first half of 2015 however has seen a slow down in infrastructure development, as there is focus on reevaluating the projects under the new administration

The Roads, Civil Engineering and Telecom business segments of the Company contributed the highest amounts to revenue during the year. The areas of key new projects and the value of the projects during the year are as follows:

Water	Rs. 10 Bn
Telecom	Rs. 2 Bn
Road	Rs. 1 Bn
Civil	Rs. 1.5 Bn

The Company's civil projects included the construction of a 12 storied building for the Institute of Bankers of Sri Lanka (IBSl).

Road construction projects with a value exceeding Rs. 1 Billion during the year included the implementation of contract for construction of a sidewalk at the 7 island of the Republic of Maldives. Water supply projects that exceed Rs. 1 Billion in value included the supply and Laying of HDPE/DI Pipes for a Distribution Network in Kaduwela, Homagama, Padukka and Seethawaka.

The Company took several strategic initiatives to further expand and sustain growth for the long term in a high potential market. It launched joint venture operations with Toda Corporation to strengthen competitiveness when bidding against foreign contractors in Sri Lanka.

The overseas subsidiaries established in the past few years are providing an ideal platform for exploring new markets and opportunities. The Company will use the Sierra India subsidiary to explore the Indian telecommunication infrastructure market whilst the subsidiary in Qatar will facilitate our exploration of the telecommunication infrastructure market in Qatar.

Moreover, the Company also harnessed the benefits of its presence in the value chain by establishing crusher plants, ready mix concrete supply plants and asphalt plants to reduce costs of input. It also brought in technologically advanced piling machines to the piling sector.

The Sierra brand name in the industry and its guarantee of quality, combined with its presence across the spectrum in construction and related areas, the range of machinery and the engineering expertise of long serving staff are key competitive advantages that position the Company well for sustained growth and leadership in the construction industry.

- **The sector embarked on road development projects in the Maldives to strengthen its competitiveness when bidding against foreign contractors in Sri Lanka.**

SECTOR HIGHLIGHTS

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Manufacturing and Trading

LOLC, through its subsidiary Browns, represents a multitude of world renowned brands in a portfolio of diversified products.

POWER GENERATION

The Browns Battery Division is a leading Strategic Business Unit in the Browns Group of companies, operating in the Sri Lankan market for over eight decades. It markets a range of automotive and industrial batteries under the brand names of Exide, Lucas, Dagenite and Chloride. The Division is the market leader in the automotive segment, supported by a dealer network of over 500 outlets island-wide. It also offers battery installation, inspection and all after-sales services.

Operating environment in the year under review

A change in the taxation policies of the Government during the year under review affected retail businesses and impacting the bottomline of this sector. Following the growth in the hybrid vehicle market over the past few years, the Government increased taxes on hybrid vehicles at the end of the last financial year, which will have an effect in the total market growth for the battery market in the long run. The market also saw significant competition under the year under review, from new entrants.

A leading three-wheeler auto seller in Sri Lanka began adding value to their products as per Government policy, which has resulted in them purchasing Exide batteries. This has led to 30% sales increase in Exide. There is also a trend among customers to purchase trouble-free, high warranty batteries and related services, which Browns is well positioned to provide.

"The Battery Division merged with Klevenberg Private Limited which marketed Lucas batteries, leveraging on synergies and expanding the division's product range"

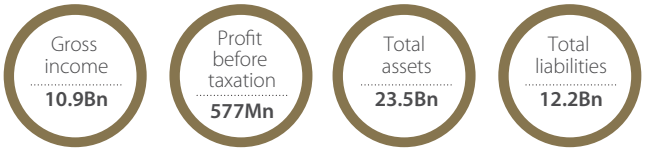
- **Exide was re-launched as 'Fully loaded Exide'.**
- **The General Trading Division posted a revenue of Rs. 560 Million.**
- **Browns Thermal Engineering Ltd. embarked on a process of restructuring its manufacturing and sales operations to improve efficiencies.**

Performance in the year under review

In the year under review, the Battery Division merged with Klevenberg Private Limited which marketed Lucas batteries, leveraging on synergies and expanding the Division's product range. A new Lucas Battery Premium Service Centre which will cater to premium customers, was also opened on Kynsey Road, Colombo 08. The Division also entered into strategic partnerships to supply batteries to Government sector organisations through the State Trading Corporation.

The Division's competitive edge is in its unmatched service offerings in three strategic locations of Colombo, Galle and Kurunegala

SECTOR HIGHLIGHTS



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and its local manufacturing capabilities that allow for low lead times. The Division deployed new battery servicing equipment at its service outlets, also equipping the sales team with the same to provide quick and efficient services for dealers and end customers.

Browns is a household name due to its long history in the country and reputation for high quality and reliability. The BattMobile service, which provides motorists in need of assistance with free services regardless of the battery in use, continued to provide exceptional customer service with its network of over 60 BattMobiles throughout the country.

The Battery Division launched a product line of fully maintenance-free and semi maintenance-free batteries under seven sub-brands - Matrix, Mileage, Champion, PowerMF, UltraMF, 3WB MF and Marine MF.

Recently Exide was re-launched as 'Fully loaded Exide', which refers to a fully equipped battery solution with features that include up to a five year warranty, the only Sri Lanka Standards (SLS) certified battery in Sri Lanka, the island-wide BattMobile service, and the largest dealer network in Sri Lanka, together with the strong reputation of Browns for high quality and reliability. The Division conducted 'Above-the-Line' (ATL) and Below-the-Line (BTL) brand-building activities to communicate these advantages to the customer.

Last year Exide sponsored the Exide Racing Team and brought attention to the brand by winning the 'Individual Championships' in both the Car and Motorcycle categories, as well as the 'Team Championship' in the Motorcycle category. The Battery Division won silver and bronze awards at the SLIM NASCO 2014 in the Territorial Managers Automotive category, gold and silver awards in the Sales Executives Automotive category, as well as gold and silver awards in the Front Liners, Automotive Category.

Currently, the Division's products enjoy market shares of: Exide: 45.1%, Lucas: 9.3%, and Dagenite: 5.2%, which translates into an overall leading market share of 59.6%. The Browns Battery Division (Exide, Dagenite) recorded a turnover of Rs. 2.5 Billion in the financial year under review, which was a growth of 17% over the previous year. Overall the Browns Battery Sector (including Lucas) recorded a turnover of Rs. 3.05 Billion in the financial year under review.

Future Outlook

This Division sees potential for growth in the market for tires and tubes as well as in electric vehicles such as golf carts, resort vehicles and forklifts. These are business avenues which the Division will explore in the year ahead as it tries to diversify its product offering through its existing dealer channels. Strategically, Browns Battery will also offer combined value-added solutions of products and services as it faces intensifying competition.

POWER SYSTEMS

The Power Systems Division of Brown & Company PLC began operations more than two decades ago. It is the main dealer in Sri Lanka for FG Wilson generators from the United Kingdom - a globally renowned brand from one of the world's largest generator manufacturers. FG Wilson has a well-established reputation for its reliability and performance. The Division also provides superior services of installation, repair, maintenance and unmatched 24-hour after-sales support with its highly skilled team.

The vision of the Division is to be the leader in the power sector by modeling unparalleled customer services. The Division also enjoys a competitive advantage with a well-established reputation of trust and reliability due to the organisation's long history in the country.

Operating environment in the year under review

Growth of the construction industry has slowed down to some extent following recent political changes in the country, with selected projects at a standstill until the Government issues a firm directive in line with its vision for the future development of the country.

Brown & Company PLC currently holds second position for FG Wilson in terms of value and quantity of imports. The branded segment is currently dominated by four main players, with the market segmented into three categories based on product capacity of: less than 75kVA, 75kVA to 375kVA and above 375kVA. Brown & Company operates primarily in the second segment of 75kVA to 375kVA, with strengths being its strong brand image and reputation for quality, its round-the-clock support services including a well equipped workshop and mobile support allowing for faster response times. There are currently 2,000 brand new FG Wilson generator users in Sri Lanka.

Performance in the year under review

Over the past few years, the Power Systems Division has moved towards higher capacity requirements demanded by projects in the construction and other sectors. In the smaller capacity segment of the market where there is more competition, margins have narrowed and therefore, Browns has differentiated itself with its high levels of service and value addition. Currently, the Division promises a three-hour response time for any breakdown island-wide, which is unmatched in the market. In collaboration with its parent company LOLC, the Division was able to offer its customers financing facilities - especially those in the price-conscious segments of the market. Leveraging on synergies in the Group in this way has allowed Browns to reach out to a wider range of customers.

The emphasis on improved service levels and strategic diversification of its customer segments contributed to the growth of the Division during the year. The Division recorded a 4% growth in Profit before Tax and a 28% growth in Profit after Tax as compared to the previous financial year.

In line with its brand-building strategies, the Division participated in Techno 2014 – the National Engineering and Technology Exhibition organized annually by the Institution of Engineers Sri Lanka (IESL) - featuring the widest range of engineering and technology products and services. In the year under review, the Power Systems Division represented Browns with the concept of 'Winning Life though Engineering Excellence'. Browns also sponsored the 'Power Sri Lanka' exhibition organised by Conference & Exhibition Management Services (CEMS Global) where FG Wilson and Firman generators were also displayed.

The Power Systems Division representing Brown & Company PLC won two Gold awards, one Silver and one Bronze award at the National Engineering and Technology Awards 2014 organized by the Institution of Engineers Sri Lanka (IESL) recently. The Division won Gold for 'Best Display of Engineering Services and Best Display of Imported Goods', Silver for 'Product with Highest Social Impact' and Bronze for 'Best Demonstration'.

Future Outlook

The Division will continue to actively boost direct sales to customers as well as expand into more project-oriented businesses, such as pursuing linkages with construction companies to supply all power system needs.

Both of these approaches will be supported by its suppliers as well as the Division's highly skilled service team. The Division will also be strengthening its service network to improve service efficiencies. Its goal is to have the shortest response time with the least down-time for customers. Some of the challenges that the Division identified were the non-availability of a fleet of stand-by generators to support the rental operation, and a need to improve on delivery schedules for FG Wilson. Frequent upward price revisions by FG Wilson recently have also resulted in a few models on offer that are out-priced in the market.

The projected growth of Sri Lanka's construction and tourism industries is expected to have a positive impact on the power-systems business, as the demand for related products and services rises.

GENERAL TRADING

The General Trading Division has a history of three decades of operation in Sri Lanka, marketing several world renowned brands - Makita, Maktec, Tailin, Eclipse and Tekiro. This Strategic Business Unit has two sub-divisions. Machinery and Hardware and Water Pumps.

Machinery and Hardware

Browns dominated the branded power tool segment with the brands Makita and Maktec, holding a 35% market share. Makita is the premium brand at the higher priced end of the market, while Maktec caters to more price conscious customers. In addition, Browns holds a 55% market share for cutting and grinding wheels with its Tailin brand of safety wheels. Browns also holds a 45% market share for hacksaw and power saw blades through sales of the brand Eclipse, although this market has been declining. Its presence in the market for hand tool baskets was further strengthened to 2% by sales of the Japanese brand Tekiro and JK Files from India, in its portfolio. The Division's brand of Firman generators caters to the needs of the domestic market, providing a reliable and efficient service.

Water Pumps

This division was established in 2014 to market a wide range of domestic, agricultural and industrial water pumps under the 'BG GOLD' brand.

Operating environment in the year under review

The development of large infrastructure projects contributed positively to the expansion of sales in the year under review. However, with the change in Government, subsequent delays in selected large infrastructure projects have had a negative impact on payments and purchase orders.

The year under review saw a rising demand for low quality Chinese products, driven by a trend of customers adopting a 'use-and-dispose' approach to purchases, rather than opting for durable, branded products that are more expensive. Branded spare parts are also expensive, resulting in issues of affordability, while large customers have struggled to make timely payments due to the credit crunch in the local economy.

Performance in the year under review

The General Trading Division posted a revenue of Rs. 560 million and a Division contribution of Rs. 60 million during the year, a growth of more than five times when compared to the previous year. Sales were driven by the strong reputation Browns has of being a trusted supplier of high

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"The General Trading Division walked away with four awards at the National Engineering and Technology awards 2014 organised by the Institute of Engineers Sri Lanka (IESL)"

quality products, its strong and efficient service network, its long-term relationships with dealers and suppliers and its experienced and motivated sales staff.

The focus of operations for the year was on expanding its customer base through its network of 550 dealers island-wide, while simultaneously exploring product development and increasing the range of products. A separate sub-division was launched in April 2014 that would concentrate exclusively on the sales of water pumps, with experienced sales staff hired to drive sales of this product.

Costs increased in parallel with rising inflation, especially rent and transport, which resulted in high overheads. Suppliers also increased prices as their cost structures changed. The Division closely monitored costs during the year under review, taking proactive steps to mitigate risks to the business: it operated with minimum stock-holding periods, while maintaining healthy stock levels at any given time; the Division also closely monitored outstanding debt collections.

The General Trading Division walked away with four awards at the National Engineering and Technology awards 2014 organised by the Institute of Engineers Sri Lanka (IESL). With the theme of 'Winning Life through Engineering Excellence' the Power team won Gold for the 'Best Display of Engineering Services' and 'Best Display of Imported Goods'; a Silver award for the 'Product with Highest Social impact' and a Bronze award for 'Best Demonstration.'

Future Outlook

In the year ahead, the Division will continue to strengthen sales of its existing product lines, while launching new ones that would position the Division within a range of market niches. The Division will also continue a strategy of expanding its current customer base to include the North and East through its newly restructured Browns Vavuniya Centre. The potential for growth in the construction industry offers new opportunities for new product ranges including new accessories.

Brand promotion efforts will be intensified with a 'town storming' programme scheduled for next year, to cover main towns in key geographic areas, offering free service campaigns for end-users. The Division also plans to strengthen institutional sales through improved service delivery.

MANUFACTURING

Browns Thermal Engineering Ltd

Browns Thermal Engineering Ltd (BTEL) is a wholly owned subsidiary of Brown & Company PLC. It is the only large-scale manufacturer of heat exchangers in Sri Lanka and is the market leader in the auto and industrial radiator segments. BTEL currently manufactures brass and copper radiators under the brand name RADCO at the factory located at the Browns Industrial Park in Makandura, Pannala. BTEL also owns and operates a plastic moulding facility which supplies plastic components to the battery industry in Sri Lanka.

Operating environment in the year under review

The operating environment for the business remained largely the same as previously, although there were price reductions in raw materials of copper and brass. Concurrently, the price of PPE too was reduced slightly, which

helped BTEL reduce its cost of production. Although the government increased the cess on import duties a year before, the continuation of illegal imports diluted its advantage to local manufacturers.

Performance in the year under review

BTEL is currently the market leader in the supply of radiators in the automobile industry as well as the industrial sector, holding market shares of 22% and 60% in these segments respectively. BTEL supplies four customer segments: dealers, industrial customers, government institutions and individual customers.

In the year under review, BTEL embarked on a process of restructuring its manufacturing and sales operations to improve efficiencies. Plans were also initiated to upgrade its manufacturing facility over the next three years. The company also began working with external organisations to enhance the efficiency of operations, minimise raw material usage and develop new products.

BTEL has the ability to supply tailor-made products in copper and brass for its customers in both the auto and industrial segments. Negotiating with both local and foreign suppliers of raw materials, finished goods as well as factory maintenance items, for competitive prices has been a challenge however, due to relatively small order sizes.

BTEL entered into several strategic partnerships, which is sustained during the year under review. It works with all agents for International brand of generators in Sri Lanka as their supplier of replacement radiators over the last few years. RADCO radiators are currently being supplied to Lanka Ashok Leyland and DIMO as warranty replacement radiators for a selected range of Leyland and TATA vehicles, as well. Since 2013, BTEL has been exporting replacement radiators for Caterpillar and MTU generators for APR Energy – a leading emergency electricity provider that operates site around the world. BTEL also works closely with Associated Battery Manufacturers to develop new models of batteries which in turn will expand the company's plastics business.

Identifying a declining trend in market demand for brass and copper auto radiators, BTEL initiated plans to import and distribute plastic and aluminum auto radiators with an overseas supplier under the RADCO brand name. This declining trend in brass and copper radiators is due to a scarcity of raw material as well as environmental considerations. In addition to the heat exchangers, BTEL has begun to import and sell coolants - a complementary product line. The Company successfully completed the test marketing of this product and will supply the market in the next financial year.

BTEL began the process of obtaining a Sri Lanka Standards certification with the initial representation and inspections complete. Once this certificate is obtained in the first quarter of the next financial year, the Company hopes to apply for ISO 9001:2008 certification as well.

Future Outlook

The company is meeting the challenge of a declining market for brass and copper radiators through its plans for expansion into plastic and aluminum radiators. Once BTEL establishes sales for plastic and aluminum radiators, it plans to set up a manufacturing/assembly facility for the same over the next three years, as per the company's strategic plan. This will allow the company to meet the demand in the market for condensers and industrial air conditioning too. BTEL will also be installing two state-of-the-art plastic moulding machines to meet expected market demand. With the installation of new machinery in its factory, BTEL expects to improve its production capacity to 40,000 units of battery cases per month, from current levels of 22,000.

The plantation services industry and energy conservation sector have also been identified as potential growth areas for the business. The company has already begun exploring these areas through the Browns Plantation Services Division. BTEL has already taken steps to expand into export markets, and will continue to intensify this effort through participation in international exhibitions and overseas sales visits. Possible export markets are the Maldives, Bangladesh and countries in Latin America and Africa.

HOME AND OFFICE

The Home and Office Division includes the Integrated Business Solutions (IBS) arm of Browns as well as some consumer and retail functions of the Group.

IBS markets a range of Office Automation and related products and Browns is among the top three companies offering these services in Sri Lanka. Browns has been a leader in this market segment for over four decades, marketing several leading brand names including Sharp, Giesecke and Devrient, Scan Coin, Vivitec, Pitney Bowes, Oce, Olympus and its own brand 'BG'. The Integrated Business Solutions unit also acts as a sales channel to the corporate sector, marketing relevant products across the Browns Group.

Browns also markets a range of home appliances and other consumer durables, both through its retail channels as well as to wholesale customers. The Home and Office Division manages two of the retail outlets of the Browns Group – in Colombo 10 and in Anuradhapura, as they support sales of core products of this Division.

Operating environment in the year under review

Government policies and regulatory reforms to promote investment together with infrastructure development have created a business-friendly climate, encouraging corporate expansion and spending. There has been a general emphasis on adoption of new technology and innovation, all of which have had a favorable impact on the market for corporate business solutions. The market for consumer durables was also robust, as Sri Lankans appeared to enjoy higher disposable incomes and a higher spending capacity. Sales were also supported by the reputation Browns owns as a reliable supplier of high quality products.

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Browns Home & Office Division underwent a significant restructuring process in the year under review, to streamline the services offered and improve cost-efficiencies.

Browns owns a market share of 21% in the Multi-Functional Products category whilst other brands command a considerable portion of the market in them respective product/market segments.

Business performance in the year under review

This Division underwent a significant restructuring process in the year under review, to streamline the services offered and improve cost-efficiencies. The consumer and retail arms of the business were rationalised to focus on the products and market segments with the most potential, capitalising for instance, on the core strength of the Browns Group in marketing to industrial market segments and to the corporate sector. A decision was also made to compete strategically in retail sales, with several loss-making and under-performing outlets closed down, and only those that supported sales of core products of the Division, maintained.

The main focus of the Home and Office Division in the year under review was on developing the Air Conditioning business in the metropolis and outstation areas. The 'Doculine' rental business maintained its position as the market leader in the industry, further enhancing its service levels in the year under review. The solutions offered by Giesecke & Devrient has also allowed Browns to further expand into the corporate and financial markets, with the Central Bank being a significant customer for Browns. The Division continued to develop essential support services such as customer response times and customer care, in addition to the development of infrastructure for service expansion. The Browns showroom at Darley Road, Colombo 10 serves as the main retail centre for all the product categories of Home and Office Solutions.

The emphasis on rationalising operations and on management of current assets and costs, turned around this loss-making Division around to a position of profitability the year under review, the Division recorded a 15% increase in revenue and profits over the previous year.

Future Outlook

This Division will build on the Browns reputation for high quality and reliability, within the corporate customer segment, further expanding its product and service portfolio. A key growth area identified is the air-conditioning segment of business, which will be a focus area for this Division in 2015/2016. The Division will also continue to improve its service infrastructure, allowing it to offer 24-hour services to certain segments of the market. There will also be an increased focus on branding and marketing in the new financial year.

New markets in the North and East will also be explored in the new financial year, together with the deployment of the decentralised sales and service hub in Anuradhapura that will facilitate faster response times for markets served in the region.

ANIMAL HEALTH

The Vet Pharma Division of Brown & Company PLC has a 25 year history, beginning with the marketing of the Vetzyme pet animal vitamin range, and gradually expanding over the years to offer a wide range of veterinary products. Its product range includes vaccines, water soluble vitamins, antibiotics, de-wormers, pet food, poultry feed supplements and poultry feed raw materials, disinfectants and udder infusions, represented by several internationally recognized brands from global suppliers. These brands include: MSD, Zagro, Eukanuba, Stallen Proteina and Timab.

The Division also provides support and value-added services for its customers: these include monthly farmer education programmes on current diseases, advice on poultry farm management, advice and guidance on obtaining quality certifications for chicken and eggs, third-party laboratory facilities on a requirement basis and home-delivery services for pet food.

Operating environment in the year under review

Variations in external macro-economic factors such as inflation at 4%, the value of the dollar at Rs.130-135 for the year and interest rates of 12% on current assets, had an impact on live market prices for chicken as well as on prices of processed chicken and eggs. These price fluctuations together with changes in lifestyle habits, have, in turn had a positive effect on the business. For instance, as Sri Lanka's overall GDP and its per capita income grows, people are spending more: Per capita. Chicken consumption has increased from 5.5kg per annum to 7 kg per annum and Per capita egg consumption from 58 eggs per annum to 70 eggs per annum. Due to concerns over pesticide usage in foreign countries, the consumption of powdered milk has reduced, to be replaced by the consumption of fresh milk. A trend has also been observed of urban populations rearing pet animals and spending more on them.

The veterinary industry has seen significant competition with more than 50 competing suppliers of related products. Many of these competitors offer benefits such as discounts, free-of-good consignment inventory costs among other practices. Browns Vet Pharma's competitive advantage is in its market leadership position maintained through its reputation for unmatched product quality and an extended bundle of customer services.

Performance in the year under review

In the year under review, the Vet Pharma Division consolidated its market leadership position in the poultry business, especially within its range of biological and feed grade products. The Division also adopted a product differentiation strategy, expanding its range of products and services to target different customer segments and focussing on entering new markets such as aqua and dairy.

The restructuring process that was underway in the year under review, also helped improve efficiencies. For instance, cost-saving measures were undertaken in operations, which involved centralising some key operations with other divisions to introduce a centralised warehouse, distribution and finance operation. Management of working capital was another important focus area during the year which contributed to success. A healthy working capital was maintained through good working capital management policies such as keeping 90-day debt inventories at a minimum.

The Division pursued strategic partnerships with key customers, providing total solutions that included extended services and consultancies on farm management and other best practices. The Division also maintains superior relationship management with its suppliers.

Browns maintained its reach through various distribution channels island-wide, and intensive branding and marketing through print media, social media, promotional campaigns and events, training and education programmes and other incentives. For instance, the Vet Pharma division sponsored the Dog Show 2014, organized by the Kennel Association of Sri Lanka. It conducted monthly training and education programmes for poultry farmers and product training for vet surgeons attached to the Provincial Director's officers offered trips to Malaysia for poultry customers who were selected from the annual rewards plan and for selected sales staff, based on their annual performance.

Currently, Browns holds an overall 32% market share in the veterinary products market. This reflects a 35% market share in poultry, 32% market share in products for the small animal sector, and a 5% market share in products for the large animal sector. The Division has achieved a market growth of 22% in feed grain products through its Stallen and Zagro brands. It has also achieved a 12% market share through its fish meal and Di-Calcium Phosphate (DCP) products in the year under review. For the 2013/2014 financial year under review, the Division posted a 23% growth in Turnover to Rs. 504 million, and a Profit after Tax of 51.5 million, which is a 58% increase, year on year.

Future Outlook

The market for veterinary related products is growing at 10% year on year, and this is expected to increase to 12% in the following year, providing scope for expansion of this division. The Division sees growth opportunities in the dairy and pet animal sector as well as opportunities to introduce new brands and products to fill existing gaps. Business expansion in the North and East is also expected to generate more revenue for the Division. Further, an increased trend of feed milling is expected to expand the feed raw material business.

In line with these opportunities, the Division will expand its product portfolio in the pet animal and dairy sectors in the next financial year to include: Innovax ILT and Innovax ND hatchery vaccines, feed raw materials like DL methionine, L Lysine poultry enzymes, poultry and dairy feed, cattle premixes and nutritional items for the cattle segment of business, as well as focused nutritional supplements for the pet animal segment. Other services that the Division hopes to expand into are in-house lab services conducting, customer audits to uplift their quality, training for quality certification and improving distribution island-wide.

Some challenges that the Division expects to face however, are cheaper Chinese products of high quality which have been introduced into the local market and imported egg powder that will negatively affect the poultry industry. The sector is also facing high prices versus cost of production due to price fluctuations in the poultry (both the boiler and layer) market.

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PRASAC MICRO FINANCE INSTITUTION LTD

PRASAC is the largest micro finance institution in Cambodia, providing access to financial services for rural communities and micro enterprises in Cambodia. It was LOLC Group's maiden foray into overseas investment with a 22.25% stake in PRASAC.

The year under review saw PRASAC reach new heights and establish new records as follows: .

- Achieved a 78% growth in Profit After Tax to reach US$ 30 Million.
- Total savings and deposits increased by 120% amounting to US$ 305 Million with 360,349 depositors.
- Achieved a 55% increase in total assets, reaching US$ 702 Million at year end.
- Achieved a 53% growth in total loan portfolio, to US$ 581 Million.
- Sustained the leading position in loan portfolio and loan quality with the lowest NPL ratio.
- Return on Equity (RoE) of 45% and Return on Assets (RoA) of 5.2%.

Sustained economic growth and financial sector stability were a key environmental factors which enabled PRASAC to achieve these excellent results.

Customer focus continued to be a priority and in order to improve accessibility for our customers, the Company opened 22 ATMs during the year, bringing the total number of ATMs to 82, together with 176 fully fledged branches.

"PRASAC is a customer-focused company driving excellence in all its customer interactions. In order to enhance the company's accessibility, PRASAC opened 22 ATMs during the year, bringing the total number of ATMs to 82, together with 176 fully fledged branches"

- **The year under review saw PRASAC achieve greater success.**
- **LOLC Myanmar Micro-Finance Company commenced green field lending operations.**

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PRASAC continues to be the leading micro finance institution in Cambodia with the largest branch network, strongest profitability and the highest value in its loan portfolio quality and size. Strong management and a committed staff, superior customer service, state-of-the-art IT infrastructure, robust internal controls and strong support from international shareholders have been cornerstones of its success.

PRASAC's objectives go beyond simply generating profit. Its ultimate goal is to enhance its clients' living standards and contribute to the country's economic development, especially by spreading prosperity to rural areas.

As PRASAC moves into another year, buoyant on the prospects for growth and sustainable profitability, its strategic priorities will include the diversification of products and services, continuous enhancement of customer service, standardization of branding and branch image, strengthening of branch and regional management and greater evaluation of social and environmental impacts.

LOLC MYANMAR MICRO-FINANCE COMPANY LTD (LMML)

Energised by the success of its first overseas investment in Cambodia, the LOLC Group continues to explore opportunities to expand its presence overseas.

In 2013 the Group received a license to establish and operate a deposit-taking institution in Myanmar. This achievement was significant not only for the Group but for Sri Lanka as well, as it is only the fourth license to be issued to a foreign entity by the Myanmar Microfinance Supervisory Enterprise since the establishment of the microfinance act in Myanmar in Nov 2011. Foreign banks are only permitted to operate Trade Representative Offices in Myanmar, with access to foreign institutions in the financial services sector being restricted to micro finance. Receiving this license is thus a remarkable achievement as well as an endorsement of LOLC's success in the micro finance sector.

Accordingly green field lending operations in Myanmar commenced through LOLC Myanmar Micro-Finance Company Ltd (LMML), a fully owned subsidiary of LOLC Group as one of the first Sri Lankan financial institutions to enter Myanmar.

LMML commenced lending operations by opening its head office in the township of Yangon, with a management team comprising expatriates possessing micro-finance experience. During the year 2014/15 LMML expanded its outreach by opening 5 more branches.

"Our client base now includes 10,741 active borrowers with a gross loan portfolio of US $1,814,412. The asset base has increased to US $ 2,671,974 along with a mobilized savings portfolio of US $ 338,808, all as a result of the untiring efforts of our staff members."

After just year of operations, LMML's progress in this uncharted territory is remarkable; our client base now includes 10,741 active borrowers with a gross loan portfolio of US $1,814,412. The asset base has increased to US $ 2,671,974 along with a mobilized Savings portfolio of US $ 338,808. The untiring efforts of our staff members have been the key to this achievement.

Myanmar has a limited number of financial institutions and a population of 58 Million, a majority of who have no access to formal financial services, whilst its micro finance sector remains largely untapped. It is thus a destination with immense potential for business.

Furthermore, its micro-finance market has many parallels with Sri Lanka and the two countries share many cultural ties which help strengthen and create partnerships. Moreover, there is also a positive reception to South-South partnerships which emerge from within the region, supporting strong and sustainable partnerships between countries in the South and South East Asian regions.

This is why, supported by our expertise and experience in the micro finance sector in Sri Lanka as well as Cambodia, the LOLC Group looks ahead with much confidence to capitalise on the many opportunities we have identified in Myanmar and the Asia-Pacific region.

THANEAKEA PHUM (CAMBODIA) LTD (TPC)

LOLC acquired 60% of share in Thaneakea Phum (Cambodia), Ltd. ("TPC") in September 2014. TPC is a rapidly growing, regulated microfinance institution with a focus on serving entrepreneurs and families at the base of the socio-economic pyramid with the economic opportunities to transform the quality of their lives.

TPC is currently the 5th largest MFI in Cambodia with 185,867 clients long with a Gross Loan Portfolio of US $129 Million and 60 branches spread across the country. During the year 2014/15 TPC earned a net profit of US $2.4 Million backed by an asset base of US $149 Million.

With a proud history of 19 years, TPC has become a trusted provider of financial services for Cambodians as a result of its commitment to responsibly serving clients, focus on customer service innovative products and fair and transparent pricing. TPC is the first MFI in Cambodia to be awarded the prestigious "Client Protection Certification" by the Smart Campaign for meeting strong standards of client care in June 2015. Further in January 2015 TPC was awarded the S.T.A.R certification by MIX Market, a worldwide platform which aims to strengthening the social responsibility of the microfinance sector. Likewise, TPC received the new standard Progress out of Poverty Index certification (PPI) Certification by MicroFinanza Rating (a licensed Grameen Foundation rating agency), another first in the Cambodian Micro Finance Sector.

Going forward, TPC will continue its expansion in rural areas and develop new, innovative financial products and services for its clients. With an experienced management team, strong governance, and social commitment, TPC is well-positioned to further broaden its outreach and impact across Cambodia.

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Other Strategic Investments

The Group continued to strategically invest in diversified sectors with potential growth.

LOLC GROUP IT

LOLC Technologies creates value by providing ICT services to all Group Companies under the ICT shared services platform of the Group. The year under review saw the completion of many projects and the initiation of new ones which will be completed in the year ahead.

Significant investment was made in ICT infrastructure to enhance flexibility in businesses whilst also reducing overall operational costs. The Group's networking infrastructure was upgraded to reduce complexities and facilitate ease of management as necessitated by the Group's constant expansion and growth. Moreover, the virtual environment was upgraded and the Group also made investments into Oracle Exadata machine to consolidate an applications in the Financial Sector for enhanced performance and security.

LOLC Technologies continued to place emphasis on ensuring governance, risk, compliance and security. Accordingly, the information security standard was upgraded to the latest ISO/IEC 270001:2013 and re-certified for the Service Delivery standard ISO/IEC 20000, and Service Quality standard ISO/IEC 9001:2008 during the year.

During the year under review, LOLC Technologies upgraded and launched new application systems and platforms for several of the Group's business sectors. The first stage of a fully integrated e-commerce and mobile banking platform was launched for the Group's Banking and Financial Services sector, offering the customers a comprehensive digital experience to transact via the internet and through basic mobile or the smart phone.

"LOLC Technologies upgraded and launched new application systems and platforms for several of the Group's business sectors"

- **Significant investment was made in ICT infrastructure to enhance flexibility in businesses.**
- **The Group inaugurated the Browns Hospital as a fully-fledged, multi-speciality general hospital equipped with the latest technology.**
- **Seylan Bank achieved its highest profits in its 26 year history and was able to reduce its NPA ratio to single digits.**

In addition, a fully integrated Hospital Management System (HMS) was launched with the opening of the Browns Hospital in Ragama, integrating all departments and services of the hospital.

We also launched a Group wide state of the art new Treasury Management System which is scheduled to go live in June 2015.

LOLC Technologies also commenced a back office automation project with the introduction of an Airline Ticketing System and Inbound Travel Management System for Browns Travels and Ceylon Roots in the Travel and Tourism Sector. Implementation is expected during the first quarter of 2015/16.

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"During the year under review, the Group inaugurated the Browns Hospital as a fully fledged, 70-bed, multi-speciality general hospital equipped with the latest technology in medical diagnostics and surgery"

Expansion of LOLC Group's business sectors and ever increasing demands for digital commerce spur us to strive towards the seamless integration of the diverse businesses of the Group in order to better harness the synergies of being part of a conglomerate. The investments made by LOLC Technologies into middleware technologies and service oriented architecture, (SOA) in its applications will enable enterprise architecture, will increase the agility and simplicity of its applications, thus enabling the Group's many businesses to respond with greater speed and efficacy to rapidly changing landscapes and business demands, driving sustainable growth.

BROWNS INVESTMENTS

Browns Investments PLC (BI), a subsidiary of Brown & Company PLC is LOLC Group's investment arm under which all Non-Financial sectors of the Group are clustered. The Group's bold decision making and agile operational model have facilitated its rapid growth into new sectors during the past few years. BI plays an active management role in selected investments, and maintains a passive interest in others. BI will continue to be the Group's arm for future investments into diverse sectors which are expected to lead the growth of the national economy as an individual investor or in partnership with others. BI's current investment portfolio is presented below.

Agri & Plantations

BI invested in Plantations through F L C Holdings PLC (FLCH), which was the holding company of Pussellawa and Maturata Plantations During the year under review, BI increased its share in FLCH to become the sole owner of the holding company. In addition to the plantations, a building (which was under construction) hitherto owned by F L C Holdings PLC's subsidiary company, F L C Properties (Pvt) Ltd. also came under the ownership of BI and was completed during the year with tenants moving in.

Pussellawa and Maturata plantations together manage 34 tea estates spread across 18,534 acres, producing 12.25 million kilos of tea annually, as well as 17 rubber estates totaling 13,868 acres producing 3.55 million kilos, of which 8 estates are tea cum rubber estates. In addition, the plantations also manage 519 acres of coconut and other crops, including 5,188 acres of timber. The Group also owns the largest cinnamon plantation in the country. Pussellawa Plantations also manages a green tea factory. BI's interest in Agri Business is through an 80% stake in AgStar Fertilizer PLC that is held jointly with LOLC PLC and the Sierra Group. AgStar is a supplier of straight and blended fertiliser, crop-care products and seeds to the agriculture sector and complements the agriculture and plantation businesses of Brown and Company PLC.

The performance of these three Plantations Companies is discussed at length on Pages 52 to 59 of this report.

Leisure & Entertainment

Browns Investments manages several four and five star properties at key tourist locations around the island. The performance of these properties is discussed at length on Pages 60 to 65.

BI's investment into Leisure is complemented by its investments in travel and entertainment. BG Air Services (Pvt) Limited is the outbound ticketing arm of the Browns Group whilst Excel World is its entertainment complex located in the heart of Colombo. (Refer page 64 for more details) BI also further strengthened its tour operator business with the acquisition of inbound tour operator 'Ceylon Roots'. Browns Tours was merged with Ceylon Roots to create a formidable and competitive presence in the inbound tour industry.

Construction

BI, together with its parent Company LOLC PLC. owns a significant shareholding in the Construction giant Sierra Group - a dominant player in the engineering and construction industry in Sri Lanka. It has also partnered Browns on several of the Group's projects such as in the Leisure and Healthcare sectors.

BI has also made investments to facilitate further integration in the Construction value chain via its investments into Ajax Engineering (Pvt) Ltd. Ajax, now a subsidiary of BI, is the market leader in manufacturing glass and aluminium doors and windows. The Company performed quite well in the year under review, embarking on several new projects in partnership with the Browns Group, and its performance during the year is an indication of the potential for growth in the years ahead.

Other Investments

BI's "Other Investments" include a further investment portfolio of Rs 1.5 billion in value which comprises trading and passive investments in financial services and diversified holdings in the agriculture and plantations sectors. In addition, it also has a land portfolio valued at over Rs. 1,181 Million.

Future outlook

Through BI, the Group will continue to invest in sunshine industries which have potential for future value creation for all stakeholders and to contribute to LOLC Group's profitability. Some of them in fact may be enterprises which lack attractive cash flows at present, but possess potential to create value in the medium to long term. A number of the Group's recent investments have facilitated backward and forward integration in several sectors. New investments in the Non-Financial sectors will continue to be managed by BI. However, LOLC Group's shared services model - of a centralised and single source for Information Technology, HR, Finance, Legal and Administration for all Group entities will continue to ensure synergies, efficiencies, consistency across the board and that LOLC is a unified conglomerate that functions in a spirit of "Ekamuthu", with all its stakeholders and across its diverse sectors.

HEALTHCARE

Identifying significant potential in this sector, the Group ventured into the Healthcare sector through its subsidiary Brown & Company PLC in 2013. As mentioned in our last year's review of this sector, the Group provided limited operations of OPD and Laboratory services at its Browns Hospital in Ragama in 2013, whilst expansion and refurbishment work was being carried out.

During the year under review, the Group inaugurated the Browns Hospital as a fully fledged, 70-bed, multi-speciality general hospital equipped with the latest technology in medical diagnostics and surgery. It also operates a fully equipped medical laboratory service. Whilst the emphasis of the Hospital would be on maternity care, general surgery and high-end radiology services, the Hospital is also being developed as a centre of excellence for emergency medical care.

To ensure the highest standards of service, the Hospital's junior nurses are trained at the International Institute of Health Sciences in Welisara, which is a private nursing school affiliated to leading Australian, Malaysian and British universities. In addition, Browns entered into an agreement with the KIMS Hospital Group in India during the year, to train nurses in advanced cardiac life support, through a programme accredited by the American Heart Association.

Outlook

The healthcare sector was established with the aim of setting up a chain of secondary care general hospitals and diagnostic centres to deliver comprehensive healthcare services for patients outside the hub of Colombo. Our entry into the healthcare sector builds on Brown and Company's long established reputation for quality and reliability, is with the objective of ensuring that patients receive state-of-the-art, personalised integrated clinical care. The Company is currently exploring opportunities to set up the second in its chain of hospitals out of Colombo, and the Group envisages operating a total of three hospitals by 2018. We will focus on ensuring that Browns is at the cutting edge of technology in medical care and surgery.

The Group will also set up a network of medical laboratories in different parts of the country, expanding outwards from the advanced medical laboratory at the Browns Hospital in Ragama.

Recognising the vital importance of adherence to the highest standards of quality, across the board in the field of healthcare, the Company will continue to adopt international standards and accreditations. During the year under review, the Company initiated procedures to obtain international hospital accreditation through the Australian Council on Healthcare Standards (ACHSI). The formal process of accreditation would begin in the year ahead.

Browns Hospital will also look to build on the many synergies of being a member of the LOLC Group. For example it will explore opportunities to provide medical insurance schemes, and/or easy payment schemes for patients whilst also seeking opportunities in medical tourism by harnessing the Group's significant presence in the leisure sector.

Together, we grow

Management Discussion & Analysis - Business Review

Seylan Bank achieved its highest profits in its 26 year history and was able to reduce its NPA ratio to single digits. Profits surpassed the previous highest recorded last year to reach Rs. 3.079 Billlion.

Government policies have generally been encouraging of the private healthcare sector, and there is considerable untapped potential in Sri Lanka. The private sector is estimated to have 5000 hospital beds vis a vis 65,000 hospital beds in the state healthcare system. Moreover, nearly 60% of outpatients are seen by the private sector, whilst 80% of in-patients are treated at state-run hospitals and service providers. These numbers reflect a significant untapped growth potential for affordable healthcare. Thus, Browns Hospitals, with its proposition to provide services at 10-20% less cost to patients than its nearest competitors, combined with the trusted Browns brand name, is well positioned for growth and expansion to become a leading healthcare provider in the country.

SEYLAN BANK

2014 was a momentous year for Seylan Bank and one that saw it achieve some important milestones. The Bank achieved its highest profits in its 26 year history and was able to reduce its NPA ratio to single digits. Profits surpassed the previous highest recorded last year to reach Rs. 3.079 Billion. Despite narrowing margins, the net interest incomes increased by 14.87% to Rs. 11.64 Million. The Capital Adequacy ratio at 14.73% was well above the regulatory requirements. The Bank also succeeded in growing its deposit base by 11.08% to Rs. 165.9 Million during the year. This growth was primarily driven by the mobilisation of current and savings deposits, which increased the Bank's low cost deposit base from 33% to about 39% of total deposits.

Despite the decline in gold prices and its impact on the pawning base, the Bank was able to improve its asset quality with a significant reduction in its NPA ratio, from 10.59% in December 2013 to 7.69% as at end December 2014. This achievement was supported by the Bank's aggressive recovery and restructure efforts launched over the past 6 years.

This impressive performance has enabled the Bank to offer higher dividends to its shareholders with Earnings per Share increasing from Rs. 6.74 to Rs. 8.92 during 2014.

The Bank expanded its branch network by opening 6 new branches in Colombo and outstation. Additionally, 31 Convenience Banking Centres were converted to fully fledged branches. The branch refurbishment programme was also underway in 2014, with over 75% of the branches being refurbished by the end of 2014.

One of the key priorities for the year ahead will be to reduce the Bank's NPA's by resolving outstanding loans inherited from previous ownership. The Bank will also focus on expanding its corporate portfolio. In addition, the rising per capita income in the country is expected to support the Bank's plans to further diversify its retail loan portfolio. Although there is still much untapped potential in the domestic market, Seylan Bank will also explore avenues for opportunities overseas.

The results in 2014 reflect the continuing success of the Bank's strategic focus and its ability to differentiate itself from its competitors. It is also a reaffirmation of the fact that the Bank has managed to leave behind issues it inherited when it was acquired in 2006. 2015, albeit not without challenges would also offer many opportunities and the Bank will look to build on its robust performance to reach new heights in the future.

"LOLC offers a very friendly service, the whole staff from the manager down to the others are very cooperative and friendly. Their flexibility is another key plus point to me as they are very good at understanding the customer's requirements and try to match those requirements. I recently proposed a unique idea for an Islamic financing solution and they have taken it very positively and are trying to work out a solution for me."

Mohamed Nabhan Akeel - Chairman / Director
Kiddies and Toys International (Pvt) Ltd.

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LOLC Group's rapid rise to become one of Sri Lanka's top conglomerates in just a span of 35 years is a result of the commitment, dynamism and the talents of its people. And in the highly competitive market in the service industry, we believe that our people have been the key differentiator.

OUR PEOPLE

The LOLC Group's rapid growth to become one of Sri Lanka's top conglomerates in just a decade is a result of the commitment, dynamism and talents of its people. In the highly competitive markets of the service industry, we believe that our people have been the key differentiator.

It is thus most heartening that our HR practices received independent endorsements continuously. The accolades during the year include:

- Gold award for Social Dialogue & Workplace Cooperation in the Service sector large sale category organised by the Labour Department of Sri Lanka on 9th December 2014.
- Silver Award at the HRM awards organised by the Human Resource Professionals Sri Lanka, awarded on the 6th March 2015.
- Silver Award at the People's' Development Awards 2014, from the Sri Lanka Institute of Training & Development (SLITAD) won by Commercial Leasing & Finance PLC.

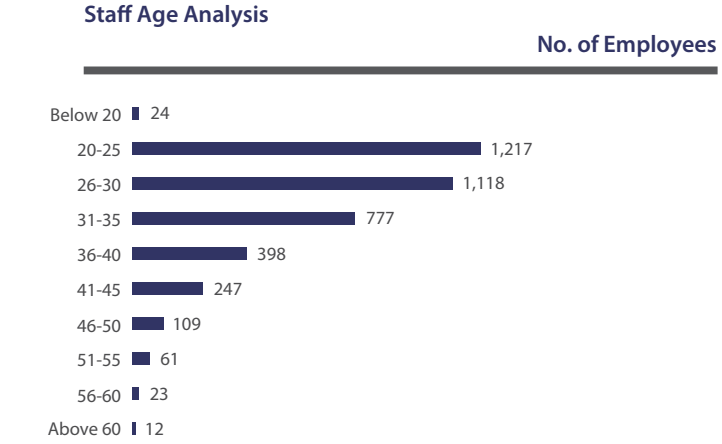
Fostering "Bright Ideas" for brighter prospects

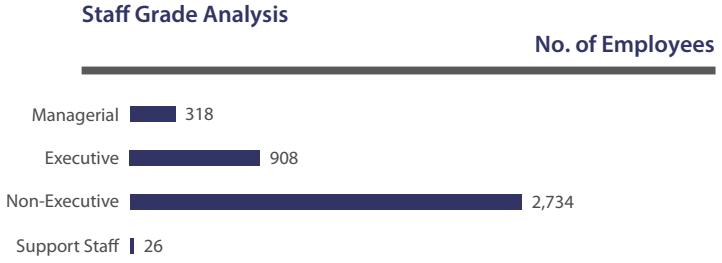
In keeping with the culture of innovation that the Group values, during the year under review LOLC's HR team launched "Bright Ideas" - a programme to encourage idea generation by employees to benefit the Company, Customer and the Employees.

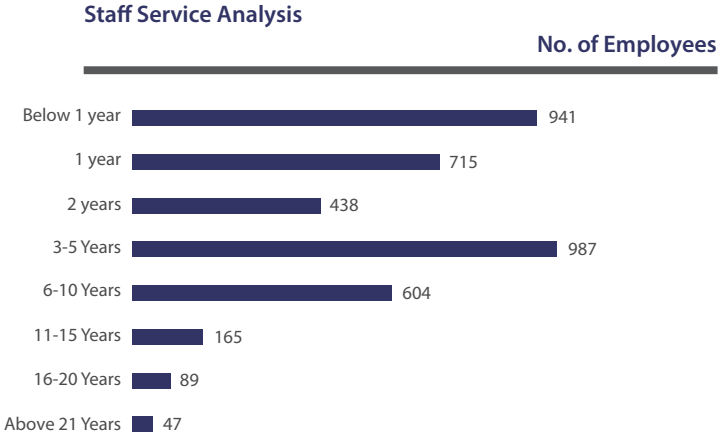
The "Bright Ideas" programme offers employees an opportunity to make suggestions under one or more of four categories, namely, Development of the Organisation; Cost Saving Initiatives; Innovations Beneficial to Company, Customer & Employee and Innovations to Existing Processes & Policies. The ideas submitted are evaluated and selected by a Committee in a two stage process with rewards points awarded at each stage to the employees who submit the selected entries. Winners are then selected according to the total points earned by the employees who submitted the chosen entries and are rewarded appropriately.

The first phase of the programme launched during the year was a tremendous success which yielded many an idea that enabled process improvements, new cost management measures and the development of new products whilst rewarding the employees who shared the winning ideas /suggestions. The Group also launched the second phase during the second half of the year and will continue with this initiative to harness the potential of the individual and the Company with this initiative.

LOLC has an unique culture across the Group which encourages minimum hierarchy; valuing professionalism over rank or stifling practices. An Open Door policy enables any employee to approach another employee including the Directors. The culture also ensures greater transparency in our processes and procedures. The Group's recently acquired entities are also successfully embracing this culture. Service, integrity and loyalty are hallmarks of the culture which we have fostered over the years and are key to the competitive edge we have gained. The results of our employee satisfaction surveys







Training programme for appointed Buddies

"During the year, we invested more than Rs. 46 Million in 75,847 man-hours on training our people, conducting a total of 555 programmes. The Company also continued with its management development programme during the year to groom leaders for the future"

and staff retention ratios of over 90% by most of our subsidiaries, reflect the sense of loyalty and commitment that the Group is honoured to have.

As mentioned in last year's review, 2013 saw LOLC adopt a new recruitment strategy and a "HR buddy" programme which appoints a mentor to each new recruit, facilitating an easier "blending in" for new comers to the culture at LOLC. This practice continued in 2014 and is considered a key factor in the high retention ratios that the Group has achieved, in the spirit of 'Ekamuthu" which we value.

Training & Development and a culture of continuous learning

Employees being our most valuable asset, one of the critical strategic imperatives of the Group is to enhance the value of that asset. Training and Development, promoting education and a culture of continuous learning, hence, remained focus areas of

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The employee association of the Group- SPIRIT, plays an invaluable role in facilitating camaraderie and the right spirit for a cohesive team through numerous employee activities. Some of the informal interactions during the year included the Annual Dinner Dance, Kiddies party, Health Camp and blood donation campaign, LOLC Care / Department & Branch wise CSR events, Mercantile Sport Tournaments, Group Annual Olympics and more...

our HR initiatives during the year as well. Employees are frequently nominated for training in critical areas such as compliance and the new accounting standards to ensure that their knowledge is up to date. During the year, we invested more than Rs. 46 Million in 75,847 man-hours on training our people, conducting a total of 555 programmes. The Company also continued with its Management Development Programme during the year, to groom leaders for the future.

The Group's HR function is a centralised "shared service" for the entire Group. The success of this model has been a key strength which enables consistency in adherence to service standards and HR best practices and learning, in addition to the sense of togetherness that it creates across the many companies and locations of the Group's diverse portfolio.

LOLC's Performance Management system has been developed to incorporate an enlightened approach to goal based performance appraisals across executive and management grades in the Company. Employees are appraised on KPIs agreed on at the beginning of the year and Bi-annual Performance Appraisals are carried out on all staff. The appraisal requires less paperwork and is a confidential process between the employee and the Supervising Officer. Any shortcomings in performance are identified and analysed, with training needs identified to address those shortcomings.

Our interaction and engagement with people across the spectrum is characterized by respect, accommodation and fairness. Respect for rights influences our behaviour from recruitment policies, working conditions and work culture where our employees are concerned to the manner in which we engage and interact with stakeholders.

For example, as one of the initiatives to ensure worker dignity on our plantations 'workers" are now identified as 'Associates". Those who work on plantations were referred to as 'Coolies' during the colonial era, later as "labourers" and subsequently as 'Workers'. Our plantations subsidiaries Pussellawa Plantations and Maturata Plantations made a conscious decision across the company, that all its employees including plantation

Ifthar celebration at the Head Office

employees, regardless of rank or designation would in future be termed as 'Associates' -a term that is reflective of the equality and dignity that we strive to achieve. The term 'Associates' thus reflects the fact that we consider a plantation employee a partner in our aspirations and success, and one who is empowered to take ownership of a larger objective and vision, and a colleague like everyone else.

There are a number of other policies and measures in place which are continuously reviewed and fine-tuned to ensure worker rights and dignity and adherence to the UNGC principles on labour.

All HR policies of the Group are well documented and made available in the portal for any employee to access. New recruits are briefed on all the key policies at time of induction followed by compulsory training. The Group also has a Grievance Policy which clearly defines and explains the procedures to be followed when faced with harassment, "Harassment" includes all forms of harassment including verbal harassment. In addition, Exit Interviews, branch visits by the HR team and Employee Climate surveys are important tools used by our HR team to understand the working environment, employee issues and to minimise employee grievances. Employee voice is actively encouraged, heard and recognised across the Group.

HR policies are also periodically reviewed to identify any possible policy gaps and new areas for inclusion.

On the Group's Maturata, Pussellawa, Galoya plantations, continuing improvements to worker housing and sanitation facilities, community medical care access and educational opportunities for the children of estate families within a broader programme of community development, stretches beyond mere rights, aiming to uplift living conditions and the quality of life of the resident population.

"Fried Rice Dansala" organized by LOLC Securities

As a responsible employer, we find the concept of child labour abhorrent and there is no recruitment for employment of the under-aged within the Group.

Employee interaction within the Group is encouraged via formal and informal channels. The employee association of the Group-SPIRIT, plays an invaluable role in facilitating camaraderie and the right spirit for a cohesive team through numerous employee activities. Some of the informal interactions during the year included the Annual Dinner Dance, Kiddies party, Health Camp and Blood donation campaign, LOLC Care / Department & Branch wise CSR events, Mercantile Sport Tournaments, Group Annual Olympics, Annual Soft-ball Cricket Tournament, Carols Competition, Annual Long Service Awards ceremony, Avurudu Ullella, Iftar celebration event and religious events such as Pirith Ceremonies.

In addition, staff members are given opportunities to demonstrate and hone their special talents and sharpen their competencies further such as by Compering, Training other staff, HR Analysis team, by playing musical instruments for company events and so on.

ENGAGING SOCIETY

The Group's portfolio today, broadly categorized as Financial Services and Non-Financial, encompasses the entire gamut of financial services, whilst the Non-Financial ranges from Leisure, Plantations, Agri

LOLC Avurudu Ullela – Organized by the HR department

Inputs, Renewable Energy, Construction, Manufacturing and Trading to Information Technology. Diversity means that we have a diverse network of stakeholders in a multitude of locations. They range from farmers and budding entrepreneurs in the rural hinterlands across the country, to the urban and semi urban consumer and travellers from overseas to international funding agencies and investors who continue to partner us.

Sustainable Development, albeit a buzz word today, is also an essential value that enlightens us, demonstrating that a business cannot sustain its success in isolation, and that its long term profitability ultimately depends on how favourably it impacts communities and the environment which it is part of. Thus the need for an enterprise to expand its focus beyond profits to encompass the other two bottom lines that it invariably impacts - people and the planet.

LOLC Group's core area of business has been the financial empowerment of rural farmers, women and small entrepreneurs, offering them opportunities to turn their dreams and aspirations to reality. The Group's involvement extends beyond financial support to help value chain creation by providing strong market linkages for these entrepreneurs. Social value generation is thus integral to our business model. It has meant that we

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appreciate the importance of a win-win sustainable approach in business fostering empathy and understanding of the needs of the larger community which spur us to create value with a triple bottom line focus. The contribution we make towards the country's developmental goals is thus one which we value, as intrinsic to the Triple Bottom Line approach to enterprise that we have adopted.

LOLC Care

"LOLC Care" launched in 2009, is the Group's initiative which translates its vision for sustainability spearheading and overlooking the Group's strategic social and environmental responsibility initiatives. A spirit of caring is fostered throughout the organisation and translated into action via the implementation of projects which are initiated at corporate and individual company level by the many entities that make up the Group.

From its inception, "LOLC Care" identified the following broad areas as priority to make an impact on society:

1. The support of child welfare by caring for orphaned children by setting up orphanages.
2. Uplifting the living standards of society by providing the basic amenities needed for living.

3. Helping the sick with the appropriate medical assistance, to relieve them of their suffering
4. Identifying and providing sustainable assistance and business guidance to those with entrepreneurial skills, including the very low income group in our society, who would otherwise have no such access, through our small, medium and micro finance business.

Child Empowerment & Welfare

In 2013 LOLC completed its first child development and empowerment project, with the construction of a two storied building comprising all amenities, for a children's home for orphaned boys. Located in Madiwela Nugegoda, the home can house 50 children up to the age of 18 who will thereafter be provided vocational training and empowered to secure employment or start a livelihood of their own. Six staff members are attached to the home to take care of the children.

Children are given the opportunity to enhance their capabilities in the areas of music and dancing, PT and English. Last year one child sat for the year 5 scholarship exam, passed and was enrolled at a better school. This year, three children are eligible to sit for the scholarship and are presently given extra tuition classes. Children from grade 3 onwards train for year five scholarship exams by attending extra tuition classes twice a week.

Each child receives the educational paper "Sathara" according to the grade in each year, sponsored by staff members.

Supporting Education

Fostering Leaders for Tomorrow with "Sisu Upahara"

LOMC, the microfinance company of the Group, launched the "Isuru Diriya Sisu Upahara" Scholarship Awards in 2010 and organised it during the year under review as well for the fifth consecutive year. With an investment of Rs. 6.3 Mn. it is probably the single largest CSR project by a NBFI in Sri Lanka.

This program is recognised as a long term holistic initiative to bring prosperity to people's lives and to ensure that their right to socioeconomic development is fulfilled. LOMC's unique triple bottom line business model cohesively integrates business with social development enabling the economic empowerment of women and alleviating poverty among low income families. In addition, the Company has been successful in encouraging sustainable agro farming, promoting the continuity of education among children from low income families, ensuring long-term community development and providing employment opportunities to youth, among others.

The program has a three pronged approach to encourage and develop the primary education of children from grass root communities. Firstly, LOMC facilitates skills development and exam preparation via educational programs and seminars for children identified from need-based communities, including those who are not necessarily children of the Group's clients. Secondly, the Company provides scholarships and rewards to high performing children of its micro and SME clients. Thirdly, the children together with their parents are brought to Colombo each year from all corners of Sri Lanka to be felicitated at a colourful awards ceremony graced by high level Executives of the Group as well as illustrious personalities from the Government sector.

This year, a total of 774 students were felicitated through this program, of which 212 students were provided with scholarships and gifts at the official ceremony. 562 students living in distant rural areas received their gifts personally from LOMC officials.

During the four years of the 'Isuru Diriya Sisu Upahara' Scholarship programme, more than 1,800 children of clients who achieved exceptional results at the Grade 5 scholarship examination have been felicitated and rewarded by LOMC.

"During four years of the 'Isuru Diriya Sisu Upahara' Scholarship programme, more than 1,800 children of clients who achieved exceptional results at the Grade 5 scholarship examination have been felicitated and rewarded by LOMC"

In addition, our subsidiary, AgStar contributed to uplift the infrastructure of several rural schools. It sponsored the construction of a new tube well to fulfil a dire need of the students of Saliyapura Maha Vidyalaya in Anuradhapura. The well was opened on 2nd February 2015 by the AgStar Grains team with the participation of the Principal, staff members and students.

During the year, the Company also installed 10 water taps at Saliyapura Maha Vidyalaya which had only 2 water taps for all its students for drinking and other purposes, resulting in unhygienic conditions.

Browns, being the agricultural and consumer marketing arm of the Group has direct linkages with its consumers who range from the small scale rural farmer, the urban and semi urban vehicle owner, and the farm owner engaged in animal husbandry to the urban consumer of electrical appliances.

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Helping those in need

The Human Resource Division of the LOLC Group organised its annual CSR project at the National Institute of Mental Health in Angoda (NIMH) which is home to 950 male and female patients.

LOLC officials also visited the Halfway Home Mulleriyawa of NIMH and donated essential items and clothes to over 450 women who are currently admitted under the hospital's long term inpatient care service.

All donated provisions were obtained from generous contributions made by LOLC staff members and various other divisions of the Group. This helped to fulfil some of the immediate requirements of this Hospital.

Working "Together" to uplift Sri Lanka's agriculture industry

Having identified a need as well a thirst amongst farmers for knowledge of best agricultural practices and the latest in technology to improve their harvest, Browns holds regular programmes to enhance the knowledge base of its grassroots stakeholders who could elevate Sri Lanka's Agriculture sector to the next level. The fusion of technology and machinery is fast becoming a requirement in the agricultural industry in order to improve productivity. Agri-mechanization expands the area that can be cultivated, leading to an increase in crop yields due to the precision with which crop husbandry tasks are completed.

Browns has served Sri Lanka's agricultural sector for over a century and was also the pioneer of agriculture mechanization in Sri Lanka. Harnessing its industry expertise and resources, the agri division of Browns continued to educate farmers on the operation of agro-appliances to help improve their yields and productivity.

The Win-win relationships with our Outgrower Network

Browns' associate AgStar purchases Rs. 0.8 bn worth of paddy annually, and this value represents the value we add to farmers to whom we offer a ready market for their produce. AgStar also purchases 100,000 bushels of seed paddy from the farming community and empowers them by providing basic seeds and buyback arrangements for the paddy they harvest. This backward integration strategy typifies win-win initiatives that benefit us and rural farming families who are assured of a stream of income. Our activities enhance supplier relations while providing an assured income stream for rural farmers. AgStar also supports the farmer by supplying inputs, providing production advice and transporting products to the premises. The use of this method has become attractive for many farmers because the arrangement can offer both an assured market and access to production support. It has also come to be viewed as an effective approach to help solve many of the market access and input supply problems faced by small farmers. The Company also supports them to diversify crop production into new crops such as maize, green gram, cowpea and grains by providing seeds at reasonable prices to enable them to commence planting newer crops which yield high incomes as opposed to traditional crops. AgStar's aims to expand its out grower market to exceed 500 farmers in the year ahead.

Furthermore, our agri subsidiaries are also integrated into the social fabric of the farming community and surrounding villages in proximity to its plants thorough activities such as supporting educational tours by farmers, conducting annual farmer days, sponsorship of new year celebrations and cultural and religious festivals.

Browns adopted an approach of differentiating itself from its competition by going beyond merely selling a product; to offer training to clientele on how to obtain maximum output from the products they purchase. The training offered by Browns Farm Machinery Training Centre branded as 'Govi Nena Pahana' is one such programme designed to educate farmers on deriving maximum value from the tractors and other implements they purchase. In addition the Company also offers the 'SAPSA Sisu Nena Pahana' programme for students of agriculture to educate them on tractors and other farm machinery, their correct usage and daily maintenance. In order to offer farmer training Browns has also entered into a Memorandum of Understanding with the Farm Machinery Training Centre (FMTC) – the only state institute which provides training for farmers. These programmes further add value to our service offering, and lays the foundation for a sustained relationship with our key customers- reflecting LOLC's Groups sustainable approach in business.

Browns also promotes interest in agriculture via the promotion of the study of agriculture by offering employment to students of agricultural science. This is also a strategy which will help to sustain Sri Lanka's agriculture industry in the medium to long term.

Moreover, AgStar in the year ahead also plans to provide seeds to rural schools to develop their own farms and advice free of charge. During the year, the company took the initiative to provide expertise on agriculture to school children through its experienced staff and they were taught best practices in cultivation and to manage and develop their farming businesses to become commercially viable.

SUSTAINING OUR NATURAL CAPITAL

We strive to minimise our environmental footprint on the one hand, whilst we also proactively seek ways in which we can contribute to the sustainability of our natural capital.

The Group's Micro Financing and SME sectors empower and progressively develop a significant segment of Sri Lanka's population. A larger share of this clientele is engaged in agriculture or agri related enterprises. Weather patterns, quality of the soil and other natural factors are hence key determinants of the success of these enterprises and in turn, the sustainability of our profitability. Moreover, agricultural machinery and other agri inputs also constitute a considerable portion of the Group's trading business and are hence dependent on the performance of Sri Lanka's agricultural sector. And more directly, for our plantations -the natural environment is their key resource. Thus, in addition to environmental preservation being in sync with our values, it also make business sense to us and is of strategic importance for sustainable profitability.

The training offered by Browns Farm Machinery Training Centre branded as "Govi Nena Pahana" is designed to educate farmers on deriving maximum value from the tractors and other implements they purchase. In addition, the Company also offers the 'SAPSA Sisu Nena Pahana' programme for students of agriculture to educate them on tractors and other farm machinery, their correct usage and daily maintenance.

Developing Renewable Energy

The need for the conservation of energy and sources of renewable energy in the world is more urgent today than ever. The need is that much greater and immediate for countries such as Sri Lanka, whose high dependence on oil imports continues to burden the Balance of Payments. Renewable energy is also of critical importance due to the favourable impact on the environment vis a vis the detrimental effect of green house gas emissions from other forms of energy. LOLC's previous initiatives to operate alternate sources of renewable energy which have been described in previous reports, include solar power generation for rural homes in 2003, renewable fuel wood plantations which now make a contribution to the company's profits and the environment, and three mini hydro power generating schemes commissioned in 2003, 2006 and 2014. During the year under review, the Group increased its total installed capacity by 0.9 Mw, with the commissioning of the Stellenberg Mini Hydro Plant and by a further 0.8 Mw with the commissioning of the Thebuwana Mini Hydro Plant; bringing the total combined hydro power generation by the Group to 4.9 Mw.

Furthermore, the Group also obtained an Energy Permit to develop Halgran Oya II - which would generate a further 0.65 Mw, whilst it actively pursues projects in Ragala and Deniyaya. Our efforts to drive renewable energy projects typify a venture with a Triple Bottom Line impact.

In addition to hydro power, the Group is actively engaged in bio energy on its plantations and at the rice milling plant in Anuradhapura operated by AgStar.

One of the key by-products of rice milling is paddy husk. AgStar has harnessed this by-product as a source of energy to fire its boiler during the process of rice steaming. Thus, the Company not only eliminated the need to dispose of the husk which can add to landfill, but is creating value for the enterprise and the environment. Moreover, the Company is currently exploring ways to utilise the large quantity of ash, that is a by product of the burning of husks, as an organic fertilizer in combination with other organic materials.

Moreover, our Plantations subsidiary – Gal Oya Plantations commenced the generation of its own electricity requirement within the factory by reusing the steam which is used for factory operations. This steam plant currently generates 2 MW, reducing our dependence on the national grid; and intends expanding its generation to 10 MW in the year ahead. The Company also uses Bagasse as a Bio-fuel to fire boilers in order to generate steam for required operations. Bagasse is the fibrous matter that remains after the crushing of sugarcane to extract juice. Gal Oya Plantations hopes to fulfil 75-80% of its energy requirements from Bio gas thus significantly reducing the use of furnace oil to operate its new distillery plant which is expected to begin commercial operations by end 2015.

Brighter future for every Sri Lankan

Sustainability Report

Our green friendly sugar cane plantations and factories

On our sugar cane plantations - the main crop of sugar cane helps the environment. Sugar being of C4 type is a plant which, during Photosynthesis, extracts more Carbon Dioxide from a given amount of air than other plants. Thus, in addition to purifying the air sugar cane also helps prevent water loss in dry climates. C4 plants promote the efficient operation of the Calvin-Benson cycle and minimise photorespiration. Moreover, sugar cane is a C4 plant that grows throughout the year.

- The Company uses sugar cane press mud or filter mud - the residue of the filtration of sugarcane juice, as fertilizer during the cane cultivation.
- The effluent collected during the operation is also used as a fertilizer.

Reflecting the Group's long term perspective in business, the Group's tea and rubber plantation Company, Pussellawa Plantations (PPL), also continued to invest in best practices to enable the sustainability of our plantations. Some of these initiatives during the year include the use of under-utilized or unutilized land to plant timber and cinnamon, and 13.1 hectares of cinnamon were planted during the year. The Company also continued commercial timber planting programs, which have a double bottom line impact of income generation while mitigating of soil erosion. The Company plans to plant a further 70.65 Ha on its upcountry estates with Eucalyptus grandis. In addition, PPL will also continue its stream bank conservation programme of planting bamboo on its stream banks, in collaboration with the Mahaweli Authority of Sri Lanka.

Maturata Plantations (MPL) continues to implement better land management practices such as terracing, mulching, weeding, growing of Manaa (grass which prevents soil erosion) and other plants to prevent soil erosion. MPL also practices forest management to grow plants which enhance the eco system in the surrounding areas.

Products which encourage the greening of homes and offices

Browns has partnered with suppliers who mirror our concern for the environment. Our premier brand Sharp, is reputed for its environmentally conscious products and devices for homes and offices. Apart from designing products that are energy efficient, Sharp has categories demarcated such as "Advanced Green products" and "Super Green Products" to indicate the level of energy efficiency, thereby, enabling customers to make a clear and informed choice. Sharp is advancing its research and development of people-friendly and environmentally friendly technologies covering four areas - energy saving and energy creation, effective use of resources, safety and peace of mind, and health and comfort.

Along with establishing guidelines for environmentally conscious design, Sharp sets objectives for the development of environmentally conscious products and devices as well as assessment standards for certification. Every year, the company revises these guidelines and standards, thereby constantly improving the environmental performance of its products and devices.

"Reflecting the Group's long term perspective in business, the Group's Tea and rubber plantation Company, Pussellawa Plantations (PPL), also continued to invest in best practices to enable the sustainability of our plantations"

On the manufacturing side, all products manufactured by our subsidiary, Browns, adhere to the ISO: 14001 Environment Management System. And as part of Browns"Go Green' environmental sustainability commitment, products are recycled to the greatest extent possible; for example, lead and scrap batteries and Rigi foam packing material used to package batteries are all recycled at Browns factories.

Some of the ways in which we minimised our environmental footprint are at the Rice Milling Plant. Rice milling is a water intensive process as large volumes are needed for soaking the rice. Realizing that the disposal of contaminated water would pose a challenge at the rice mill, AgStar when constructing the factory, commissioned a Rs. 13 Million water purification plant to ensure that the water that is released is safe and complies with national environmental regulations.

Minimising dust and ash emissions

In a bid to contain dust that is emitted during the milling process, an advanced dust extraction system was installed to protect workers and the surrounding environment. Moreover, fly ash emission is another by-product of the manufacturing process and to minimise this, an environmental pollution control system has been installed which channels fly ash through water and thereby prevents its release into the air.

Eliminating noise pollution

Mufflers have been installed to prevent noise emanating from the factory machinery from reaching the surrounding communities.

Greening efforts

An extensive tree planting campaign at the plant has eliminated dust and helps sustain the green cover in the surroundings. Trees include Mahogany and Araliya.

Improving energy efficiency

A system which ensures automatic turnoff of machines when the product is not on tape, prevents energy being wasted when the machine is not in use.

Replaced all light bulbs with LED bulbs

The Group is aware of the pace at which it has expanded and hence the increase in the impact it can have on the environment as well. It will thus strive to make its impact positive and minimise the negative, by strengthening the platform of environmental sustainability in the year ahead. It will proactively seek business ventures with a Triple Bottom Line impact whilst also focusing on the Triple Bottom Line of all its activities.

Subscribing to the UNGC Principles

The LOLC Group is a signatory to the United Nations' Global Compact (UNGC's) established code of principles. The Group is thus guided by the 10 principles concerning human rights, labour, environment and anti corruption promulgated by the UNGC, and the solid framework they provide is espoused by LOLC and its subsidiaries in every facet of their many activities. Some of the ways in which we practice these principles are communicated in this Sustainability Review as well as elsewhere in this Annual Report such as the Governance Report.

The Ten Principles of UNGC :

Human Rights

- **Principle 1:** Businesses should support and respect the protection of internationally proclaimed human rights; and
- **Principle 2:** make sure that they are not complicit in human rights abuses.

Labour

- **Principle 3:** Businesses should uphold the freedom of association and the effective recognition of the right to collective bargaining;
- **Principle 4:** the elimination of all forms of forced and compulsory labour;
- **Principle 5:** the effective abolition of child labour; and
- **Principle 6:** the elimination of discrimination in respect of employment and occupation.

Environment

- **Principle 7:** Businesses should support a precautionary approach to environmental challenges;
- **Principle 8:** undertake initiatives to promote greater environmental responsibility; and
- **Principle 9:** encourage the development and diffusion of environmentally friendly technologies.

Anti-Corruption

- **Principle 10:** Businesses should work against corruption in all its forms, including extortion and bribery.

The Board of Directors

1. Mrs. R L Nanayakkara
2. Mr. I C Nanayakkara
3. Mr. W D K Jayawardena
4. Deshamanya M D D Pieris
5. Mr. R A Fernando
6. Mrs. K U Amarasinghe
7. Mr. R M Nanayakkara
8. Mr. H Nishio
9. Mr. H Yamaguchi

The Board of Directors

Mrs. R L Nanayakkara

Mrs Rohini Nanayakkara was appointed to the Board of Directors of the Company as an independent Non-Executive Director in August 2004 and assumed duties as Chairperson of LOLC and its subsidiaries. She holds a second Class BA Honours Degree from the University of Peradeniya, Sri Lanka. She also holds a Diploma in French from the Chamber of Commerce, Brussels. She is a Fellow of the Institute of Management and the Institute of Bankers, Sri Lanka. She was also a Past President of the Sri Lanka Banks Association, Association of Professional Bankers, a member of the Commission of the University of Colombo, Sri Lanka and of the Task Force set up by the Government for Tsunami re-construction.

She was the first woman executive to join a Commercial Bank, namely the Bank of Ceylon, with the rare distinction of becoming the first woman General Manager/CEO of a Bank in Sri Lanka and the Asian Region.

She was also Chairperson/Director of several financial institutions such as the National Development Bank, DFCC Bank, Merchant Bank of Sri Lanka and the First Capital Group of Companies. She has served as Director/General Manager/CEO of one of the largest private banks namely, Seylan Bank PLC.

She is presently the Chairperson of Taprobane Holdings Ltd and subsidiary companies of the Browns Group. She is also a Director of Overseas Realty (Ceylon) PLC, Mireka Homes (Pvt) Ltd and Eastern Merchants PLC. She is a trustee of National Trust of Sri Lanka.

Mr. Ishara Nanayakkara

Mr. Ishara Nanayakkara is an astute businessman who holds directorial positions in many corporates and conglomerates in Sri Lanka. He joined the Board of Lanka ORIX Leasing Company PLC in 2002.

Presently Mr. Nanayakkara is the executive Deputy Chairman of Lanka ORIX Finance PLC. He chairs the Board of Commercial Leasing & Finance PLC, LOLC Micro Credit Limited and BRAC Lanka Finance PLC backed by the professional expertise in the industry for over a decade. He also serves on the Board of PRASAC Micro Finance Institute; Cambodia's largest Micro Finance Institution. His expertise in micro finance in the region is evident in the recent investment in Thaneakea Phum Cambodia Ltd (TPC Micro Finance), the 5th largest microfinance company in Cambodia in addition to the green field operations in Myanmar via Myanmar Micro Finance Company Ltd of which he is the founding Chairman.

Mr. Nanayakkara is the Deputy Chairman of Seylan Bank PLC, a premier commercial bank in the country. His exposure in general and life insurance through LOLC Insurance Company Ltd, stock brokering through LOLC Securities Ltd, factoring through LOLC Factors, micro financing and Islamic finance, manifests his vision of catering to the entire value chain of the finance sector.

His business philosophy based on sustainable development has seen LOLC enter into many new business ventures with high potential for growth in all three spheres economic, social and environmental.

Accordingly he serves the Board of Sierra Constructions Ltd, AgStar Fertilizers PLC, Lanka Century Investment PLC and Associated Battery Manufacturers (Cey) Ltd, in line with the Group's vision to divest into strategic investments such as Agriculture & Plantation, Trading & Manufacturing, Leisure and Construction.

His need to diversify the LOLC Group into a key conglomerate that operates in the growth sectors of the economy is further reflected through the vital role played by him in Brown & Company PLC and Browns Investments PLC as the Executive Chairman. Browns Group is a renowned conglomerate with leading market positions in trade, leisure, manufacturing, consumer appliances and agriculture equipment.

Mr. Nanayakkara was appointed as the Chairman of FLC Holdings PLC, FLC Hydro Power PLC, and a Director in Pussellawa Plantations Ltd, Ceylon Estate Teas (Pvt) Ltd and FLMC Plantations (Pvt) Ltd subsequent to the recent acquisition.

He holds a diploma in Business Accounting from Australia.

Mr. W D K Jayawardena

Kapila Jayawardena counts over thirty years experience in Banking, Financial Management and Corporate Management. Mr. Jayawardena was appointed as the Group Managing Director/CEO of Lanka ORIX Leasing Co. PLC in 2007. He was the former CEO/ Country Head of Citibank Sri Lanka & Maldives.

Mr. Jayawardena has played a pivotal role in the banking sector contributing to the financial market reforms development and regularly advising regulators on prudential requirements. He has widespread experience in introducing innovative financial service products to the market.

The LOLC Group is one of the largest conglomerates in Sri Lanka with a presence in diversified industries such as Financial Services, Trading, Manufacturing, Construction, Leisure and Renewable Energy.

As an individual with extensive International and domestic financial experience, Mr. Jayawardena was a key member of the following committees.

- Chairman Sri Lanka Bank's Association (SLBA) 2003/2004
- Member of the Financial Services Reforms Committee (FSRC) 2003/ 2004
- Director of Lanka Clear and was instrumental in completing the automated clearing project for the Sri Lankan banking industry 2004
- President of the American Chamber of Commerce Sri Lanka 2006/2007
- Member of the inaugural Sovereign ratings team for Sri Lanka
- Member of the National Council of Economic Development (NCED)
- Board Member of the United States - Sri Lanka Fulbright Commission

Presently, Mr. Jayawardena holds Chairmanship/directorship in the following companies:

- Lanka ORIX Leasing Company PLC – Group Managing Director/CEO
- Lanka ORIX Finance PLC- Chairman
- LOLC Insurance Company Limited - Chairman
- LOLC Securities Limited - Chairman
- Eden Hotels Lanka PLC - Chairman
- Palm Garden Hotels PLC - Chairman
- LOLC General Insurance Ltd - Chairman
- LOLC Micro Credit Ltd - Director
- Commercial Leasing & Finance PLC - Director
- Brown & Co. PLC - Director
- Browns Investments PLC - Director
- Seylan Bank PLC - Director
- BRAC Lanka Finance PLC - Director
- Riverina Resorts (Pvt) Ltd - Director
- FLC Holdings PLC - Director
- Pussellawa Plantations Limited - Director
- FLC Hydro Power PLC - Director

Qualifications :

- Master of Business Administration, American University of Asia.
- Fellow of the Institute of Bankers, Sri Lanka
- Associate of the Institute of Cost and Executive Accountants, London

Deshamanya M D D Pieris

Deshamanya M. D. D. Pieris is a graduate of the University of Ceylon (Peradeniya); Fellow of the Chartered Management Institute, UK and has been conferred the Degree of Doctor of Letters (Honoris Causa) by the University of Colombo and the title of Honorary Senior Fellow by the Postgraduate Institute of Medicine.

Deshamanya Pieris is an illustrious retired civil servant, who in the course of his distinguished career in the public service has held several important posts, including that of Secretary to the Prime Minister; Secretary, Ministry of Public Administration, Provincial Councils and Home Affairs; Secretary, Ministry of Agriculture, Food and Co-operatives; Secretary, Ministry of Education and Higher Education and Chairman and Director General of Broadcasting.

He has also acted on several occasions in addition to his duties, in the posts of Secretary to the Ministry of Defence and External Affairs and Secretary to the Ministry of Trade and Shipping.

He has at various times been the Chairman of the National Institute

The Board of Directors

of Education; Chairman – Board of Management of the Sri Lanka Institute of Development Administration; and Chairman of the Agrarian Research and Training Institute.

He has also served on the Governing Councils or Boards of Management of several Universities and Postgraduate Institutes.

He has been a Director of Peoples' Bank, People's Merchant Bank PLC and a member of the Rural Credit Advisory Committee of the Central Bank.

He has served as a member of the National Salaries Commission and as a member of the Presidential Commission on Finance and Banking.

Within the LOLC Group, he has also served as Director on the Board of Lanka ORIX Finance PLC, as well as some subsidiaries of the LOLC Group. He also serves on the Risk Management Committee, Audit Committee and the Remuneration Committee, whilst Chairing the Corporate Governance Committee of the Group.

Currently, he also serves as Deputy Chairman - Mercantile Merchant Bank Ltd and as member of the Board of MMBL Logistics (Pvt) Ltd, MMBL Money Transfer (Pvt) Ltd and Pathfinder Holdings (Pvt) Ltd. He also serves on the Board of Mountain Hawk Express (Pvt) Ltd - a Hayleys Group company, which is the licensee for the U.S. Federal Express Corporation.

Deshamanya Pieris is a Director of the Governing Board of the Regional Centre for Strategic Studies. He is also currently the Chairman of the Board of Management of the Institute of Information Technology; a member of the Board of the Lakshman Kadirgamar Foundation; a member of the Academic Affairs Board for the Postgraduate Programmes of the Sri Lanka Institute of Development Administration; and a member of the Senior Advisory Committee of the Ceylon Chamber of Commerce.

He has also been recently appointed by the University Grants Commission as a member of the Board of Management of the Institute of Indigenous Medicine of the University of Colombo for a period of three years, and reappointed for a further three years to the Board of Management of the School of Computing of the University of Colombo.

Mr. R A Fernando

Mr. Ravi Fernando holds an MBA from the University of Colombo and is a Fellow of the Chartered Institute of Marketing (UK). He holds a Diploma in International Management and completed the Advanced Management Program at the INSEAD Business School in France. He is an Alumni of the University of Cambridge Programme for Sustainable Leadership having completed the Climate Leadership Programme in 2007, the Postgraduate Certificate in Sustainable Business at Cambridge University in 2008 with Distinction and Master's in Studies (Sustainable Leadership) at Cambridge University in 2014.

He is Operations Director - Malaysian Blue Ocean Strategy Institute since December 2011.

His career with multinationals – Unilever, Sterling Health, SmithKline Beecham International covered Africa, the Middle East and Asia in CEO/Marketing Management positions. He was the first CEO SLINTEC (Sri Lanka Institute of Nanotechnology) in 2008-2010.

In Academia, he was a faculty member of the INSEAD Advanced Management Program from 2005-2010 and an Executive in Residence at the INSEAD Social Innovation Centre from September 2010. He is also a visiting faculty member at the Deusto Business School in Spain and the University of Colombo MBA Programmes. In September 2007, he won a "Global Strategy Leadership Award" at the World Strategy Summit for his work on Ethical Branding for the Sri Lankan Apparel and Tea sectors.

Mrs. K U Amarasinghe

Mrs. Kalsha Amarasinghe was appointed to the Board in August 2002. She holds an Honours Degree in Economics.

She serves on the Boards of Lanka ORIX Finance PLC, LOLC Micro Credit Ltd, LOLC Insurance Co. Ltd, United Dendro Energy (Pvt) Ltd, Palm Garden Hotels PLC, Eden Hotel Lanka PLC and Riverina Resorts (Pvt) Ltd. She also serves as a Director on the

Boards of Commercial Leasing & Finance PLC, Brown & Company PLC, Browns Investments PLC, FLC Holdings PLC, FLC Hydro Power PLC, Melfort Green Teas (Pvt) Ltd and Pussellawa Plantations Ltd.

Mr. R M Nanayakkara

Mr. Rajah Nanayakkara is the founder and Executive Chairman of Ishara Traders (Pvt) Ltd, a business which pioneered the import and sale of new and reconditioned motor vehicles. Thirty years later, this organisation remains an industry leader. He was also the founder Chairman of the Motor Vehicle Importers Association of Sri Lanka, where he continues to play a significant role.

Mr. Nanayakkara is also the Chairman of Ishara Plantations (Pvt) Ltd - an Award Winning Estate of Tea and Spices - and Chairman of Ishara Property Development, a company which has been involved in construction for the past 18 years.

Mr. Nanayakkara is also on the Board of Brown & Company PLC and Browns Investments PLC.

Mr. H Nishio

Mr. Hiroshi Nishio joined ORIX in 1991. He served as head of various overseas operations including Malaysia and the USA. After serving as General Manager of ORIX Real Estate Corporation, he was appointed President & CEO of ORIX Asset Management Corporation in January 2013.

In January 2014, he was made an Executive Officer and was appointed a Deputy Head of Global Business and Alternative Investment Headquarters of ORIX Corporation.

Mr. H Yamaguchi

Mr. Yamaguchi joined ORIX in 1990. He served as head of various overseas operations including Indonesia and Thailand. After being a Chairman & CEO of ORIX Auto Leasing (Thailand) Co. Ltd in April 2008, Mr. Yamaguchi was appointed a President of Thai ORIX Leasing Co. Ltd in January 2010.

In February 2011, he was appointed an Executive Vice President of Global Business and Alternative Investment Headquarters, ORIX Corporation.

Corporate Management Team

Gayani de Silva
Chief Officer, Customer Relationship Management

Brindley de Zylva
Managing Director / Chief Executive Officer, Lanka ORIX Finance PLC

Anura Dharmaprema
Corporate Executive Officer - Recoveries, LOLC

Conrad Dias
Managing Director / Chief Executive Officer Lanka ORIX Information Technology Services Limited & LOLC Technologies Limited
Chief Information Officer - LOLC Group

Dharini Fernando
Chief Operating Officer, LOLC Insurance Company Limited

Kithsiri Gunawardena
Chief Operating Officer, LOLC
Chief Legal Officer, LOLC Group

Sriyan Gurusinghe
Managing Director / Chief Executive Officer, LOLC Securities Limited

Gunendra Jayasena
Chief Administration Officer - LOLC Group
General Manager - LOLC Ventures

Solomon Jesudason
Chief Officer - Marketing Operations, LOLC

Jayantha Kelegama
Chief Credit Officer, LOLC

Sunjeevani Kotakadeniya
Chief Financial Officer, LOLC Group

Graham Lawrence
Group Head of Corporate Sales & Social Media

Ashan Nissanka
Chief Executive - Branch Network, LOLC

Rohan Perera
Group Treasurer, LOLC

Gehan Rajapakse
Chief Executive Officer,
LOLC Insurance Company Limited

Krishan Thilakaratne
Director / Chief Executive Officer,
Commercial Leasing & Finance PLC and Valuation Unit
General Manager - Islamic Business unit of LOFC

Corporate Management Team

Ravi Tissera
Director / Chief Executive Officer, LOLC Micro Credit Limited

Sharmini Wickremasekera
Chief Risk Officer, LOLC Group

Susaan Bandara
Chief Officer - Marketing Communication, LOLC Group

Gayani de Silva

Attorney-at-Law, MBA (Sri J)

Chief Officer –Customer Relationship Management

Joined LOLC in 1994. Counts over 20 years' experience in financial services, covering areas of credit, marketing strategy, value chain management, corporate re-structuring, strategic planning, marketing and corporate communication, business development, strategic tie-ups, SME and development finance portfolio management, customer relationship management, call centre management, corporate social responsibility and corporate sustainability.

Brindley de Zylva

Managing Director/Chief Executive Officer - Lanka ORIX Finance PLC

Joined in 2003. A Fellow of the Sri Lanka Institute of Credit Management. Counts over 30 years' experience in the Non-Banking Financial Services Sector and currently serves the Industry as a Director of the Finance Houses Association of Sri Lanka and The Financial Ombudsman Sri Lanka (Guarantee) Ltd. He is also the Honorary Secretary of the Sri Lanka Institute of Credit Management.

Anura L. Dharmaprema

Corporate Executive Officer – Recoveries LOLC

Joined in 1998, Counts over 26 years of experience in Recoveries in the Financial Services Industry.

Previously a Senior Collections Manager of a leading finance company. Anura has been appointed as a Director of LOLC Services Ltd.

Conrad Dias

FCMA (UK), CGMA(USA), FBCS (UK), MBA (University of Leicester)

Chief Information Officer - LOLC Group

Managing Director/Chief Executive Officer - Lanka ORIX Information Technology Services Ltd/LOLC Technologies Limited

Joined in 2006. Experienced professional in Information Technology, Software Engineering, Project Management, Strategic and Investment Planning, Finance Management, Corporate Restructuring and Unit Trust & Fund Management. Possesses domain expertise in sectors such as Trading, Banking and Finance, Asset Management and Manufacturing.

Dharini Fernando

Chartered Insurer, Associate of the Chartered Insurance Institute of London (ACII)

Chief Operating Officer - LOLC Insurance Co. Ltd.

Joined in December 2010. Counts nearly 20 years' experience and has worked with a number of leading multinational insurance companies in varying roles at senior management level. Has wide local and international exposure and experience in both Life and General insurances, especially in the areas of Reinsurance, Property, General Accident

and Health and Casualty (Liability). She has also been closely involved in the implementation of insurance systems in multinational companies.

Kithsiri Gunawardena

Attorney-at-Law, Postgraduate Diploma in Marketing Management (PIM, Sri Jayawardenapura.)

Chief Operating Officer - LOLC, Chief Legal Officer - LOLC Group

Joined LOLC in 2004. Counts over 25 years of experience as a Lawyer. Held a number of important positions in the State, including the office of State Counsel attached to the Attorney General's Department, the Office of Director – Legal & Enforcement of the Securities and Exchange Commission of Sri Lanka and the Insurance Board of Sri Lanka and was involved in setting up the Consumer Affairs Authority as its first Director General. Kithsiri serves on the boards of a number of local and overseas subsidiaries within the LOLC Group.

Sriyan Gurusinghe

ICMQ (UK)

Managing Director/Chief Executive Officer - LOLC Securities Ltd.

Joined in 2011. Counts over 22 years of experience in stock brokering. Previously Director/General Manager at Ceylinco Stock Brokers for 14 years. He has served as a President of the Colombo Stock Brokers' Association.

Gunendra Jayasena

Chief Administration Officer - LOLC Group

General Manager - LOLC Ventures

Joined in 2007. Counts over 22 years of experience in Manufacturing, Administration and Plantation Management.

Gunendra has been appointed as a Director in several subsidiaries within the LOLC Group.

Solomon Jesudason

Chief Officer - Marketing Operations - LOLC

Joined in 1988. Counts over 27 years of experience in the Leasing Industry in Finance and Marketing Operations. Currently responsible for the Customer Servicing Operations, which includes Application Processing for Finance Leases, Hire Purchases, Loans, LC Facilities, Insurance, Savings, FD Operations, RMV Operations, Working Capital and Microfinance Products.

Jayantha Kelegama

BA (Hons.) - University of Delhi

Chief Credit Officer - LOLC Group

Joined in 2005. Counts over 18 years of experience in Leasing, Asset Financing, Credit Risk Management and Banking. Jayantha has been appointed as a Director of identified subsidiaries within the LOLC Group.

Sunjeevani Kotakadeniya

FCMA (UK), CGMA (USA), MBA (Col.)

Chief Financial Officer - LOLC Group

Joined in 2005 and responsible for the finance function of the Group. Counts over 27 years of experience in Financial Management and General Management including Strategic Planning, Insurance, Fund Management and Administration, IT Management, Treasury Management, New Business Set-up, Process Re-engineering, Change Management, ERP Implementation and Project Management. Extensive experience in Insurance, Financial Services and Leisure sectors. Sunjeevani has been appointed as Director of several subsidiaries within the LOLC Group. Member of the CIMA (UK) Sri Lanka. Board Member of Statutory Accounting Standards Committee, Sri Lanka.

Graham Lawrence

Group Head of Corporate Sales & Social Media

Joined in 1992. Counts over 27 years of experience in the Financial Services Sector. Began his career as a Banker and has evolved to general management having covered Marketing, Credit and Recovery of Diverse Financial Products, including Leasing and Factoring. Also serves on the Board of LOLC Factors Ltd.

Ashan Nissanka

MBA, CIM (UK), MSLIM, Practicing Marketer (SL)

Chief Executive - Branch Network - LOLC

Joined in 1998. Counts over 22 years of experience in the Financial Services Sector with a wide cross disciplinary exposure in Banking, Credit management, Marketing and Channel Development. Has responsibility for Strategic Marketing Planning, Development and Management of the Retail Channels for Lanka ORIX Finance PLC, LOLC Micro Credit and LOLC Insurance.

Corporate Management Team

Rohan Perera

MBA, Edith Cowen University of Perth, Australia

Group Treasurer - LOLC Group

Joined in 2007. Counts over 28 years of experience concentrated on Banking and Corporate Treasuries with expertise in Treasury Management including Strategic Risk Management and Cash Management. Competent in operational management with capacity in handling financing of high value projects. Starting his career as a Banker and particularly in Treasuries; thereafter moved to Corporate Treasuries. Pioneered the concept of Corporate Treasuries in Sri Lanka. Involved in setting up of the Corporate Treasurers' Association as its Founder President.

Gehan Rajapakse

MBA (University of Sri Jayawardenepura), FCMA (UK), B.A.(Econ) Hon. (University of Colombo.)

Chief Executive Officer – LOLC Insurance Company Limited

Joined in July 2012. Counts over 20 years of experience in both General and Life Insurance in varying roles at senior management level. Has wide work experience in management, asset management, bancassurance, investments and distribution of General and Life Insurance products.

Krishan Thilakaratne

Director/ CEO of Commercial Leasing & Finance PLC

Mr. Krishan Thilakaratne is the Director/ CEO of Commercial Leasing & Finance PLC, General Manager of LOLC Al-Falaah - Islamic Business Unit of LOLC Group and also the Head of the Valuation Unit of LOLC under LOLC Motors Ltd. He also serves on the Board of Commercial Insurance Brokers (Pvt) Ltd, the largest Insurance Broker in Sri Lanka which is an associate Company of Commercial Leasing & Finance PLC.

He previously held the positions of CEO, Lanka ORIX Factors Ltd, & CEO, Auto Finance of LOLC. He is an Associate Member of the Institute of Bankers of Sri Lanka and joined the LOLC Group in 1995.

Ravi Tissera

Director/ Chief Executive Officer- LOLC Micro Credit Limited

Mr. Ravi Tissera joined the LOLC Group in 1993 and is a Development Finance Specialist. He conceptualised and introduced microfinance to the LOLC Group.

Mr. Tissera has obtained his post Graduate Diploma in Marketing and is a member of the Chartered Institute of Marketing UK. He has followed Strategic Leadership Training in microfinance at Harvard Business School.

As Head of microfinance LOLC Group, he serves on the boards of LOLC Micro Investments Ltd, LOLC Myanmar Micro Finance Co Ltd, Thaneakea Phum (Cambodia) Limited and BRAC Lanka Finance PLC. In addition he is also on the Board of Sundaya Lanka (Pvt) Ltd.

Sharmini Wickremasekera

CISA, CRISC

Chief Risk Officer - LOLC Group

Joined in 1983. Counts over 30 years of experience in Finance, Accounting, Credit, Internal Auditing, Information Systems Auditing and Governance, Enterprise-wide Risk Management, Business Continuity Management and Business Process Re-engineering. Member and a Past President of ISACA Sri Lanka Chapter. Lead the processes of ERM at LOLC and the ISACA SL Chapter to a level of gaining global recognition.

Susaan Bandara

Chief Officer - Marketing Communications LOLC Group

Re-joined LOLC in 2010. Counts over 25 years' experience in servicing Private Sector, Banking and Non-Banking Financial Institutions, covering areas of Sales & Marketing, Distribution Management, Market Analysis, Marketing Communications with multiple stakeholder groups, Business Development in Overseas Markets, Managing Communications risks and applications, Strengthening Brand Equities, Credit Management & Recoveries, Strategic Marketing Planning, Entrepreneur Development Programs, Customer Relationship Management, Corporate Social Responsibility & Sustainability.

Operational Management Team

Jude Anthony
DGM - Branch Network,
Commercial Leasing and Finance PLC

Chrishanthi Emmanuel
Director, LOLC Corporate Services (Pvt) Ltd

Jithendra Gunatilake
Head of Finance Operations, LOLC

Chandana Jayanath
DGM - Recoveries, LOLC

Rohana Kumara
Chief Operating Officer - LOLC Micro Credit Limited
Deputy CEO - BRAC Lanka Finance PLC

Mehra Mendis
DGM - Fleet Management Services, LOLC

Nihal Weerapana
DGM - Recoveries,
Commercial Leasing and Finance PLC

Roshani Weerasekara
DGM Marketing - Savings & Deposits,
Lanka ORIX Finance PLC

Mallika Abeykoon
AGM - Finance Operations, LOLC

Operational Management Team

Deepamalie Abhayawardane
AGM - Factoring,
Commercial Leasing & Finance PLC

Rohana Chandrasiri
AGM - Branches, LOLC Securities Ltd

Isaac Devshanker
Chief Operating Officer, LOLC Factors Limited
DGM Metro Region, LOLC

Jayantha Dharmapriya
AGM - Legal, LOLC

Saliya Dias
AGM - Life (Technical & Operations),
LOLC Insurance Company Ltd

Heshan Ferdinand
AGM - General (Technical & Operations) -
LOLC Insurance Company Ltd

Yanik Fernando
AGM - Eastern and Uva Regions, LOLC

Tharanga Indrapala
AGM - Operations,
Commercial Leasing & Finance PLC

Hasala Thilekaratne
AGM - Southern II & Western II Regions, LOLC

Nalaka Mohotti
AGM - Southern Region, LOLC

Sanakan Thamotharampillai
Chief Finance Officer, Browns

Wasantha Batagoda
AGM - Legal and Strategic Business, LOLC

Chumley Ranatunge
AGM - Recoveries, LOLC

Nadika Opatha
Head of Corporate Sales - Life Insurance, LOLC Insurance Company Ltd

Mohan Thilakawardena
AGM - Underwriting & Operations (General) LOLC Insurance Company Ltd

Enoka Jayampathy
AGM - Finance Corporate, LOLC

Gamini Jayaweera
AGM - Northern & North Central Regions, LOLC

Sanjaya Kalidasa
DGM - Treasury, LOLC Group

Operational Management Team

Sudath Premaratne
AGM Recoveries, LOLC

Nishanthi Kariyawasam
Head of Finance, Commercial Leasing & Finance PLC
AGM - Finance Corporate, LOLC

Shantha Rodrigo
AGM - Central Region, LOLC

Manish Rodrigo
AGM - Sales, LOLC Securities Ltd

Bahirathan Shanmugalingam
AGM - Finance Operations, LOLC

Preethimali Soosaithasan
AGM - Client Management
LOLC Factors Ltd

Sujeewa Vidanapathirana
DGM - Business Development (General Insurance),
LOLC Insurance Company Limited

Pradeep Uluwaduge
Head of Human Resources, LOLC Group

Montini Warnakula
Head of SME Business Unit
DGM - Western II/North Western Regions, LOLC

Gayananth Weerakoon
AGM - Enterprise Risk Management, LOLC Group

Indunil Herath
AGM - Sabaragamuwa & Central II, LOLC

Ajit Jayemanne
Consultant / Director - Project Development, Browns Hotels & Resorts Ltd

Tilak Selviah
Director / COO, Leisure Sector, Browns Investments PLC

Eksath Wijeratne
GM, Eden Resorts & Spa / Dickwella Resort & Spa

Ramesh Kariyawasam
Head of Operations, LOLC Motors Ltd

Poshitha Piyawardena
Manager, Dickwella Resort & Spa

Susantha Bandara
Resident Manager, The Paradise Resort and Spa

Sanjaya Samarasekera
AGM - Credit Risk Management, LOLC

Operational Management Team

Amarasi Gunasekera
AGM - Strategic Business Research & Development, LOLC

Indika Ariyawansa
AGM - Credit Risk Management, LOLC

Shiraz Refai
AGM - Al-Falaah Islamic Business Unit

Dulip Samaraweera
AGM - Strategic Business Research & Development, LOLC

Adrian Jansz
Head of Sales & Marketing, Browns Hotels & Resorts Ltd

"LOLC helped me purchase my first vehicle which was a DIMO super ACE. The relationship with LOLC helped me to progress and purchase my second vehicle - a DIMO Maximo van. LOLC has been a tremendous strength to us. People like us sometimes miss payment of our installments, not just once but even twice, but LOLC has never exerted undue pressure on us. They offer a great service and have been a boost to the progress in the business my wife and I are in".

Suresh Galahitiyawa - Furniture Distributor

Report of the Board of Directors

The Board of Directors takes pleasure in presenting its Annual Report to all stakeholders, and trusts that the information contained in these pages will provide a comprehensive picture of the performance of the Company and its subsidiaries for the year under review.

Principal activities

As the holding company of a diversified conglomerate, the Company's principal activities are now monitoring and managing the Groups' investments and providing centralized services to its subsidiaries and associates.

The Board of Directors

The Board of Directors is as follows :

Mrs Rohini Lettitia Nanayakkara - Non Executive Chairperson

Ishara Chinthaka Nanayakkara - also alternate to R M Nanayakkara - Executive Deputy Chairman

Waduthantri Dharshan Kapila Jayawardena - Managing Director / Group CEO

Kalsha Upeka Amarasinghe - Executive Director

Minuwanpitiyage Dharmasiri Dayananda Pieris - Independent Director

Ravindra Ajith Fernando - Independent Director

Rajah Mahinda Nanayakkara - Non Executive Director

Harukazu Yamaguchi - Non Executive Director

Hiroshi Nishio - Non Executive Director

Takehia Kaneda - Alternate to H Yamaguchi - Non Executive Alternate Director (appointed w.e.f. 29th May 2015)

Shinji Yamana - Alternate to H Yamaguchi - Non Executive Alternate Director (Resigned w.e.f. 29th May 2015)

Keiji Okuno - Alternate to H Nishio - Non Executive Alternate Director (appointed w.e.f. 29th May 2015)

Mrs. Kyoko Mori - Alternate to H Nishio - Non Executive Alternate Director (Resigned w.e.f. 29th May 2015)

The Directors profiles can be found on pages 100 to 103. Lists of other companies on which they serve as Director are given on pages 119 to 120.

Board sub committees

The Board has appointed the following sub committees :

The Audit Committee

The Remuneration Committee

The Integrated Risk Management Committee

The Nomination Committee

The Corporate Governance Committee

The IT Steering Committee

The reports of the respective Committees are included in this Report, with the exception of the IT Steering Committee. The composition of these committees are as prescribed by the relevant regulation (where applicable) or as deemed most appropriate for effective functioning of the Committee.

The IT Steering Committee comprises the Non executive Chairperson, the MD and the Executive Director together with the CFO, CRO and the CIO. As IT services are provided to all group companies, these meetings serve as a forum where the optimum use of IT resources, (including human resources) and prioritisation of projects can be discussed and agreed upon. For this reason this meeting is also open to CEO's of the key subsidiaries whose IT needs are served by the centralized IT company LOLC Information Technology Services Ltd. These meetings also provide an opportunity for the Directors to be assured about Information Security and the progress of the e-commerce platforms. The Committee meets quarterly.

Directors meetings

Board meetings are scheduled monthly. The agenda items ensure that the Board receives reports on Company and group performance and also on compliance and conformance. Minutes of Board Sub Committee meetings are also tabled at Board meetings, which facilitate knowledge enhancement and good governance. In instances when rapid decision making is required, the Board consults through circular resolutions.

In view of the many committee meetings, which effectively mean that there are meetings every month, the Board has taken the view that Board meetings could be held bi monthly, and this is being considered.

Directors interests in contracts

The Directors have made the declarations required by the Companies Act No. 7 of 2007. These have been noted by the Board, recorded in the Minutes and entered into the Interest Register which is maintained by the Company.

Directors remuneration

The remuneration is disclosed on page 278 The Report of the Remuneration Committee is on page 126.

Directors' shareholdings

	2015		2014	
	No. of Shares	%	No. of Shares	%
Mrs. R L Nanayakkara	-	-	-	-
Mr. I C Nanayakkara (Director & Alternate to Mr. R M Nanayakkara)	**59,895,500**	**12.60%**	59,895,500	12.60%
Mr. W D K Jayawardena	-	-	-	-
Mrs. K U Amarasinghe	**23,760,000**	**5.00%**	23,760,000	5.00%
Mr. M D D Pieris	-	-	-	-
Mr. R A Fernando	**12,600**	**0.003%**	12,600	0.003%
Mr. R M Nanayakkara	**172,492,292**	**36.30%**	172,492,292	36.30%
Mr. H Yamaguchi	-	-	-	-
Mr. H Nishio	-	-	-	-
Mr. T. Kaneda (Alternate to Mr. H Yamaguchi)	-	-	-	-
Mr. K. Okuno (Alternate to Mr. H Nishio)	-	-	-	-

Re-election of Directors

In accordance with Article 88 (i) of the Company's Articles of Association, Mrs. K U Amarasinghe and H Yamaguchi retire by rotation and being eligible seek re-election as directors. The Board recommends their re-election.

Mr. Dharmasiri Pieris and Mr. Raja Nanayakkara are over the age of 70 years and will be retiring, as required. The Company has received letters from shareholders, communicating their intention to move resolutions at the Annual General Meeting for the re-appointment of these directors. As provided for in the Companies Act No. 7 of 2007. The Board recommends their re-election.

Mrs. Rohini Nanayakkara who is also over the age of 70 will be retiring and not standing for re-election. Mrs. Nanayakkara was appointed Chairperson in 2004. With the distinction of being the first female General Manager of the Bank of Ceylon, and of having had a successful post retirement career at Seylan Bank PLC, Mrs. Nanayakkara brought with her the skills and experience of a professional able to recognise and adapt to change, provide leadership and guidance while encouraging growth and development, and maintain and strengthen controls while facilitating innovation and agility. The Directors place on record their appreciation for her contribution to the Company and the Group over the course of her 11 years as Chairperson.

Financial Statements

The Financial statements together with the Notes thereon, found on pages 140 to 300, are in compliance with Sri Lanka Accounting Standards and the requirements of the Companies Act No. 7 of 2007.

Significant accounting policies

The significant accounting polices adopted when preparing these financial statements and any changes thereof if applicable are given on pages 157 to 188.

Going concern

During the year, the Directors reviewed the interim financials and the year end financials. They have also regularly reviewed operations, and the environment within which the Company is operating, including the macro environment, potential risks and resource allocation.

Based on information received, the Directors are of the opinion that the Company is in a position to continue its operations in the foreseeable future. Accordingly, the Financial Statements are prepared on the basis that the Company is a going concern

Review of business

The Company's performance and that of its subsidiaries are reviewed in detail on pages 39 to 86.

Compliance with laws and regulations

The Company is compliant with the Listing Rules of the Colombo Stock Exchange, including the rules relating to Corporate Governance.

Internal Controls

The Enterprise Risk Management Division regularly reviews procedures, practices and policies and submits reports to the Audit Committee or the Integrated Risk Committee

Report of the Board of Directors

as appropriate. Decisions made are followed up at subsequent Committee or Board meetings. The Enterprise Risk Management Report is on pages 132 to 134.

Corporate Governance

The Board makes every effort to ensure that performance is supported and enhanced by good governance. The appointing of the Corporate Governance Committee - a Board Sub committee - was one such initiative. The Report of the Corporate Governance Committee can be found on page 129 and the Corporate Governance Report is on pages 123 to 125.

Statutory Payments

For the year under review, all known statutory payments have been made and all retirement gratuities have been provided for. Further, all management fees and payments to related parties for the year under review have been reflected in the accounts. Details are given in Note No. 43 and 50 on pages 271 and 278.

Responsibility statements

The Chief Executive Officer's and Chief Financial Officer's Responsibility Statement appears on page 137 The Directors' Statement on Responsibility for Financial Reporting appears on page 138.

Auditors

The Auditors, M/s Ernst and Young retire, and offer themselves for re-appointment. The Board recommends their re-appointment for the year 2015/2016 at a fee to be decided upon by the Board.

The fees paid to the auditors are disclosed in the Notes to the Accounts on page 194.

As far as the Directors are aware, the Auditors do not have any other relationship with the Company or any of its subsidiaries nor do they have any interest in contracts with the Company or any of its subsidiaries.

The Report of the Auditors is given on page 139.

Post Balance Sheet Events

There have been no post balance sheet events that need reporting.

Shareholding structure

The Company has issued 475,200,000 shares. The shareholding structure is given on pages 321 to 322, together with the 20 largest shareholders. During the year, the share price ranged from Rs. 75/- to Rs. 102/- As at the end of trading on 31st March, 2015, the share price was Rs. 76.60.

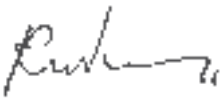
Equitable treatment of shareholders

The Directors have made every endeavour to ensure the equitable treatment of all shareholders, and are committed to enhancing shareholder wealth.

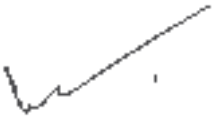
Notice of Meeting

The Notice of Meeting is found on page 329 If you are unable to be present, please complete and return the Form of Proxy (page 331)

On behalf of the Board of Directors



Mrs Rohini Nanayakkara
Non Executive Chairperson



Mr Kapila Jayawardene
Managing Director / Group CEO

Other Directorships

Mrs. R L Nanayakkara
Chairperson
B.G.Air Services Pvt Limited
Browns Group Industries (Pvt) Ltd
Browns Group Motels Limited
Browns Healthcare (Pvt) Ltd
Browns Industrial Park Ltd
Browns Health Care North Colombo (Pvt) Ltd
Browns Real Estates (Pvt) Ltd
Browns Thermal Engineering (Pvt) Ltd
Browns Tours (Pvt) Limited
C.F.T Engineering (Pvt) Limited
Engineering Services Limited
Lanka ORIX Leasing Co. PLC
Masons Mixture Limited
Mireka Homes (Pvt) Ltd
Mutugala Estates Ltd
Pathregalla Estates Ltd
Samudra Beach Resorts (Pvt) Ltd
Sifang Lanka (Pvt) Ltd
Sifang Lanka Trading Ltd
S.F.L Services (Pvt) Ltd
Taprobane Holdings Ltd
The Hatton Transport and Agency Company (Pvt) Ltd
Walker & Greig (Pvt) Ltd

Director
Eastern Merchants PLC
ESL Trading (Pvt) Ltd
Overseas Realty (Ceylon) Limited
Browns Global Farm (Pvt) Ltd

I C Nanayakkara
Chairman
Brown & Company PLC
Commercial Leasing & Finance PLC
LOLC Micro Credit Ltd
Browns Investments PLC
BRAC Lanka FInance PLC

Deputy Chairman
Lanka ORIX Leasing Co. PLC
Lanka ORIX Finance PLC
Seylan Bank PLC

Director
AgStar Fertilizers PLC
PRASAC Micro Finance Institution
Sierra Constructions (Pvt) Ltd
LOLC Myanmar Microfinance Co Ltd
Associated Battery Manufacturers (Cey)Ltd
Lanka Century Investment PLC
F L C Holdings PLC
F L M C Plantations (Pvt) Ltd.
Pussellawa Plantations Ltd
F L C Hydro Power PLC
Ceylon Estates Teas (Pvt) Ltd

W D K Jayawardena
Chairman
Eden Hotel Lanka PLC
Lanka ORIX Finance PLC
LOLC General Insurance Ltd
LOLC Insurance Co. Ltd
LOLC Securities Ltd
Palm Garden Hotels PLC

Managing Director/Group CEO
Lanka ORIX Leasing Co. PLC

Director
Commercial Leasing & Finance PLC
LOLC Micro Credit Ltd
Brown & Co. PLC
Browns Investments PLC
Riverina Resorts (Pvt) Ltd
BRAC Lanka Finance PLC
Seylan Bank PLC
Pusselawa Plantation Limited
FLC Holdings PLC
FLC Hydro Power PLC
FLMC Plantations (Pvt) Ltd

Mrs. K U Amarasinghe
Director
Lanka ORIX Leasing Co.PLC
Lanka ORIX Finance PLC
LOLC Micro Credit Ltd
LOLC Insurance Co. Ltd
Commercial Leasing & Finance PLC
Palm Garden Hotels PLC
Eden Hotel Lanka PLC
Brown & Co. PLC
Browns Investments PLC
Reverina Resorts (Pvt) Ltd
FLC Hydro Power PLC
FLC Holdings PLC
Pussellawa Plantations Ltd
Melfort Green Teas (Private) Ltd
FLMC Plantations (Pvt) Ltd

M D D Pieris
Director
Lanka ORIX Leasing Co. PLC
Mercantile Merchant Bank Ltd
Financial Systems International (Pvt) Ltd
Mercantile Financial Brokers Ltd
Mercsair Ltd
MMBL Logistics (Pvt) Ltd
MMBL Money Transfer (Pvt) Ltd
Mountain Hawk Express (Pvt) Ltd
Mountain Hawk (Pvt) Ltd
Pathfinder (Pvt) Ltd
Pathfinder Holdings (Pvt) Ltd
Sanasa Campus Co Ltd

Report of the Board of Directors

R A Fernando
Chairman/CEO
Global Strategies Corporate Sustainability (Pvt) Ltd

Board Member
Ceylon Asset Management Ltd

Operations Director
Malaysian Blue Ocean Strategy Institute

Director
Lanka ORIX Leasing Co. PLC

R M Nanayakkara
Chairman
Ishara Traders (Pvt) Ltd
Ishara Property Developers (Pvt) Ltd

Director
Lanka ORIX Leasing Co. PLC
Brown & Co. PLC
Browns Investments PLC
Browns Holdings Limited
Diriya Investments (Pvt) Ltd

H Yamaguchi
Chairman
Federal Land ORIX Corporation
OMLF Servicer Corporation
ORIX Glorious Stars (SPV-AMC), Inc.

Deputy Chairman
ORIX Polska S.A.

Vice President Commissioner
PT. ORIX Indonesia Finance

Director
Bonifacio Landmark Realty and Dev't. Corp.
IL&FS Singapore Asset Management Company Pte. Ltd.
Nassim Park Developments Pte. LTD.
ORIX Risingsun Properties II, Inc.
ORIX Risingsun Properties, Incorporated
ORIX-UOL Investments Pte. Ltd.
ORIX Australia Corporation Limited
Thai ORIX Leasing Co. Ltd.
ORIX Metro Leasing and Finance Corporation
Lanka ORIX Leasing Company PLC
ORIX Leasing Pakistan Limited
OPP (Private) Limited
ORIX Leasing Egypt SAE
DI Investment Partners Limited
ORIX Hotels International Private Limited

Alternate Director
Infrastructure Leasing & Financial Services Limited

Auditor
ORIX Capital Korea Corporation

H Nishio
Chairman
ORIX Australia Corporation Limited
ORIX Polska S.A.

Director
ORIX Aviation Systems Limited
Lanka ORIX Leasing Co. PLC
Orient Infrastructure Asset Management Limited
ORIX Leasing Singapore Limited

Board and Board Sub Committees

Director	Classification	Board	Audit Committee	Remuneration Committee	Nomination Committee (dissolved w.e.f. 27/02/2015)	Corporate Governance Committee	Integrated Risk Management Committee
Mrs. R L Nanayakkara	Non –Executive	√*	√**			√	√ **
I C Nanayakkara	Executive	√			√		
W D K Jayawardena	Executive	√				√***	√
Mrs. K U Amarasinghe	Executive	√				√***	
Deshamanya M D D Pieris	Independent	√	√	√	√**	√**	√
R A Fernando	Independent	√	√	√**	√	√	
R M Nanayakkara	Non -Executive	√					
H Yamaguchi	Non –Executive	√					
H Nishio	Non –Executive	√					

Key Management Personnel		
Mrs. S Wickremasinghe	Chief Risk Officer	√
Mrs. S Kotakadeniya	Chief Financial Officer	√
F K C P N Dias	Chief Information Officer	√
K A K P Gunawardena	Chief Legal Officer	√
R Perera	GM – Treasury	√
J Kelegama	Chief Credit Officer	√
A Dharmaprema	CEO - Recoveries	√
P Uluwaduge	Head of HR	√
P Pathirana	Head of IT Security and Compliance	√

* - Chairman of the Board
** - Chairman of the Committee
*** - Appointed w.e.f. 27th February 2015

"The staff is very friendly and like my family; and when I go to LOLC I feel like I am in my own office. They treat us like we are the owners of their company. I've never gone to another company, and although other companies including banks, have offered credit I will never go to them, for the trust we have in the company and the friendship we have developed. I've also deposited money at LOLC because of the trust I have in them."

Jayantha Lakshman Rathnawardhana - Importer of Heavy Machinery

Corporate Governance

The Board of Directors endorses the principles of corporate governance. From its inception as a pioneering leasing company, to its current status as the holding company of a diversified conglomerate, LOLC has always sought to ensure that performance and conformance were blended, to provide all stakeholders with products and services which add value.

Given below is the level of compliance against the respective governance requirements;

Section No.	Listing Rules of the Colombo Stock Exchange	Level of compliance
7.10	Corporate Governance	
7.10	Statement confirming that as at the date of the annual report, the Company is in compliance with these rules.	The Company is in compliance with the listing rules of the Colombo Stock Exchange, as explained below.
7.10.1	Non-executive Directors	
	a. The Board of Directors of a listed entity shall include at least : - two non-executive Directors; or - such number of non-executive Directors equivalent to one third of the total number of Directors whichever is higher	Six of the nine Directors are non-executive Directors. The names of the non-executive Directors are set out in the Report of the Board of Directors on page 116.
7.10.2	Independent Directors	
	a. Where the constitution of the Board of Directors includes only two non-executive Directors in terms of 7.10.1, both such non-executive Directors shall be 'independent'. In all other instances two or 1/3rd of non-executive Directors appointed to the Board, whichever is higher shall be 'independent'.	One third of the Non Executive Directors are Independent Directors.
	b. The Board shall require each non-executive Director to submit a signed and dated declaration annually of his/her independence or non-independence against the specified criteria.	All Non -Executive Directors have submitted their declarations.
7.10.3	Directors disclosures	
	a. The Board shall make a determination annually as to the independence or non-independence of each Director based on such declaration and other information available to the Board and shall set out in the annual report the names of Directors determined to be 'independent'	Deshamanaya M D D Pieris and Mr. R A Fernando are the independent Directors. The Board has determined that by virtue of their professionalism, skill and expertise, these two Directors are independent.
	b. In the event a Director does not qualify as 'independent' against any of the criteria set out below but if the Board, taking account all the circumstances, is of the opinion that the Director is nevertheless 'independent', the Board shall specify the criteria not met and the basis of its determination in the annual report	M D D Pieris and R A Fernando have served as Directors for over 9 years. However, they meet all the other criteria of independent Directors.

Corporate Governance

Section No.	Listing Rules of the Colombo Stock Exchange	Level of compliance
	c. In addition to disclosures relating to the independence of a Director set out above, the Board shall publish in its annual report a brief resume of each Director on its Board which includes information on the nature of his/her expertise in relevant functional areas.	The profiles of the Directors can be found on pages 100 to 103.
	d. Upon appointment of a new Director to its Board, the entity shall forthwith provide to the Exchange a brief resume of such Director for dissemination to the public. Such resume shall include information on the matters itemized in paragraphs (a), (b) and (c) above.	The Company complies with this requirement, in the event a new Director is appointed to the Board.
7.10.5	Remuneration Committee	
	a. Composition The remuneration committee shall comprise; - of a minimum of two independent non-executive Directors (in instances where an entity has only two Directors on its Board); or - of non-executive Directors a majority of whom shall be independent, whichever shall be higher. One non-executive shall be appointed as Chairman of the committee by the Board of Directors.	The Committee comprises two non-executive independent Directors, and is chaired by a Non Executive Independent Director.
	b. Functions The Remuneration Committee shall recommend the remuneration payable to the executive Directors and Chief Executive Officer of the Listed Entity and/or equivalent position thereof, to the Board of the Listed Entity which will make the final determination upon consideration of such recommendations.	The Committee periodically reviews Directors' remuneration and makes recommendations to the Board. The Committee report is on page 126.
	c. Disclosure in the Annual Report The annual report should set out the names of Directors (or persons in the parent company's committee in the case of a group company) comprising the remuneration committee, contain a statement of the remuneration policy and set out the aggregate remuneration paid to executive and non-executive Directors.	The Remuneration Committee comprises the Independent Directors Deshamanaya M D D Pieris and Mr. R A Fernando. The aggregate remuneration paid to executive and non-executive Directors is disclosed on page 278.

Section No.	Listing Rules of the Colombo Stock Exchange	Level of compliance
7.10.6	Audit Committee	
	a. Composition The audit committee shall comprise; - of a minimum of two independent non-executive Directors (in instances where the entity has only two Directors on its board); or - of non-executive Directors a majority of whom shall be independent, whichever shall be higher. One non-executive shall be appointed as Chairman of the committee by the Board of Directors. The Chairman or one member of the committee should be a Member of a recognised professional accounting body.	The Committee comprises three Non-Executive Directors, two of whom are Independent. The Committee is chaired by a Non Executive Director.
	b. Functions Shall include, (i) Overseeing of the preparation, presentation and adequacy of disclosures in the financial statements of a Listed Entity, in accordance with Sri Lanka Accounting Standards. (ii) Overseeing of the Entity's compliance with financial reporting requirements, information requirements of the Companies Act and other relevant financial reporting related regulations and requirements. (iii) Overseeing the processes to ensure that the Entity's internal controls and risk management are adequate, to meet the requirements of the Sri Lanka Auditing Standards. (iv) Assessment of the independence and performance of the entity's external auditors. (v) To make recommendations to the Board pertaining to appointment, re-appointment and removal of external auditors and to approve the remuneration and terms of engagement of the external auditors.	The Committee is guided by a Board approved Audit Committee Charter which includes the functions listed here.
	c. Disclosure in the Annual Report The names of the Directors (or persons in the parent company's committee in the case of a group company) comprising the audit committee should be disclosed in the annual report. The committee shall make a determination of the independence of the auditors and shall disclose the basis for such determination in the annual report. The annual report shall contain a report by the audit committee, setting out the manner of compliance by the entity in relation to the above, during the period to which the annual report relates.	The Committee comprises Mrs R L Nanayakkara, a Non Executive Director and the Independent Directors Deshamanya M D D Pieris and R A Fernando. Mrs Nanayakkara serves as the Committee Chairperson. Please refer the Committee report on page 130.

Report of the Remuneration Committee

Over the past few years, the Remuneration Committee has expanded its scope to include significant aspects of the Company's Human Resources management. This was in recognition of the role played by senior management and other officers essential to the successful running of operations.

To ensure employee quality, the Committee reviewed the Group's sourcing strategy, and noted salary surveys which enabled the Group's remuneration packages to be competitive.

The Committee had recommended that officers playing critical roles be identified, together with alternate officers. The Committee discussed this with the Managing Director, and received the assurance that such officers had been identified and succession plans were in place to ensure no disruption would be caused by loss of key employees. In any event, the Group's retention rate is reassuringly high. The Group has also won several HR awards, underscoring employee satisfaction.

To further ensure retention, and to enhance existing skills, The Committee recommended appropriate training. The Committee invited the Deputy Chairman to review current training, which is primarily aligned with the Group's strategic direction and core functional areas.

Noting that the Group's diversification now included investments in other countries in the region, the Committee recommended that key officers to be provided with high level management training, which would enhance their scope and facilitate a global perspective. In this connection, the Committee also proposed that the MD and the Deputy Chairman consider the INSEAD Advanced Management program

The Committee, which comprises two independent directors, Mr M D D Pieris and Mr R A Fernando (Committee Chairman) met once during the year.

R A Fernando
Chairman
Remuneration Committee

Report of the Nomination Committee

The Nomination Committee was established in 2009 as one of the steps taken by the Board to strengthen Corporate Governance. Over the years, the Committee has reviewed Board composition, Board evaluations and Directors' meeting attendance. At the appropriate times in the past, Board composition has been in compliance with the respective regulatory authority (such as the Central Bank of Sri Lanka, when the Company was still engaged in leasing). Further, with the exception of the recent past, there has been no vacancy on the Board. For these reasons, the Committee has not needed to evaluate or recommend potential directors.

At its deliberations this year, the Committee discussed its key function, which is to nominate potential directors. The Committee considered the significant changes that have taken place since its appointment. The Company has transitioned from a leasing company to a holding company, with a completely different focus. As lending operations have reduced, the company's functions and the role it plays in the Group have undergone a complete change. The Group has also grown both in size and in diversity. The Committee came to the conclusion that at this point in time, it would be more beneficial if Board nominations and evaluations were debated and decided by the Board as a whole.

Accordingly, this Committee was dissolved with effect from March 2015.

Deshamanya M D D Pieris
Chairman
Nomination Committee

Report of the Integrated Risk Management Committee

The IRMC was originally established by the Board of Directors in compliance with the Central Bank of Sri Lanka's Direction on Corporate Governance. After the Company ceased leasing operations, and was no longer bound by the above mentioned Direction, the Directors debated the need to retain this committee. It was agreed that, though it was no longer a regulatory requirement, the Committee should continue to function. Risk identification and management are critical for any company, and it was felt that this was especially true for the holding company of a conglomerate which was not only diverse in nature, but also constantly growing.

With its transition to a holding company, LOLC 's focus on operations has shifted to identifying, making and monitoring strategic investments and the Committee reviews reflect that shift. Potential risks analyzed include sectoral risks, sensitivity analyses and investment strategies and policies, thus widening the risk profile and enlarging the scope of the reviews. In addition, the Committee reviews the applicability of polices at Group level and consistency of procedures and standards Group wide.

Since the Group works to optimize the benefits of shared services, the Committee also periodically reviews information flow between subsidiaries and the holding company, prioritizing of IT developments within sectors, management of resources (including human resources) and strengthening of controls including early detection and proactive handling of fraud.

The Committee is chaired by Mrs R L Nanayakkara and the other members are :

Mr M D D Pieris -
Independent Director

Mr W D K Jayewardene -
Managing Director and Group CEO

the Chief Risk Officer

the Chief Financial Officer

the Chief Credit Officer

the GM Treasury

the Chief Information Officer

the Chief Legal Officer

the CEO Recoveries

the Chief Human Resource Officer

the Head of IT Security and Compliance.

The Executive Director also attends by invitation.

The combination of the views of executive, non executive and independent Directors is further enriched by the broad spectrum of management, covering the key operational areas. Identified risks could be checked against applicable sectors, to detect endemic stresses, and challenges in one sector could be also examined in light of how they would impact linked sectors. Thus, risks are reviewed in a truly integrated manner.

The Committee met three times during the year.

Mrs R L Nanayakkara
Chairperson
Integrated Risk Management Committee

Report of the Corporate Governance Committee

The Corporate Governance Committee was appointed several years ago, when the Board recognized the need for a sub-committee to focus on governance and compliance, in addition to the Board's monthly review of performance and growth.

Among the important issues identified were the need for quality information to be submitted to the Board, not only for the Directors to be kept aware and informed, but also to enable them to review and check procedures, processes and controls. To this end, the Committee has periodically reviewed existing reports and their adequacy when viewed against growth and other changes in the group. Based on the Committee's recommendations to the Board there have been improvements made in the reports submitted, both in terms of frequency and scope, and thereby an enhancement of information flow.

With the detailed reports being studied by other sub committees, the Committee recently reviewed its own role, to ensure that it remains a value addition, with no duplication of work done by other committees.

It was agreed that the Committee would remain, and the Executive Director Mrs K U Amarasinghe and the Executive Managing Director Mr W D K Jayawardene be also appointed to the Committee.

The other members are the two independent Directors, Mr M D D Pieris (Committee Chairman) and Mr R A Fernando, and the non-executive Chairperson Mrs R L Nanayakkara.

The Committee met once during the year.

Deshamanya M D D Pieris
Chairman
Corporate Governance Committee

Report of the Audit Committee

The Audit Committee comprises the two independent Directors M D D Pieris and R A Fernando and the non-executive Chairperson Mrs. R L Nanayakkara, who also functions as the Committee Chairman. The Managing Director, the Executive Director and the Deputy Chairman attend meetings by invitation.

The role of the Committee is defined by its Board approved Terms of Reference, and one of its key functions is to assist the Board with oversight of the financial reporting system of the Company. As LOLC is now the holding Company, the scope of the Committee has enlarged to include all aspects of the consolidated financials.

To ensure that adequate time and attention is given to critical aspects of operations and reporting, the Committee annually schedules a minimum of 4 meetings to discuss financial statements. At these meetings the auditors are invited to be present, so that any concerns can be addressed and steps taken to rectify any failings. To enhance independence, the Audit Committee requests the invitees (the management and the executive Directors) to withdraw, enabling the Auditors to highlight any issues.

Based on discussions with the Auditors, the Committee makes recommendations to the Board on improving the quality and timeliness of information and also on improvements to system controls.

Additional meetings are scheduled to review internal audit reports which highlight operational or procedural weaknesses. Here too, the scope of the review goes beyond the Company to its subsidiaries and helps the Committee and ultimately the Board to play its role of oversight. The Committee has taken the view that the participation of the management is necessary to put in place structures and controls that ensure compliance while facilitating performance. For this reason the Committee invites the Chief Financial Officer, the Chief Risk Officer, The Group Treasurer, the Chief Information Officer, the Head of IT Security and Compliance, the Chief Legal Officer and the Head of HR to attend these meetings. Discussions therefore are comprehensive and wide ranging, and enable the best possible solution to be reached, with the contribution and concurrence of the management.

The Committee has also decided to retain a schedule it adopted when the Company was still licensed by the Central Bank of Sri Lanka to engage in leasing. This schedule ensures that several key areas including a review of the accuracy and integrity of the financial reporting systems, accounting judgements and policies, compliance with accounting standards and the independence of the external and internal auditors are reviewed at least annually.

A comprehensive system of minuting and recording issues raised at meetings ensures that such issues, and the corrective steps agreed upon can be reviewed at the following meeting. In this way, matters can be followed to an appropriate conclusion.

Minutes of the Meetings of the Audit Committee are also tabled at the Board meetings. This not only serves to keep the whole Board informed of the matters discussed, it also enables the other Directors to seek further clarification and enhance decision making by their comments and recommendations.

The Committee reviews the fees to be paid to the External Auditors and makes its recommendation to the Board.

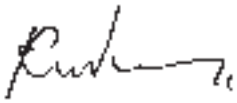
Having given consideration to the independence of the External Auditors, the Audit Committee was satisfied that the Auditors, M/s Ernst and Young are independent. This determination was based on the following :

a period of service - Ernst and Young were appointed Auditors, with shareholder approval, in June, 2008 ;

b fees and services - neither the fees paid nor the non-audit services rendered are of sufficient quantum to impair their independence.

Accordingly, the Audit Committee has recommended to the Board of Directors that Messrs Ernst and Young be reappointed as Auditors for the financial year ending 31st March, 2016. The reappointment of the Audit Firm and the authorising of the Board to negotiate its fee will be subject to the approval of the shareholders at the Annual General Meeting.

The Committee met nine times during the financial year 2014/15.



Mrs R L Nanayakkara
Chairperson - Audit Committee

"LOLC has been excellent in their service and very flexible. They identify our problems and cater to our needs and that's been great, and they've helped us grow with their facilities."

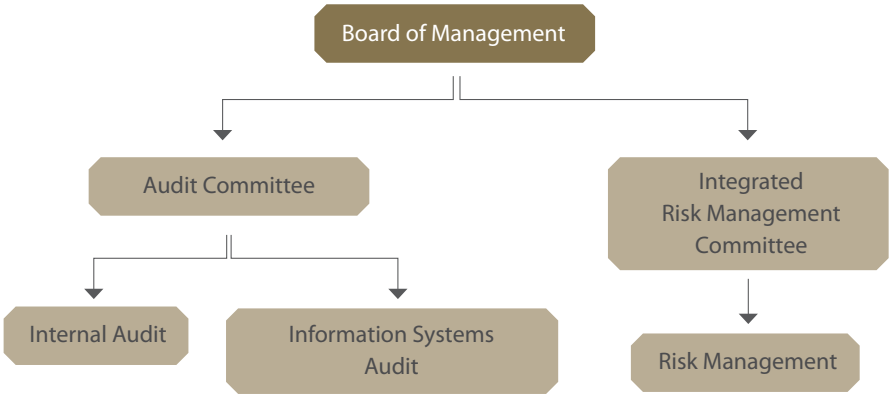
Indrani Wimalasena - Director
Tropical Fish International (Pvt) Ltd.

Risk Management

Managing risks in unison

Risk Management is an organisation-wide effort and a responsibility which cascades down from the Board of management to the operational level employees. Defining risk as "Anything which hinders the achievement of the organisational objectives", highlights the importance of having an organisational wide risk management mechanism which is robust, flexible and reliable. With a vision in risk management of "Building an organisational culture where Protection, Assurance, Reliability, Accountability, Transparency and Confidentiality are treasured and lasting values ", we have embarked on a journey of making every employee of the Group a risk manager. Thus every action, decision taken within their scope of duty is embedded with a reasonable assessment of risk.

LOLC being a conglomerate, requires that the optimal yet feasible structures and mechanisms are adopted in risk management. At LOLC, Enterprise Risk Management is a Group level centralized function and is a union of Risk Management, Internal Audit & Information Systems Audit. All three functions maintain their total independence by having reporting lines to the Chairman and the Board of management via the Integrated Risk Management Committee and the Audit Committee. The same risk governance structure is replicated for the other regulated entities in the Group.



Synergy of functions

The risk management function primarily forms the independent reporting line on risk to the Board of management, while the audit function forms the monitoring arm to ascertain the adequacy, reliability and the consistency of the internal control framework. The IS audit function reviews the controls ensuring the confidentiality, Integrity and the availability of the IT systems and the internal controls governing the ICT related functions. In addition, it plays a supporting role to both the internal audit and risk management in monitoring and advising on the technological risks.

The three functions described above complement each other and draw from the synergies to make an effective risk management structure and maintain close ties with the compliance function. The internal audit does a comprehensive review on processes, operations and on functions carried out at the business locations subject

to the resources available to it, covering all regulated and significant entities of the group. Audit Resources are allocated based on the perceived risk of operations of the entities and its significance to the group. The IT audits covers the business applications, ICT infrastructure and the related processes. The expansion of the Group and its operations has necessitated strengthening the audit team and this was done towards the final quarter of the year under review. At present, part of the audit team is stationed in main operational centers of the respective subsidiaries of the Group while the others are dispersed among the regional operational centres thus giving the audit team easy access to core business locations. The Audit team looks beyond traditional auditing and focusses on process & efficiency improvements too. In addition, a more active role is played by the audit in ensuring that their recommendations are implemented by obtaining an all clear sign-off from the auditee in addition to the follow up audits conducted by the auditors.

The risk management function draws information from various sources both internal and external. The management is appraised of the potential risks arising and recommended action for the mitigation, avoidance or capitalizing on the opportunities that arise. The risks identified and addressed are constantly monitored and any adverse movement of such risk indicators are highlighted for appropriate action by the management.

We understand that it is vital to keep in touch with the latest development in our business environment and to maintain the relevant skills and the knowledge. Therefore, we make a conscious effort to train and acquire the diverse knowledge and the skills set required to effectively manage the risks with in the Group.

Towards our vision

We believe in empowering stakeholders in managing risks. In this aspect the ERM division addresses the new recruits to the Group, with a view of enhancing their awareness of risks faced and appropriate actions to be taken. This effort is to be complemented by risk trainings for identified business units which are proposed to be held in coordination with the human resource department. During the year, we increased our consultative engagements with the other business units in order to manage risks on a pro active basis and such engagements totaled 128 man hours for the last six months. This initiative will continue into the future.

The dynamic nature of the operations and the expansions require us to increase our access to information and transaction related data. We deployed data analytic techniques which will enable us to have a more holistic view of the operations of the organisation. The enhanced capabilities of the Risk monitoring system complements our ability to respond to emerging risks more effectively and efficiently.

In the next financial year, we hope to shift towards continuous auditing and monitoring while still maintaining the appropriate mix between currency of information and historical data for auditing & risk management purposes. Further, we are looking towards enhancing our forecasting abilities which would help the management to have a futuristic view of risks faced which will ultimately add sustainable value to the organisation.

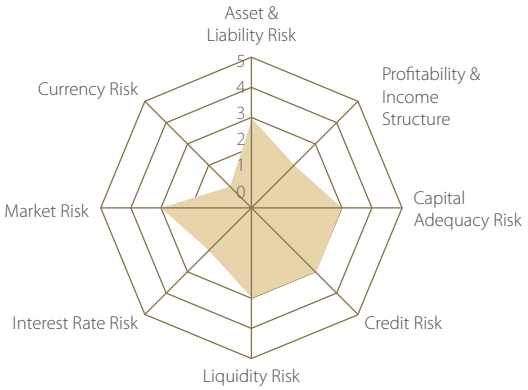
Risk Profile

This is a high level categorisation based on perceived risk used for the illustration purposes of this report.

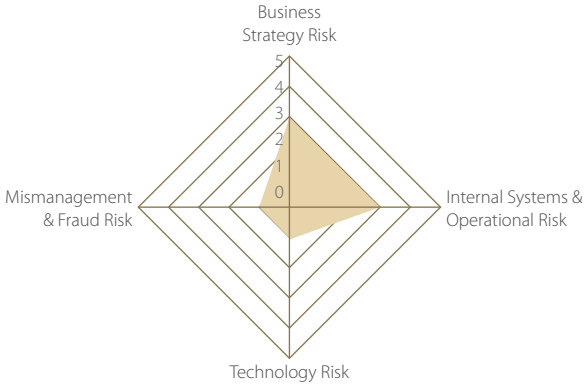
Risk Levels	Risk Score
Very High	5
High	4
Medium	3
Low	2
Very Low	1

Risk Management

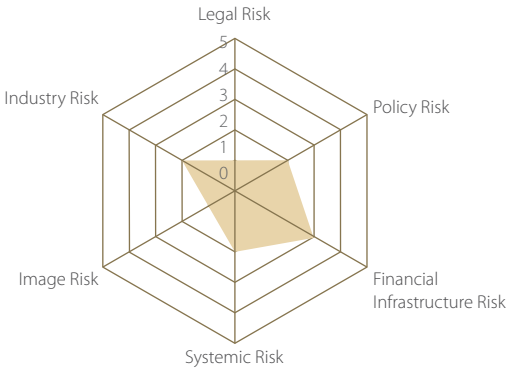
Financial Risks



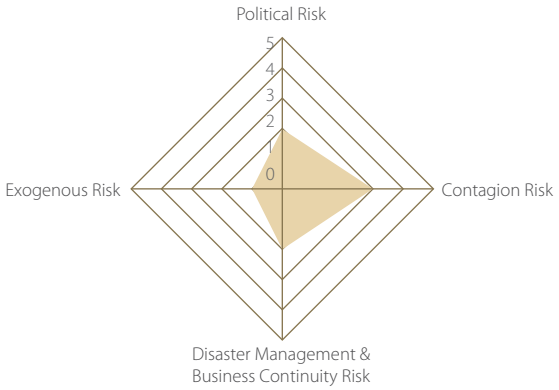
Operational Risks



Business Risks



Event Risks



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'Togetherness'

ENDURING PARTNERSHIPS THAT CHANGE LIVES

Financial Information

Financial Calendar

FINANCIAL CALENDAR 2014/15

1st Quarter Results 2014/2015 released on ..... 07th August 2014

2nd Quarter Results 2014/2015 released on ..... 11th November 2014

3rd Quarter Results 2014/2015 released on ..... 12th February 2015

4th Quarter Results 2014/2015 released on ..... 27th May 2015

Annual Report for 2014/2015 released in ..... August 2015

36th Annual General Meeting in ..... August 2015

PROPOSED FINANCIAL CALENDAR 2015/16

1st Quarter Results 2015/2016 will be released on ..... 14th August 2015

2nd Quarter Results 2015/2016 will be released on ..... 13th November 2015

3rd Quarter Results 2015/2016 will be released on ..... 15th February 2016

4th Quarter Results 2015/2016 will be released on ..... 31st May 2016

Annual Report for 2015/2016 will be released in ..... June 2016

37th Annual General Meeting in ..... June 2016

Chief Executive Officer's and Chief Financial Officer's Responsibility Statement

The Financial Statements are prepared in compliance with the Sri Lanka Accounting Standards issued by The Institute of Chartered Accountants of Sri Lanka and the requirements of the Companies Act No. 07 of 2007 and any other applicable statutes to the extent applicable to the Company.

There are no departures from the prescribed accounting standards in their adoption. The accounting policies used in the preparation of the Financial Statements are appropriate and are consistently applied.

The Board of Directors and the management of your Company accept responsibility for the integrity and objectivity of these Financial Statements. The estimates and judgements relating to the Financial Statements were made on a prudent and reasonable basis, in order that the Financial Statements reflect in a true and fair manner, the form and substance of transactions and reasonably present the Company's state of affairs. To ensure this, the Company has taken proper and sufficient care in installing a system of internal controls and accounting records, for safeguarding assets and for preventing and detecting frauds as well as other irregularities, which is reviewed, evaluated and updated on an ongoing basis. Our Internal Auditors have conducted periodic audits to provide reasonable assurance that the established policies and procedures of the Company were consistently followed. However, there are inherent limitations that should be recognised in weighing the assurances provided by any system of internal controls and accounting.

The Financial Statements were audited by Ernst & Young, Chartered Accountants, the Company's External Auditors. The Audit Committee of your Company meets periodically with the Internal Auditors and the External Auditors to review the manner in which these auditors are performing their responsibilities and to discuss auditing, internal control and financial reporting issues. To ensure complete independence, the External Auditors and the Internal Auditors have full and free access to the members of the Audit Committee to discuss any matter of substance.

It is also declared and confirmed that the Company has complied with and ensured compliance by the Auditor with the guidelines for the audit of listed companies where mandatory compliance is required. It is further confirmed that all the other guidelines have been complied with.

Kapila Jayawardena
Group Managing Director/CEO

Sunjeevani Kotakadeniya
Chief Financial Officer

LOLC Group
30 June 2015

Directors' Responsibility for Financial Reporting

The Directors confirm that the Company's Financial Statements for the year ended 31 March 2015 are prepared and presented in conformity with the requirements of the Sri Lanka Accounting Standards, the Regulations and Directions of the Central Bank of Sri Lanka, the Listing Rules of the Colombo Stock Exchange, the Finance Leasing Act No. 56 of 2000 and the Companies Act No. 07 of 2007.

They believe that the Financial Statements present a true and fair view of the state of the affairs of the Company and of the Group as at the end of the financial year.

The Directors also accept responsibility for the integrity and accuracy of the Financial Statements presented and confirm that appropriate accounting policies have been selected and applied consistently and reasonable and prudent judgment has been exercised so as to accurately report transactions.

The Directors have taken reasonable steps to safeguard the assets of the Company, to prevent, deter and detect fraud, and to ensure the integrity, accuracy and safeguarding of operational and financial records.

The Directors confirm that to the best of their knowledge, all statutory payments due in respect of the Company and its subsidiaries as at the Balance Sheet date have been paid for, or where relevant, provided for.

The Directors believe that the Company is in a position to continue its operations in the foreseeable future. Accordingly, the Financial Statements are prepared on the basis that the Company is a going concern.

The External Auditors, Ernst & Young, were provided with the opportunity to make appropriate inspections of financial records, minutes and other documents to enable them to form an opinion of the Financial Statements. The Independent Auditor's Report is set out on page 139.

Kapila Jayawardena
Group Managing Director / Chief Executive Officer

30 June 2015

Independent Auditors' Report

Ernst & Young
Chartered Accountants
201 De Saram Place
P.O. Box [illegible]
Colombo 10
Sri Lanka

Tel : +94 11 2463500
Fax (Gen) : +94 11 2697369
Tax : +94 11 55 [illegible]
www.xlk.ey.com
ey.com

TO THE SHAREHOLDERS OF LANKA ORIX LEASING COMPANY PLC

Report on the Financial Statements

We have audited the accompanying financial statements of Lanka ORIX Leasing Company PLC, (the " Company"), and the consolidated financial statements of the Company and its subsidiaries (the "Group"), which comprise the statement of financial position as at 31 March 2015, and the statement of profit or loss, statement of comprehensive income, statement of changes in equity and, statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Board's Responsibility for the Financial Statements

The Board of Directors (the "Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditors consider internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group as at 31 March 2015, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we state the following:

a) The basis of opinion, scope and limitations of the audit are as stated above.

b) In our opinion:

- we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company,
- the financial statements of the Company give a true and fair view of its financial position as at 31 March 2015, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards, and
- the financial statements of the Company and the Group comply with the requirements of sections 151 and 153 of the Companies Act No. 07 of 2007.

30 June 2015
Colombo

Statement of Financial Position

As at 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000 Restated	Group 01 Apr 2013 Rs.'000 Restated	Company 2015 Rs.'000	Company 2014 Rs.'000
Assets						
Cash in hand and favorable bank balances	17.1	**7,934,390**	5,173,497	6,406,322	**229,710**	94,205
Trading assets - fair value through profit or loss	18	**1,106,441**	885,802	1,599,721	**514,556**	536,325
Investment securities	19	**18,302,263**	16,172,946	12,869,603	**681,970**	382,733
Finance lease receivables, hire purchases and operating leases	20	**41,335,375**	36,259,242	38,090,460	**1,684**	1,069
Advances and other loans	21	**98,525,051**	54,285,641	49,724,225	**1,310,259**	1,513,662
Insurance premium receivables	22	**602,099**	449,589	303,431	**-**	-
Inventories	23	**1,833,672**	1,868,627	2,471,089	**10,250**	44,435
Current tax assets	24	**1,183,563**	1,103,421	964,771	**213,429**	186,559
Trade and other current assets	25	**9,103,067**	7,047,160	5,717,760	**5,526,203**	2,826,612
Prepaid lease rentals on leasehold properties	26	**342,816**	51,088	45,045	**-**	-
Investment properties	27	**8,807,369**	6,655,490	6,203,688	**344,000**	331,500
Real estate stocks		**-**	-	2,599	**-**	-
Biological assets;						
Consumer biological assets	28	**6,383,655**	-	-	**-**	-
Bearer biological assets	29	**5,803,318**	-	-	**-**	-
Investments in group of companies;						
Subsidiary companies	30	**-**	-	-	**42,126,050**	32,624,979
Jointly controlled entities	31	**-**	1,468,716	1,518,949	**-**	14,298
Equity accounted investees - Associates	32	**15,067,850**	13,472,316	10,105,241	**7,650,205**	7,009,249
Deferred tax assets	33.1	**516,785**	313,170	508,774	**61,120**	-
Intangible assets	34	**2,251,313**	722,549	752,653	**140,021**	142,276
Property, plant and equipment	35	**26,964,198**	21,510,354	17,229,442	**3,799,803**	3,546,245
Total assets		**246,063,225**	167,439,608	154,513,773	**62,609,260**	49,254,147

As at 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000 Restated	Group 01 Apr 2013 Rs.'000 Restated	Company 2015 Rs.'000	Company 2014 Rs.'000
Liabilities and equity						
Liabilities						
Bank overdrafts	17.2	**6,118,548**	2,819,302	6,778,097	**354,777**	399,689
Derivative liabilities	36	**501,490**	405,434	627,652	**1,203**	6,443
Deposits liabilities	37	**50,587,239**	49,614,880	35,397,144	**-**	-
Interest bearing borrowings	38	**113,113,592**	64,048,889	65,582,721	**24,661,179**	13,853,920
Insurance provision - life	39.1	**774,865**	271,792	116,139	**-**	-
Insurance provision - general	39.2	**1,595,644**	1,248,685	928,051	**-**	-
Current tax payables	40	**1,635,727**	1,058,724	922,418	**193,901**	179,186
Trade and other payables	41	**8,074,796**	5,464,397	3,748,295	**2,327,317**	529,238
Deferred tax liabilities	33.3	**3,404,404**	2,220,836	1,698,206	**-**	7,282
Deferred income	42	**470,526**	11,390	31,793	**-**	-
Retirement benefit obligations	43	**2,518,644**	355,199	290,275	**174,515**	149,112
Total liabilities		**188,795,475**	127,519,528	116,120,791	**27,712,892**	15,124,870
Equity						
Stated capital	44	**475,200**	475,200	475,200	**475,200**	475,200
Reserves	45	**5,304,386**	5,357,905	2,268,778	**1,772,798**	1,509,262
Retained earnings	46	**22,713,066**	17,069,012	18,144,262	**32,648,370**	32,144,815
Equity attributable to shareholders of the Company		**28,492,652**	22,902,117	20,888,240	**34,896,368**	34,129,277
Non-controlling interests		**28,775,098**	17,017,963	17,504,742	**-**	-
Total equity		**57,267,750**	39,920,080	38,392,982	**34,896,368**	34,129,277
Total liabilities & equity		**246,063,225**	167,439,608	154,513,773	**62,609,260**	49,254,147

The notes on pages 152 through 300 form an integral part of these financial statements.

Figures in brackets indicate deductions

I certify that these Financial Statements have been prepared and are presented in compliance with the requirements of the Companies Act, No.07 of 2007.

Mrs. S.S. Kotakadeniya
Chief Financial Officer

The Board of Directors is responsible for the preparation and the presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;

Mrs. R.L. Nanayakkara
Chairperson

Mr. W.D.K. Jayawardena
Group Managing Director / CEO

30 June 2015, Rajagiriya (Greater Colombo)

Statement of Profit or Loss

For the year ended 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000 Restated / Reclassified	Company 2015 Rs.'000	Company 2014 Rs.'000
Gross income	4	**44,585,605**	40,204,723	**2,914,376**	5,460,558
Interest Income	4.1	**27,774,990**	23,936,293	**988,486**	2,063,488
Interest Expense	6	**(12,508,370)**	(14,849,178)	**(1,686,278)**	(2,720,484)
Net Interest Income		**15,266,620**	9,087,115	**(697,792)**	(656,996)
Revenue	4.2	**10,728,830**	10,783,295	**-**	-
Cost of sales		**(7,239,535)**	(7,430,790)	**-**	-
Gross profit		**3,489,295**	3,352,505	**-**	-
Income	4.3	**4,752,194**	3,588,553	**57,752**	47,890
Other income/(expenses)	5	**1,329,591**	1,896,582	**1,868,138**	3,349,180
Profit before operating expenses		**24,837,700**	17,924,755	**1,228,098**	2,740,074
Operating expenses					
Direct expenses excluding finance costs	7	**(3,142,816)**	(2,236,834)	**(13,303)**	(95,750)
Personnel costs	8	**(4,970,286)**	(3,478,446)	**(155,396)**	(129,311)
Net impairment loss on financial assets	9	**(4,133,977)**	(3,490,519)	**16,135**	72,392
Depreciation and amortization	10	**(1,067,178)**	(866,715)	**(306,724)**	(308,429)
Other operating expenses	11	**(5,972,501)**	(5,444,252)	**(310,606)**	(1,589,934)
Results from operating activities	12	**5,550,942**	2,407,989	**458,204**	689,042
Gain on disposal of subsidiaries		**-**	79,845	**-**	-
Share of profits of equity accounted investees	13.1	**1,938,465**	1,454,158	**-**	-
Results on acquisition of Group investments	14	**660,947**	493,586	**-**	-
Profit before income tax expense		**8,150,354**	4,435,578	**458,204**	689,042
Income tax expense	15	**(1,870,647)**	(1,366,889)	**45,408**	5,218
Profit for the year		**6,279,707**	3,068,689	**503,612**	694,260

The notes on pages 152 through 300 form an integral part of these financial statements.

Figures in brackets indicate deductions

Statement of Comprehensive Income

For the year ended 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Profit for the year		**6,279,707**	3,068,689	**503,612**	694,260
Other comprehensive income					
Items that will never be reclassified to profit or loss					
Revaluation surplus of property, plant and equipment					
Revaluation of property, plant and equipment		**209,287**	2,063,810	-	787,783
Related tax	15.8	**2,265**	(127,071)	-	(88,554)
Defined benefit plan actuarial gains / (losses)					
Re-measurement of defined benefit liabilities	43	**(13,017)**	(51,082)	**(57)**	(38,842)
Related tax	15.8	**78**	16,031	-	10,876
Items that are or may be reclassified to profit or loss					
Available for sale financial instruments					
Net change in fair value of available-for-sale financial assets		**393,106**	(130,242)	**266,963**	(72,302)
Impairement of AFS transfers to profit or loss		-	136,199	-	136,199
Transfers upon disposals		**(114,374)**	(1,475,184)	-	-
Foreign currency translation differences for foreign operations					
Exchange gain from translation of foreign operations		**215,626**	42,721	-	-
Fair value differences on cash flow hedges					
Net movement in cash flow hedges		**(120,916)**	(23,848)	**(3,427)**	(21,816)
Share of other comprehensive income of equity accounted investees (net of tax)	13.2	**(117,359)**	466,680	-	-
Other comprehensive income/ (expense) for the year, net of tax		**454,696**	918,014	**263,479**	713,344
Total comprehensive income for the year		**6,734,403**	3,986,703	**767,091**	1,407,604
Profit attributable to;					
Equity holders of the Company		**5,399,185**	1,515,767	**503,612**	694,260
Non-controlling interests		**880,522**	1,552,922	-	-
		6,279,707	3,068,689	**503,612**	694,260
Total comprehensive income attributable to;					
Equity holders of the Company		**5,637,040**	4,227,420	**767,091**	1,407,604
Non-controlling interests		**1,097,363**	(240,717)	-	-
		6,734,403	3,986,703	**767,091**	1,407,604
Basic earnings per share	16.1	**11.36**	3.19	**1.06**	1.46

The notes on pages 152 through 300 form an integral part of these financial statements.

Figures in brackets indicate deductions

Statement of Changes in Equity

Company	Note	Equity attributable to the shareholders of the Company			
		Stated Capital Rs.'000	Revaluation Reserve Rs.'000	Cash Flow Hedge Reserve Rs.'000	Fair Value Reserve on AFS Rs.'000
Balance as at 01 April 2013		475,200	600,887	25,962	(63,897)
Total comprehensive income for the period					
Profit for the year		-	-	-	-
Other comprehensive income					
Net change in fair value of available-for-sale financial assets		-	-	-	(72,302)
Impairement of AFS transfers to profit or loss		-	-	-	136,199
Net movement of cash flow hedges		-	-	(21,816)	-
Revaluation of Property, plant & equipment	35	-	787,783	-	-
Deferred tax on revaluation	15.8	-	(88,554)	-	-
Re-measurement of defined benefit liabilities	43	-	-	-	-
Deferred tax on re-measurement of defined benefit liabilities	15.8	-	-	-	-
Total comprehensive income for the period		-	699,229	(21,816)	63,897
Transactions with Owners directly recorded in the Equity					
Contributions by and distributions to owners					
Dividends forfeited		-	-	-	-
Total transactions with the owners of the Company		-	-	-	-
Balance as at 31 March 2014		475,200	1,300,116	4,146	-
Total comprehensive income for the period					
Profit for the year		-	-	-	-
Other comprehensive income					
Net change in fair value of available-for-sale financial assets		-	-	-	266,963
Net movement of cash flow hedges		-	-	(3,427)	-
Re-measurement of defined benefit liabilities	43	-	-	-	-
Total comprehensive income for the period		-	-	(3,427)	266,963
Balance as at 31 March 2015		475,200	1,300,116	719	266,963

The notes on pages 152 through 300 form an integral part of these financial statements.

Figures in brackets indicate deductions

Future Taxation Reserve Rs.'000	Retained Earnings Rs.'000	Total Rs.'000
205,000	31,477,436	32,720,588
-	694,260	694,260
-	-	(72,302)
-	-	136,199
-	-	(21,816)
-	-	787,783
-	-	(88,554)
-	(38,842)	(38,842)
-	10,876	10,876
-	666,294	1,407,604
-	1,085	1,085
-	1,085	1,085
205,000	32,144,815	34,129,277
-	503,612	503,612
-	-	266,963
-	-	(3,427)
-	(57)	(57)
-	503,555	767,091
205,000	32,648,370	34,896,368

Statement of Changes in Equity

Group	Note	Stated Capital Rs.'000	Revaluation Reserve Rs.'000	Cash Flow Hedge Reserve Rs.'000
Balance as at 01 April 2013		475,200	1,047,927	48,355
Total comprehensive income for the period				
Profit for the period		-	-	-
Other comprehensive income				
Net change in fair value of available-for-sale financial assets		-	-	-
Impairement of AFS transfers to profit or loss		-	-	-
Transfers upon disposals		-	-	-
Revaluation of property, plant and equipment		-	1,838,238	-
Deferred tax on revaluation	15.8	-	(116,381)	-
Foreign currency translation differences for foreign operations		-	-	-
Net movement of cash flow hedges		-	-	(19,961)
Re-measurement of defined benefit liabilities	43	-	-	-
Deferred tax on re-measurement of defined benefit liabilities	15.8	-	-	-
Share of other comprehensive income of equity accounted investees (net of tax)	13.2	-	156,900	-
Total comprehensive income for the period		-	1,878,757	(19,961)
Transactions with owners directly recorded in the Equity				
Contributions by and distributions to owners				
Dividends paid during the period		-	-	-
Dividends forfeited during the period		-	-	-
Total contribution by / (distributions to) owners of the Company		-	-	-
Changes in ownership interests in subsidiaries that do not result in a change in control				
Non-controlling interests recognized on acquisition of subsidiaries		-	-	-
De-recognition of non-controlling interests on loss of control of subsidiaries		-	-	-
Acquisition of non-controlling interests		-	-	-
Effect on forward to acquire Diriya non-controlling interests		-	-	-
Changes in ownership interests in subsidiaries that do not result in a change in control		-	-	-
Total transactions due to changes in group holding		-	-	-
Total transactions with owners directly recorded in the Equity		-	-	-
Other movements in equity				
Depreciation transfer on revaluation		-	(174,141)	-
Net transfers to statutory reserve fund		-	-	-
Transfers to investment fund account		-	-	-
Share issue cost of subsidiary companies		-	-	-
Total other movements		-	(174,141)	-
Balance as at 31 March 2014		475,200	2,752,543	28,394

Equity Attributable to the Owners of the Company								
Fair Value Reserve on AFS Rs.'000	Translation Reserve Rs.'000	Future Taxation Reserve Rs.'000	Statutory Reserve Fund Rs.'000	Investment Fund Rs.'000	Retained Earnings Rs.'000	Total Rs.'000	Non-controlling Interests Rs.'000	Total Equity Rs.'000
(694,007)	118,772	205,000	1,035,296	507,435	18,144,262	20,888,240	17,504,742	38,392,982
-	-	-	-	-	1,515,767	1,515,767	1,552,922	3,068,689
23,886	-	-	-	-	-	23,886	(154,128)	(130,242)
136,199	-	-	-	-	-	136,199	-	136,199
490,740	-	-	-	-	-	490,740	(1,965,924)	(1,475,184)
-	-	-	-	-	-	1,838,238	225,572	2,063,810
	-	-	-	-	-	(116,381)	(10,690)	(127,071)
-	42,721	-	-	-	-	42,721	-	42,721
-	-	-	-	-	-	(19,961)	(3,887)	(23,848)
-	-	-	-	-	(55,469)	(55,469)	4,387	(51,082)
	-	-	-	-	15,633	15,633	398	16,031
210,200	-	-	-	-	(11,053)	356,047	110,633	466,680
861,025	42,721	-	-	-	1,464,878	4,227,420	(240,717)	3,986,703
-	-	-	-	-	-	-	(13,198)	(13,198)
-	-	-	-	-	1,085	1,085	-	1,085
-	-	-	-	-	1,085	1,085	(13,198)	(12,113)
-	-	-	-	-	-	-	626,300	626,300
-	-	-	-	-	-	-	(102,230)	(102,230)
-	-	-	-	-	(2,151,321)	(2,151,321)	(515,607)	(2,666,928)
-	-	-	-	-	216,496	216,496	(225,575)	(9,079)
-	-	-	-	-	(261,917)	(261,917)	(15,752)	(277,669)
-	-	-	-	-	(2,196,742)	(2,196,742)	(232,864)	(2,429,606)
-	-	-	-	-	(2,195,657)	(2,195,657)	(246,062)	(2,441,719)
-	-	-	-	-	174,141	-	-	-
-	-	-	255,486	-	(255,486)	-	-	-
-	-	-	-	245,240	(245,240)	-	-	-
-	-	-	-	-	(17,886)	(17,886)	-	(17,886)
-	-	-	255,486	245,240	(344,471)	(17,886)	-	(17,886)
167,018	161,493	205,000	1,290,782	752,675	17,069,012	22,902,117	17,017,963	39,920,080

Statement of Changes in Equity

Group	Note	Stated Capital Rs.'000	Revaluation Reserve Rs.'000	Cash Flow Hedge Reserve Rs.'000
Balance as at 01 April 2014		475,200	2,752,543	28,394
Total comprehensive income for the period				
Profit for the period		-	-	-
Other comprehensive income				
Net change in fair value of available-for-sale financial assets		-	-	-
Transfers upon disposals		-	-	-
Revaluation of property, plant and equipment		-	89,961	-
Deferred tax on revaluation	15.8	-	852	-
Foreign currency translation differences for foreign operations		-	-	-
Net movement of cash flow hedges		-	-	(131,288)
Re-measurement of defined benefit liabilities	43	-	-	-
Deferred tax on re-measurement of defined benefit liabilities	15.8	-	-	-
Share of other comprehensive income of equity accounted investees (net of tax)	13.2	-	99,724	-
Total other comprehensive income for the period		-	190,537	(131,288)
Total comprehensive income for the period		-	190,537	(131,288)
Transactions with owners directly recorded in the Equity				
Contributions by and distributions to owners				
Dividends paid during the period		-	-	-
Total contribution by / (distributions to) owners of the Company		-	-	-
Transactions due to changes in group holding				
Non-controlling interests recognized on acquisition of subsidiaries	30.5.10	-	-	-
NCI Capital contribution for subsidiaries		-	-	-
Changes in ownership interests in subsidiaries that do not result in a change in control		-	-	-
Total transactions due to changes in group holding		-	-	-
Total transactions with owners directly recorded in the Equity		-	-	-
Other movements in equity				
Depreciation transfer on revaluation		-	(10,666)	-
Net transfers to statutory reserve fund		-	-	-
Transfers to investment fund account		-	-	-
Share issue cost of subsidiary companies		-	-	-
Total other movements		-	(10,666)	-
Balance as at 31 March 2015		475,200	2,932,414	(102,894)

The notes on pages 152 through 300 form an integral part of these financial statements.

Figures in brackets indicate deductions

Equity Attributable to the Owners of the Company								
Fair Value Reserve on AFS Rs.'000	Translation Reserve Rs.'000	Future Taxation Reserve Rs.'000	Statutory Reserve Fund Rs.'000	Investment Fund Rs.'000	Retained Earnings Rs.'000	Total Rs.'000	Non-controlling Interests Rs.'000	Total Equity Rs.'000
167,018	161,493	205,000	1,290,782	752,675	17,069,012	22,902,117	17,017,962	39,920,079
-	-	-	-	-	5,399,185	5,399,185	880,522	6,279,707
301,086	-	-	-	-	-	301,086	92,020	393,106
(43,018)	-	-	-	-	-	(43,018)	(71,356)	(114,374)
-	-	-	-	-	-	89,961	119,326	209,287
-	-	-	-	-	-	852	1,413	2,265
-	165,627	-	-	-	-	165,627	49,999	215,626
-	-	-	-	-	-	(131,288)	10,372	(120,916)
-	-	-	-	-	(7,551)	(7,551)	(5,466)	(13,017)
-	-	-	-	-	70	70	8	78
(180,123)	-	-	-	-	(57,485)	(137,884)	20,525	(117,359)
77,945	165,627	-	-	-	(64,966)	237,855	216,841	454,696
77,945	165,627	-	-	-	5,334,219	5,637,040	1,097,363	6,734,403
-	-	-	-	-	-	-	(153,931)	(153,931)
-	-	-	-	-	-	-	(153,931)	(153,931)
-	-	-	-	-	-	-	9,708,123	9,708,123
-	-	-	-	-	-	-	1,109,149	1,109,149
-	-	-	-	-	(6,812)	(6,812)	18,133	11,321
-	-	-	-	-	(6,812)	(6,812)	10,835,405	10,828,593
-	-	-	-	-	(6,812)	(6,812)	10,681,474	10,674,662
-	-	-	-	-	10,666	-	-	-
-	-	-	407,001	-	(407,001)	-	-	-
-	-	-	-	(752,675)	752,675	-	-	-
-	-	-	-	-	(39,693)	(39,693)	(21,701)	(61,394)
-	-	-	407,001	(752,675)	316,647	(39,693)	(21,701)	(61,394)
244,963	327,120	205,000	1,697,783	-	22,713,066	28,492,652	28,775,098	57,267,750

Statement of Cash Flow

For the year ended	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Cash flow from operating activities					
Profit before income tax expense		8,150,354	4,435,578	458,204	689,042
Adjustment for:					
(Gain) / loss on sale of property, plant and equipment	5.1	(311,484)	(53,536)	(93,287)	(37,926)
Depreciation and amortization	10	1,067,178	866,715	306,723	308,429
Insurance provision		850,032	476,287	-	-
Change in fair value of forward contracts	5.1	60,242	(43,628)	-	-
Provision for gratuity	43.1	82,331	56,772	30,584	24,121
Net impairment (loss) / reversal on financial assets	9	4,133,977	3,490,519	(16,135)	(72,392)
Provision for fall/(increase) in value of investments	5.1	(104,977)	(6,071)	(71,453)	(76,888)
Investment Income		(1,550,099)	(1,383,772)	(193,708)	(216,270)
Net finance costs		13,606,058	15,946,866	1,686,279	2,720,484
(Profit)/loss on sale of quoted and non-quoted shares	5.1	(105,927)	(1,434,899)	49,402	(946,603)
Foreign exchange gain / (loss)	5.1	(6,536)	146,956	-	3,626
Impairment of investments		-	136,199	57,933	1,286,473
Share of profits of equity accounted investees	13.1	(1,938,465)	(1,454,158)	-	-
Results on acquisition of Group investments	14	(660,947)	(493,586)	-	-
Gain on disposal of subsidiaries		-	(79,845)	-	-
Change in fair value of investment properties	27	(152,182)	(332,461)	(12,500)	(475,000)
Amortization of deferred income	42	(11,390)	(23,349)	-	-
Provision for slow moving inventories	23.1	(180,657)	177,546	-	-
Allowance for trade and other receivables	25.1.1	(246)	19,043	-	-
Transaction cost on acquisition of subsidiaries	30.5.8	18,724	2,500	-	-
Allowance of impairment - goodwill	34.1	-	59,000	-	-
Fair value of previously held interest in BRAC	32.5	(15,554)	-	-	-
Operating profit before working capital changes		22,930,432	20,508,676	2,202,042	3,207,096
Working capital changes					
Increase/(decrease) in trade and other payables		(1,534,761)	1,728,563	1,936,031	(245,012)
(Increase)/decrease in real estate stocks		-	2,599	-	-
(Increase)/decrease in investment in leases, hire purchase and others		(5,072,800)	719,454	(614)	49,283
(Increase)/decrease in investment in advances and other loans		(33,730,676)	(7,150,171)	217,209	1,245,528
(Increase)/decrease in premium receivables		(152,510)	(146,158)	-	-
(Increase)/decrease in inventories		770,499	209,695	34,186	(44,435)
(Increase)/decrease in trade and other receivables		(157,470)	(1,369,987)	(8,805,889)	1,552,941
(Increase)/decrease in customer deposits		855,585	14,217,736	-	-
Cash generated from operations		(16,091,701)	28,720,407	(4,417,035)	5,765,401
Finance cost paid		(13,566,660)	(15,914,545)	(1,817,461)	(2,818,199)
Income tax and Economic Service Charge paid		(1,151,728)	(710,906)	(6,299)	(6,137)
Defined benefit plan costs paid	43	(29,576)	(32,430)	(5,181)	(10,692)
Net cash from/(used in) operating activities		(30,839,665)	12,062,526	(6,245,976)	2,930,373

For the year ended	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Cash flow from investing activities					
Investment in subsidiary companies		-	-	(3,175,707)	(2,749,183)
Net cash and cash equivalents on acquisition of subsidiary	30.5.11	(2,222,010)	(507,781)	-	-
Disposal of subsidiaries		-	-	-	3,815,000
Net cash and cash equivalents received on disposal of subsidiary		-	95,605	-	-
NCI contribution to subsidiary share issues		1,109,149	-		
Investment in equity accounted investees	32.5	(163,647)	(800,202)	(640,955)	(262,462)
Acquisition of property, plant and equipment / Investment properties		(2,764,841)	(2,892,285)	(637,761)	241,926
Acquisition / (Disposal) of intangible assets	34.4	(139,829)	(163,456)	2,254	(46,843)
Net additions to trading assets		272,082	719,990	(299,238)	(24,596)
Net additions to investment securities		(831,100)	(3,873,192)	43,820	276,254
Proceeds from the disposal of property, plant and equipment		311,484	835,525	212,734	615,689
Investment income received		1,550,099	1,425,932	2,075	662
Dividend received		332,125	152,667	26,668	96,101
Net additions of consumer biological assets		(3,518)	-	-	-
Prepayment of lease rentals		(296,280)	-	-	-
Net cash flow from investing activities		(2,846,286)	(5,007,197)	(4,466,110)	1,962,548
Cash flow from financing activities					
Net cash proceeds from short-term interest bearing loans and borrowings		33,413,985	(9,748,162)	8,712,349	(1,252,451)
Principal repayment under finance lease liabilities	38.2.2	(219,748)	(148,139)	(109,097)	(73,330)
Proceeds from long-term interest bearing loans and borrowings		18,383,774	25,250,753	1,773,251	1,283,694
Repayments of long-term interest bearing loans and borrowings		(25,224,038)	(16,733,745)	(1,484,000)	(4,511,631)
Issue / (repayment) of debentures		7,000,000	-	2,000,000	-
Dividends paid to non-controlling interests		(153,931)	(13,198)	-	-
Receipt of deferred income	42	8,950	2,946	-	-
Share issue cost of subsidiaries		(61,394)	(17,886)	-	-
Payments to buy Diriya residual Interests		-	(255,000)	-	-
Acquisition of non-controlling interests		-	(2,666,928)	-	-
Net cash generated from financing activities		33,147,598	(4,329,359)	10,892,503	(4,553,718)
Net increase/(decrease) in cash and cash equivalents during the year		(538,353)	2,725,970	180,417	339,203
Cash and cash equivalents at the beginning of the year		2,354,195	(371,775)	(305,484)	(644,687)
Cash and cash equivalents at the end of the year		1,815,842	2,354,195	(125,067)	(305,484)
Analysis of cash and cash equivalents at the end of the year	17				
Cash in Hand and Favorable Bank Balances		7,934,390	5,173,497	229,710	94,205
Unfavorable Bank Balances used for cash management purposes		(6,118,548)	(2,819,302)	(354,777)	(399,689)
		1,815,842	2,354,195	(125,067)	(305,484)

The notes on pages 152 through 300 form an integral part of these financial statements.

Figures in brackets indicate deductions

Notes to the Financial Statements

1. Reporting entity

1.1 General

Lanka ORIX Leasing Company PLC ('the Company') is a public quoted company incorporated on 14 March 1980 and domiciled in Sri Lanka. The address of the Company's registered office is No. 100/1, Sri Jayawardenapura Mawatha, Rajagiriya, Sri Lanka and the principal place of business is situated at the same place.

The Consolidated Financial Statements of the Company as at and for the year ended 31st March 2015 comprise of the Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities") and the Group's interest in associates and jointly controlled entities.

The Group is primarily involved in providing diversified financial solutions to a wide variety of customer segments and also engaged in diversified activities such as manufacturing, trading, leisure, plantations, construction and power & energy etc.

Ordinary shares of the Company are listed on the main board of the Colombo Stock Exchange (CSE).

1.2 Principal Activities and Nature of Operations

The principle activities of the Company comprised of managing the operations of its group companies and investing in quoted and non-quoted securities.

Description of the nature of operations and principle activities of the subsidiaries, jointly-controlled entities and associates are given on note 30.3, 31.4 and 32.3 respectively to these Financial Statements.

All the group companies incorporated and domiciled in Sri Lanka except for following subsidiaries and associates;

Company	Relationship	Country of incorporation
Thaneakea Phum (Cambodia) Limited	Subsidiary	Cambodia
Bodufaru Beach Resorts (Pvt) Ltd	Subsidiary	Maldives
LOLC Myanmar Micro-Finance Company Limited	Subsidiary	Myanmar
PRASAC Micro Finance Institution Limited	Associate	Cambodia

1.3 Parent Entity and Ultimate Parent Entity

Lanka ORIX Leasing Company PLC is the holding company of the Group and therefore, it does not have an identifiable immediate or ultimate parent of its own.

2. Basis of preparation

2.1 Statement of Compliance

The Financial Statements of the Company and those consolidated with such are prepared in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS) laid down by The Institute of Chartered Accountants of Sri Lanka (ICASL) and in compliance with the Companies Act No. 07 of 2007.

The presentation of these Financial Statements is also in compliance with the requirements of the Finance Leasing Act No 56 of 2000, Finance Business Act No 42 of 2011 and Insurance Industry Act No 43 of 2000 and subsequent amendments there to.

2.2 Presentation of Financial Statements

The assets and liabilities of the Group presented in the Statement of Financial Position are grouped by nature and listed in-order to reflect their relative liquidity and maturity pattern. An analysis regarding recovery or settlement within twelve months after the reporting date (current) and more than twelve months after the reporting date (non-current) is presented in note 52. (Maturity analysis)

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to off-set the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Statement of profit or loss unless required or permitted by an accounting standard or an interpretation, and as specially disclosed in the accounting policies of the Group.

2.3 Basis of Measurement

The Financial Statements of the Group and the Company have been prepared on the historical cost basis, except for the following material items in the statement of financial position,

- Financial instruments at Fair Value through Profit or Loss are measured at fair value
- Derivative financial instruments are measured at fair value
- Available-for-sale financial assets are measured at fair value
- The liability for defined benefit obligations are measured at the present value
- Lands and buildings are measured at the revalued amounts
- Investment properties are measured at fair value
- Consumable Biological assets are measured at fair value less cost to sell
- Except for Tea, other Bearer biological assets are measured at fair value

2.4 Functional and Presentation Currency

The functional currency is the currency of the primary economic environment in which the entities of the Group operate. The Financial Statements are presented in Sri Lankan Rupee (LKR), which is the functional currency of the Group. All financial information presented in Rupee has been rounded to the nearest Rupees thousands unless stated otherwise.

2.5 Use of Estimates and Judgment

The preparation of the Financial Statements in conformity with SLFRSs/LKAS's requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results which form the basis of making the judgments about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Information about critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the Financial Statements are included in the following notes to these Financial Statements.

Critical accounting estimate/judgment	Disclosure reference Note
Financial Instruments – fair value disclosure	51
Determination in fair value of Investment properties	27.3
Useful lives of intangible assets	3.7.5
Useful lives of property, plant and equipment	3.8.1.7
Bearer biological assets	29.2.4
Consumer biological assets	28.2
Goodwill on acquisition	3.1.16 / 34.1
Gain on bargain purchase	3.1.17 / 14
Insurance provision – life	3.28.6
Insurance provision – general	3.28.5
Unearned premium reserve	3.28.5.3
Deferred acquisition cost	3.28.5.6
Retirement benefit obligation	43.2

Notes to the Financial Statements

Critical accounting estimate/judgment	Disclosure reference Note
Un-recognised deferred tax assets	33.6
Deferred tax on undistributed profits of equity accounted investees	3.10.2.2
Write-off policy	3.4.4.2
Collective allowance for impairment	3.4.4
Leasehold right to bare land	3.29.5
Impairment of non-financial assets	3.9
Nature of the relationship between the parent and subsidiaries when the parent does not own, more than half of the voting power	30.4
Material NCI	3.1.3 / 30.6

2.6 Comparative Information

The comparative information is re-classified wherever necessary to conform with the current year's classification in order to provide a better presentation. 2013/14 Comparatives were rested based on the SLFRS 11 implementation which fully described in note 31.5.

In order to provide more meaningful presentation, certain profit or loss line items were reclassified and the effect fully described in note 55.

2.7 Materiality, Presentation and Aggregation

As per LKAS – 01 "Presentation of Financial Statements", each material class of similar items are presented separately in the Financial Statements. Items of dissimilar nature or function are presented separately unless they are immaterial.

The assets and liabilities of the Group presented in the Statement of Financial Position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern.

2.8 Offsetting

Assets and liabilities, and income and expenses, are not offset unless required or permitted by SLFRSs/LKASs.

2.9 Going Concern

The Board of Directors is satisfied that the Group has adequate resources to continue its operations in the foreseeable future and management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern. Therefore going-concern basis has been adopted in preparing these Financial Statements.

2.10 Directors' Responsibility for the Financial Statements

The Board of Directors is responsible for the preparation and fair presentation of these Financial Statements in accordance with Sri Lanka Accounting Standards and as per the provisions of the Companies Act No. 07 of 2007. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of Financial Statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

The Board of Directors acknowledges their responsibility as set out in the "Annual Report of the Board of Directors on the Affairs of the Company" and "Director's Responsibility for Financial Reporting" on page 117 and 138 respectively.

These Financial Statements include the following components;

- A Statement of Financial Position providing the information on the financial position of the Group and the Company as at the year end.
- A Statement of profit or loss providing the information on the financial performance of the Group and the Company for the year under review.
- A Statement of Other Comprehensive Income providing the information of the other comprehensive income of the Group and the Company.

- A Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review of the Group and the Company.
- A Statement of Cash Flows providing the information to the users, on the ability of the Group and the Company to generate cash and cash equivalents and the needs of entities to utilize those cash flows, and
- Notes to the Financial Statements comprising Accounting Policies and other explanatory information.

2.11 Approval of Financial Statements by the Board of Directors

The Financial Statements of the Group and the Company for the year ended 31 March 2015 (including comparatives) were approved and authorized for issue by the Board of Directors on 30 June 2015.

2.12 Changes in accounting policies

Except for the changes below, the Group has consistently applied the accounting policies as set out in Note 3 to all periods presented in these consolidated financial statements.

The Group has adopted the following new standards and amendments to standards, including any consequential amendments to other standards, with a date of initial application of 1 January 2014.

1. SLFRS 10 Consolidated Financial Statements
2. SLFRS 12 Disclosure of Interests in Other Entities
3. SLFRS 11 Joint Arrangements
4. SLFRS 13 Fair Value Measurements
5. Disclosures – Offsetting Financial Assets and Financial Liabilities (Amendments to SLFRS 7)
6. Presentation of Items of Other Comprehensive Income (Amendments to LKAS 1)
7. LKAS 19 Employee Benefits (2014)

The nature and the effects of the changes are explained below.

2.12.1 Subsidiaries, including structured entities

As a result of SLFRS 10, the Group has changed its accounting policy for determining whether it has control over and consequently whether it consolidates other entities. SLFRS 10 introduces a new control model that focuses on whether the Group has power over an investee, exposure or rights to variable returns from its involvement with the investee and the ability to use its power to affect those returns.

In accordance with the transitional provisions of SLFRS 10, the Group reassessed its control conclusions as of 1 April 2014. The change did not have any impact on the Group's financial statements.

2.12.2 Interests in other entities

As a result of SLFRS 12, the Group has expanded disclosures about its interests in subsidiaries.

2.12.3 Jointly controlled entities

The overview and the impact of the financial statements fully described in Note 31.5.

2.12.4 Fair value measurement

In accordance with the transitional provisions of SLFRS 13, the Group has applied the new definition of fair value, as set out in Note 3.3, prospectively. The change had no significant impact on the measurements of the Group's assets and liabilities, but the group has included new disclosures in the financial statements, which are required under SLFRS 13.

These new disclosure requirements are not included in the comparative information. However, to the extent that disclosures were required by other standards before the effective date of SLFRS 13, the Group has provided the relevant comparative disclosures under those standards.

2.12.5 Offsetting financial assets and financial liabilities

As a result of the amendments to SLFRS 7, the Group has expanded disclosures about offsetting financial assets and financial liabilities.

Notes to the Financial Statements

2.12.6 Presentation of items of OCI

As a result of the amendments to LKAS 1, the Group has modified the presentation of items of OCI in its statement of profit or loss and OCI, to present items that would be reclassified to profit or loss in the future separately from those that would never be. Comparative information has been re-presented on the same basis.

2.12.7 Post-employment defined benefit plans

As a result of LKAS 19, the Group has changed its accounting policy with respect to the basis for determining the income or expense related to its defined benefit plans.

Under LKAS 19, the Group determines the net interest expense (income) on the net defined benefit liability (asset) for the period by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period to the then-net defined benefit liability (asset), taking into account any changes in the net defined benefit liability (asset) during the period as a result of contributions and benefit payments. Consequently, the net interest on the net defined benefit liability (asset) now comprises:

1. Interest cost on the defined benefit obligation
2. Interest income on plan assets
3. Interest on the effect on the asset ceiling

The change did not have any impact on the Group's financial statements.

2.13 New Accounting Standards Issued But Not Effective at Reporting Date

The Accounting standards issued but not effective at the reporting date is given below with expected impact on Group Financial Statements. The Group will apply the accounting standards when they become effective.

2.13.1 SLFRS 9 - Financial Instruments

SLFRS 9 - Financial Instruments, which replaces the provisions of LKAS 39 Financial Instruments: Recognition, measurement and classification of financial assets and requirements with respect to the classification and measurement of financial liabilities, the de-recognition of financial assets and financial liabilities and how to measure fair value were added to SLFRS 9. Most of these requirements have been carried forward without substantive amendment from LKAS 39. However, to address the issue of own credit risk some changes are made to the fair value option for financial liabilities.

The standard is applied retrospectively in accordance with LKAS 8 Accounting Policies, Changes in Accounting Estimates and Errors with certain exemptions.

SLFRS 09 is effective for annual periods beginning on or after 1 January 2018.

2.13.2 SLFRS 15 – Revenue from Contracts with Customers

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognized. It replaces existing revenue recognition guidance, including Sri Lanka Accounting Standard (LKAS 18) – "Revenue", Sri Lanka Accounting Standard (LKAS 11) – "Construction Contracts" and IFRIC 13 – "Customer Loyalty Programs". This standard is effective for the annual periods beginning on or after 01 January 2018.

2.13.3 SLFRS 14 – Regulatory Deferral Accounts

The objective of this Standard is to specify the financial reporting requirements for regulatory deferral account balances that arise when an entity provides goods or services to customers at a price or rate that is subject to rate regulation.

SLFRS 14 will become effective on 1 January 2016. The impact on the implementation of the above Standard has not been quantified yet.

The Group will adopt these standards when they become effective. Pending the completion of detailed review, the financial impact is not reasonably estimable as at the date of publication of these Financial Statements.

3. Significant accounting policies

The accounting policies set out below have been applied consistently to all periods presented in these Consolidated Financial Statements unless otherwise indicated.

These accounting policies have been applied consistently by entities within the Group.

3.1 Basis of Consolidation

3.1.1 Business combinations

The Group measures goodwill as the fair value of the consideration transferred including the recognized amount of any non-controlling interest in the acquiree, less the net recognized amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. When the excess is negative, a bargain purchase gain is recognized immediately in Profit or Loss.

The Group elects on a transaction-by-transaction basis whether to measure non-controlling interest at its fair value, or at its proportionate share of the recognized amount of the identifiable net assets, at the acquisition date.

Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

3.1.2 Subsidiaries

Subsidiaries are entities controlled by the Group. Control exists when the Company has the power, directly or indirectly, to govern the financial and operational policies of an entity so as to obtain benefits from its activities.

The Financial Statements of subsidiaries are included in the consolidated Financial Statements from the date that control commences until the date that control ceases. Acquisition of subsidiaries is accounted for using the acquisition method of accounting.

The accounting policies of subsidiaries have been changed where necessary to align them with the policies adopted by the Group. If a member of the group uses accounting policies other than those adopted in the consolidated Financial Statements for similar transactions and events in similar circumstances, appropriate adjustments are made to its Financial Statements in preparing the consolidated Financial Statements.

Any goodwill arising on the acquisition of a foreign operation and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition are treated as assets and liabilities of the foreign operation and translated at the closing rate.

3.1.3 Non-Controlling Interests

Non-controlling Interests is the equity in a subsidiary not attributable, directly or indirectly, to the parent are presented in the Statement of Financial Position within Equity, separately from the Equity attributable to Shareholders Holders of the Parent (Company).

Material NCI of the Group disclosed in Note 30.6 and material NCI is determined based on Group threshold contribution to statement of financial position.

3.1.4 Acquisition of Non-controlling interests

Subsequent to the acquisition of control, any further acquisition of net assets from non-controlling interest is accounted for as transactions with owners in their capacity as owners. Therefore no goodwill or gain on bargain purchase is recognized as a result of such transactions.

Any difference between the amount by which the non-controlling interests is adjusted and the fair value of the consideration paid or received shall be recognized directly in equity and attributed to the owners of the parent.

3.1.5 Transactions do not result a change in control

Changes in the Group's interest in a subsidiary that do not result in a loss of control status are accounted for

Notes to the Financial Statements

as transactions with owners in their capacity as owners. Adjustments to non-controlling interests and parent's equity are based on a proportionate amount of the net assets of the subsidiary. No adjustments are made to goodwill recognized and no gain or loss is recognized in Profit or Loss.

3.1.6 Common control transactions

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses ultimately are controlled by the same party or parties both before and after the combination, and that control is not transitory.

The acquirer of the common control transaction applies book value accounting for all common control transactions.

In applying book value accounting, no entries are recognized in Profit or Loss; instead, the result of the transaction is recognized in equity as arising from a transaction with shareholders.

3.1.7 Loss of Control

The parent can lose control of a subsidiary with or without a change in absolute or relative ownership levels. Upon the loss of control, the Group derecognises the assets and liabilities of the subsidiary, any minority interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognized in the Statement of profit or loss.

If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently it is accounted for as an equity-accounted investee or as other financial asset depending on the level of influence retained.

3.1.8 SLFRS 10 - Consolidated Financial Statements

SLFRS 10 Consolidated Financial Statements, which replaces LKAS 27 Consolidated and Separate Financial Statements and SIC-12 Consolidation-Special Purpose Entities. Additionally, the ICASL published SLFRS - 12 Disclosure of Interests in Other Entities and LKAS 27 Separate Financial Statements.

The main changes from LKAS 27 and SIC-12 are a single control model is applied to determine whether an investee should be consolidated, Control assessment includes consideration of substantive potential voting rights as opposed to currently exercisable potential voting rights, Guidance is provided for assessing whether the investor is a principal or an agent in respect of its relationship with the investee. A principal could consolidate an investee whereas an agent would not because the linkage between power and returns is not present. SLFRS 10 is effective for annual periods beginning on or after 1 January 2014.

3.1.9 Equity Accounted Investees - Associates

Associates are those entities in which the Group has significant influence, but not control, over their financial and operating activities. Significant influence is presumed to exist when the Group holds between twenty and fifty percent of the voting power of another entity.

Associates are accounted for using the equity method (equity accounted investees) and are initially recognized at cost. The Group's investment in associate includes goodwill identified on acquisition, net of any accumulated impairment losses.

The Consolidated Financial Statements include the Group's share of the income and expenses and equity movements of equity accounted investees, after adjustments to align the accounting policies with those of the Group, from the date that significant influence commences until the date that significant influence ceases.

Acquisitions of additional stakes of equity accounted investees, until the control is established, are accounted as goodwill within the equity accounted investment if consideration paid is more than the net asset acquired or taken into to profit or loss as gain on bargain purchase if the net asset acquired is more than the consideration paid.

When the Group's share of losses exceeds its interest in an equity accounted investee, the carrying amount of that interest (including any long-term investments) is reduced to zero and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the investee. Associate Companies of the Group which have been accounted for under the equity method of accounting are disclosed under Note 32.5 to these Financial Statements.

3.1.10 Jointly-Controlled Entities

Jointly-controlled entities are those entities over whose activities the Group has joint control, established by contractual agreement and requiring unanimous consent for strategic financial and operating decisions.

Jointly-controlled entities are accounted for using equity method, from the date that joint control commences until the date that joint control ceases.

Jointly-controlled entities of the Group which have been accounted for under the equity method of accounting are disclosed in Note 31.1 to these Financial Statements.

3.1.11 SLFRS 11 - Joint Arrangements

SLFRS 11 Joint Arrangements, which replaces LKAS 31 Interests in Joint Ventures and SIC-13 Jointly Controlled Entities - Non-Monetary Contributions by Ventures. SLFRS 11 also amends LKAS 28 Investments in Associates.

The following are the main changes from LKAS 31;

The structure of the joint arrangement, although still an important consideration, is no longer the main factor in determining the type of joint arrangement and therefore the subsequent accounting and If a joint arrangement is determined to be a joint venture, then the joint venture accounts for its investment using the equity method in accordance with LKAS 28 Investments in Associates and Joint Ventures; the free choice between using either the equity method or proportionate consolidation has been eliminated.

SLFRS 11 was effective for annual periods beginning on or after 1 January 2014.

The effect of the change in current method of accounting using proportionate consolidation and equity method of accounting is disclosed in note 31.5 to the Financial Statements.

3.1.12 Reporting Date

All the Group's Subsidiaries, Associate Companies and joint venture companies have a common financial year end which ends on 31st March other than Commercial Insurance Brokers Limited, LOLC Insurance Company Limited, PRASAC Micro Finance Company and Seylan Bank PLC whose financial year ends on 31st December.

The difference between the reporting date of the above companies and that of the parent does not exceed three months.

However for the Group financial reporting purposes; the Financial Statements ending 31 March of the above mentioned subsidiaries and associates are considered.

3.1.13 Balances and Transactions Eliminated on Consolidation

Intragroup balances and transactions, including income, expenses and dividends, are eliminated in full. Profits and losses resulting from intragroup transactions that are recognized in assets, such as inventory and fixed assets, are eliminated in full.

Unrealized gains arising from transactions with equity-accounted investees are eliminated against the investment to the extent of the Group's interest in the investee.

3.1.14 Business Combinations

All business combinations have been accounted for by applying the acquisition method in accordance with the SLFRS 3 - Business Combinations. Applying this method involves the entity that obtains control over the other entity to recognize the fair value of assets acquired and liabilities and contingent liabilities assumed, including those not previously recognized.

Notes to the Financial Statements

3.1.15 Cost of Acquisition

The cost of an acquisition is measured as the fair value of the assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange. This excludes any transaction costs incurred.

3.1.16 Goodwill on Acquisition

Goodwill represents the excess of the cost of any acquisition of a subsidiary or an associate over the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities acquired.

The Group tests the goodwill for impairment annually and assess for any indication of impairment to ensure that its carrying amount does not exceed the recoverable amount. If an impairment loss is identified, it is recognized immediately to the Statement of profit or loss. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to groups of cash-generating units that are expected to benefit from the synergies of the combination.

The impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets pro-rata to the carrying amount of each asset in the unit. Where goodwill forms part of a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation.

Carrying amount of the goodwill arising on acquisition of subsidiaries and joint ventures is presented as an intangible and the goodwill on an acquisition of an equity accounted investment is included in the carrying value of the investment.

3.1.17 Gain on Bargain Purchase (negative goodwill)

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities exceeds the cost of the acquisition of the entity, the Group will reassess the measurement of the acquiree's identifiable assets and liabilities and the measurement of the cost and recognize the difference immediately in the Consolidated Statement of profit or loss.

3.2 Foreign Currency

3.2.1 Foreign Currency Transactions

Transactions in foreign currencies are translated to the functional currency (Sri Lankan Rupees - LKR) of the Group at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the exchange rate at that date. The foreign currency gain or loss on monetary items are the difference between amortized cost in the functional currency at the beginning of the year, adjusted for effective interest and payments during the year and the amortized cost in foreign currency translated at the exchange rate at the end of the year.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the functional currency at the exchange rate at the date that the fair value was determined. Non-monetary items in a foreign currency that are measured in terms of historical cost are translated using the exchange rate at the date of the transaction.

Foreign currency differences arising on retranslation are recognized in Statement of profit or loss.

3.2.2 The Net Gain or Loss on Conversion of Foreign Operation

The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on acquisitions, are translated into Sri Lanka Rupees (LKR) at spot exchange rates at the reporting date. The income and expenses of foreign operations are translated into Sri Lanka Rupees at spot exchange rates at the dates of the transactions.

Foreign currency differences are recognized in OCI, and accumulated in the foreign currency translation reserve (Translation reserve), except to the extent that the translation difference is allocated to NCI.

When a foreign operation is disposed of such that control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to Profit or Loss as part of the gain or loss on disposal. If the Group disposes of only part of its interest in a subsidiary that includes a foreign operation while relating control , then the relevant proportion of the cumulative amount is attributed to NCI.

If a settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely in the foreseeable future, the foreign currency differences arising on the item form part of the net investment in the foreign operation and are recognized in OCI, and accumulated in the translation reserve within equity.

3.3 Fair Value Measurement - SLFRS 13

SLFRS 13 Fair Value Measurement applies to SLFRSs that require or permit fair value measurement or disclosures and provides a single SLFRS framework for measuring fair value and disclosures on fair value measurement. The Standard defines fair value on the basis of an 'exit price' notion and uses a 'fair value hierarchy', which results in a market-based, rather than entity-specific, measurement.

SLFRS 13, defines fair value, sets out in a single SLFRS a framework for measuring fair value disclosures on fair value measurements.

SLFRS 13 is effective for annual periods beginning on or after 1 January 2014.

3.4 Financial Instruments

3.4.1 Financial Assets

Financial assets are within the scope of LKAS 39 are classified appropriately as fair value through Profit or Loss (FVTPL), loans and receivables (L & R), held to maturity (HTM), available-for-sale (AFS) at its initial recognition.

All the financial assets are recognized at fair value at its initial recognition.

3.4.1.1 Financial Assets at Fair Value Through Profit or Loss (FVTPL)

A financial asset is classified at fair value through Profit or Loss if it is classified as held for trading or is designated as such upon initial recognition. Financial assets are designated at fair value through Profit or Loss if the Group manages such investments and makes purchase and sale decisions based on their fair value in accordance with the Group's documented risk management or investment strategy. Upon initial recognition, transaction costs are recognized in Profit or Loss as incurred.

Financial assets at fair value through Profit or Loss are measured at fair value, and subsequent therein are recognized in Profit or Loss.

The Group's investments in certain equity securities and derivative instruments which are not accounted under hedge accounting are classified under fair value through profit or loss.

3.4.1.2 Loans and Receivables (L&R)

Loans and receivables are financial assets with fixed or determinable payments that are not quoted in an active market. Such assets are recognized initially at fair value plus any directly attributable transaction costs. Subsequent to initial recognition, loans and receivables are measured at amortized cost using the effective interest method, less any impairment losses.

Loans and receivables of the Group comprise of the following,

3.4.1.2.1 Rental Receivables on Finance Leases and Hire purchases

Rentals receivable on leased and hire purchase assets are accounted for as finance leases and reflected in the statement of financial position at balance cost recoverable after eliminating unearned income and deducting pre-paid rentals, rental collections and impairment losses.

Notes to the Financial Statements

3.4.1.2.2 Rental Receivables on Operating Leases

Leases where the group as the lessor effectively retains substantially all the risk and rewards incidental to the ownership are classified as operating leases. Lease rentals from operating leases are recognized as income on a straight-line basis over the lease term.

3.4.1.2.3 Advances and Other Loans to Customers

Advances and other loans to customers comprised of revolving loans, loans with fixed installments, factoring and gold loans.

Revolving loans to customers are reflected in the statement of financial position at amounts disbursed less repayments and allowance for impairment losses. Loans to customers with fixed installments are stated in the statement of financial position net of possible loan losses and net of interest, which is not accrued to revenue.

3.4.1.2.4 Gold Loans

The Group provides gold loan facilities with different maturities which are less than one year. The amounts receivables from Gold loans are included in the advances and other loans at the amounts expect to be recovered.

3.4.1.2.5 Trade Receivables

Trade receivables are stated at the amounts they are estimated to realize, net of provisions for impairment. An allowance for impairment losses is made where there is objective evidence that the Group will not be able to recover all amounts due according to the original terms of receivables. Impaired receivables are written-off when identified.

3.4.1.3 Held-to-Maturity Financial Assets

If the Group has the positive intent and ability to hold debt securities to maturity, then such financial assets are classified as held-to-maturity. Held-to-maturity financial assets are recognized initially at fair value plus any directly attributable transaction costs. Subsequent to initial recognition held-to-maturity financial assets are measured at amortized cost using the effective interest method, less any impairment losses.

Any sale or reclassification of a more than an insignificant amount of held-to-maturity investments not close to their maturity would result in the reclassification of all held-to-maturity investments as available-for-sale, and prevent the Group from classifying investment securities as held-to-maturity for the current and the following two financial years.

The Group has not classified any instrument as held to maturity.

3.4.1.4 Available-for-Sale Financial Assets

Available-for-sale financial assets are non-derivative financial assets that are designated as available for- sale and that are not classified in any of the previous categories. The Group's investments in equity securities and certain debt securities are classified as available-for-sale financial assets.

Subsequent to initial recognition, these are measured at fair value and changes therein, other than impairment losses recognized in other comprehensive income and presented within equity in the fair value reserve. When an investment is derecognised, the cumulative gain or loss in other comprehensive income is transferred to Profit or Loss.

3.4.1.5 Cash and Cash Equivalents

Cash and cash equivalents comprise of cash in hand and cash at banks and other highly liquid financial assets which are held for the purpose of meeting short-term cash commitments with original maturities of less than three months which are subject to insignificant risk of changes in their fair value.

Bank overdrafts that are repayable on demand and form an integral part of the Group cash management and are included as a component of cash and cash equivalents for the purpose of the Statement of Cash Flows.

3.4.2 Financial Liabilities

The Group initially recognizes debt securities, deposits from customers, loans & borrowings on the date that they are originated. All other financial liabilities are recognized initially

on the trade date, which is the date that the Group becomes party to the contractual provisions of the instrument.

The Group derecognises financial liability when it's contractual obligations are discharged, cancelled or expired.

The Group classifies non-derivative financial liabilities into the other financial liabilities category. Such financial liabilities are recognized initially at fair value plus any directly attributable transaction cost. Subsequent to initial recognition, these financial liabilities are measured at amortized cost using effective interest rate method.

Other financial liabilities comprise of loans & borrowings, bank overdraft, customer deposits and debentures issued.

3.4.2.1 Finance Leases

Property and Equipment on finance leases, which effectively transfer to the Group substantially the entire risk and rewards incidental to ownership of the leased items, are disclosed as finance leases at their cash price and depreciated over the period the Group is expected to benefit from the use of the leased assets.

The corresponding principal amount payable to the lessor is shown as a liability. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the outstanding balance of the liability. The interest payable over the period of the lease is transferred to an interest in suspense account. The interest element of the rental obligations pertaining to each financial year is charged to the Statement of profit or loss over the period of lease.

3.4.2.2 Lease Payments

Payments made under operating leases are recognized in Profit or Loss on a straight-line basis over the term of the lease. Lease incentives received are recognized as an integral part of the total lease expense, over the term of the lease.

Minimum lease payments made under finance leases are apportioned between the finance expense and the reduction of the outstanding liability. The finance expense is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability.

3.4.3 Accounting for Non-derivative Financial Instruments

3.4.3.1 Recognition

The Group initially recognizes loans and advances, deposits, debt securities and subordinated liabilities on the date at which they are originated. All the financial assets and liabilities other than regular purchases and sales are recognized on the date the Group becomes a party to the contractual provisions of the instrument.

3.4.3.2 De-recognition

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expires, or when it transfers the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all the risks and rewards of ownership and it does not retain control of the financial asset. Any interest in transferred financial assets that qualify for de-recognition that is created or retained by the Group is recognized as a separate asset or liability in the statement of financial position. On de-recognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognized in other comprehensive income is recognized in Profit or Loss.

The Group enters into transactions whereby it transfers assets recognized on its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. If all or substantially all risks and rewards are retained, then the transferred assets are not derecognised.

Notes to the Financial Statements

Transactions in which the Group neither retains nor transfers substantially all the risks and rewards of ownership of a financial asset and it retains control over the asset, the Group continues to recognize the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

3.4.3.3 Offsetting

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group has a legal right to offset the amounts and intends either to settle on a net basis or to realize the asset and settle the liability simultaneously.

Income and expenses are not offset in the statement of profit or loss unless required or permitted by an accounting standard or interpretation and as specifically disclosed in the accounting policies of the company.

3.4.3.4 Amortized cost measurement

The amortized cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortization using the effective interest method of any difference between the initial amount recognized and the maturity amount, minus any reduction for impairment.

3.4.3.5 Fair value measurement

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction on the measurement date.

When available, the Group measures the fair value of an instrument using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

If a market for a financial instrument is not active, the Group establishes fair value using valuation techniques. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analysis and other equity pricing models.

The chosen valuation technique makes maximum use of market inputs, relies as little as possible on estimates specific to the Group, incorporates all factors that market participants would consider in setting a price, and is consistent with accepted economic methodologies for pricing financial instruments.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. the fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable markets. When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognized in Statement of Financial position.

3.4.3.6 Valuation of Financial Instruments

The Group measures the fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements.

Level 1 – Quoted market price (unadjusted) in an active market of an identical instrument.

Level 2 – Valuation techniques based on observable inputs, either directly (i.e. as prices) or indirectly (i.e. derived from prices), this category included instruments valued using: quoted market prices in active markets similar instruments; quoted prices for identical or similar instruments in markets are considered less than active: or other valuation techniques where all significant inputs are directly observable from market data.

Level 3 – Valuation techniques use significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation.

This category includes instruments that are valued based on quoted prices for similar instruments where significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

Fair values of financial assets and financial liabilities that are traded in active markets are based on quoted market prices or dealer price quotations. For all other financial instruments the Group determines fair values using valuation techniques

Valuation techniques include comparison of similar instruments for which market observable prices exist, other equity pricing models and other valuation models.

The objective of valuation techniques is to arrive at a fair value determination that reflects the price of the financial instruments at the reporting date that would have been determined by market participants acting at arm's length.

The Group widely recognized valuation models for determining fair value of common and more simple financial instruments. Observable prices and model inputs are usually available in the market for listed debt and equity securities. Availability of observable market inputs reduces the need for management judgment and estimation and also reduces the uncertainty associated with determination of fair values. Availability of observable market prices and inputs varies depending on the products and markets are is prone to changes based on specific events and general conditions in the financial markets.

3.4.4 Impairment of Financial Instruments

At each reporting date the Group assesses whether there is objective evidence that financial assets not carried at fair value through Profit or Loss are impaired. A financial asset or a group of financial assets is (are) impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset(s), and that the loss event has an impact on the future cash flows of the asset(s) that can be estimated reliably.

Objective evidence that financial assets (including equity securities) are impaired can include significant financial difficulty of the borrower or issuer, default or delinquency by a borrower, restructuring of a loan or advance by the Group on terms that the Group would not otherwise consider, indications that a borrower or issuer will enter bankruptcy, the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group of economic conditions that correlate with defaults in the group. In addition, for an investment in an equity security, a significant or prolonged decline in its fair value below its cost is objective evidence for impairment.

The Group considers evidence of impairment for loans and advances at both specific and collective basis. All individually significant loans and advances and held-to-maturity investment securities are assessed for specific impairment. All individually significant loans and advances and held-to-maturity investment securities found not to be specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified.

Loans and advances that are not individually significant are collectively assessed for impairment by grouping them together with similar risk characteristics based on product types.

In assessing collective impairment the Group uses statistical modeling of historical trends of the probability of default, timing of recoveries and the amount of loss incurred, adjusted for management's judgment as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical modeling, Default rates, loss rates and the expected timing of future recoveries are regularly taken into account to ensure that they remain appropriate.

Notes to the Financial Statements

Impairment losses on assets carried at amortized cost are measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the asset's original effective interest rate. Impairment losses are recognized in Profit or Loss and reflected in an allowance account against loans and advances. Interest on impaired assets continues to be recognized through the unwinding of the discount. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through Profit or Loss.

Impairment losses on available-for-sale investment securities are recognized by transferring the cumulative loss that has been recognized in other comprehensive income to Profit or Loss as a reclassification adjustment. The cumulative loss that is reclassified from other comprehensive income to Profit or Loss is the difference between the acquisition cost, net of any principal repayment and amortization, and the current fair value, less any impairment loss previously recognized in Profit or Loss. Changes in impairment provisions attributable to time value are reflected as a component of interest income.

3.4.4.1 Reversal of Impairment Loss

If, in a subsequent period, the fair value of an impaired available-for-sale debt security increases and the increase can be objectively related to an event occurring after the impairment loss was recognized in Profit or Loss, the impairment loss is reversed, with the amount of the reversal recognized in Profit or Loss. However, any subsequent recovery in the fair value of an impaired available-for-sale equity security is recognized in Other Comprehensive Income. The Group writes off certain loans and advances and investment securities when they are determined to be uncollectible.

3.4.5 Accounting for Derivative Financial Instruments

Derivatives are initially recognized at fair value on the date on which a derivative contract is entered into and are subsequently re-measured at their fair value. Fair values are obtained from quoted market prices in active markets. All derivatives are carried as assets when the fair value is positive and as liabilities when the fair value is negative.

3.4.5.1 Hedge Accounting

The Group holds derivative financial instruments to hedge its foreign currency risk exposure. On initial designation of derivative as hedge instrument, the Group documents the relationship between the hedging instruments and the hedged items, its risk management objective and its strategy for undertaking the hedge.

Group treasury is also required to documented assessments, both at hedge inception and on an on-going basis, of whether or not the hedging instruments, primarily forward rate contracts, that are used in hedging transactions are highly effective in offsetting the changes attributable to the hedged risks in the fair values or cash flows of the hedged items.

3.4.5.1.1 Cash Flow Hedge

The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges as recognized in other comprehensive income and presented in the hedging reserve in equity. Any gain or loss in fair value relating to an ineffective portion is recognized immediately in the Profit or Loss during that period. The accumulated gains and losses recognized in other comprehensive income are reclassified to the Statement of profit or loss in the periods in which the hedged item will affect Profit or Loss.

If the hedge instrument no longer meets the criteria for hedge accounting, expires or is sold, terminated or exercised, or the designation is revoked, then hedge accounting is discontinued prospectively. In such a case, the cumulative gain or loss on the hedging instrument that has been recognized in other comprehensive income from the period when the hedge was effective shall remain separately in equity until the forecasted transaction occurs.

3.4.5.1.2 Hedge Effectiveness Testing

To qualify for hedge accounting, at the inception of the hedge and throughout its life, each hedge must be expected to be highly effective and demonstrate actual effectiveness on an on-going basis. The documentation of each hedging

relationship sets out how the effectiveness of the hedge is assessed.

For establish effectiveness, the hedging instrument is expected to be highly effective in offsetting changes in cash flows attributable to the hedged risk during the period for which the hedge is designated. For actual effectiveness to be achieved, the changes in cash flows must offset each other within the range of 80% to 125%. In evaluating the hedge effectiveness the entity takes into account the future forward currency contracts and evaluates the effectiveness of the hedge by taking into consideration the total period of the hedged item. The ineffective portion of the derivative portion will be recognized immediately in Statement profit or loss.

3.4.5.1.3 Derivatives that do not qualify for Hedge Accounting

All gains and losses from changes in the fair values of derivatives that do not qualify for hedge accounting are recognized immediately in the Profit or Loss.

3.4.6 Reclassification of Financial Instruments

The Group reclassifies non-derivative financial assets out of the 'held for trading' category and into the 'available-for-sale', 'loans and receivables' or 'held to maturity' categories as permitted by LKAS 39. Further, in certain circumstances, the Group is permitted to reclassify financial instruments out of the 'available-for-sale' category and into the 'loans and receivables' category. Reclassifications are recorded at fair value at the date of reclassification, which becomes the new amortised cost.

For a financial asset with a fixed maturity reclassified out of the 'available-for-sale' category, any previous gain or loss on that asset that has been recognized in equity is amortised to Profit or Loss over the remaining life of the investment using the EIR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using EIR. In the case of a financial asset does not have a fixed maturity, the gain or loss is recognized in the Profit or Loss when such a financial asset is sold or disposed of. If the financial asset is subsequently determined to be impaired, then the amount recorded in equity is recycled to the Statement of profit or loss.

The group may reclassify a non-derivative trading asset out of the 'held for trading' category and into the 'loans and receivables' category if it meets the definition of loans and receivables and the Group has the intention and ability to hold the financial asset for the foreseeable future or until maturity. If a financial asset is reclassified, and if the Group subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognized as an adjustment to the EIR from the date of the change in estimate. Reclassification is at the election of management, and is determined on an instrument-by-instrument basis.

3.5 Inventories

Inventories are measured at the lower of cost and net realizable value.

The cost of inventories is based on the first-in first-out principle, and includes expenditure incurred in acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their existing location and condition.

In the case of manufactured inventories and work in progress, cost includes an appropriate share of production overheads based on normal operating capacity. Net realizable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

For manufacturing stocks, provision for slow moving inventories are made when the holding period exceeds 365 days, and the sale of the inventories is no longer probable.

The cost incurred in bringing inventories to its present location and condition is accounted using the following cost formula:

Notes to the Financial Statements

Type of Inventory	Method of Valuation
Input Materials	Weighted Average basis
Growing Crop - Nurseries	At the cost of direct materials, direct labor and appropriate proportion of directly attributable overheads less provision for over-grown plants
Harvested Crop	Agricultural produce harvested from an entity's biological assets shall be measured at its fair value less costs to sell at the point of harvest. Such measurement is deemed to be the cost at the time of transferring the harvested crop to inventories.
Spares and Consumables	Weighted average basis
Finished goods and work-in-progress	First in First out (FIFO) basis

Certified Emission Reduction [CER]

Carbon credit units as at the reporting date have been valued at their estimated net realizable value as inventories and disclosed in the Financial Statements as Certified Emission Reduction (CER).

CER represents units of greenhouse gas reduction that has been generated certified by the United Nations under the Cleaned Development Mechanism (CDM) provision of the Kyoto Protocol. These CERs can be traded and sold and used by industrialized countries to meet part of their Emission Reduction targets.

According to the ruling issued by Sri Lanka Accounting and Auditing Standards Monitoring Board (SLAASMB), CER units have been recognized as an asset and disclosed under inventories. These inventories have been measured at Net Realizable Value (NRV) and any changes in value as at reporting date is recognized in the Profit or Loss.

3.5.1 Real Estate Stocks

Real estate stocks of the Group represent the purchase value of properties acquired for re-sale. Carrying value of the real estate stocks as at the reporting date represents the purchase value of properties and any subsequent expenditure incurred on developing of such properties.

3.6 Investment Properties

3.6.1 Basis of Recognition

Investment property is the property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

3.6.2 Basis of Measurement

3.6.2.1 Fair Value Model

Investment properties are initially recognized at cost. Subsequent to initial recognition the investment properties are stated at fair value, which reflect market conditions at the reporting date. Gains or losses arising from changes in fair value are included in the Statement of profit or loss in the year in which they arise.

Where Group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant and equipment in the Consolidated Financial Statements, and accounted for as per LKAS 16- Property, Plant and Equipment.

3.6.2.2 De-recognition

Investment properties are de-recognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognized in the Statement of profit or loss in the year of retirement or disposal.

3.6.2.3 Subsequent Transfers to/from Investment Property

Transfers are made to investment property when, and only when, there is a change in use, evidenced by the end of owner occupation, commencement of an operating lease to another party or completion of construction or development.

Transfers are made from investment property when, and only when, there is a change in use, evidenced by commencement of owner occupation or commencement of development with a view to sale.

For a transfer from investment property to owner occupied property or inventories, the deemed cost of property for subsequent accounting is its fair value at the date of change in use. If the property occupied by the Company as an owner occupied property becomes an investment property, the Company, accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use.

For a transfer from inventories to investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognized in the Statement of profit or loss. When the Company completes the construction or development of a self-constructed investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognized in the Statement of profit or loss.

3.6.2.4 Determining Fair Value

External and independent valuers, having appropriate recognized professional qualifications and recent experience in the location and category of property being valued, values the investment property portfolio as at each reporting date. In financial periods within that period the fair value is determined by the Board of Directors.

The fair values are based on market values, being the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably.

3.7 Intangible Assets

3.7.1 Basis of Recognition

An intangible asset is recognized if it is probable that future economic benefits that are attributable to the assets will flow to the entity and the cost of the assets can be measured reliably.

3.7.2 Basis of Measurement

Intangible assets acquired separately are measured as initial recognition at cost. Following initial recognition intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses. The useful life of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite useful life are amortized over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the method for an intangible asset with a finite useful life is reviewed at least at each financial year end. Intangible assets with indefinite useful lives are tested for impairment annually either individually or at the cash generating unit level.

3.7.3 Subsequent Expenditure

Subsequent expenditure on intangible assets are capitalized only when it increases the future economic benefits embodied these assets. All other expenditure are expensed when incurred.

3.7.4 De-recognition

Intangible assets are de-recognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of intangible assets are measured as the difference between the net disposal proceeds and the carrying amount of the asset.

Notes to the Financial Statements

3.7.5 Amortization

Amortization is recognized in the Statement of profit or loss on a straight-line basis over the estimated useful life of intangible assets, other than goodwill, from the date that they are available for use.

The estimated useful life of each intangible asset is as follows;

Computer Software	5 years
License and Fees	20 years
Customer Base	5 years
Brand Name	10 years

Amortization methods, useful lives and residual values are reviewed at each reporting date and are adjusted as appropriate.

3.8 Property, Plant and Equipment

3.8.1 Freehold Property, Plant & Equipment

3.8.1.1 Basis of Recognition

Property, plant and equipment are recognized if it is probable that future economic benefits associated with the assets will flow to the Group and cost of the asset can be reliably measured.

3.8.1.2 Basis of Measurement

Items of property, plant and equipment are measured at cost/ revaluation less accumulated depreciation and accumulated impairment losses.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labor, any other costs directly attributable to bringing the asset to a working condition for their intended use, the costs of dismantling and removing the items and restoring the site at which they are located and capitalized borrowing costs.

Purchased software that is integral to the functionality of the related equipment is capitalized as part of that equipment.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items of property, plant and equipment.

3.8.1.3 Cost Model

The Group applies the cost model to all property, plant and equipment except freehold land and buildings; which is recorded at cost of purchase together with any incidental expenses thereon less any accumulated depreciation and accumulated impairment losses.

3.8.1.4 Revaluation Model

The Group revalues its land and buildings which are measured at its fair value at the date of revaluation less any subsequent accumulated depreciation and accumulated impairment losses. Revaluations are made with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the reporting date.

On revaluation of lands and buildings, any increase in the revaluation amount is credited to the revaluation reserve in shareholder's equity unless it off sets a previous decrease in value of the same asset that was recognized in the Statement of profit or loss. A decrease in value is recognized in the Statement of profit or loss where it exceeds the increase previously recognized in the revaluation reserve. Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to retained earnings and is not taken into account in arriving at the gain or loss on disposal.

3.8.1.5 Subsequent Costs

The cost of replacing part of an item of property, plant and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of the replaced part is de-recognised. The costs of the day-to-day servicing of property, plant and equipment are recognized in Profit or Loss as incurred.

3.8.1.6 Reclassification to investment property

When the use of a property changes from owner-occupied to investment property, the property is re-measured to fair value and reclassified as investment property. Any gain arising on re-measurement is recognized in Profit or Loss to the extent that it reverses a previous impairment loss on the specific property, with any remaining gain recognized and presented in the revaluation reserve in equity. Any loss is recognized immediately in Profit or Loss.

3.8.1.7 Depreciation

Depreciation is based on the cost of an asset less its residual value. Significant components of individual assets are assessed and if a component has a useful life that is different from the remainder of that asset, that component is depreciated separately.

Depreciation is recognized in Profit or Loss on a straight-line basis over the estimated useful life of each component of an item of property, plant and equipment. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term. Land is not depreciated.

Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale and the date that the asset is de-recognised.

Depreciation methods, useful life values are assessed at the reporting date. The estimated useful lives for the current year are as follows:

Free-hold and lease-hold Building	40-50 years
Free-hold and lease-hold Motor Vehicles	4-8 years
Furniture and Fittings	5-10 years
Office Equipment	4-5 years
Computer equipment	5-8 years
Plant and Machinery	8-20 years
Water Sanitation	20 years
Roads & Bridges	50 years
Penstock Pipes	20 years
Power/Electricity Supply	13 1/3 years
Security fencing	3 years
Cutlery, Crockery & Glassware	5 years
Linen	3 years
Swimming pool	

3.8.1.8 De-recognition

An item of property, plant and equipment is de-recognised upon disposal or when no future economic benefits are expected from its use or disposal.

The gain or loss on disposal of an item of property, plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of the property, plant and equipment, recognized net within other income/other expenses in the Statement of profit or loss. When revalued assets are sold, the amounts included in the revaluation surplus reserve are transferred to retained earnings.

3.8.2 Operating Lease Assets

Operating lease assets are motor vehicles and equipment shown under property, plant and equipment in the statement of financial position at cost less accumulated depreciation.

Motor vehicles are depreciated net of cost and the estimated realizable value over the effective useful life. Realizable value is the estimated net amount; the Group would currently obtain from disposal of the assets at the end of useful life. Effective useful life is measured and carrying amount adjusted at each reporting date.

3.8.3 Leasehold Property, Plant & Equipment (Assets Acquired on Finance Leases)

Leases in terms of which the Group assumes substantially obtained all the risks and rewards of ownership are classified as finance leases. Assets acquired by way of a finance lease are stated at an amount equal to the lower of their fair value and the present value of minimum lease payments at the inception less accumulated depreciation.

Notes to the Financial Statements

3.8.4 Capital Work-in-Progress

Capital work-in-progress is stated at cost. These are expenses of a capital nature directly incurred in the construction of properties.

3.9 Impairment of Non-financial Assets

The carrying amounts of the Group's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognized if the carrying amount of an asset or its related Cash-Generating Unit (CGU) exceeds its estimated recoverable amount.

The Group's corporate assets do not generate separate cash inflows and are utilized by more than one CGU. Corporate assets are allocated to CGUs on a reasonable and consistent basis and tested for impairment as part of the testing of the CGU to which the corporate asset is allocated.

Impairment losses are recognized in Profit or Loss. Impairment losses recognized in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the CGU (group of CGUs), and then to reduce the carrying amounts of the other assets in the CGU (group of CGUs) on a pro rata basis.

Impairment losses recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation, if no impairment loss had been recognized.

3.10 Tax Expense

Tax expense comprises of current, deferred tax and other statutory taxes. Income tax expense is recognized in Statement of profit or loss except to the extent that it relates to items recognized directly in the Statement of Other Comprehensive Income or Statement of Changes in Equity.

3.10.1 Current Tax

Current tax is the expected tax payable or recoverable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years. Current tax payable also includes any tax liability arising from the tax on dividend income.

The provision for income tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the Inland Revenue Act. No 10 of 2006 and subsequent amendments thereto.

Current tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue.

3.10.2 Deferred Tax

Deferred tax is recognized in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognized for:

- Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable Profit or Loss;
- Temporary differences related to investments in subsidiaries and jointly controlled entities to the extent that it is probable that they will not reverse in the foreseeable future; and
- Taxable temporary differences arising on the initial recognition of goodwill.
- Taxable temporary differences arising on subsidiaries, associates or joint ventures who have not distributed their entire profits to the parent or investor.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realized simultaneously.

A deferred tax asset is recognized for unused tax losses, tax credits and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefits will be realized.

Deferred tax assets and liabilities are not discounted.

The net increase in the carrying amount of deferred tax liability net of deferred tax asset is recognized as deferred tax expense and conversely any net decrease is recognized as reversal to deferred tax expense, in the Statement of profit or loss.

3.10.2.1 Accounting for Deferred Tax for the Companies enjoying tax holidays

Group companies enjoying a tax exemption period shall only recognize deferred tax in their Financial Statements for temporary differences, where reversals of such differences extend beyond the tax exemption period.

Deferred Tax shall not be considered nor provided for assets/ liabilities for which tax impacts and reversals take place within the tax exemption period. There will be no tax implications that take place after the expiration of the tax exemption period for such assets.

Where a Company is entitled to claim the total value or any part of expenditure made during the tax holiday period, as deductions for tax purposes after the tax holiday period, such an entity will treat such amount of expenditure as part of the tax base throughout the tax holiday period in the purpose of recognizing deferred tax.

3.10.2.2 Deferred Tax on undistributed profits of equity accounted investees

The Group does not control its equity accounted investees. It is therefore generally not in a position to control the timing of the reversal of a possible taxable temporary difference relating to the undistributed profits of the equity accounted investees.

The Group calculates deferred tax based on the most likely manner of reversal, taking into account management's intent and the tax jurisdiction applicable to relevant equity accounted investees.

The management intends to recover the carrying amount of the investment primarily through sale of the investment rather than through dividends. The deferred tax implications are evaluated based on the tax consequences on the sale of investments.

Since the carrying amount is expected to be recovered through a sale transactions which has no tax consequences, no temporary difference arise on the equity accounted investees and no deferred tax is provided.

3.10.3 Withholding Tax on Dividends

Dividend distributed out of taxable profit of the local companies attracts a 10% deduction at source and is not available for set off against the tax liability of the Company. Withholding tax that arises from the distribution of dividends by the Company is recognized at the same time as the liability to pay the related dividend is recognized.

3.10.4 Economic Service Charge (ESC)

As per the provisions of Economic Service Charge Act No. 13 of 2006 and subsequent amendments thereto, ESC is payable on the liable turnover at specified rates. ESC is deductible from the income tax liability. Any unclaimed amount can be carried forward and set off against the income tax payable in the five subsequent years as per the relevant provision in the Act.

3.10.5 Nation Building Tax (NBT)

As per the provisions of the Nation Building Tax Act, No. 9 of 2009 and the subsequent amendments thereto, Nation

Notes to the Financial Statements

Building Tax should be payable at the rate of 2% with effect from 1 January 2011 on the liable turnover as per the relevant provisions of the Act.

3.10.6 Value Added Tax on Financial Services (VAT on FS)

VAT on Financial Services is calculated in accordance with the amended VAT Act No. 7 of 2003 and subsequent amendments thereto. The base for the computation of VAT on Financial Services is the accounting profit before income tax adjusted for the economic depreciation and emoluments of employees. VAT on financial services is computed on the prescribed rate of 12%.

3.10.7 Sales Taxes (Value Added Tax and Turnover Tax)

Revenues, expenses and assets are recognized net of the amount of sales tax except for the following;

- Sales tax incurred on a purchase of a assets or services is not recoverable from the taxation authority, in which case the sales tax is recognized as part of the cost of acquisition of the asset or as part of the expense item as applicable; and
- Receivables and payables that are stated with the amount of sales tax included.

The net amount of sales tax recoverable from, or payable to, the taxation authority is included as part of other receivables or other payables in the statement of financial position.

3.11 Borrowing Costs

Borrowing costs that are directly attributable to the acquisition, construction or production of qualifying assets that take a substantial period of time to get ready for its intended use or sale, are capitalized as part of the assets.

Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognized in Profit or Loss using the effective interest method.

OTHER NON-FINANCIAL LIABILITIES AND PROVISIONS

Liabilities are recognized in the Statement of Financial Position when there is a present obligation as a result of a past event, the settlement of which is expected to result in an outflow of resources embodying economic benefits. Obligations payable at the demand of the creditor within one year of the reporting date are treated as current liabilities. Liabilities payable after one year from the reporting date are treated as non-current liabilities.

3.12 Deposit Insurance Scheme

In terms of the Finance Companies Direction No 2 of 2010 "Insurance of Deposit Liabilities" issued on 27th September 2010, all Registered Finance Companies are required to insure their deposit liabilities in the Deposit Insurance Scheme operated by the Monetary Board in terms of Sri Lanka Deposit Insurance Scheme Regulations No 1 of 2010 issued under Sections 32A to 32E of the Monetary Law Act with effect from 1st October 2010.

Deposits to be insured include time and savings deposit liabilities and exclude the following.

Deposit liabilities to member institutions

Deposit liabilities to the Government of Sri Lanka

Deposit liabilities to shareholders, directors, key management personnel and other related parties as defined in Finance Companies Act Direction No 03 of 2008 on Corporate Governance of Registered Finance Companies

Deposit liabilities held as collateral against any accommodation granted

Deposit liabilities falling within the meaning of dormant deposits in terms of the Finance Companies Act, funds of which have been transferred to Central Bank of Sri Lanka

Registered Finance Companies are required to pay a premium of 0.15% on eligible deposit liabilities as at each month to be payable within a period of 15 days after the respective month end.

3.13 Grants and Subsidies

3.13.1 Grants related to assets

Grants related to property, plant and equipment are initially deferred and allocated to Statement of profit or loss on a systematic basis over the useful life of the related property, plant and equipment. Grants related to assets, including non-monetary grants at fair value, are deferred in the statement of financial position and credited to the Statement of profit or loss over the useful life of the related asset as given below;

	No. of Years	Rate %
Building	40	2.5
Plant and Machinery	13 1/3	7.5
Equipment	8	12.5
Roads	50	2
Vehicles	5	20

Relevant assets are presented separately in the Financial Statements without setting off against the respective grants.

3.13.2 Grants related to assets

Grants related to income are recognized in the Statement of profit or loss in the period in which they are receivable.

3.14 Employee Benefits

3.14.1 Defined Contribution Plans

A Defined Contribution Plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to Defined Contribution Plans are recognized as an employee benefit expense in the Statement of profit or loss in the periods during which services are rendered by employees.

3.14.1.1 Employees' Provident Fund (EPF), Ceylon Plantation Provident Society (CPPS) and Estate Staff Provident Society (ESPS)

The Group and employees contribute 12% and 8% respectively on the salary of each employee to the above mentioned funds.

3.14.1.1.1 Employees' Trust Fund (ETF)

The Group contributes 3% of the salary of each employee to the Employees' Trust Fund.

3.14.2 Defined Benefits Plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The Company's net obligation in respect of defined benefit pension plans is calculated by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value. Any unrecognized past service costs are deducted.

The calculation is performed every three years by a qualified actuary using the projected unit credit method. For the purpose of determining the charge for any period before the next regular actuarial valuation falls due, an approximate estimate provided by the qualified actuary is used.

When the benefits of a plan are improved, the portion of the increased benefit related to past service by employees is recognized in Profit or Loss on a straight-line basis over the average period until the benefits become vested. To the extent that the benefits vest immediately, the expense is recognized immediately in Profit or Loss.

The Group recognizes all actuarial gains and losses arising from the defined benefit plan in other comprehensive income (OCI) and all other expenses related to defined benefit plans are recognize as personnel expenses in Statement of profit or loss. The retirement benefit obligation is not externally funded.

3.14.3 Short-term Employee Benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognized for the amount expected to be paid under short-term cash bonus if the company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

Notes to the Financial Statements

3.15 Accounts Payables and Accrued Expenses

Trade and other payables are stated at amortized cost.

3.16 Provisions, Contingent Assets and Contingent Liabilities

Provisions are made for all obligations (legal or constructive) existing as at the reporting date when it is probable that such an obligation will result in an outflow of resources and a reliable estimate can be made of the quantum of the outflow. The amount recognized is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation at that date.

All contingent liabilities are disclosed as a note to the Financial Statements unless the outflow of resources is remote. Contingent assets are disclosed, where inflow of economic benefit is probable.

STATEMENT OF PROFIT OR LOSS

3.17 Gross Income

Gross income comprises of revenue, income and other income other than those relating to contributions from equity participants.

The following are the main components of the revenue;

Finance & Leasing	Earned income on leases, hire purchases, factoring, margin trading, loans and advances
Insurance	Gross written premium
Manufacturing, Trading & Production, sale of consumer, agricultural, motor vehicles and industrial Related Services	items and providing related services
Leisure	Accommodation sales, service charges, food & beverages income and outlet sales
Plantation	Sale of perennial crops
IT Services	IT service fee
Stock Brokering	Brokerage fees
Power Generation	Sale of electrical energy
Construction	Contract fee
Real Estate	Rental Income

Revenue is income that arises in the course of ordinary activities of group companies. Other Income such as interest on treasury bills, bonds and debentures, gain on disposal of property, plant and equipment, rental income, dividend income, royalty income, foreign exchange gain, franchise fees, gain on disposal of investments securities, gain on marked to market valuation of investments……..etc is also included in gross income.

3.17.1 Revenue Recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group, and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable, net of trade discounts and value added taxes, net of sales within the Group.

3.17.2 Goods Sold

Revenue from the sale of goods in the course of ordinary activities is measured at the fair value of the consideration received or receivable, net of returns, trade discounts and volume rebates. Revenue is recognized when persuasive evidence exists, usually in the form of an executed sales agreement, that the significant risks and rewards of ownership have been transferred to the customer, recovery of the consideration is probable, the associated costs and possible return of goods can be estimated reliably, there is no continuing management involvement with the goods, and the amount of revenue can be measured reliably.

If it is probable that discounts will be granted and the amount can be measured reliably, then the discount is recognized as a reduction of revenue as the sales are recognized. The timing of the transfer of risks and rewards varies depending on the individual terms of the sales agreement.

3.17.3 Rendering of Services

Revenue from services rendered is recognized in Profit or Loss in proportion to the stage of completion of the transaction at the reporting date. The stage of completion is assessed by reference to surveys of work performed.

3.17.4 Interest Income on Leases, Hire Purchases, Loans and Advances

Interest income and expense are recognized in Profit or Loss using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial asset or liability (or, where appropriate, a shorter period) to the carrying amount of the financial asset or liability. When calculating the effective interest rate, the Group estimates future cash flows considering all contractual terms of the financial instrument, but not future credit losses.

The calculation of the effective interest rate includes all fees paid are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or liability.

Interest income and expenses presented in the Statement of profit or loss include:

- interest on financial assets and financial liabilities measured at amortized cost calculated on an effective interest basis
- interest on available for sale investment securities calculated on an effective interest basis

Interest income and expenses on all trading assets and liabilities are considered to be incidental to the Group's trading operations and are presented together with all other changes in the fair value of trading assets and liabilities in net trading income.

Fair value changes on other derivatives held for risk management purposes, and other financial assets and liabilities carried at fair value through Profit or Loss, are presented in net income from other financial instruments at fair value through Profit or Loss in the Statement of profit or loss.

3.17.5 Fees and Other Income

Fees and commission income and expense that are integral to the effective interest rate on a financial asset or liability are included in the measurement of the effective interest rate.

Other fees and commission income, including account servicing fees, investment management fees, sales commission, placement fees and syndication fees, are recognized as the related services are performed.

Other fees and commission expenses relate mainly to transaction and service fees, which are expensed as the services are received.

3.17.6 Net Trading Income

Net trading income comprise of gains less losses related to trading assets and liabilities, and includes all realized and unrealized fair value changes, interest, dividends and foreign exchange differences.

3.17.7 Net income from Other Financial Instruments at Fair Value Through Profit or Loss

Net income from other financial instruments at fair value through Profit or Loss relates to non-trading derivatives held for risk management purposes that do not form part of qualifying hedge relationships and financial assets and liabilities designated at fair value through Profit or Loss, and include all realized and unrealized fair value changes, interest, dividends and foreign exchange differences.

Notes to the Financial Statements

3.17.8 Factoring Income

Revenue is derived from two sources, Funding and providing Sales Ledger Related Services.

Funding - Discount income relating to factoring transactions are recognized at the end of a given accounting month. In computing this discount, a fixed rate agreed upon at the commencement of the factoring agreement is applied on the daily balance in the client's current account.

Sales Ledger Related Services - A service charge is levied as stipulated in the factoring agreement.

Income is accounted for on accrual basis and deemed earned on disbursement of advances for invoices factored.

3.17.9 Revenue from Accommodation Sales and Services Charge

Revenue from accommodation sales is recognized for the rooms occupied on a daily basis, together with outlet sales and other income from hotel operations.

90% of Service Charge collected from guests is distributed among the employees, retaining 10% of such service charges collected for recovery of breakages of cutlery, crockery, glassware and stainless steel items. Any balance amount of the retention after recovery of actual breakages is redistributed among employees after the end of each financial year.

3.17.10 IT Service Fee

IT services fee is accounted for on accrual basis.

3.17.11 Turnover from Sale of Solar Systems and Sale of Electricity

The above revenue components are accounted on accrual basis.

3.17.12 Other Income

Rent income, non-operational interest income, royalty income and franchise fees are accounted for on accrual basis.

Dividend income is recognized when the right to receive payment is established.

Gain on disposal of property, plant and equipment and other non-current assets, including investments held by the Group have been accounted for in the Statement of profit or loss, carrying amount of such assets after deducting from the net sales proceeds on disposal.

Rental Income

Rental income from investment property is recognized in Profit or Loss on a straight-line basis over the term of the lease. Lease incentives granted are recognized as an integral part of the total rental income, over the term of the lease. Rental income from subleased property is recognized as other income.

3.17.13 Amortization of Government Grants Received

An unconditional government grant related to a biological asset is recognized in the Statement of profit or loss as other income when the grant becomes receivable.

Other government grants are recognized initially as deferred income at fair value when there is reasonable assurance that they will be received and the Group will comply with the conditions associated with the grant and are then recognized in the Statement of profit or loss as other income on a systematic basis over the useful life of the asset.

Grants that compensate the Group for expenses incurred are recognized in the Statement of profit or loss as other income on a systematic basis in the same periods in which the expenses are recognized.

3.18 Expenses Recognition

Expenses are recognized in the Statement of profit or loss on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining property, plant & equipment in a state of efficiency has been charged to income in arriving at the profit for the year.

For the presentation of the Statement of profit or loss the Directors are of the opinion that the nature of the expenses method present fairly the element of the Company's performance, and hence such presentation method is adopted.

Preliminary and pre-operational expenditure is recognized in the Statement of profit or loss.

Repairs and renewals are charged to the Statement of profit or loss in the year in which the expenditure is incurred.

3.19 Finance Income and Finance Costs

Finance income comprises interest income on funds invested, dividend income, gains on the disposal of financial assets, fair value gains on financial assets. Interest income is recognized as it accrues in Profit or Loss, using the effective interest method. Dividend income is recognized in Profit or Loss on the date that the Group's right to receive payment is established, which in the case of quoted securities is normally the ex-dividend date.

Finance costs comprise of interest expense on borrowings and impairment losses recognized on financial assets (other than trade receivables), are recognized in the Statement of profit or loss.

3.20 Earnings per Share

The Group presents basic and diluted earnings per share data for its ordinary shares. Basic earnings per share is calculated by dividing the Profit or Loss attributable to ordinary shareholders of the Parent Company by the weighted average number of ordinary shares outstanding during the year. Diluted earnings per share is determined by adjusting the Profit or Loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares.

3.21 Statement of Cash Flows

The Cash Flow Statement has been prepared using the 'Indirect Method' of preparing Cash Flows in accordance with the Sri Lanka Accounting Standard 7 'Cash Flow Statements.' Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

Cash and cash equivalents comprise of cash in hand and cash at banks and other highly liquid financial assets which are held for the purpose of meeting short-term cash commitments with original maturities of less than three months which are subject to insignificant risk of changes in their fair value.

3.22 Related Party Disclosures

3.22.1 Transactions with Related Parties

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard 24.

3.22.2 Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard 24 "Related Party Disclosures", Key management personnel, are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Board of Directors (including executive and non-executive Directors), personnel that hold designation of Deputy General Manager and above positions and their immediate family member have been classified as Key Management Personnel of the Company.

The immediate family member is defined as spouse or dependent. Dependent is defined as anyone who depends on the respective Key Management Personnel for more than 50% of his/her financial needs.

3.23 SLFRS 12 - Disclosure of Interests in Other Entities

SLFRS 12 Disclosure of Interests in Other Entities is a consolidated disclosure standard requiring disclosures about an entity's interests in subsidiaries, joint arrangements, associates and unconsolidated 'structured entities'.

Notes to the Financial Statements

The objective of SLFRS 12 is to require the disclosure of information that enables users of Financial Statements to evaluate the nature of, and risks associated with, its interests in other entities, the effects of those interests on its financial position, financial performance and cash flows.

SLFRS 12 was effective for annual periods beginning on or after 1 January 2014.

3.24 Operating Segments

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments operating results are reviewed regularly by Group Board of Directors to make decisions about resources to be allocated to the segment and to assess its performance, and for which discrete financial information is available.

Accordingly, the segment comprises of financial services, insurance, IT services, Trading, Leisure and Others are described in Note 53.

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Segment capital expenditure is the total cost incurred during the period to acquire segment assets that are expected to be used for more than one period.

Expenses that cannot be directly identified to a particular segment are allocated on bases decided by the management and applied consistently throughout the year.

3.25 Subsequent Events

All material subsequent events have been considered and where appropriate adjustments or disclosures have been made in the respective Notes to the Financial Statements.

3.26 Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent Liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent Liabilities are not recognized in the statement of financial position but are disclosed unless they are remote.

3.27 Capital Management

The Board of Directors monitors the return on capital investment on a month basis. This review is mainly carried out through return on investment analysis prepared on a quarterly basis. The plan forecasts are also reviewed on a monthly basis to ensure that targets are met in order to manage the capital invested in Group Companies.

The Board of Directors also decides and monitors the level of dividends to ordinary shareholders.

The Company does not subject to any externally impose capital requirements. However companies within the group have such requirement based on the industry in which such company is established. Group companies which require externally imposed capital will monitor such requirement on a regular basis and report to respective legal authority in order to ensure compliance with such regulatory requirement.

ACCOUNTING POLICIES APPLIES TO SPECIFIC INDUSTRY SECTORS

3.28 Insurance Sector

3.28.1 Product Classification

Insurance contracts are those contracts when the Group (the insurer) has accepted significant insurance risk from another party (the policyholders) by agreeing to compensate the policyholders if a specified uncertain future event (the

insured event) adversely affects the policyholders. As a general guideline, the Group determines whether it has significant insurance risk, by comparing benefits paid with benefits payable if the insured event did not occur.

Once a contract has been classified as an insurance contract, it remains an insurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during this period, unless all rights and obligations are extinguished or expire. Investment contracts can however be reclassified as insurance contracts after inception if insurance risk becomes significant.

3.28.2 Reinsurance Receivable/Payable

The Group cedes insurance risk in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each reporting date or more frequently when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Group may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Group will receive from the reinsurer. The impairment loss is recorded in the Statement of profit or loss.

Ceded reinsurance arrangements do not relieve the Group from its obligations to policyholders. Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract. Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance.

Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expire.

3.28.3 Liability Adequacy Test

At each reporting date, an assessment is made of whether the recognised long-term business provisions are adequate, using current estimates of future cash flows. If that assessment shows that the carrying amount of the liabilities (less related assets) is insufficient in light of the estimated future cash flows, the deficiency is recognised in the Statement of profit or loss by setting up an additional provision in the Statement of Financial Position.

3.28.4 Insurance Premium Receivables

Collectability of premiums and other debts are reviewed on an on-going basis. Policies issued on credit basis and that are known to be uncollectible are cancelled and the respective gross written premium is reversed. A provision for doubtful debts is raised when some doubt as to collection exists.

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. Subsequent to initial recognition, insurance receivables are measured at amortised cost. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the Statement of profit or loss.

Insurance receivables are derecognised when the de-recognition criteria for financial assets have been met.

3.28.5 General Insurance Business

3.28.5.1 Gross Written Premium

Premium is accounted as and when cash is received and in the same period as the policy liabilities are created. For single premium contracts, premiums are recorded as income when received with any excess profit deferred and recognized as income in a constant relationship to the insurance in force, for annuities and the amount of expected benefit payments.

Notes to the Financial Statements

3.28.5.2 Reinsurance Premium

Reinsurance premium expense is accrued on active policies on a monthly basis.

3.28.5.3 Unearned Premium Reserve

Unearned premium is the portion of gross written premium and reinsurance premium written in the current year in respect of risk related to subsequent periods. Unearned premium is calculated on the 1/365 basis in accordance with the Rules made by the Insurance Board of Sri Lanka under the Regulation of Insurance Industry Act, No. 43 of 2000.

3.28.5.4 Unexpired Risks

Provision is made where appropriate for the estimated amount required over and above unearned premium to meet future claims and related expenses on the business in force as at 31st December.

3.28.5.5 Unexpired Risk Reserve

The calculation of premium liability requires a comparison between the company's held unearned premium reserve less DAC provision with actuarial estimate of the unexpired risk for the total general insurance business. The resulting premium liability is the higher of these two. In estimating the unexpired risk liability, assumptions are made on the expected ultimate loss ratio for each class of business and management expenses incurred whilst these policies remain exposed for claims.

3.28.5.6 Deferred Acquisition Costs (DAC)

Those direct and indirect costs incurred during the financial period arising from the writing or renewing of insurance contracts are deferred and amortized over the period in which the related revenues are earned. All other acquisition costs are recognized as an expense when incurred.

Deferred acquisition expenses represent commission and franchise fees which vary with and are directly related to the production of business. Commission expenses are deferred and charged over the period in which the related premiums are earned, on 1/365 basis.

3.28.5.7 Claims

Claims incurred include provisions for the estimated cost of claims and related handling expenses in respect of incidents up to 31st December. Claims outstanding are assessed by reviewing the individual claim files and estimating changes in the ultimate cost of settling claims. The provision in respect of claims Incurred But Not Reported (IBNR) is actuarially valued to ensure a more realistic estimation of the future liability based on past experience and trends. Actuarial valuations are performed on an annual basis. Whilst the Directors consider that the provision for claims related reinsurance recoveries are fairly stated on the basis of information currently available, the ultimate liability will vary as a result of subsequent information and events. This may result in adjustments to the amounts provided. Such adjustments are reflected in the Financial Statements for that period. The methods used, and the estimates made, are reviewed regularly.

3.28.5.8 Valuation of Insurance Provision-General Insurance Reserve for Outstanding Claims Including IBNR

Methodology for Claim Liability

Central Estimate

The Central Estimate of the Net Claim Liability has been determined based upon the gross analysis performed for the Company as at 31st December 2014, whereby a full review of the Loss Development Factors on a gross basis is performed. Various Gross-to-Net ratios are compared, and the Net Claim Liability is determined by applying a factor to the Gross Claim Liability.

Since the net analysis is based on the gross analysis, any change in the gross results will subsequently affect the results in this net valuation.

The Central Estimate is then adjusted by the same provision as the gross analysis to allow for Claims Handling Expenses (CHE) such as fees for loss adjustment, and the annual salary and related overhead costs of the claims department.

75% Confidence Level Estimate

The volatility of the Central Estimate of claims reserves are then projected to secure an overall level of sufficiency of not less than 75% confidence. In determining the Net Claim Liability on 75% confidence level, we have adopted the Prudential Reserve for Adverse Development (PRAD) and Fund Prudential Reserve for Adverse Development (FPRAD) risk margins that were derived in the gross analysis as at 31st December 2014, which were based on a Stochastic Chain Ladder approach.

Calculation of Discounted Claim Liability

The Discounted Claim Liability is calculated as the current value of the projected future claim payments for each class of business.

The Claim Liability is discounted on the same basis as the gross numbers. These are based upon the Government Securities spot rates from the Central Bank of Sri Lanka and the modeled payment patterns.

Methodology for Estimate of Premium Liability

Central Estimate

For the Central Estimate of the Premium Liability, acuary developed a trended Ultimate Loss Ratio for each class to compute the Central Estimate of the Unexpired Risk Reserve (URR). A provision, which is the same value as per the gross analysis, was added to the Central Estimate of the URR to account for CHE and a further provision, based on the Unearned Premium Reserve (UPR), has been retained to cover future Management Expenses. The adjusted loss ratios are finally applied to the UPR that the company currently holds to derive the Central Estimate of the URR.

75% Confidence Level Estimate

The Central Estimates of the URRs are then projected to secure an overall level of sufficiency of not less than 75% confidence. In determining the URR at the 75% confidence level, actuaries multiply the Central Estimate of the URR with an adjustment factor for each line of business. The adjustment factor is determined at a class level as well as at an aggregate level, and takes into account the observed relationship between the current estimate of an Accident Period's ULR and the trended ULR. The diversification is determined by comparing the sum of adjustment factors by line of business and the adjustment factor at the aggregate level.

3.28.6 Life Insurance Business

3.28.6.1 Gross Written Premium

Premium is accounted as and when cash is received and in the same period as the policy liabilities are created. For single premium contracts, premiums are recorded as income when received with any excess profit deferred and recognized as income in a constant relationship to the insurance in force, for annuities and the amount of expected benefit payments.

3.28.6.2 Reinsurance Premium

Reinsurance premium expense is accrued on active policies on a monthly basis. Reinsurance recoveries are credited to match the relevant gross claims.

3.28.6.3 Benefits, Losses and Expenses

Expenses relate to the acquisition and maintenance of Long Term insurance business. Claims by death or maturity are charged against revenue on notification of death or on expiry of the term. Claims payable includes direct cost of settlement. Interim payments and surrenders are accounted for at the time of settlement.

3.28.6.4 Actuarial Valuation for Long term Insurance Provision

The Directors determine the Long term insurance business provisions for the Company on the recommendation of the Actuary, following his annual investigation of the Life insurance business. The actuarial valuation takes into account all liabilities including contingent liabilities and is based on assumptions recommended by the reporting actuary.

Notes to the Financial Statements

3.28.6.5 Life Insurance Contract Liabilities

Life insurance liabilities are recognized when the contracts are entered into and premiums are charged. These liabilities are calculated via the net premium method for protection products, the unit fund plus sterling reserve method for Unit-linked products and a modified gross premium method for conventional products. For the net premium method the liability is calculated as the discounted value of the future benefits that are directly related to the contract, less the discounted value of the theoretical premiums that would be required to meet those future benefits based on the valuation assumptions. For the sterling reserve method all contract-related cash flows are projected using best estimate assumptions (but with valuation claim rates) and additional liabilities are set up in the event that contracts are not self-financing. For the modified gross premium method the investment account is the starting point and in addition to that a liability may be held on account of future cash flows shortfalls. This second component is calculated exactly as per the sterling reserve above.

3.28.6.6 Valuation of Insurance Provision -Life insurance Contract Liabilities

Methodology

Actuaries have adopted the net premium valuation methodology for calculating the provisions for majority of the products and riders (all except those mentioned below), as required by the extant regulations, by valuing individual policy records. For regular premiums products, an allowance for recovery of initial expenses through loadings in the renewal premium has been allowed for in the provisions by using minimum of the Zillmer and Sprague adjustments as prescribed in the regulations. Besides limiting the calculated net premium to be maximum of90% of the policy premium to ensure a minimum 10% allowance to cover future expenses and commissions at the policy level. Actuaries have checked that this implicit allowance made for expenses and commissions through a reduction in the future premium income in the net premium methodology is sufficient to cover the projected expenses and commissions for regular premium products at the product level. For single premium products, an explicit additional provision has been calculated to cover future maintenance expenses at the policy level.

Statutory provisions have been set equal to the unearned premium reserves (UPR) for the base products Corporate Life & Migrant Workers, and the ADB, TPD due to accident and PPD riders.

For the dividend based fund accumulation products, Life Protect, Life Protect Plus, Pension Plan and Child Plan, provisions have been set equal to the fund value plus an expense provision, where the expenses provision has been set equal to any excess of expected future outgo over future income on he prudent basis calculated at the policy level.

The calculated provisions were floored at zero at the individual policy level, i.e. negative provisions have not been allowed for any policy.

The calculated provisions for each individual policy is note less than the applicable surrender value as on valuation date, as no surrender value is currently applicable for any of the in-force policies. Majority of the products are protection based which do not offer any surrender value. Surrender value on the savings products is payable only after the third policy year with none of the in-force policies having exceeded that duration.

Assumptions

The following reserving assumptions have been used for the purpose of the annual statutory valuation as at December 2014;

- Mortality rates

  110% of A67/70 (Ultimate) table has been used as the reserving assumptions.

- Rates for benefits other than mortality

  110% of the applicable reinsurance premium rates provided by reinsurer, made available to actuaries at the time of pricing the various riders attaching to the dividend based fund accumulation products.

- Lapses

  No lapses have been assumed for prudence, except for dividend based fund accumulation products, where lapses equal to 50% of the best estimate pricing assumption have been used for the calculation of the expense provision. The lapse rates assumed for pricing the dividend based products are tabulated below;

Policy year	Lapse Rates
1	30%
2	15%
3	10%
4	5%
5	5%
6-10	5%
11+	2.5%

- Investment return

  The assumed investment returns are as prescribed by the regulations for life insurers with less than three years of operations. The following table summarizes the annual investment returns assumed for different classes of business and premium payment options;

Business class (Premium payment option)	Investment return
Participating (Regular premium)	5.0%
Non-participating (Regular premium)	6.5%
Non-participating (Single premium)	8.0%

- Expenses inflation

  Real annual investment returns have been assumed to be 1.0%, based on which expense inflation has been set to be 1.0% lower than the assumed annual investment returns tabulated above.

- Expense assumptions

  The reserving expense assumptions have been set out in the table below. For group products these represent the expense assumption applicable to each policy and not the scheme.

Type of expense	Expense assumption
Fixed per annum	LKR 220
% of provisions	0.275%
% of renewal premium*	2.750%
Regular commission*	Commission rates as per the pricing certificates of respective products

*Applicable only for regular premium products

- Loan repayment rate

  Mortgage reduction plan (MRP) and Divisaviya are reducing terms assurance plans to cover the outstanding loan liability of the policyholder. However, the policy data for theses products does not contain the loan repayment rate applicable for individual policies. Actuaries have used an average loan repayment rate of 28% of 12% per annum for the MRP and Divisaviya product respectively. These have been estimated based on the original sum assured, sum assured as at valuation date and issue date information present in the policy data.

3.29 Plantation Sector

3.29.1 Agricultural Activities

The Group considers all the activities that are managed in biological transformation and harvest of biological assets for sale or for conversion into agricultural produce or into additional biological asset.

3.29.2 Bearer Biological Assets

Biological assets are classified as mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests. Immature biological assets are those that have not yet attained harvestable specifications. Tea, Rubber, Coconut, Timber, Other plantations and nurseries are classified as biological assets.

Notes to the Financial Statements

The biological assets are further classified as bearer biological assets and consumables biological assets. Bearer biological assets includes tea, rubber and coconut trees, those that are not intended to be sold or harvested, however, used to grow for harvesting agricultural produce from such biological assets. Consumable biological assets includes managed timber own by the company (Eucalyptus Torariyana, Albezzia, Graveelia, Eucalyptus Grandis, Astonia, Pinus, Toona, Mahogany, Teak, Jak, Rubber, Nadun, Mango, Pellen, Hora, Domba, Lunumidella, Wal Del and Mara on the plantations have been taken into consideration in this valuation of timber trees) those that are to be harvested as agricultural produce or sold as biological assets.

The entity recognizes the biological assets when, and only when, the entity controls the assets as a result of past event, it is probable that future economic benefits associated with the assets will flow to the entity and the fair value or cost of the assets can be measured reliably.

Nursery cost includes the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads, less provision for overgrown plants.

3.29.2.1 Bearer Biological Assets – At Cost

The Group recognizes tea and mixed crops except for rubber and coconut, at cost in accordance with the new ruling issued by the Institute of Chartered Accountants of Sri Lanka dated 02nd March, 2012, due to the impracticability of carrying out a proper fair valuation. New ruling provide the option to measure bearer biological assets using LKAS16 – Property, Plant and Equipment. The company measures tea and mixed crops at their cost less any accumulated depreciation and any accumulated impairment losses at the end of the financial period.

- Limited Life Land Development Cost on Bearer Biological Assets at Cost (New/Re-Planting)

  The total cost of land preparation, rehabilitation, new planting, re-planting, crop diversification, inter-planting and fertilizing, incurred between the time of planting and harvesting (When the planted area attains maturity) are recognized as initial cost for capitalization. These immature plantations are shown at direct costs plus attributed overheads, including interest attributable to long-term loans used for financing immature plantations. Attributable overheads incurred on the plantation are apportioned based on the labor days spent on respective re-planting and new planting and capitalized on the immature areas. The remaining non-attributable overhead is expensed in the accounting period in which it is incurred.

  Expenditure incurred on repairs or maintenance of property, plant and equipment in order to restore or maintain the future economic benefits expected from originally assessed standard of performance is recognized as an expense when incurred.

  The expenditure incurred on perennial crop (Tea/Rubber/Coconut) fields, which come into bearing during the year, has been transferred to mature plantations and depreciated over their useful life period. These mature plantations are depreciated over their useful lives or unexpired lease period, whichever is less. No depreciation is provided for immature plantations.

- Infilling Costs

  The land development costs incurred in the form of infilling have been capitalized to the relevant mature field where infilling results in an increase in the economic life of the relevant field beyond its previously assessed standard of performance, in accordance with Sri Lanka Accounting Standard - 16 and depreciated over the useful life at rates applicable to mature plantation. These rates are re-evaluated annually.

  Infilling cost that are not capitalized have been charged to the Statement of profit or loss in the year in which they are incurred.

- Growing Crop Nurseries

  Nursery cost includes the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads.

3.29.2.2 Bearer Biological Assets – At Fair Value

The Group recognizes the Rubber and Coconut plantations at fair value less estimated point-of-sale-of-costs, in accordance with LKAS 41- Agriculture. Point-of-sales-costs include all the costs that would be necessary to sell the assets, including costs necessary to get the assets to market. In respect of Rubber and Coconut Plants having below six years of age as at the date of financial position, have been taken at cost. The fair value of rubber and coconut are measured using DCF Method based on forecasted future cash flows.

The Group has engaged an Independent Chartered Valuation Surveyor Mr. K.T.D. Tissera in determining the fair value of Rubber and Coconut Bearer Biological Assets. The valuer has valued the latex component of Rubber, and also Coconut using the forecasted crop, prices and cost of production based on past statistics. The scrap value, being the timber component of trees is valued by using the available log prices in city centers less point-of-sale-costs. All other assumptions are given in Note No 29.2.4 The Group measured the Rubber and Coconut plantations at fair value less estimated-point-of-sale- costs as at each date of Statement of Financial Position and the gain or loss on changes in fair value is recognized in the Statement of profit or loss.

The estimated useful lives for the current and comparative years are as follows;

Tea	30-33 1/3 years
Rubber	20 years
Coconut	50 years
Cardamom / Cinnamon	15 years

3.29.3 Consumable Biological Assets

Trees namely teak, mahogany, Nadun, mango, Albezzia, Wal del, and etc. are considered as consumable biological assets and measured in accordance with LKAS 41- Agriculture. The initial costs incurred in planting such trees are capitalized until the market determined prices or values are not available and for which alternative estimates of fair value are to be clearly unreliable. Once the fair value of such a biological asset becomes reliably measurable, the group measures it at its fair value less costs to sell. The change in fair values will be directly identified in Statement of profit or loss.

The Group has engaged an Independent Chartered Valuation Surveyor Mr. K.T.D. Tissera in determining the fair value of managed Timber Plantation. The valuer has valued the Timber Plantation per tree valuation basis by using available log prices in city centers less point-of-sale-costs. The timber plants having less than three years old have not been taken in to the valuation and hence, the cost of such plants has been added to the valuation. All other assumptions are given in Note No. 15. The Group measures the Timber Plantation at fair value less estimated-point-of-sale-costs as at each date of Statement of Financial Position. The gain or loss on changes in fair value of Timber Plantation is recognized in the Statement of profit or loss.

- Growing Crop Nurseries

  Nursery cost includes the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads.

3.29.4 Permanent Land Development Costs

Permanent land development costs are those costs incurred making major infrastructure development and building new access roads on leasehold lands.

These costs have been capitalized and amortized over the remaining lease period.

3.29.5 Leasehold Rights to Bare Land of JEDB/SLSPC Estate Assets and Immovable (JEDB/SLSPC) Estates Assets on Finance Lease

The institute of Chartered Accountants of Sri Lanka has issued a statement of recommended practice (SORP) with effect from 01st January, 2012) for right – to - use of land on lease on 19th December, 2012. Since the SORP issued by the ICASL has not been finalized, the company have not compiled with the SORP issued by the Institute of Chartered Accountants of Sri Lanka.

Notes to the Financial Statements

As the current practice, the company followed the "urgent issue task force" (UITF) ruling issued prior to 01st January, 2012 which has been superseded by the Sri Lanka Accounting framework with effect from 01st January, 2012.

3.29.6 Amortization

The Right-to-use of land on lease is amortized over the remaining lease term of such asset or over the useful life of the underlying asset if shorter. Leasehold rights are tested for impairment annually and are written down where applicable. The impairment loss, if any, is recognized in the Statement of profit or loss.

Amortization rates used for the purpose are as follows:

	No. of Years	Rate %
Bare Land	53	1.89
Improvement to Lands	30	3.33
Mature Plantations	30	3.33
Buildings	25	4.00
Machinery	15	6.67
Crop Diversification	30	3.33
Water and Sanitation	20	5.00
Other Vested Assets	30	3.33
Permanent Land Development	53	1.89

3.29.7 Liability to make lease rentals

The liability to make the rentals to the lessor is recognized on amortized cost using effective interest rate method. The finance cost is recognized in the Statement of profit or loss under finance cost using effective interest rate method.

4 Gross income

For the year ended 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Interest Income	4.1	27,774,990	23,936,293	988,486	2,063,488
Revenue	4.2	10,728,830	10,783,295	-	-
Income	4.3	4,752,194	3,588,553	57,752	47,890
Other income	5.1	1,329,591	1,896,582	1,868,138	3,349,180
Total		44,585,605	40,204,723	2,914,376	5,460,558

4.1 Interest income

Leasing interest income	8,752,041	8,634,435	-	-
Hire purchases interest income	160,545	660,337	-	-
Interest income on deposits	129,496	158,117	2,075	662
Advances and other loans interest income	15,456,783	11,197,509	662,223	1,628,713
Operating lease and hire rental income	274,835	385,747	257,324	371,702
Overdue interest income	1,665,755	1,332,889	66,864	62,411
Debt factoring income	1,335,535	1,567,259	-	-
	27,774,990	23,936,293	988,486	2,063,488

4.2 Revenue

Sectorial revenue				
Manufacturing	280,901	67,661	-	-
Trading	8,112,950	9,053,328	-	-
Exports	23,088	-	-	-
Hotelier	1,058,318	1,003,830	-	-
Service providing	515,259	412,732	-	-
Travel & Tours	353,096	29,731	-	-
Construction	385,218	216,013	-	-
	10,728,830	10,783,295	-	-

4.3 Income

Securities trading income	80,848	78,953	-	-
Earned Premium on Insurance contracts	2,563,834	1,962,690	-	-
Rentals & sales proceeds - contracts written off	455,179	295,794	37,331	40,211
Transfer fees and profit on termination	1,110,740	904,804	271	989
Arrangement / documentation fee & other	515,292	317,320	-	48
Other operational income	26,301	28,992	20,150	6,642
Total	4,752,194	3,588,553	57,752	47,890

Notes to the Financial Statements

5 Other income/(expenses)

5.1 Other income

For the year ended 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Rental income		-	-	5,745	7,176
Royalty income		-	-	68,877	158,289
Dividends Income		-	-	191,633	215,608
Franchise fees		-	-	123,651	125,654
Insurance Policy Fees		45,415	44,840	-	-
Treasury handling charges		-	-	613,195	331,451
Restructuring and arrangement charges		-	-	70,000	578,000
Asset hire income		-	-	237,165	151,415
Guarantee fee income		-	-	42,358	46,479
Advisory charges		-	-	183,000	147,538
Interest received from government securities & other interest earning assets**		1,550,099	1,383,772	1,577	2,954
Debenture interest income		496	-	-	-
Gain / (loss) on disposal of quoted and non-quoted shares		105,927	1,434,899	(49,402)	946,603
Gain on disposal of property, plant and equipment		311,484	53,536	93,287	37,926
Change in fair value of investment properties	27	152,182	332,461	12,500	475,000
Gain on sale of treasury bonds		6,748	-	-	-
Foreign exchange gain / (loss)		6,536	(146,956)	(1,769)	(3,626)
Change in fair value of derivatives - forward contracts		(60,242)	43,628	-	-
Appreciation / (fall) in value of investments		104,977	6,071	71,453	76,888
Amortisation of deferred income	42	11,390	23,349	-	-
Penalty and early settlement interests		55,392	69,423	-	-
Sundry income		136,875	104,122	204,868	51,825
Finance cost relating to non-financial sectors		(1,097,688)	(1,452,563)	-	-
Total		1,329,591	1,896,582	1,868,138	3,349,180

**Credit for Withholding Tax on Government Securities on Secondary Market Transactions

Section 137 of the Inland Revenue Act No 10 of 2006 provides that a Company which derives interest income from the secondary market transactions in Government securities be entitled to a notional tax credit (being one ninth of the net Interest income) provided such interest income forms part of the statutory income of the Company for that year of assessment.

6 Interest expenses

For the year ended 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Interest expense on;				
Customer deposits	5,392,179	5,792,831	-	-
Commercial papers and promissory notes	168,791	830,230	156,784	650,340
Overdraft and other short-term borrowings	1,552,781	2,294,047	709,422	709,384
Long term borrowings	3,587,160	3,489,463	184,875	436,304
Finance leases	213,004	174,423	39,356	48,419
Debenture interests	587,508	711,846	587,509	711,846
Swap costs	1,006,947	1,556,338	8,332	164,191
	12,508,370	14,849,178	1,686,278	2,720,484

7 Direct expenses excluding finance costs

For the year ended 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Value Added Tax (VAT) on leases/general expenses and VAT on financial services	715,384	509,063	11,187	84,192
Business Turnover Tax (BTT), debits tax and others	128,230	71,482	2,116	11,558
Reinsurance premium	748,324	224,482	-	-
Insurance benefits, losses and expenses	901,112	1,179,934	-	-
Increase in long term insurance fund	466,282	145,882	-	-
Insurance expenses	183,484	105,991	-	-
	3,142,816	2,236,834	13,303	95,750

8 Personnel costs

For the year ended 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Salaries, wages and other benefits		4,571,856	3,234,884	28,970	93,171
Contribution to EPF/CCPS/ESPS		256,100	150,363	78,424	9,853
Contribution to ETF		59,999	36,427	17,475	2,166
Costs related to post-employment defined benefit plans	43.1	82,331	56,772	30,527	24,121
		4,970,286	3,478,446	155,396	129,311

Notes to the Financial Statements

9 Net impairment loss on financial assets

For the year ended 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Net impairment loss / (reversal) on;					
Finance lease receivables	20.1.5				
Specific allowance for impairment		110,590	37,058	-	-
Collective allowance for impairment		1,434,902	1,001,350	-	-
Hire purchase receivables	20.2.5				
Specific allowance for impairment		9,766	-	-	-
Collective allowance for impairment		84,049	68,397	76	(2,168)
Operating lease receivables	20.3.1				
Collective allowance for impairment		(2,514)	4,959	(2,514)	4,959
Advances and loans	21.1.1				
Specific allowance for impairment		(38,111)	284,537	-	-
Collective allowance for impairment		1,516,963	1,467,379	(13,155)	(90,474)
Factoring receivables	21.2.1				
Specific allowance for impairment		216,509	(23,942)	-	-
Collective allowance for impairment		32,215	24,150	-	-
Pawning advances	21.3.1	183,586	550,055	-	-
Bad debts written off net of reversals		586,022	76,576	(542)	15,291
Total		4,133,977	3,490,519	(16,135)	(72,392)

10 Depreciation and amortization

For the year ended 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Amortization of prepaid lease rentals	26.1	4,552	610	-	-
Amortization of intangible assets	34.4	159,368	134,560	42,007	45,986
Depreciation of property, plant and equipment	35	903,258	731,545	264,717	262,443
		1,067,178	866,715	306,724	308,429

11 Other operating expenses

For the year ended 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Administration cost		**2,773,895**	2,430,516	**42,943**	84,059
Operating and marketing cost		**3,198,606**	2,818,537	**209,733**	218,896
Allowance for impairment of Group investments	11.1	**-**	59,000	**57,930**	1,150,780
Allowance for impairment of AFS securities		**-**	136,199	**-**	136,199
		5,972,501	5,444,252	**310,606**	1,589,934

11.1 Allowance for impairment of Group investments

An impairment test is carried out by the management for group investment on an annual basis as per the requirement of respective Sri Lanka Accounting Standards. As per the impairment testing process carried out in 2014/15 , the following investments have been identified as impaired.

For the year ended 31 March Group Company	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Investment made in;	30.2.1				
LOLC Factors Limited		**-**	-	**-**	700,000
LOLC Eco Solutions Limited		**-**	-	**-**	25,000
F L C Hydro Power PLC		**-**	-	**6,931**	-
		-	-	**6,931**	725,000
Related party receivables from;	50.3.1.2				
United Dendro Energy (Private) Limited		**-**	-	**42,727**	390,454
Speed Italia Limited		**-**	-	**8,272**	35,326
		-	-	**50,999**	425,780
Goodwill on acquisition of;					
Speed Italia Limited		**-**	59,000	**-**	-
		-	59,000	**57,930**	1,150,780

Notes to the Financial Statements

12 Results from operating activities

For the year ended 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Results from operating activities are stated after charging all expenses including following:					
Directors' Remuneration	50.1.1	**75,076**	80,954	**21,336**	26,369
Auditors' fees and expenses	12.1	**23,899**	23,540	**2,992**	3,498
Legal expenses		**44,498**	79,094	**16,330**	15,832
Secretarial fees		**3,949**	3,518	**230**	217
Professional fees		**148,018**	78,423	**1,319**	1,098
Advertising related expenses		**477,503**	538,498	**23,413**	3,842
Donations		**21,296**	3,907	**659**	1,013

12.1 Auditors' fees and expenses

Remuneration for				
Audit related services	**22,185**	20,140	**2,800**	2,765
Non-audit related services	**1,714**	3,400	**192**	733
	23,899	23,540	**2,992**	3,498

13 Results of equity accounted investees

13.1 Share of profits

For the year ended 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000
Jointly controlled entities	31.1	**(135,440)**	(43,222)
Associates	32.5	**2,073,905**	1,497,380
		1,938,465	1,454,158

13.2 Share of other comprehensive income

Jointly controlled entities	31.1	**(41,142)**	(12,272)
Associates	32.5	**(76,217)**	478,952
		(117,359)	466,680

14 Results on acquisition of Group investments

The gains on bargain purchases (negative goodwill) are attributable to the following entities acquired during the period;

For the year ended 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000
Seylan Bank PLC	32.5	**39,613**	117,329
Beira Parawood (Private) Limited		**-**	72,785
Taprobane Holdings PLC		**-**	151,605
Green Paradise Resorts (Private) Limited		**-**	151,867
F L C Joint Venture (Private) Limited	30.5.3	**621,334**	-
		660,947	493,586

15 Income tax expense

The Company is liable for tax at the rate of 28% on its taxable income in accordance with the Inland Revenue Act No 10 of 2006 and subsequent amendments made thereto.

15.1 Major components of income tax expense are as follows:

For the year ended 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Current tax expense	15.3	1,562,759	769,154	22,995	-
Deferred tax expense	33.5	307,888	597,735	(68,403)	(5,218)
Income tax expense reported in the profit or loss		1,870,647	1,366,889	(45,408)	(5,218)

15.2 Numerical reconciliation of accounting profits to income tax expense

Profit before income tax expense		8,150,354	4,435,578	458,204	689,042
(+) Disallowable expenses		10,710,279	25,210,724	694,834	1,926,406
(-)Allowable expenses		(7,439,598)	(19,867,433)	(653,872)	(797,624)
(-) Tax exempt income		(4,894,148)	(5,763,293)	(372,952)	(1,781,972)
(-) Allowable tax credits		(67,454)	(1,749,222)	-	-
(+)Tax losses incurred	15.6	1,708,350	2,354,854	129	-
(-)Tax losses utilized	15.6	(218,114)	(129,936)	(44,220)	(35,852)
(-) Consolidation adjustments		267,701	(99,019)	-	-
Taxable Income		8,217,370	4,392,253	82,123	-
Income tax @					
28%		1,304,903	693,156	22,995	-
20%		169,943	-	-	-
12%		12,945	2,096	-	-
Total tax expense		1,487,791	695,252	22,995	-
Average tax rate		18.11%	15.83%	28.00%	28.00%

15.3 Current tax expense

Tax Expense	15.2	1,487,791	695,252	22,995	-
Under provision in respect of previous years		74,672	73,679	-	-
Deemed dividend tax paid		296	223	-	-
		1,562,759	769,154	22,995	-

15.4 Effective tax rate

For the year ended 31 March	Group 2015 %	Group 2014 %	Company 2015 %	Company 2014 %
	22.95	30.82	(9.91)	(0.76)

Notes to the Financial Statements

15.5 A reconciliation of effective tax rate is as follows;

For the year ended 31 March	Group 2015 Rs. '000	2015 %	2014 Rs. '000	2014 %
Accounting profit before income tax	8,150,354		4,435,578	
Income tax expense at the average statutory income tax rate	1,475,657	18.11%	702,110	15.83%
Disallowable Expenses	2,247,031	27.57%	4,588,354	103.44%
Allowable Expenses	(1,346,972)	-16.53%	(3,144,826)	-70.90%
Tax Exempt Income	(886,107)	-10.87%	(912,275)	-20.57%
Allowable Tax Credits	(12,213)	-0.15%	(276,885)	-6.24%
Tax losses incurred	309,304	3.79%	372,751	8.40%
Tax losses utilized	(39,490)	-0.48%	(20,568)	-0.46%
Consolidation adjustments	48,468	0.59%	(15,674)	-0.35%
Under / (Over) provision in respect of previous years	74,672	0.92%	73,679	1.66%
Deemed Dividend Tax Paid	296	0.00%	223	0.01%
Current tax expense	1,870,647	22.95%	1,366,889	30.82%

For the year ended 31 March	Company 2015 Rs. '000	2015 %	2014 Rs. '000	2014 %
Accounting profit before income tax	458,204		689,042	
Income tax expense at the average statutory income tax rate	128,297	28.00%	192,932	28.00%
Disallowable Expenses	126,151	27.53%	534,176	77.52%
Allowable Expenses	(183,084)	-39.96%	(223,335)	-32.41%
Tax Exempt Income	(104,427)	-22.79%	(498,952)	-72.41%
Tax losses incurred	36	0.01%	-	0.00%
Tax losses utilized	(12,381)	-2.70%	(10,039)	-1.46%
Current tax expense	(45,408)	-9.91%	(5,218)	-0.76%

15.6 Tax losses

For the year ended 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Losses brought forward	9,651,229	7,457,553	1,201,388	1,163,150
Adjustments / Acquisition of subsidiaries	810,665	(31,242)	(61,198)	(31,242)
Losses incurred	1,708,350	2,354,854	129	69,480
Losses utilized	(218,114)	(129,936)	(44,220)	-
Losses carried forward	11,952,130	9,651,229	1,096,099	1,201,388

15.7 Tax exemptions, concessions or holidays that have been granted

Maturata Plantations Limited and Pussellawa Plantations Limited

In terms of Section 48A - 14A of the Inland Revenue (Amendment) Act No.22 of 2011, "Specified Profit" from agricultural undertaking would be liable for income tax at the rate of 10%.

LOLC Leisure Sector Companies

All leisure sector companies are taxed at the rate of 12%.

LOLC Myanmar Micro-Finance Company Limited - LMML

LMML is incorporated and domiciled in the Myanmar where the applicable corporate tax rate is 25%.

Thaneakea Phum (Cambodia) Limited - TPC

TPC is incorporated and domiciled in Cambodia where the applicable corporate tax rate is 20%.

15.8 Income tax recognized in other comprehensive income

	Group		Company	
For the year ended 31 March	2015	2014	2015	2014
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Tax (benefit) / expense on;				
Revaluation of property, plant and equipment	(2,265)	127,071	-	88,554
Re-measurement of defined benefit liabilities	(78)	(16,031)	-	(10,876)
	(2,343)	111,040	-	77,678

16 Earnings per share

16.1 Basic earnings per share

The calculation of basic earnings per share for the year is based on the profit attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding calculated as follows;

		Group		Company	
For the year ended 31 March		2015	2014	2015	2014
	Note	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Profit attributable to equity holders of the Company		5,399,185	1,515,767	503,612	694,260
Weighted average number of ordinary shares	16.2	475,200	475,200	475,200	475,200
Basic earnings per share (Rs.)		11.36	3.19	1.06	1.46

16.2 Weighted average number of ordinary shares

	Group		Company	
For the year ended 31 March	2015	2014	2015	2014
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Total as at beginning of the period	475,200	475,200	475,200	475,200
Movement during the period	-	-	-	-
Total as at end of the period	475,200	475,200	475,200	475,200

16.3 Diluted earnings per share

There were no potential dilutive ordinary shares outstanding at any time during the year or previous year. Therefore, not presented.

Notes to the Financial Statements

17 Cash and cash equivalents as per cash flow statement

17.1 Cash in hand and favorable bank balances

As at 31 March	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Cash in hand	597,397	219,730	4,036	3,639
Balances at banks	7,329,816	4,925,054	223,531	90,566
Other Instruments	7,177	28,713	2,143	-
	7,934,390	5,173,497	229,710	94,205

17.2 Unfavorable bank balances used for cash management purposes

Bank overdrafts	(6,118,548)	(2,819,302)	(354,777)	(399,689)
Net cash and cash equivalents as in cash flow statement	1,815,842	2,354,195	(125,067)	(305,484)

18 Trading assets - fair value through profit or loss

As at 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Debt Securities					
Unit trusts	18.1	264,492	-	-	-
Government securities	18.2	3,052	1,115	-	-
		267,544	1,115	-	-
Equity Securities	18.3	757,052	854,682	514,556	536,325
Derivative assets held for risk management	18.4	81,845	30,005	-	-
		1,106,441	885,802	514,556	536,325

18.1 Unit trusts

As at 31 March	Group 2015 No. of Units	2015 Cost Rs.'000	2015 Fair Value Rs.'000	2014 No. of Units	2014 Cost Rs.'000	2014 Fair Value Rs.'000
Investments in unit trusts	24,119,760	250,000	264,492	-	-	-
		250,000	264,492	-	-	

18.2 Government securities

As at 31 March	Group 2015 Cost Rs. '000	2015 Fair Value Rs. '000	2014 Cost Rs. '000	2014 Fair Value Rs. '000
Investments in Treasury Bills and Bonds	3,049	3,052	1,112	1,115
	3,049	3,052	1,112	1,115

18.3 Equity securities

Details of the Group's equity trading portfolio

As at 31 March	Group 2015 No. of Shares	2015 Cost Rs. '000	2015 Fair Value Rs. '000	2014 No. of Shares	2014 Cost Rs. '000	2014 Fair Value Rs. '000
Abans Electricals PLC	-	-	-	60,000	13,134	5,952
Acme Printing & Packaging PLC	25,876	602	223	25,876	602	223
Anilana Hotels And Properties PLC	-	-	-	416,000	4,992	2,954
Asia Capital PLC	-	-	-	40	1	1
C T Land Development PLC	19,500	80	683	19,500	80	569
Cargo Boat Development Company PLC	300	10	36	-	-	-
Chemanex PLC	604	81	45	303,605	40,961	24,865
Colombo Dockyard PLC	4,315	86	714	4,315	86	754
DFCC Bank PLC	38	3	8	38	3	5
Expolanka Holdings PLC	1,000,000	18,000	8,500	1,000,000	18,000	8,700
F L C Holdings PLC	-	-	-	1,420,900	7,105	2,984
Hatton National Bank PLC	152	7	34	-	-	-
Hayleys PLC	2,462,744	895,632	738,855	2,755,849	895,601	785,417
John Keells Holdings PLC	343	26	64	-	-	-
John Keells PLC	-	-	-	341	33	73
Lake House Printers And Publishers PLC	-	-	-	39,500	6,873	4,013
Lanka Ashok Leyland PLC	100	293	130	100	293	120
Lanka Century Investments PLC	100	-	1	-	-	-
Laugfs Gas PLC	500	28	18	500	28	16
Malwatte Valley Plantations PLC	500	11	2	-	-	-
Nation Lanka Finance PLC	181,327	920	798	181,327	920	1,414
Overseas Realty (Ceylon) PLC	113,680	1,665	2,671	113,680	1,665	2,330
Panasian Power PLC	-	-	-	4,000,000	20,881	8,800
PC House PLC	-	-	-	300,000	6,462	90
Radiant Gems International PLC	106,753	7,542	4,270	106,753	7,542	4,911
Taprobane Holdings PLC	-	-	-	166,667	1,000	450
The Finance Company PLC	-	-	-	3,720	149	41
		924,986	757,052		1,026,411	854,682

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18.3 Equity securities (Contd.)

As at 31 March	Company					
	2015			2014		
	No. of Shares	Cost Rs. '000	Fair Value Rs. '000	No. of Shares	Cost Rs. '000	Fair Value Rs. '000
Abans Electricals PLC	-	-	-	60,000	13,134	5,952
Acme Printing & Packaging PLC	25,876	602	223	25,876	602	223
Anilana Hotels and Properties PLC	-	-	-	416,000	4,992	2,954
Asia Capital PLC	-	-	-	40	1	1
Chemanex PLC	604	81	45	303,605	40,961	24,865
Hayleys PLC	1,700,000	667,518	510,000	1,700,000	667,518	484,500
Lake House Printers And Publishers PLC	-	-	-	39,500	6,873	4,013
Laugfs Gas PLC	500	28	18	500	28	16
Panasian Power PLC	-	-	-	4,000,000	20,881	8,800
PC House PLC	-	-	-	300,000	6,462	90
Radiant Gems International PLC	106,753	7,542	4,270	106,753	7,542	4,911
		675,771	514,556		768,994	536,325

18.4 Derivative assets held for risk management

As at 31 March	Group		Company	
	2015 Rs. '000	2014 Rs. '000	2015 Rs. '000	2014 Rs. '000
Forward rate contracts	81,845	30,005	-	-

Hedge Accounting

The Group entered in to forward exchange contracts in order to hedge the risk of variability in functional currency equivalent cash flows associated with the foreign currency- denominated loan. The forward contract is designated as a hedge of the changes in the cash flows relating to the changes in foreign currency rates relating to the loans.

Details	Description of the Hedge
Hedge Instruments	Forward foreign exchange contracts
Hedge Items	Foreign currency denominated borrowings

The fair value of derivatives designated as cash flow hedges are as follows:

As at 31 March	2015		2014	
Instrument type	Assets Rs. '000	Liabilities Rs. '000	Assets Rs. '000	Liabilities Rs. '000
Group				
Forward rate contracts	79,105	442,772	16,433	397,330
Notional amount	382,000	14,040,375	6,468,191	19,589,689
Company				
Forward rate contracts	-	1,203	-	6,443
Notional amount	-	-	-	319,621

18.4 Derivative assets held for risk management (Contd.)

The maturity analysis of cash flows of the hedge item is given below.

Forecasted payable cash flows	Within 1 Year Rs. '000	1 to 5 Years Rs. '000	Total Rs. '000
As at 31 March 2015			
Group	11,696,842	6,917,406	18,614,248
Company	-	-	-
As at 31 March 2014			
Group	8,691,825	16,945,012	25,636,837
Company	180,736	54,450	235,186

19 Investment securities

As at 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Available-for-sale investment securities	19.1	**5,927,826**	7,008,369	**582,464**	315,502
Loans & receivables	19.2	**12,374,437**	9,164,577	**99,506**	67,231
		18,302,263	16,172,946	**681,970**	382,733

19.1 Available-for-sale investment securities

As at 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Government securities	19.1.1	**5,282,307**	6,429,013	-	-
Designated available-for-sale investment securities	19.1.2	**582,464**	464,980	**582,464**	315,502
Equity securities with readily determinable fair values	19.1.3	**3,999**	58,075	-	-
Unquoted equity securities	19.1.4	**59,056**	56,301	-	-
		5,927,826	7,008,369	**582,464**	315,502

Notes to the Financial Statements

19.1.1 Government securities

As at 31 March	Group 2015 Cost Rs.'000	Group 2015 Fair Value Rs.'000	Group 2014 Cost Rs.'000	Group 2014 Fair Value Rs.'000
Investments in Treasury Bills	1,002,459	1,004,849	3,305,001	3,354,344
Investments in Treasury Bonds	4,167,862	4,277,458	3,007,303	3,074,669
	5,170,321	5,282,307	6,312,304	6,429,013

19.1.2 Designated available-for-sale investment securities

The Group designated certain investments in equity securities as fair value through other comprehensive income as listed below. These investments were classified as available-for-sale. This designation was chosen as the investments are expected to be held for the long-term for strategic purposes.

As at 31 March	Group 2015 No. of Shares	Group 2015 Cost Rs.'000	Group 2015 Fair Value Rs.'000	Group 2014 No. of Shares	Group 2014 Cost Rs.'000	Group 2014 Fair Value Rs.'000
Hatton National Bank PLC	-	-	-	996,521	34,722	149,478
The Housing Development and Finance PLC	9,707,740	451,700	582,464	9,707,740	451,700	315,502
		451,700	582,464		486,422	464,980

As at 31 March	Company 2015 No. of Shares	Company 2015 Cost Rs.'000	Company 2015 Fair Value Rs.'000	Company 2014 No. of Shares	Company 2014 Cost Rs.'000	Company 2014 Fair Value Rs.'000
The Housing Development and Finance PLC	9,707,740	451,700	582,464	9,707,740	451,700	315,502
		451,700	582,464		451,700	315,502

19.1.3 Equity securities with readily determinable fair values

As at 31 March	Group 2015 No. of Shares	2015 Cost Rs.'000	2015 Fair Value Rs.'000	2014 No. of Shares	2014 Cost Rs.'000	2014 Fair Value Rs.'000
Browns Beach Hotels PLC	-	-	-	26,100	499	499
Cargo Boat Development Company PLC	-	-	-	300	10	31
DFCC Bank PLC	3,810	375	773	3,810	375	548
Distilleries Company of Sri Lanka PLC	338	3	23	338	3	23
Hapugastenne Plantations PLC	100	1	3	100	1	3
Hatton National Bank PLC	2,026	52	454	152	7	23
Lanka Century Investments PLC	-	-	-	18,716	1	38
Lanka IOC PLC	27,800	751	1,122	27,800	751	1,072
Malwatte Valley Plantations PLC	-	-	-	500	11	2
Raigam Wayamba Salterns PLC	26,200	66	71	26,200	66	58
Sierra Cables PLC	7,400	22	30	32,218,343	185,849	54,771
Vallibel Finance PLC	33,900	497	1,523	33,900	497	1,007
		1,767	3,999		188,070	58,075

19.1.4 Unquoted equity securities

As at 31 March	Group 2015 No. of Shares	2015 Cost Rs.'000	2015 Fair Value Rs.'000	2014 No. of Shares	2014 Cost Rs.'000	2014 Fair Value Rs.'000
Badulla Transport & Agency Company (Private) Limited	10,000	100	-	10,000	100	-
Ceylon Studios Limited	500	5	5	500	5	5
Ceylon Marine & Travel Services (Private) Limited	5,200	31	-	5,200	31	-
Credit Information Bureau Limited	20,100	747	547	19,490	547	547
Confifi Finance (Private) Limited	39,100	391	1,762	39,100	391	1,574
Equity Investments Lanka Limited	16,985	184	180	17,250	173	173
Indo Lanka Steel Limited	200,000	6,000	-	200,000	6,000	-
Lanka Glass Manufacturing Limited	3,000,000	3,000	-	3,000,000	3,000	-
Magpek Exports Limited	250,000	1,000	-	250,000	1,000	-
Rain Forest Eco Lodge (Private) Limited	6,483,375	32,837	43,262	84,000	540	609
Sun & Fun Resorts (Private) Limited	-	-	-	20	50,000	50,000
Ceylon Guardian Investment Trust Ltd	-	-	-	19,063	3,393	3,393
Digital Mobility (Private) Limited	100	13,300	13,300	-	-	-
		57,595	59,056		65,180	56,301

Notes to the Financial Statements

19.1.4 Unquoted equity securities (Contd.)

As at 31 March	Company 2015 No. of Shares	2015 Cost Rs. '000	2015 Fair Value Rs. '000	2014 No. of Shares	2014 Cost Rs. '000	2014 Fair Value Rs. '000
Indo Lanka Steel Limited	200,000	6,000	-	200,000	6,000	-
Lanka Glass Manufacturing Limited	3,000,000	3,000	-	3,000,000	3,000	-
Magpek Exports Limited	250,000	1,000	-	250,000	1,000	-
		10,000	-		10,000	-

19.2 Loans & receivables

As at 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Government securities	19.2.1	6,608,577	5,488,475	-	-
Investments in term deposits		5,765,860	3,676,102	99,506	67,231
		12,374,437	9,164,577	99,506	67,231

19.2.1 Government securities

As at 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000
Reverse Repo Instruments	6,608,577	5,488,475
	6,608,577	5,488,475

20 Finance lease receivables, hire purchases and operating leases

As at 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Finance lease receivables	20.1	**41,005,505**	35,062,294	-	-
Hire purchase receivables	20.2	**328,186**	1,195,955	-	76
Operating lease receivables	20.3	**1,684**	993	**1,684**	993
		41,335,375	36,259,242	**1,684**	1,069

20.1 Finance lease receivables

Receivables within one year	20.1.1	**18,198,062**	12,823,930	-	-
Receivable from one to five years	20.1.2	**22,675,695**	22,544,031	-	-
Overdue rental receivable	20.1.3	**1,186,347**	1,063,571	-	-
(-) Allowance for impairment	20.1.5	**(1,054,599)**	(1,369,238)	-	-
		41,005,505	35,062,294	-	-

20.1.1 Receivables within one year

Gross rentals receivable	**25,871,921**	19,661,120	-	-
Unearned finance income	**(7,673,859)**	(6,837,190)	-	-
	18,198,062	12,823,930	-	-

20.1.2 Receivable from one to five years

Gross rentals receivable	**36,025,563**	34,708,463	-	-
Unearned finance income	**(8,085,980)**	(6,956,120)	-	-
Prepayments received from lessees	**(5,263,888)**	(5,208,312)	-	-
	22,675,695	22,544,031	-	-

20.1.3 Overdue rental receivable

Gross rentals receivable	**1,366,906**	1,221,622	-	-
Unearned finance income	**(180,559)**	(158,051)	-	-
	1,186,347	1,063,571	-	-

20.1.4 Total finance lease receivables

Gross rentals receivable		**63,264,390**	55,591,205	-	-
Unearned finance income		**(15,940,398)**	(13,951,361)	-	-
Net investments in finance leases		**47,323,992**	41,639,844	-	-
Allowance for impairment	20.1.5	**(1,054,599)**	(1,369,238)	-	-
Prepayments received from lessees	20.1.2	**(5,263,888)**	(5,208,312)	-	-
Balance as at 31 March		**41,005,505**	35,062,294	-	-

Notes to the Financial Statements

20.1.5 Allowance for impairment

For the year ended 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Specific allowance for impairment				
Balance as at 01 April	146,686	108,828	-	-
Charged for the year	110,590	37,058	-	-
Balance as at 31 March	257,276	145,886	-	-
Collective allowance for impairment				
Balance as at 01 April	1,223,352	628,752	-	-
Charged for the year	1,434,902	1,001,350	-	-
Write offs	(1,860,931)	(406,750)	-	-
Balance as at 31 March	797,323	1,223,352	-	-
Total allowances for impairment	1,054,599	1,369,238	-	-

20.2 Hire purchase receivables

As at 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Receivables within one year	20.2.1	247,038	920,732	-	-
Receivable from one to five years	20.2.2	80,758	303,271	-	-
Overdue rental receivable	20.2.3	49,509	113,305	80	80
(-) Allowance for impairment	20.2.5	(49,119)	(141,353)	(80)	(4)
		328,186	1,195,955	-	76

20.2.1 Receivables within one year

Gross rentals receivable	274,383	1,098,746	-	-
Unearned finance income	(27,345)	(178,014)	-	-
	247,038	920,732	-	-

20.2.2 Receivable from one to five years

Gross rentals receivable	100,358	344,532	-	-
Unearned finance income	(19,600)	(41,261)	-	-
	80,758	303,271	-	-

20.2.3 Overdue rental receivable

Gross rentals receivable	49,748	117,139	80	80
Unearned finance income	(239)	(3,834)	-	-
	49,509	113,305	80	80

20.2.4 Total Rentals Receivable on Hire Purchase

As at 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Gross rentals receivable		424,489	1,560,417	80	80
Unearned finance income		(47,184)	(223,109)	-	-
Net investments in finance		377,305	1,337,308	80	80
Allowance for impairment	20.2.5	(49,119)	(141,353)	(80)	(4)
Balance as at 31 March		328,186	1,195,955	-	76

20.2.5 Allowance for impairment

For the year ended 31 March	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Specific allowance for impairment				
Balance as at 01 April	-	-	-	-
Acquisition of subsidiaries	3,812	-	-	-
Charge for the year	9,766	-	-	-
Balance as at 31 March	13,578	-	-	-
Collective allowance for impairment				
Balance as at 01 April	141,353	300,643	4	2,172
Acquisition of subsidiaries	2,913	-	-	-
Charge / (reversal) for the year	84,049	68,397	76	(2,168)
Write offs	(192,774)	(227,687)	-	-
Balance as at 31 March	35,541	141,353	80	4
Total allowances for impairment	49,119	141,353	80	4

20.3 Operating lease receivables

For the year ended 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Gross rentals receivable		579,992	551,410	579,992	551,410
Unearned finance income		(560,717)	(530,312)	(560,717)	(530,312)
Allowance for impairment	20.3.1	(17,591)	(20,105)	(17,591)	(20,105)
Balance as at 31 March		1,684	993	1,684	993

Notes to the Financial Statements

20.3.1 Allowance for impairment

For the year ended 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Collective allowance for impairment				
Balance as at 01 April	20,105	15,146	20,105	15,146
Charge / (reversal) for the year	(2,514)	4,959	(2,514)	4,959
Balance as at 31 March	17,591	20,105	17,591	20,105
Total allowances for impairment	17,591	20,105	17,591	20,105

20.4 Total finance lease receivables, hire purchases and operating leases

As at 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Gross rentals receivable		64,268,871	57,703,032	580,072	551,490
Unearned finance income		(16,548,299)	(14,704,782)	(560,717)	(530,312)
Allowance for impairment	20.5	(1,121,309)	(1,530,696)	(17,671)	(20,109)
Prepayments received from lessees	20.1.2	(5,263,888)	(5,208,312)	-	-
Balance as at 31 March		41,335,375	36,259,242	1,684	1,069

20.5 Allowance for impairment

For the year ended 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Specific allowance for impairment				
Balance as at 01 April	146,686	108,828	-	-
Acquisition of subsidiaries	3,812	-	-	-
Charge for the year	120,356	37,058	-	-
Balance as at 31 March	270,854	145,886	-	-
Collective allowance for impairment				
Balance as at 01 April	1,384,810	944,541	20,109	17,318
Acquisition of subsidiaries	2,913	-	-	-
Charge for the year	1,516,437	1,074,706	(2,438)	2,791
Write offs	(2,053,705)	(634,437)	-	-
Balance as at 31 March	850,455	1,384,810	17,671	20,109
Total allowances for impairment	1,121,309	1,530,696	17,671	20,109

21 Advances and other loans

As at 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Advances and loans	21.1	89,356,136	47,934,649	1,310,259	1,513,662
Factoring receivables	21.2	8,424,912	5,082,965	-	-
Pawning advances	21.3	744,003	1,268,027	-	-
		98,525,051	54,285,641	1,310,259	1,513,662

21.1 Rentals receivable on loans to customers

For the year ended 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Rentals receivable on loans to customers		94,128,838	53,901,530	811,040	762,347
Capital outstanding of revolving loans		4,630,451	657,661	383,960	657,661
Installment sales		-	2,336	-	2,336
Gross rental receivables		98,759,289	54,561,527	1,195,000	1,422,344
Future interest		(8,501,000)	(5,695,054)	(13)	(7,059)
Net rental receivables		90,258,289	48,866,473	1,194,987	1,415,285
Overdue loan installments		674,499	482,435	164,053	160,314
Allowance for impairment	21.1.1	(1,576,652)	(1,414,259)	(48,781)	(61,937)
		89,356,136	47,934,649	1,310,259	1,513,662

21.1.1 Allowance for impairment

For the year ended 31 March	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Specific allowance for impairment				
Balance as at 01 April	723,247	1,248,718	-	-
Allowance for impairment	(38,111)	284,537	-	-
Write offs	(13,367)	(810,008)	-	-
Balance as at 31 March	671,769	723,247	-	-
Collective allowance for impairment				
Balance as at 01 April	691,012	472,395	61,937	152,411
Allowance for impairment	1,516,963	1,467,379	(13,155)	(90,474)
Write offs	(1,303,021)	(1,248,762)	(1)	-
Currency translation	(71)	-	-	-
Balance as at 31 March	904,883	691,012	-	61,937
Total allowances for impairment	1,576,652	1,414,259	48,781	61,937

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21.2 Factoring receivables

As at 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Factoring receivables		8,948,025	5,634,943	-	-
Allowance for impairment	21.2.1	(523,113)	(551,978)	-	-
Balance as at 31 March		8,424,912	5,082,965	-	-

21.2.1 Allowance for impairment

For the year ended 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Specific allowance for impairment				
Balance as at 01 April	365,785	731,909	-	-
Charge / (reversal) for the year	216,509	(23,942)	-	-
Write offs	(277,589)	(342,182)	-	-
Balance as at 31 March	304,705	365,785	-	-
Collective allowance for impairment				
Balance as at 01 April	186,193	162,043	-	-
Charge / (reversal) for the year	32,215	24,150	-	-
Balance as at 31 March	218,408	186,193	-	-
Total allowances for impairment	523,113	551,978	-	-

21.3 Pawning advances

As at 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Pawning receivables		807,771	1,616,020	-	-
Allowance for impairment	21.3.1	(63,768)	(347,993)	-	-
Balance as at 31 March		744,003	1,268,027	-	-

21.3.1 Allowance for impairment

For the year ended 31 March	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Collective allowance for impairment				
Balance as at 01 April	347,993	30,190	-	-
Charge / (reversal) for the year	183,586	550,055	-	-
Write offs	(467,811)	(232,252)	-	-
Balance as at 31 March	63,768	347,993	-	-

21.4 Concentration by sector

21.4.1 Lending portfolio

As at 31 March	2015			2014		
	Finance lease, hire purchases and operating leases	Advances and other loans	Total	Finance lease, hire purchases and operating leases	Advances and other loans	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Group						
Agriculture	7,501,341	18,508,280	26,009,621	7,340,257	3,615,723	10,955,980
Manufacturing	2,629,767	8,951,018	11,580,785	1,988,965	5,891,264	7,880,229
Trade	7,148,251	22,985,963	30,134,214	6,644,060	17,603,174	24,247,234
Tourism	513,225	1,543,177	2,056,402	241,823	887,786	1,129,609
Services	8,036,985	21,950,899	29,987,884	7,796,008	12,407,114	20,203,122
Transportation	6,994,264	7,062,945	14,057,209	5,562,437	2,620,948	8,183,385
Construction	1,533,450	5,123,239	6,656,689	1,192,243	2,874,714	4,066,957
Plantation	-	2,198,733	2,198,733	-	1,201,563	1,201,563
Others	6,978,092	10,200,797	17,178,889	5,493,449	7,183,355	12,676,804
	41,335,375	98,525,051	139,860,426	36,259,242	54,285,641	90,544,883
Company						
Manufacturing	-	55,798	55,798	-	97,715	97,715
Trade	1,684	146,997	148,681	1,069	203,734	204,803
Construction	-	3,292	3,292	-	6,460	6,460
Plantation	-	1,087,814	1,087,814	-	1,201,563	1,201,563
Others	-	16,358	16,358	-	4,190	4,190
	1,684	1,310,259	1,311,943	1,069	1,513,662	1,514,731

Notes to the Financial Statements

21.4.2 Other financial assets

As at 31 March 2015

	Cash in hand and favorable bank balances Rs. '000	Trading assets - fair value through profit or loss Rs. '000	Investment securities Rs. '000	Trade and other current assets Rs. '000	Total Rs. '000
Group					
Government	-	4,312	11,890,884	-	**11,890,884**
Banks, Financial and Business Services	7,934,390	345,918	6,351,801	1,507,774	**7,859,575**
Agriculture	-	-	-	32,201	**32,201**
Manufacturing	-	26,313	30	2,046,299	**2,046,329**
Trade	-	4,270	-	494,013	**494,013**
Tourism	-	-	43,262	340,704	**383,966**
Services	-	724,892	15,062	155,193	**170,254**
Construction	-	714	-	117,547	**117,547**
Plantation	-	2	3	2,002,728	**2,002,731**
Others	-	20	1,221	150,083	**151,304**
	7,934,390	1,106,441	18,302,263	6,846,542	**25,148,805**
Company					
Banks, Financial and Business Services	229,710	-	681,970	4,266,858	**4,948,828**
Manufacturing	-	223	-	-	**-**
Trade	-	4,270	-	97,984	**97,984**
Tourism	-	-	-	171,309	**171,309**
Services	-	-	-	601,505	**601,505**
Plantation	-	-	-	1,503	**1,503**
Others	-	510,063	-	198,274	**198,274**
	229,710	514,556	681,970	5,337,433	**6,019,403**

22 Insurance premium receivables

As at 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Insurance Premium receivables	**622,807**	464,165	**-**	-
(-) Allowance for impairment	**(20,708)**	(14,576)	**-**	-
	602,099	449,589	**-**	-

23 Inventories

As at 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Raw materials		111,677	99,623	-	-
Work-in-progress		10,534	11,967	-	-
Finished goods and trading stocks		1,143,229	1,834,875	-	-
Input materials		55,333	1,052	-	-
Harvested crops					
- Tea		378,936	-	-	-
- Rubber		50,317	-	-	-
- Coconut		739	-	-	-
Consumables, maintenance and spares		53,446	16,876	-	-
Vehicle stocks		121,867	226,907	10,250	44,435
Food and beverages		15,228	91,176	-	-
Goods in transit		142,557	17,319	-	-
Others		1,827	2,941	-	-
		2,085,690	2,302,736	10,250	44,435
(-) Allowance for slow moving inventories	23.1	(252,018)	(434,109)	-	-
		1,833,672	1,868,627	10,250	44,435

23.1 Allowance for slow moving inventories

As at 31 March	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Balance at 01 April	434,109	263,320	-	-
Provision / (reversal) for the period	(180,657)	177,546	-	-
Write offs / (write backs)	(1,434)	(6,757)	-	-
	252,018	434,109	-	-

24 Current tax assets

As at 31 March	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Income tax recoverable	155,346	76,899	97,870	-
Value Added Tax (VAT) recoverable	778,536	867,417	-	95,367
With-Holding Tax (WHT) recoverable	153,022	110,149	67,580	67,580
Economic Service Charge (ESC) recoverable	95,490	48,025	47,979	23,612
Nation Building Tax (NBT) recoverable	1,169	931	-	-
	1,183,563	1,103,421	213,429	186,559

Notes to the Financial Statements

25 Trade and other current assets

As at 31 March		Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Financial Assets					
Trade receivables	25.1	3,443,022	2,589,321	-	-
Amount due from related parties	50.3.1	1,726,509	1,464,192	5,257,972	2,575,855
Loans given to employees	25.2	331,371	264,719	6,754	7,812
Refundable deposits	25.3	25,254	26,794	58,449	-
Other financial receivables		1,320,386	1,318,079	14,258	10,553
		6,846,542	5,663,105	5,337,433	2,594,220
Non-financial Assets					
Prepayments & advances		1,554,496	761,954	23,805	112,885
Prepaid staff costs		78,627	74,663	-	-
Non refundable deposits		11,252	19,683	-	-
Dividend receivables		228,829	206,163	164,965	119,507
Other non-financial receivables		383,321	321,592	-	-
		2,256,525	1,384,055	188,770	232,392
		9,103,067	7,047,160	5,526,203	2,826,612

25.1 Trade receivables

As at 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Trade receivables		3,866,577	3,019,574	-	-
(-) Allowance for impairment	25.1.1	(423,555)	(430,253)	-	-
		3,443,022	2,589,321	-	-

25.1.1 Allowance for impairment

For the year ended 31 March	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Specific allowance for impairment				
Balance as at 01 April	122,747	113,558	-	-
Impairment loss for the year				
Charge for the year	41,203	16,365	-	-
Recoveries	(168)	3,774	-	-
Written offs	(1,214)	(10,950)	-	-
Balance as at 31 March	162,568	122,747	-	-
Collective allowance for impairment				
Balance as at 01 April	307,506	304,828	-	-
Charge / (reversal) for the year	(41,449)	2,678	-	-
Recoveries	(3,489)	-	-	-
Written offs	(1,581)	-	-	-
Balance as at 31 March	260,987	307,506	-	-
Total allowances for impairment	423,555	430,253	-	-

25.2 Loans given to employees

For the year ended 31 March	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Balance at 01 April	264,719	407,862	7,813	160,556
Granted during the period	141,525	165,138	445	84,401
Recovered during the period	(82,062)	(101,469)	(750)	(43,979)
Adjustment of fair value of prepaid staff cost	-	(12,173)	-	-
Transfers	7,189	(194,639)	(754)	(193,166)
	331,371	264,719	6,754	7,812

25.3 Refundable deposits

For the year ended 31 March	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Balance at 01 April	26,794	21,237	-	-
Additions during the period	7,320	8,389	-	-
Adjustment of fair value	(105)	-	-	-
Refunded during the period	(8,755)	(2,832)	-	-
	25,254	26,794	-	-

Notes to the Financial Statements

26 Prepaid lease rentals on leasehold properties

	Note	Group 2015 Rs. '000	Group 2014 Rs. '000
Capitalized value		360,012	63,732
(-) Accumulated amortization	26.1	(17,196)	(12,644)
		342,816	51,088

26.1 Accumulated amortization

Balance as at 01 April 2013	12,034
Amount amortized during 2013/14	610
Balance as at 31 March 2014	12,644
Amount amortized during 2014/15	4,552
Balance as at 31 March 2015	17,196

27 Investment properties

For the year ended 31 March	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Balance at the beginning of the year	6,655,490	6,266,957	331,500	412,500
Additions	-	175,182	-	-
Additions to Investment Properties from foreclosure of contracts	787,662	-	-	-
Acquisition of Subsidiaries	1,466,292	-	-	-
Disposals	(236,292)	(126,110)	-	(556,000)
Transfers (to)/from Property Plant and Equipment	(17,965)	7,000	-	-
Change in fair value during the year	152,182	332,461	12,500	475,000
Balance at the end of the year	8,807,369	6,655,490	344,000	331,500

27.1 Investment property comprises of several commercial properties that are leased / rented out to third parties. Each of the agreement contains an initial non-cancellable period of one year and except 32 years for the Excel World property. Subsequent renewals are being negotiated with the lessee and on average renewal periods considered are three to five years.

27.2 Details of investment properties

As at 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Owned properties classified as investments properties	**3,679,769**	1,421,474	**344,000**	331,500
Properties held under operating lease classified as investment properties	**5,127,600**	5,234,016	**-**	-
	8,807,369	6,655,490	**344,000**	331,500

27.3 Valuation of investment properties

The fair value of investment properties were determined by external, independent property valuers, having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuers provide the fair value of the Group's investment property portfolio every year and the latest valuation was done on 31st March 2015.

The fair value measurement for all of the investment properties has been categorised as a Level 2 based on the inputs to the valuation techniques used.

The following table shows the valuation techniques used in measuring the fair value of investment property, as well as the significant unobservable inputs used.

Valuation Technique	Significant observable and unobservable inputs	Interrelationship between key inputs and fair value measurement
Sales comparison method - value derived based on recent transactions of similar properties	Per perch value Colombo region 0.375 Mn to 7.25 Mn	The estimated fair value would increase (decrease) if: - comparable property value was higher / (lesser)
Depreciated replacement cost method	Value per square feet determined based on similar properties value and depreciated for period used	The estimated fair value would increase (decrease) if: - Depreciation rate was lesser / (higher) - Square feet value was higher / (lesser)
Net income approach	Net rental income (profit rent) determined based on similar properties value and decapitalisation rate and years of purchase for period used Discount rate - 8% to 9.5% Annual rental income - Rs. 199 Mn to Rs. 336 Mn	The estimated fair value would increase (decrease) if: - Decapitalisation rate was lesser / (higher) - Years of purchases were higher / (lesser) - Discount rate was lesser / (higher) - Annual rental income were higher / (lesser)

Notes to the Financial Statements

28 Consumer biological assets

For the year ended 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000
Balance as at 01 April		-	-
Increase due to new planting		3,518	-
Acquisition of subsidiaries	30.5.9	6,380,137	-
Balance as at 31 March		6,383,655	-

28.1 The carrying value of timber as at the year end has been computed as follows;

As at 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000
Valuation of consumer biological assets	6,353,743	-
Cost of timber plant below three years of age, not considered for valuation	25,367	-
Growing Crop Nurseries	4,545	-
	6,383,655	-

28.2 Valuation techniques and significant unobservable inputs

Following table shows the valuation techniques in measuring Level 3 fair value of consumable biological asses as well as the significant unobservable inputs used.

Type	Valuation technique used	Significant Unobservable Inputs	Inter-relationship between key unobservable inputs and fair value measurement
Timber older than 4 years	Discounted cash flows The valuation model considers present value of future net cash flows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-per-tree basis.	Determination of Timber Content "Timber trees in inter-crop areas and pure crop areas have been identified field-wise and spices were identified and harvestable trees were separated, according to their average girth and estimated age. Timber trees that have not come up to a harvestable size are valued working out the period that would take for those trees to grow up to a harvestable size."	The estimated fair value would increase/(decrease) if; - the estimated timber content were higher/(lower) - the estimated timber prices per cubic meter were higher/(lower) - the estimated selling related costs were lower/(higher)"
	Expected cash flows are discounted using a risk-adjusted discount rate of 13% comprising a risk premium of 4%.	Determination of Price of Timber Trees have been valued as per the current timber prices per cubic meter based on the price list of the State Timber Corporation and prices of timber trees sold by the estates and prices of logs sawn timber at the popular timber traders in Sri Lanka. "In this exercise, following factors have been taken into consideration. 1. Cost of obtaining approval of felling 2. Cost of felling and cutting into logs 3. Cost of transportation 4. Sawing cost" Risk-adjusted discount rate 2014/2015 13% (risk premium - 4%) 2013/2014 14.5% (risk premium - 4%)	- the estimated maturity age were higher/(lower) - the risk-adjusted discount rate were lower/(higher)"

Notes to the Financial Statements

28.3 The Consumable Biological Assets as at 31st March 2015 of the Group was valued by Mr.K.T.D.Tissera, an independent Chartered Valuation Surveyor as per the Valuation Report dated 06 May 2015 prepared on the physically verified timber statistics provided by the Group on a tree by tree basis.

28.4 Timber Trees namely Eucalyptus Torariyana, Albezzia, Graveelia, Eucalyptus Grandis, Astonia, Pinus, Toona, Mahogany, Teak, Jak, Turpentine, Rubber, Nadun, Mango, Pellen, Hora, Domba , Lunumidella, Wal Del and Mara on the plantations have been taken into consideration in this valuation of Timber Trees.

28.5 In valuing the timber plantations, under-mentioned factors have been taken into consideration

1 The present age of trees

2 Maturity age of the tree - Maturity of the tree is based on the variety of the species of the tree.

3 Annual marginal increase in timber content

4 Number of years to harvest

5 Timber content of harvestable trees on maturity

6 Timber Plants having below three years of age have not been taken into the valuation

7 The timber content of immature trees at an estimated future harvestable year

8 The current price of species of timber per cubic foot at the relevant year

28.6 Trees have been valued as per the current timber prices in the domestic market based on the price list of the State Timber Corporation and prices of timber trees sold by estates and prices of logs and sawn timber in the popular timber traders in Sri Lanka.

28.7 The fair value is determined on the basis of net present value of expected future cash flows using a discount rate of 13% per annum. The significant assumptions used in the valuation of Consumable Biological Assets are as follows:

1 Future cash flows are determined by references to current timber prices without considering the inflationary effect.

2 The ongoing cost of growing trees which are deducted in determining the net cash flows are constant in real terms.

3 Timber trees that have not come upto a harvestable size are valued working out the period that would take for those trees to grow up to a harvestable size.

4 The present value of the trees is worked out based on the projected size and the estimated number of years it would take to reach the size. This is worked out on the basis of an annual marginal increase of timber content which normally ranges from 0.50 to 1.50 cm per year for trees of diameter girth over 10 cm.

5 The value of each matured species of timber is worked out on the price of a cubic foot of timber in the market of the species and the available cubic content of timber in the tree.

6 Due consideration has been given for cost of felling, transport, sawing, cost to sell including obtaining of approval for felling.

28.8 Managed trees include commercial timber plantations cultivated in estates. The cost of immature trees is treated at approximate fair value particularly on the ground of little biological transformation has taken place and impact of the biological transformation on price is not material. When such Plantations become mature, the additional investments since taken over to bring them to maturity are transferred from immature to mature.

28.9 The fair value of managed trees was ascertained since LKAS 41 is only applicable for managed agricultural activity in terms of the ruling issued by the Institute of Chartered Accountants of Sri Lanka. The valuation was carried but by using Discounted Cash Flow (DCF) methods. In ascertaining the fair value of timber a physical verification was carried out covering all the estates.

28.10 The valuations, as presented in the external valuation models based on net present values, takes into account the long-term exploitation of the timber plantation. Because of the inherent uncertainty associated with the valuation at fair value of the biological assets due to the volatility of the variables, their carrying value may differ from their realisable value. The Board of Directors retains their view that commodity markets are inherently volatile and that long-term price projections are highly unpredictable. Hence, the sensitivity analysis regarding selling price and discount rate variations as included in this note allows every investor to reasonably challenge the financial impact of the assumptions used in LKAS 41 against his own assumptions.

28.11 The biological assets of the Group is cultivated in the leased lands. When measuring the fair value of the biological assets it was assumed that these concessions can and will be renewed at normal circumstances. Timber content expects to be realised in future and is included in the calculation of the fair value that takes into account the age of the timber plants and not the expiration date of the lease.

28.12 Sensitivity analysis for biological assets

28.12.1 Sensitivity variation sales price

Values as appearing in the Statement of Financial Position are very sensitive to price changes with regard to the average sales prices applied. Simulations made for rubber, coconut and timber show that a rise or decrease by 10% of the estimated future selling price has the following effect on the net present value of biological assets:

	31-Mar-15		31-Mar-14	
	+10% Variance Rs. '000	-10% Variance Rs. '000	+10% Variance Rs. '000	-10% Rs. '000
Managed Timber	372,355	(372,355)	-	-

Notes to the Financial Statements

28.12.2 Sensitivity variation on discount rate

Values as appearing in the Statement of Financial Position are very sensitive to changes of the discount rate applied. Simulations made for rubber, coconut and timber show that a rise or decrease by 1% of the estimated future discount rate has the following effect on the net present value of biological assets;

	31-Mar-15		31-Mar-14	
	+1% Variance Rs. '000	-1% Variance Rs. '000	+1% Variance Rs. '000	-1% Variance Rs. '000
Managed Timber	(239,417)	288,310	-	-

The Group is exposed to a number of risks related to its timber plantations;

Regulatory and environmental risks

The Group is subject to laws and regulations imposed by the environmental authorities of Sri Lanka. The Group has established environmental policies and procedures aimed at compliance with local environmental and other laws. Management performs regular reviews to identify environmental risks and to ensure that the systems in place are adequate to manage those risks.

Supply and demand risk

The Group is exposed to risks arising from fluctuations in the price and sales volume of timber. When possible the Group manages this risk by aligning its harvest volume to market supply and demand. Management performs regular industry trend analyses to ensure that the Group's pricing structure is in line with the market and to ensure that projected harvest volumes are consistent with the expected demand.

Climate and other risks

The Group's timber plantations are exposed to the risk of damage from climatic changes, diseases, forest fires and other natural forces. The Group has extensive processes in place aimed at monitoring and mitigating those risks, including regular forest health inspections and industry pest and disease surveys.

29 Bearer biological assets

As at 31 March	Note	Group 2015 Rs. '000	2014 Rs. '000
At cost			
On Finance Lease	29.1.1	116,822	-
Investments after formation of the Company	29.1.2	1,588,964	-
Growing Crop Nurseries	29.1.3	20,384	-
		1,726,170	-
At fair value			
On Finance Lease	29.2.1	800,508	-
Investments after formation of the Company	29.2.2	3,269,971	-
Growing Crop Nurseries	29.2.5	6,669	-
		4,077,148	-
		5,803,318	-

At cost		On Finance Lease Rs. '000	Investments after formation of the Company Rs. '000	Growing Crop Nurseries Rs. '000	Total 31-Mar-15 Rs. '000	31-Mar-14 Rs. '000
	Note	29.1.1	29.1.2	29.1.3		
Cost		380,212	1,980,963	20,384	2,381,559	-
Accumulated Depreciation		(263,390)	(391,999)	-	(655,389)	-
Carrying Amount		116,822	1,588,964	20,384	1,726,170	-
At Fair Value						
	Note	29.2.1	29.2.2	29.2.5		
Valuation		800,508	3,269,971	6,669	4,077,148	-
Carrying Amount		800,508	3,269,971	6,669	4,077,148	-

Notes to the Financial Statements

29.1 At cost

29.1.1 On finance lease

	mature plantations - tea	
	2014/15	2013/14
	Rs. '000	Rs. '000
Cost/Valuation		
Balance as at 01 April	-	-
Acquisition of Subsidiaries	380,212	-
Balance as at 31 March	380,212	-
Accumulated Depreciation		
Balance as at 01 April	-	-
Acquisition of Subsidiaries	263,390	-
Balance as at 31 March	263,390	-
Carrying Amount	116,822	-

29.1.2 Investments after formation of the Company

	Immature Plantations			Mature Plantations			
	Tea	Mixed Crops	Total	Tea	Mixed Crops	Total	2014/15 Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost/Valuation							
Balance as at 01 April -	-	-	-	-	-	-	
Acquisition of Subsidiaries	446,995	102,862	549,857	1,389,644	41,462	1,431,106	1,980,963
Balance as at 31 March	446,995	102,862	549,857	1,389,644	41,462	1,431,106	1,980,963
Accumulated Depreciation							
Balance as at 01 April				-	-	-	-
Acquisition of Subsidiaries				389,864	2,135	391,999	391,999
Balance as at 31 March				389,864	2,135	391,999	391,999
Carrying Amount							
As at 31 March 2015	446,995	102,862	549,857	999,780	39,327	1,039,107	1,588,964

29.1.3 Growing crop nurseries

	Immature Plantations		
	Tea	Mixed Crops	2014/15 Total
	Rs. '000	Rs. '000	Rs. '000
Cost			
Balance as at 01 April	-	-	-
Acquisition of Subsidiaries	18,860	1,524	**20,384**
Balance as at 31 March	18,860	1,524	**20,384**

The above carrying amount as at 31st March 2015 includes the cost of immature rubber and coconut trees having up to the age of 6 years is treated as approximate to fair value particularly on the ground of little biological transformation taking place since initial cost incurrence and impact of such transformation on price is expected to be immaterial. When such plantations become mature, the additional investments since taken over to bring them to maturity are transferred from immature to mature.

Specific borrowings have been identified to finance the planting expenditure. Hence, borrowing costs of Rs 42.04 Mn (2013/2014 - Rs. 66.61 Mn) incurred on borrowings obtained to meet expenses relating to bearer biological assets, which are below 6 years of age and carried at cost, have been capitalized at an average rate of 13.56.% p.a. (2013/2014 - 19.34%). Capitalization of borrowing costs will cease when the bearer biological assets are ready for bearing (harvesting agricultural produce).

29.2 At fair value

29.2.1 On finance lease

	Group		
	Rubber	Coconut	2014/15 Total
	Rs. '000	Rs. '000	Rs. '000
Valuation			
Balance as at 01 April	-	-	-
Acquisition of Subsidiaries	785,114	15,394	**800,508**
Balance as at 31 March	785,114	15,394	**800,508**

29.2.2 Investments after formation of the Company

	Group		
	Rubber	Coconut	2014/15 Total
	Rs. '000	Rs. '000	Rs. '000
Valuation			
Balance as at 01 April	-	-	-
Acquisition of Subsidiaries	3,218,704	51,267	**3,269,971**
Balance as at 31 March	3,218,704	51,267	**3,269,971**

Notes to the Financial Statements

29.2.3 Measurement of Fair value

The fair value of bearer biological assets (Other than Tea and Other crop) was ascertained as per LKAS 41 - ""Agriculture"" applicable for managed agricultural activity. The valuation was carried by Mr.K.T.D.Tissera, an independent Chartered Valuation Surveyor, using Discounted Cash Flow (DCF) methods. In ascertaining the fair value, a physical verification was carried covering all the estates.

The fair value measurement for the bearer biological assets has been categorized as Level 3 fair value based on the inputs to the valuation technique used.

29.2.4 Valuation techniques and significant unobservable inputs

Following table shows the valuation techniques in measuring Level 3 fair value of consumable biological asses as well as the significant unobservable inputs used.

Type	Valuation technique used	Significant Unobservable Inputs	Inter-relationship between key unobservable inputs and fair value measurement
Rubber	Discounted cash flows		
- Latex	The valuation model considers present value of future net cash flows expected to be generated by the plantation from the Latex to be tapped from a rubber tree in a relevant field until the end of cessation of tapping from such trees in that field. Expected cash flows are discounted using a risk-adjusted discount rate of 12% comprising a risk premium of 3%.	- Crop Forecast Useful life span of a tree is considered as 30 years with tapping started in the 7th year after planting. Yield forecast is based on the actual crop of the base year. Yield variation is taken from the moving average trend of the 'Yield Curve'. 'Yield Curve' is the average annual field level yields of the last year and this will be assessed every year to reflect a fair representation of the fields considering location, climatic variation and agricultural practices. - Yield of a particular field is the fractional change in yield of the preceding year. - Rubber Price (NSA) Forecast Net Sale Average (NSA) is the weighted NSA of an estate which sells raw latex. Average NSA of past 12 months gained by Diddenipotha Estate is used for the valuation of latex component of rubber. - Cost of Production (COP) Forecast Average COP of Diddenipotha Estate for past 12 months is used for the valuation of latex component of rubber, which excludes manufacturing charges which differs from Estate to Estate depending on the nature of their manufacturing process.	The estimated fair value would increase/(decrease) if; - the NSA were higher/ (lower) - the COP were lower/ (higher) - the risk-adjusted discount rate were lower/ (higher)

29.2.4 Valuation techniques and significant unobservable inputs (Contd.)

Type	Valuation technique used	Significant Unobservable Inputs	Inter-relationship between key unobservable inputs and fair value measurement
Coconut	Discounted cash flows		
- Nuts	The valuation model considers present value of future net cash flows expected to be generated by the plantation from the Coconuts to be picked from a coconut tree in a relevant field until the end of cessation of picking from such coconut trees in that field.	- Coconut Yield Forecast Under optimal conditions it is expected to obtain 100-129 nuts per palm on average, but may vary according to the age, soil, rainfall and management conditions. Coconut yields have been forecasted assuming that there will be a marginal decrease of 5% of the crop. - Coconut Price (NSA) Forecast 12 months net sales average (NSA) of 3 coconut producing estates was used to value the coconut crop. - Cost of Production (COP) Forecast Average cost of production (COP) of 3 coconut producing estates was used to value the coconut crop.	The estimated fair value would increase/(decrease) if; - the forecast yield were higher/(lower) - the NSA were higher/(lower) - the COP were lower/(higher) - the risk-adjusted discount rate were lower/(higher)
Rubber	Discounted cash flows		
- Timber component	The valuation model considers the discounting of the scrap value, being the timber component of a rubber tree, using current market price of such tree Current market price is discounted for the number of years that a tree would take for uprooting using a risk-adjusted discount rate of 13% comprising a risk premium of 4%.	- Current Market Price per Tree Estimated current market price of a tree is treated as equivalent to Rs.2,200. (Previous year - Rs2,200)	The estimated fair value would increase/(decrease) if; - the estimated current market price were higher/(lower) - the risk-adjusted discount rate were lower/(higher)

Notes to the Financial Statements

Type	Valuation technique used	Significant Unobservable Inputs	Inter-relationship between key unobservable inputs and fair value measurement
Coconut	Discounted cash flows		
- Timber component	The valuation model considers the discounting of the scrap value, being the timber component of a coconut tree, using current market price of such tree. Current market price is discounted for the number of years that a tree would take for uprooting using a risk-adjusted discount rate of 13% comprising a risk premium of 4%.	- Current Market Price per Tree Estimated current market price of a tree is treated as equivalent to Rs.2,200 (Previous year - Rs.2,200)	The estimated fair value would increase/(decrease) if; - the estimated current market price were higher/(lower) - the risk-adjusted discount rate were lower/(higher)

29.2.5 Growing crop nurseries - Tea

for the year ended 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000
Cost/Valuation		
Balance as at 01 April	-	-
Acquisition of Subsidiaries	6,669	-
Balance as at 31 March	6,669	-

29.3 Borrowing Costs amounting to Rs. 42,051,870 (2013/14 - Rs 66,625,109) incurred on borrowings obtained to meet expenses relating to immature plantations have been capitalized at rate of 13.56 % p.a. (2013/14 - 10.79%) as part of the cost of immature plantations. Capitalization of borrowing costs will cease when the plantations are ready for bearing.

29.4 Bearer biological assets, namely Rubber and Coconut plantations are recognized at its fair value less cost to sell under LKAS 41 - Agriculture. However the Company measures Tea and Other bearer biological Assets at cost using LKAS 16 - Property Plant & Equipment in accordance with the new ruling issued by the Institute of Chartered Accountants of Sri Lanka dated 2nd March 2012, due to the impracticability of carrying out proper fair valuation.

29.5 Rubber and Coconut plantations as at 31st March 2015 of the Group was valued by Mr K.T.D. Tissera, an independent Chartered Valuation Surveyor as per the Valuation Report dated 06th May 2015 having separately valued latex/crop and timber components based on the physically verified statistics on a field by field basis. Rubber and Coconut plantations were retrospectively valued as at 31st March 2013 by the same Chartered valuation Surveyor on a field by field basis.

29.6 The valuation has been prepared in respect of each estate separately for the latex/nuts and the timber component of the Rubber/Coconut plantation. The Rubber and Coconut plants having up to six years of ages as at the reporting date have been taken at cost.

29.7 Determination of risk premium

As indicated under 29.2.4, risk-adjusted discount rate includes a risk premium of 3% for yield component in rubber and coconut and 4% for timber component. The Group has considered following factors in deciding the risk premium for the year.

1. The illiquid nature of the plantations prior to maturity
2. Lack of market evidences as to the value of biological assets throughout their life cycle
3. Risk in relation to diseases affecting the Biological Assets
4. Value of varieties of timber for their highest and the best use

The Group has also considered following additional factors in this regard.

Rubber and Coconut yield is sold through a well established auction system where reliable information on current market is reflected. However the market prices of timber varies from location to location which is regulated by few institutions and mainly by individuals.

The costs associated with production of latex and nuts are systematically recorded and easily accessed but the costs associated with timber harvesting also varies from location to location depending on the institution or the individual who perform the harvesting operation.

29.8 Significant assumptions used in the valuation of rubber and coconut plantations are as follows:

1. Future cash flows of timber component of Rubber and Coconut are determined by references to current timber prices without considering the inflationary effect.
2. The ongoing cost of growing trees which are deducted in determining the net cash flows are constant in real terms.
3. Rubber/Coconut Plants have been valued working out the period that would take for those trees to be harvested.
4. Due consideration has been given for cost of felling and transport.

Notes to the Financial Statements

29.9 Sensitivity analysis for bearer biological assets

29.9.1 Sensitivity variation sales price

Values as appearing in the Statement of Financial Position are very sensitive to price changes with regard to the average sales prices applied. Simulations made for rubber, coconut and timber show that a rise or decrease by 10% of the estimated future selling price has the following effect on the net present value of biological assets:

	31-Mar-15		31-Mar-14	
	+10% Variance Rs. '000	-10% Variance Rs. '000	+10% Variance Rs. '000	-10% Variance Rs. '000
Rubber	198,326	(198,326)	-	-
Coconut	2,702	(2,702)	-	-

29.9.2 Sensitivity variation on discount rate

Values as appearing in the Statement of Financial Position are very sensitive to changes of the discount rate applied. Simulations made for rubber, coconut and timber show that a rise or decrease by 1% of the estimated future discount rate has the following effect on the net present value of biological assets;

	31-Mar-15		31-Mar-14	
	+1% Variance Rs. '000	-1% Variance Rs. '000	+1% Variance Rs. '000	-1% Variance Rs. '000
Rubber	(111,652)	124,230	-	-
Coconut	(3,702)	4,040	-	-

30 Subsidiary companies

As at 31 March

30.1 Company	2015 No. of Shares	2015 Holding %	2015 Cost Rs. '000	2014 No. of Shares	2014 Holding %	2014 Cost Rs. '000
Subsidiary						
LOLC Factors Limited	1	100.00%	700,000	1	100.00%	700,000
LOLC Land Holdings Limited	13,300,000	100.00%	133,000	13,300,000	100.00%	133,000
LOLC Realty Limited	1	100.00%	-	1	100.00%	-
LOLC Property Investments Limited	7,195,660	100.00%	71,957	1	100.00%	71,957
LOLC Securities Limited	10,000,000	100.00%	100,000	10,000,000	100.00%	100,000
LOLC Securities Limited - Preference Shares	25,000,000	100.00%	250,000	25,000,000	100.00%	250,000
Green Vally Asset Holdings (Pvt) Ltd (early known as LOLC Asset Holdings Limited)	120,000,000	100.00%	1,210,121	1	100.00%	-
Green City Estates (Pvt) Ltd (early known as LOLC Estates Limited)	1	100.00%	-	1	100.00%	-
LOLC Insurance Company Limited	-	-	-	60,000,000	100.00%	650,000
Lanka ORIX Project Development Limited	5,200,000	100.00%	52,000	5,200,000	100.00%	52,000
LOLC Investments Limited	356,000,000	100.00%	10,263,000	6,000,000	100.00%	3,945,000
Lanka ORIX Information Technology Services Limited	1,700,000	100.00%	17,000	1,700,000	100.00%	17,000
Browns Investments PLC	14,344,100	0.77%	83,426	14,344,100	0.77%	65,496
Lanka ORIX Finance PLC	2,520,000,000	90.00%	11,663,428	2,520,000,000	90.00%	11,663,428
Commercial Leasing & Finance PLC	6,308,876,426	98.92%	10,599,809	5,778,750,809	98.92%	10,599,809
Commercial Factors Limited	1	100.00%	-	1	100.00%	-
Sundaya Lanka (Private) Limited	624,490	51.00%	6,245	624,490	51.00%	6,245
LOLC Micro Credit Limited	62,959,191	100.00%	4,161,560	52,800,000	100.00%	4,161,560
LOLC Micro Investments Limited	1	100.00%	2,603,000	1	100.00%	103,000
LOLC Motors Limited	30,000,000	100.00%	300,000	15,000,000	100.00%	300,000
LOLC Myanmar Micro-Finance Company Limited	971,379	100.00%	129,908	241,048	100.00%	32,255
LOLC Eco Solutions Limited	2,500,000	100.00%	25,000	2,500,000	100.00%	25,000
Galoya Holdings Limited	1,000,000	50.00%	13,000	1,000,000	50.00%	13,000
Brown and Company PLC	3,382,800	4.77%	532,474	3,382,800	4.77%	532,474
F L C Hydro Power PLC	976,700	0.90%	14,298	-	-	-
Allowance for Impairment (Note 30.2)			(803,176)			(796,245)
Total			42,126,050			32,624,979

Notes to the Financial Statements

30.2 Allowance for impairement

As at 31 March	Note	2015 Rs. '000	2014 Rs. '000
Lanka ORIX Project Development Limited		52,000	52,000
Sundaya Lanka (Private) Limited		6,245	6,245
Galoya Holdings Limited		13,000	13,000
LOLC Factors Limited		700,000	700,000
LOLC Eco Solutions Limited		25,000	25,000
F L C Hydro Power PLC		6,931	-
	30.2.1	803,176	796,245

30.2.1 Movement in allowance for impairment

Opening balance	796,245	71,245
Provided for the period	6,931	725,000
Closing balance	803,176	796,245

30.3 Group holdings in subsidiaries

Details of the Group's subsidiaries at the end of the reporting period are as follows;

As at 31 March				Proportion of ownership interest held by the Group			
				2015		2014	
	Subsidiary		Principal Activities	No. of Shares	Control Holding %	No. of Shares	Control Holding %
1	Ajax Engineers (Private) Limited	Ajax	Construction	239,694	51.00%	239,694	51.00%
2	B G Air Services (Private) Limited	BG Air	Air ticketing and outbound tours	50,000	100.00%	50,000	100.00%
3	BRAC Lanka Finance PLC	BRAC	Financial services	99,779,641	94.35%	-	-
4	Golden Vistas (Pvt) Ltd	BVL	Pre-operational	1	100.00%	1	100.00%
5	Bodufaru Beach Resorts (Pvt) Ltd	BBR	Pre-operational	802	99.67%	-	-
6	Brown & Company PLC	BCL	Trading and manufacturing	70,875,000	54.54%	70,875,000	54.54%
7	Browns Capital (Private) Limited		Pre-operational	5,000,000	100.00%	5,000,000	100.00%
8	Browns Global Farm (Private) Limited	BGFL	Pre-operational	25,000	100.00%	25,000	100.00%
9	Browns Group Industries (Private) Limited	BGIL	Providing marine solutions	2,800,000	100.00%	2,800,000	100.00%
10	Browns Group Motels Limited	BGML	Non-operational	379,859	75.97%	379,859	75.97%
11	Browns Health Care (Private) Limited	BHCL	Healthcare services	67,000,000	100.00%	20,000,000	100.00%
12	Browns Health Care North Colombo (Private) Limited	BHCNC	Healthcare services	1	100.00%	1	100.00%
13	Browns Holdings Limited	TFML	Fund/ Investments Management	345,170,420	66.60%	340,553,220	66.90%
14	Browns Industrial Park (Private) Limited	BIPL	Renting of properties	15,405,137	100.00%	15,405,137	100.00%
15	Browns Investments PLC	BIL	Investing	2,017,255,625	54.23%	978,627,813	52.61%

30.3 Group holdings in subsidiaries (Contd.)

As at 31 March				2015		2014	
Subsidiary			Principal Activities	No. of Shares	Control Holding %	No. of Shares	Control Holding %
16	Browns Motors (Private) Limited	BML	Non-operational	50,000	100.00%	50,000	100.00%
17	Browns Real Estate (Private) Limited	BREL	Pre-operational	5,000,000	100.00%	5,000,000	100.00%
18	Browns Thermal Engineering (Private) Limited	BTEL	Importing and manufacturing Radiators	1,499,997	100.00%	1,499,997	100.00%
19	Browns Tours (Private) Limited	BTL	GSA for Austrian airlines and inbound tour operations	2,030,000	100.00%	2,030,000	100.00%
20	Central Services Limited	CSL	Non-operational	802	100.00%	802	100.00%
21	Ceylon Estate Teas (Private) Limited	CET	Marketing and distribution of teas	455,000	100.00%	-	-
22	Ceylon Roots (Private) Limited	Roots	Inbound tour operations	90,000	60.00%	-	-
23	CFT Engineering Limited	CFT	Non-operational	3,450	95.04%	3,450	95.04%
24	Commercial Factors Limited	CFL	Non-operational	1	100.00%	1	100.00%
25	Commercial Leasing & Finance PLC	CLC	Financial services	6,348,876,426	99.55%	6,348,876,426	99.55%
26	Creations Construction & Engineering (Private) Limited	C & C	Manufacturing	10,000	50.01%	-	-
27	Dikwella Resort (Pvt) Limited	DRS	Hotelier	481,314	100.00%	481,314	100.00%
28	Diriya Investments (Private) Limited	Diriya	Investing	216,106,704	100.00%	216,106,704	100.00%
29	Distant Horizons (Pvt) Limited		Pre-operational	1	100.00%	1	100.00%
30	Dolekanda Power (Private) Limited	Dolekanda	Hydro Power Generation	10,000,000	100.00%	-	-
31	Enselwatte Power (Private) Limited	Enselwatte	Hydro Power Generation	10,000,000	100.00%	-	-
32	E.S.L Trading (Private) Limited	ESLT	Pre-operational	1	100.00%	1	100.00%
33	Eden Hotels Lanka PLC - Note 30.4.1	Eden	Hotelier	24,398,472	46.21%	24,398,472	46.21%
34	Engineering Services (Private) Limited	ESL	Selling Generators & Related Services	147,501	100.00%	147,502	100.00%
35	Excel Global Holding Limited	EGHL	Investments holding	53,448,329	100.00%	53,448,329	100.00%
36	Excel Restaurant (Private) Limited	ERL	Operating restaurant	10,004	100.00%	10,004	100.00%
37	Fairview Lands Limited	FVLL	Pre-operational	1	100.00%	1	100.00%
38	FLC Estate Bunglows (Private) Limited	FLC EB	Leisure	1,000,000	100.00%	-	-
39	FLC Holdings PLC	FLCH PLC	Investing in ventures	747,600,000	54.65%	-	-
40	FLC Hydro Power PLC	HPFL PLC	Hydro Power Generation	150,000,000	71.24%	-	-
41	FLC Joint Venture (Private) Limited	FLC JV	Investing in ventures	100,000,000	100.00%	-	-
42	FLC Power Holdings (Private) Limited	FLC PH	Investing in ventures	100,000,000	100.00%	-	-
43	FLC Properties (Private) Limited	FLC Properties	Real estate business	60,000,000	100.00%	-	-
44	FLMC Plantations (Private) Limited	FLMC	Plantation management	92,052,842	94.38%	-	-
45	FLPC Management (Private) Limited	FLPC	Plantation management	5,500,000	55.00%	-	-
46	Fortune Fields (Pvt) Limited	FFL	Pre-operational	1	100.00%	1	100.00%
47	Galoya Holdings (Private) Limited	GHL	Management company - Sugar plantation	2,600,000	100.00%	2,600,000	99.99%

Notes to the Financial Statements

30.3 Group holdings in subsidiaries (Contd.)

As at 31 March				2015		2014	
	Subsidiary		Principal Activities	No. of Shares	Control Holding %	No. of Shares	Control Holding %
48	Green Paradise Resorts (Private) Limited -	GPR	Hotelier	2,550,006	51.00%	2,550,006	51.00%
49	Halgranoya Hydro Power (Private) Limited	Halgranoya	Hydro Power Generation	10,000,000	100.00%	-	-
50	Invest Land (Pvt) Limited	ILL	Pre-operational	1	100.00%	1	100.00%
51	Klevernberg (Private) Limited	KPL	Trading	11,856,000	76.00%	11,856,000	76.00%
52	Lanka ORIX Finance PLC	LOFC	Financial services	2,520,000,000	90.00%	2,520,000,000	90.00%
53	Lanka ORIX Information Technology Services Limited	LOITS	Software design development and distribution	1,700,000	100.00%	1,700,000	100.00%
54	Lanka ORIX Project Development (Private) Limited	LOPD	Non-operational	5,200,000	100.00%	5,200,000	100.00%
55	Green Valley Asset Holdings (Pvt) Ltd		Real estate	1	100.00%	1	100.00%
56	LOLC Eco Solutions Limited	LOLC Eco	Investments holding	2,500,000	100.00%	2,500,000	100.00%
57	LOLC Estates Limited	LEL	Real estate	1	100.00%	1	100.00%
58	LOLC Factors Limited	LOFAC	Factoring services	1	100.00%	1	100.00%
59	LOLC General Insurance Limited	LGEN	Pre-operational	10,000,000	100.00%	10,000,000	100.00%
60	LOLC Insurance Company Limited	LOIC	Insurance	60,000,000	100.00%	60,000,000	100.00%
61	LOLC Investments Limited	LOIV	Investments holding	356,000,000	100.00%	356,000,000	100.00%
62	LOLC Land Holdings Limited	LLHL	Real estate	13,300,000	100.00%	13,300,000	100.00%
63	Browns Hotels and Resorts Limited	Leisure	Management of hotels	1,349,166,000	100.00%	1,349,166,000	100.00%
64	LOLC Life Insurance Limited	LLIFE	Pre-operational	-	-	29,000,000	100.00%
65	LOLC Logistics (Private) Limited	LLG	Pre-operational	1	100.00%	1	100.00%
66	LOLC Micro Credit Limited	LOMC	Financial Services (Agro and micro financing)	62,959,191	80.00%	62,959,191	80.00%
67	LOLC Micro Investments Limited	LOMI	Pre-operational	250,000,000	100.00%	1	100.00%
68	LOLC Motors Limited	LOMO	Vehicle trading & repair services	30,000,000	100.00%	30,000,000	100.00%
69	LOLC Myanmar Micro-Finance Company Limited	LMML	Financial services	971,379	100.00%	241,048	100.00%
70	Green Orchard (Pvt) Ltd		Real estate	1	100.00%	1	100.00%
71	LOLC Realty Limited	LRL	Real estate	1	100.00%	1	100.00%
72	LOLC Securities Limited	LOSEC	Stock trading	10,000,000	100.00%	10,000,000	100.00%
73	LOLC Technologies Limited	LOTEC	IT services	1	100.00%	1	100.00%
74	Masons Mixture Limited	MML	Non-operational	4,289,849	99.67%	4,226,390	98.19%
75	Maturata Plantation Limited	MPL	Plantations	25,200,000	72.00%	-	-
76	Melfort Green Tea Limited - Note 30.4.2	MGTL	Manufacturing Green Tea	650,000	46.43%	-	-
77	Millennium Development Limited	MDL	Recreational activities	44,390,823	100.00%	44,390,823	100.00%
78	Mutugalla Estates (Private) Limited	MEL	Fund/ Investment management	960	80.00%	960	80.00%
79	Orient Academy Limited	OAL	Educational services	1,500,000	100.00%	1,500,000	100.00%

As at 31 March				2015		2014	
Subsidiary			Principal Activities	No. of Shares	Control Holding %	No. of Shares	Control Holding %
80	Orient Global Technology Limited	OGTL	Pre-operational	1	100.00%	1	100.00%
81	Palm Garden Hotels PLC	Palm	Hotelier	38,671,013	89.38%	7,722,968	71.40%
82	Pathregalla Estates (Private) Limited	PEL	Fund/ Investment management	3,831	91.21%	3,831	91.21%
83	Pleasant Landscape (Pvt) Limited	PLL	Pre-operational	1	100.00%	1	100.00%
84	Pussellawa Plantations Limited	PPL	Plantations	14,236,986	59.70%	-	-
85	Riverina Resort (Private) Limited	RRL	Pre-operational	35,050,000	100.00%	50,000	100.00%
86	S.F.L. Services (Private) Limited	SFL	Lending to related companies	1,350,000	100.00%	1,350,000	100.00%
87	Sifang Lanka (Private) Limited	Sifang	Importing ,Assembling & Selling of agro equipment's	2,000,000	100.00%	2,000,000	100.00%
88	Sifang Lanka Trading (Private) Limited	SFTL	Non-operational	2,997,750	100.00%	2,997,750	100.00%
89	Stellenburg Hydro Power (Private) Limited	Stellenburg	Hydro Power Generation	150,000,000	100.00%		
90	Snowcem Products Lanka (Private) Limited	SPLL	Non-operational	40,000	100.00%	40,000	100.00%
91	Southern Cleaners Limited	SCL	Fund/ Investment management	201,267	100.00%	201,267	100.00%
92	Speed Italia Limited	SIL	Vehicle trading	100,000	100.00%	100,000	100.00%
93	Sumudra Beach Resorts (Private) Limited	Sumudra	Hotelier - pre-operational	33,127,500	100.00%	33,127,500	100.00%
94	Sun & Fun Resorts (Private) Limited	Sun & Fun	Hotelier	16,287,848	51.00%	-	-
95	Sundaya Lanka (Private) Limited	Sundaya	Non-operational	624,490	51.00%	624,490	51.00%
96	Thaneakea Phum (Cambodia) Ltd	TPC	Financial services	140,210	60.00%	-	-
97	Tea Leaf Resort Holdings (Private) Limited	TLRL	Leisure	250,000	50.10%	-	-
98	Thebuwana Hydro Power (Private) Limited	Thebuwana	Hydro Power Generation	77,713,512	100.00%	-	-
99	The Hatton Transport & Agency Company (Private) Limited	HTAC	Non-operational	111,300	100.00%	111,300	100.00%
100	Thurushakthi (Private) Limited		Non-operational	1	100.00%	1	100.00%
101	Tropical Villas (Private) Limited	TVL	Non-operational	10,344,300	100.00%	10,344,300	100.00%
102	United Dendro Energy (Private) Limited	UDE	Non-operational	750	75.00%	750	75.00%
103	United Dendro Energy Ambalantota (Private) Limited	UDEA	Non-operational	1	100.00%	1	100.00%
104	United Dendro Energy Kawantissapura (Private) Limited	UDEK	Non-operational	1	100.00%	1	100.00%
105	United Dendro Energy Puttalam (Private) Limited	UDEP	Non-operational	1	100.00%	1	100.00%
106	United Dendro Energy Walawewatte (Private) Limited	UDEW	Non-operational	1	100.00%	1	100.00%
107	Walker & Greig (Private) Limited	WGL	Non-operational	1	100.00%	1	100.00%

Notes to the Financial Statements

30.4 Nature of the relationship between the parent and subsidiaries when the parent does not own, more than half of the voting power

30.4.1 Eden Hotels Lanka PLC - Eden

The Group considers Eden as a subsidiary by virtue of de facto control though the Group owns less than half of the Eden (46.21%) and has less than half of the voting power. It is able to govern the financial and operating policies of Eden and on the basis that the remaining voting rights in the investee are widely dispersed and that there is no indication that all other shareholders exercising their votes collectively. Consequently, the Group concludes Eden as a subsidiary and consolidates.

30.4.2 Melfort Green Tea Limited - MGTL

Although the group owns less than half of the voting power of MGTL (46.43%), management has determined that the group has control over the investee. This is because the group holds significantly more Board control over MGTL than other vote holders. Accordingly, the group applied acquisition accounting to the investment.

30.5 Acquisition of subsidiaries

In 2014/15, the Group acquired following entities;

			Note
1	Thaneakea Phum (Cambodia) Limited	TPC	30.5.1
2	BRAC Lanka Finance PLC	BRAC	30.5.2
3	F L C Joint Venture (Private) Limited	FLCJV	30.5.3
4	Sun & Fun Resorts (Private) Limited	Sun & Fun	30.5.4
5	Ceylon Roots (Private) Limited	CRT	30.5.5
6	Creations Construction & Engineering (Private) Limited	C & C	30.5.6

30.5.1 TPC

LOLC Group acquired a 60% stake in Thaneakea Phum Cambodia (TPC), for USD 20.3 Mn. The acquisition was through LOLC's fully owned subsidiary, LOLC Micro Investments Ltd (LOMI), the microfinance investment arm of LOLC. LOLC Group has received all required regulatory approvals, including approvals from the Central bank of Sri Lanka, Ministry of Finance of Sri Lanka, National Bank of Cambodia and the Ministry of Commerce of Cambodia for the acquisition.

TPC is the 5th largest microfinance company in Cambodia with a gross loan book of USD 100 Mn. TPC carries out its business operations through 52 branches distributed throughout Cambodia, with a total staff of 1,100 and currently has a customer base of 170,000 microfinance borrowers. The Company has a strong capital base and maintains a capital adequacy ratio of 16.8%, providing a stable platform for strong growth and sustainable profitability.

30.5.2 BRAC

In furtherance of the Central Bank's program on the financial sector consolidation to achieve greater financial system stability, Commercial Leasing & Finance PLC, a subsidiary of LOLC acquired 58.79% of BRAC Lanka Finance PLC from BRAC Lanka Investments (Pvt) Ltd for a consideration of Rs. 9.70 per share. The approval of the Central Bank of Sri Lanka has been obtained for the above acquisition.

BRAC Lanka Finance PLC is a company with a strong focus on micro finance with a customer base of over 68,000 borrowers. LOLC Group had already invested in the company through its subsidiary, LOLC Micro Investments Limited (LOMI), which held 35.02% of the shares of BRAC. The group sees this acquisition as an enhancement of its vision of financial inclusion. Subsequently the holding of LOMI was sold to CLC increasing its holding to 93.81%. As a result of the mandatory offers CLC acquired a further 0.54%. CLC is awaiting the transfer of 5.65% shares with SEC approval.

30.5.3 FLCJV

On 03rd March 2015, Browns Investments PLC (BIL), an investment arm of LOLC Group acquired the remaining 50% of F L C Joint Venture (Private) Limited (FLCJV) for a consideration of Rs. 651.2 Mn. FLCJV was a joint venture group of BIL with a stake of 50%.

Free Lanka Group was established in 1992 and has grown as a diversified group which engages in cultivation of conventional crops such as tea, rubber and coconut, cinnamon, commercial timber, hydro power generation and real estate property development.

The results of the acquisition are given below;

	Note	Rs. '000
Carrying amount of the previously held interest	31.1	1,272,535
Fair value adjustment to the carrying amount		(621,335)
Fair value of the previously held interest		651,200
Gain on bargain purchase	30.5.10	1,242,669
Fair value adjustment to the carrying amount		(621,335)
Total effect on Profit or Loss		621,334

30.5.4 Sun & Fun

In Sep 2014, Browns Investments PLC (BIL) acquired 51% stake of Sun and Fun Resorts Limited (S&F) for a consideration of Rs. 255 Mn. S&F is a BOI approved Company which is in the process of constructing a four star international standard hotel in Pasikudah with 71 rooms.

30.5.5 CRT

60% of Ceylon Roots (Private) Limited was acquired by Browns Investments PLC (BIL) for a consideration of Rs. 44.24 Mn. Roots is primarily in the business of inbound tours concerned with creating and facilitating travel experiences in Sri Lanka and it is fully-fledged professional destination management Company focused on providing comprehensive travel packages.

30.5.6 C & C

Creations Construction & Engineering (Private) Limited is a reputed business venture specialising in manufacturing fixed and movable furnitures for large hotel projects. Browns Investments PLC (BIL) acquired 50.01% of C&C in March 2015 for a consideration of Rs. 10 Mn with the intention of integrating the supply chain of its leisure sector projects and with subsequent expansion to other external hotels and leisure projects.

Notes to the Financial Statements

30.5.7 Consideration transferred

For the year ended 31 March 2015	Note	Acquired %	Cash and cash equivalents paid Rs. '000	Acquisition related costs Note 30.5.8 Rs. '000	Fair value of the consideration paid Rs. '000	Fair value of previously held interest Rs. '000	Total consideration of acquisition Rs. '000
			Group				
Thaneakea Phum (Cambodia) Limited	30.5.1	60.00%	2,660,397	(14,880)	2,645,517	-	2,645,517
BRAC Lanka Finance PLC	30.5.2	93.81%	606,694	(3,540)	603,154	359,188	962,342
F L C Joint Venture (Private) Limited	30.5.3	100.00%	651,200	-	651,200	651,200	1,302,400
Sun & Fun Resorts (Private) Limited	30.5.4	51.00%	205,064	(64)	205,000	50,000	255,000
Ceylon Roots (Private) Limited	30.5.5	60.00%	44,240	(240)	44,000	-	44,000
Creations Construction & Engineering (Private) Limited	30.5.6	50.01%	10,000	-	10,000	-	10,000
Fair value of the consideration paid			4,177,595	(18,724)	4,158,871	1,060,388	5,219,259

30.5.8 Acquisition-related costs

The Group incurred acquisition-related costs of Rs. 18.724 Mn as share transfer levies. These costs have been included in other expenses in the consolidated statement of profit or loss.

30.5.9 Fair values of identifiable assets acquired and liabilities assumed

	TPC Rs. '000	BRAC Rs. '000	FLCJV Rs. '000	Sun & Fun Rs. '000	CRT Rs. '000	C & C Rs. '000	Group Rs. '000
Assets							
Cash and cash equivalents	1,937,779	-	261,481	15,701	1,546	6,671	**2,223,178**
Trading assets - fair value through profit or loss	-	-	281,817	-	-	-	**281,817**
Investment securities	1,953	931,673	133,316	-	-	2,543	**1,069,485**
Finance lease receivables, hire purchases and operating leases	-	1,640,126	-	-	-	-	**1,640,126**
Advances and other loans	13,005,918	-	-	-	-	-	**13,005,918**
Inventories	-	-	550,627	-	-	4,260	**554,887**
Current tax assets	-	-	44,630	-	-	-	**44,630**
Trade and other current assets	146,185	26,602	1,478,146	172,486	20,626	2,980	**1,847,025**
Investment properties	-	236,292	1,230,000	-	-	-	**1,466,292**
Consumer Biological Assets	-	-	6,380,137	-	-	-	**6,380,137**
Bearer Biological Assets	-	-	5,795,038	-	-	-	**5,795,038**
Deferred tax assets	-	-	220,422	-	-	-	**220,422**
Intangible assets	-	20,967	26	-	-	-	**20,993**
Property, plant and equipment	154,900	98,813	2,665,158	497,565	824	7,381	**3,424,641**
Total assets	15,246,735	2,954,473	19,040,798	685,752	22,996	23,835	**37,974,589**

30.5.9 Fair values of identifiable assets acquired and liabilities assumed

	TPC Rs.'000	BRAC Rs.'000	FLCJV Rs.'000	Sun & Fun Rs.'000	CRT Rs.'000	C & C Rs.'000	Group Rs.'000
Liabilities							
Bank overdrafts	-	89,179	169,809	-	-	8,605	267,593
Deposits liabilities	-	116,774	-	-	-	-	116,774
Interest bearing borrowings	12,003,790	1,562,007	1,603,806	-	-	9,991	15,179,594
Current tax payables	44,750	4,763	41,080	-	-	-	90,593
Trade and other payables	438,845	557,274	2,831,916	298,777	29,194	2,510	4,158,516
Deferred tax liabilities	-	18,230	917,427	-	-	71	935,728
Deferred income	171	-	461,405	-	-	-	461,576
Retirement benefit obligations	-	7,211	2,090,462	-	-	-	2,097,673
Total liabilities	12,487,556	2,355,438	8,115,905	298,777	29,194	21,177	23,308,047
Fair value of net assets acquired	2,759,179	599,035	10,924,893	386,975	(6,198)	2,658	14,666,542

30.5.10 Goodwill on acquisition / (Gain on bargain purchase)

Goodwill on acquisition / (Gain on bargain purchase) is recognized as a result of the acquisitions as follows;

For the year ended 31 March 2015	Note	TPC Rs.'000	BRAC Rs.'000	FLCJV Rs.'000	Sun & Fun Rs.'000	CRT Rs.'000	C & C Rs.'000	Group Rs.'000
Fair value of the consideration paid	30.5.7	2,645,517	962,342	1,302,400	255,000	44,000	10,000	5,219,259
Non-controlling interests, based on their proportionate interest in the recognized amounts of the assets and liabilities		1,103,662	37,057	8,379,824	189,618	(3,367)	1,329	9,708,123
		3,749,179	999,399	9,682,224	444,618	40,633	11,329	14,927,382
Fair value of identifiable net assets	30.5.9	2,759,179	599,035	10,924,893	386,975	(6,198)	2,658	14,666,542
Goodwill on acquisition / (Gain on bargain purchase)		990,000	400,364	(1,242,669)	57,643	46,831	8,671	260,840
Goodwill on acquisition		990,000	400,364	-	57,643	46,831	8,671	1,503,509
Gain on bargain purchase		-	-	(1,242,669)	-	-	-	(1,242,669)
		990,000	400,364	(1,242,669)	57,643	46,831	8,671	260,840

30.5.11 Net cash used in acquisition

For the year ended 31 March	Note	TPC Rs.'000	BRAC Rs.'000	FLCJV Rs.'000	Sun & Fun Rs.'000	CRT Rs.'000	C & C Rs.'000	Group Rs.'000
Purchase consideration paid	30.5.7							
Fair value of the consideration paid		2,645,517	603,154	651,200	205,000	44,000	10,000	4,158,871
Acquisition-related costs		14,880	3,540	-	64	240	-	18,724
		2,660,397	606,694	651,200	205,064	44,240	10,000	4,174,055
(-) Cash & cash equivalents acquired	30.5.9							
Positive cash balances		1,937,779	-	261,481	15,701	1,546	6,671	2,223,178
Bank overdrafts		-	(89,179)	(169,809)	-	-	(8,605)	(267,593)
		1,937,779	(89,179)	91,672	15,701	1,546	(1,934)	1,955,585
Net cash used in acquisition		722,618	695,873	559,528	189,363	42,694	11,934	2,222,010

Notes to the Financial Statements

30.6 Non-controlling interests

The following table summarises the information relating to each of the Group's subsidiaries that has material NCI, before any intra-group eliminations.

As at 31 March 2015	LOMC	PALM	DRS	TPC	BCL	SFL	MDL	GPR	MPL	PPL	Total
NCI %	20.00%	73.60%	87.80%	40.00%	62.10%	62.10%	70.46%	84.93%	89.03%	94.70%	
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Total Assets	30,517,366	3,205,284	1,802,355	20,097,174	15,769,068	1,567,890	3,904,305	1,290,731	5,240,899	9,927,793	**93,322,865**
Total liabilities	24,720,994	229,816	378,636	16,070,758	7,966,726	9,920	40,168	56,775	3,700,567	2,936,258	**56,110,618**
Net assets	5,796,372	2,975,468	1,423,719	4,026,416	7,802,342	1,557,970	3,864,137	1,233,956	1,540,332	6,991,535	**37,212,247**
Carrying amount of NCI	1,159,274	2,189,827	1,250,010	1,610,553	4,845,318	967,512	2,722,593	1,048,042	1,371,354	6,620,890	**23,785,374**
Gross income	7,065,315	773	148,254	2,524,346	7,785,137	75,135	46,875	154,237	-	-	**17,800,072**
Profit for the period	1,174,275	(163,410)	(59,601)	661,520	561,771	(10,451)	(12,102)	(32,612)	-	-	**2,119,390**
OCI for the period	58,635	830	115	124,999	53,493	-	-	-	-	-	**238,072**
Profits allocated to NCI	234,855	(120,263)	(52,329)	264,606	348,864	(6,490)	(8,527)	(27,699)	-	-	**633,017**
OCI allocated to NCI	11,727	611	101	49,999	33,220	-	-	-	-	-	**95,658**

As at 31 March 2014	LOMC	PALM	DRS	BCL	SFL	MDL	GPR	Total
NCI %	20.00%	79.66%	90.60%	62.39%	63.69%	71.51%	85.47%	
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Total Assets	26,816,109	2,863,192	1,844,328	12,763,125	1,594,117	3,917,325	1,326,075	**51,124,271**
Total liabilities	22,252,646	1,500,968	361,212	5,392,942	19,314	40,564	59,508	**29,627,154**
Net assets	4,563,463	1,362,224	1,483,116	7,370,183	1,574,803	3,876,761	1,266,567	**21,497,117**
Carrying amount of NCI	912,693	1,002,543	1,302,160	4,576,944	977,966	2,772,445	1,082,564	**12,627,314**
Gross income	5,914,027	8,442	202,510	10,649,475	190,103	93,148	125,605	**17,183,310**
Profit for the period	768,710	(174,187)	(72,643)	2,437,771	89,839	(65,460)	(46,293)	**2,937,737**
OCI for the period	22,767	646,912	115,926	(216,317)	28	396	-	**569,712**
Profits allocated to NCI	221,393	(65,603)	19,023	(1,210,191)	90,558	(46,813)	(39,568)	**(1,031,201)**
OCI allocated to NCI	6,557	243,644	(30,358)	107,387	28	283	-	**327,541**

31 Jointly controlled entities

As at 31 March	Company 2015 No. of Shares	2015 Cost Rs. '000	2014 No. of Shares	2014 Cost Rs. '000
F L C Hydro Power PLC	-	-	976,700	14,298
Total	-	-	-	14,298

31.1 Equity value of investment in jointly controlled entities to the Group

For the year ended 31 March	Group 2015 Rs. '000	2014 Rs. '000
Opening balance	1,468,716	1,518,949
Loss for the year	(135,440)	(43,222)
Other comprehensive income	(41,142)	(12,272)
Dividend paid	(19,000)	(50,000)
Group changes	(599)	55,261
Transfers due to acquisition of subsidiaries	(1,272,535)	-
Closing balance	-	1,468,716

31.2 F L C Joint Venture Company (Private) Limited and its subsidiaries - FLCJV

FLCJV, is a joint venture in which the Group participates through one of its subsidiaries, Browns Investments PLC (BI) with Perpetual Holdings (Private) Limited. In 2010/11, BI invested Rs. 50 Mn representing 50% of stated capital of FLC. FLC is principally engaged in plantations and hydro power generation activities. FLC is structured as a separate entity and provides the Group rights to the net assets of the FLC Group. Accordingly, the Group has classified the investment in FLC as a joint venture.

Notes to the Financial Statements

31.3 The following subsidiaries of FLC have been accounted for as joint ventures of the Group.

1	Ceylon Tea Estate (Private) Limited	CTE	10	F L P C Management (Private) Limited	FLPC
2	Dolekanda Power (Private) Limited	FLP2	11	Halgranoya Hydro Power (Private) Limited	FLP1
3	Enselwatte Power (Private) Limited	FLP3	12	F L C Hydro Power PLC	HPFLP
4	F L C Estates Bungalows (Private) Limited	FLEB	13	Maturata Plantation Limited	MPL
5	F L C Holding PLC	FLCH	14	Melfort Green Tea Limited	MGTL
6	F L C Joint Venture Company (Private) Limited	FLCJV	15	Pussellawa Plantations Limited	PPL
7	F L C Power Holding Limited	FLPH	16	Stellenberg Hydro Power (Private) Limited	HPFL3
8	F L C Properties Limited	FLCPL	17	Tea Leaf Resort Limited	TLRL
9	F L M C Plantations (Private) Limited	FLMC	18	Thebuwana Hydro Power (Private) Limited	HPFL2

31.4 The summarized financial information of joint ventures for the year ended 31 March 2015 not adjusted for the joint control ownership held by the Group are as follows;

Entity	Principal Activities	Total Assets Rs.'000	Total Liabilities Rs.'000	Equity Rs.'000	Income Rs.'000	Expenses Rs.'000	Comprehensive income for the period Rs.'000	Other comprehensive income for the period Rs.'000
AHL	Non Operational	33,600	1,276	32,324	-	-	-	-
CTE	Marketing and distribution of teas	89,224	17,161	72,063	147,678	(159,727)	(12,049)	365
FLP2	Hydro Power Generation	10,050	1,007	9,043	-	(247)	(247)	-
FLP3	Hydro Power Generation	13,018	4,220	8,798	-	(210)	(210)	-
FLEB	Leisure	765	281	484	-	(140)	(140)	-
FLCH	Investing in ventures	2,987,008	160,202	2,826,806	135,460	(49,659)	85,801	-
FLCJV	Investing in ventures	756,449	653,887	102,562	38,145	(2,314)	35,831	-
FLPH	Investing in ventures	115,268	73	115,195	3,348	(229)	3,119	-
FLCPL	Real estate business	1,341,827	313,044	1,028,783	172,491	(50,172)	122,319	-
FLMC	Plantation management	877,191	4,641	872,550	52,239	(9,345)	42,894	-
FLPC	Plantation management	974,406	18,311	956,095	-	(2,096)	(2,096)	-
FLP1	Hydro Power Generation	13,040	4,284	8,756	-	(212)	(212)	-
HPFLP	Hydro Power Generation	875,684	50,657	825,027	155,816	(82,758)	73,058	86
MPL	Plantations	5,240,899	3,700,567	1,540,332	2,620,441	(3,013,310)	(392,869)	(143,064)
MGTL	Manufacturing Green Tea	71,209	18,676	52,533	158,475	(140,967)	17,508	(188)
PPL	Plantations	9,927,793	2,936,258	6,991,535	2,334,039	(3,646,306)	(1,312,267)	(131,418)
HPFL3	Hydro Power Generation	261,573	118,471	143,102	33,059	(28,511)	4,548	18
TLRL	Leisure	6,782	7,119	(337)	33	(55)	(22)	-
HPFL2	Hydro Power Generation	300,587	108,248	192,339	8	(2,572)	(2,564)	-
		23,896,373	8,118,383	15,777,990	5,851,232	(7,188,830)	(1,337,598)	(274,201)

31.5 Adoption of SLFRS 11 - Joint Arrangements in 2014/15 - Free Lanka Group

SLFRS 11 Joint Arrangements, which replaces LKAS 31 - Interests in Joint Ventures and SIC-13 Jointly Controlled Entities - Non-Monetary Contributions by Ventures. SLFRS 11 also amends LKAS 28 Investments in Associates.

The main changes from LKAS 31 to SLFRS 11

As per LKAS 31, an option was available for jointly controlled entities, between proportionate consolidation and the equity accounting method. The new standard is on the basis that proportionate consolidation is not appropriate in the absence of rights/obligations directly to/for the underlying assets/obligations of the arrangement.

Based on the new standard, accounting for jointly controlled entities should be changed from proportionate consolidation which was allowed in LKAS 31 to equity accounting.

Previous method applied by LOLC Group

From the date of acquisition, LOLC accounted for Free Lanka Group using proportionate consolidation as allowed by LKAS 31. Proportionate consolidation method allowed the investor to account the proportion of assets, liabilities, income and expense of the joint venture in the investor's financial statements.

New treatment

As per the SLFRS 11, the method of accounting should be changed to equity accounting method where only the net assets movement of Jointly controlled entities are recorded in the investor's financial statements. The change in accounting method will affect the respective line items of the statement of financial position (balance sheet), the statement of profit or loss and the statement of other comprehensive income.

In the statement of financial position, the respective assets and liabilities of the Jointly controlled entities are removed from the consolidated numbers and the net assets proportion of the jointly controlled entities are equity accounted. There will be no impact on the parent's net assets of the consolidated financial statements. In the profit or loss, income and expenses of Jointly controlled entities are removed from the consolidations and the net profit of the Jointly controlled entities will be accounted as the share of profit of equity accounted investees.

Notes to the Financial Statements

31.5 Adoption of SLFRS 11 - Joint Arrangements in 2014/15 - Free Lanka Group (Contd.)

The full effect of the change in current method of accounting using proportionate consolidation and future equity method of accounting as follows;

Year Ended 31 March 2014	Group		
	With proportionate consolidation	SLFRS 11 Adjustment/ Reclassification	Restated with Equity Method
Statement of Comprehensive Income	Rs.'000	Rs.'000	Rs.'000
Gross income	43,448,009	(3,243,286)	40,204,723
Interest Income	23,936,293	-	23,936,293
Interest expenses	(14,849,178)	-	(14,849,178)
Net interest income	9,087,115	-	9,087,115
Revenue	14,081,434	(3,298,139)	10,783,295
Cost of sales	(8,245,684)	814,894	(7,430,790)
Gross profit	5,835,750	(2,483,245)	3,352,505
Income	3,588,553	-	3,588,553
Other income/(expenses)	1,841,729	54,853	1,896,582
Profit before operating expenses	20,353,147	(2,428,392)	17,924,755
Operating expenses			
Direct expenses excluding finance costs	(2,236,834)	-	(2,236,834)
Personnel costs	(5,649,326)	2,170,880	(3,478,446)
Net impairment loss on financial assets	(3,490,519)	-	(3,490,519)
Depreciation and amortization	(972,249)	105,534	(866,715)
Other operating expenses	(5,560,032)	115,780	(5,444,252)
Results from operating activities	2,444,187	(36,198)	2,407,989
Gain on disposal of subsidiaries	79,845	-	79,845
Share of profits of equity accounted investees	1,497,381	(43,223)	1,454,158
Results on acquisition of Group investments	493,586	-	493,586
Profit before income tax expense	4,514,999	(79,421)	4,435,578
Income tax expense	(1,407,093)	40,204	(1,366,889)
Profit for the year	3,107,906	(39,217)	3,068,689

	Group 31 March 2014			Group 01 April 2013		
Statement of Financial Position	With proportionate consolidation Rs.'000	SLFRS 11 Adjustment/ Reclassification Rs.'000	Restated with Equity Method Rs.'000	With proportionate consolidation Rs.'000	SLFRS 11 Adjustment/ Reclassification Rs.'000	Restated with Equity Method Rs.'000
Assets						
Cash in hand and favorable bank balances	5,362,900	(189,403)	5,173,497	6,591,389	(185,067)	6,406,322
Trading assets - fair value through profit or loss	1,017,080	(131,278)	885,802	1,737,830	(138,109)	1,599,721
Investment securities	16,288,214	(115,268)	16,172,946	13,145,210	(275,607)	12,869,603
Finance lease receivables, hire purchases and operating leases	36,259,242	-	36,259,242	38,090,460	-	38,090,460
Advances and other loans	54,285,641	-	54,285,641	49,724,225	-	49,724,225
Insurance premium receivables	449,589	-	449,589	303,431	-	303,431
Inventories	2,191,924	(323,297)	1,868,627	2,798,388	(327,299)	2,471,089
Current tax assets	1,122,555	(19,134)	1,103,421	981,897	(17,126)	964,771
Trade and other current assets	7,231,991	(184,831)	7,047,160	6,663,993	(946,233)	5,717,760
Prepaid lease rentals on leasehold properties	287,654	(236,566)	51,088	289,185	(244,140)	45,045
Investment properties	7,159,771	(504,281)	6,655,490	6,339,688	(136,000)	6,203,688
Real estate stocks	-	-	-	2,599	-	2,599
Biological assets;						
Consumer biological assets	3,050,783	(3,050,783)	-	2,871,193	(2,871,193)	-
Bearer biological assets	3,633,649	(3,633,649)	-	3,617,989	(3,617,989)	-
Investments in group of companies;						
Subsidiary companies	-	-	-	-	-	-
Jointly controlled entities	-	1,468,716	1,468,716	-	1,518,949	1,518,949
Equity accounted investees - Associates	13,472,316	-	13,472,316	10,105,241	-	10,105,241
Deferred tax assets	390,619	(77,449)	313,170	508,992	(218)	508,774
Intangible assets	739,386	(16,837)	722,549	769,453	(16,800)	752,653
Property, plant and equipment	22,599,854	(1,089,500)	21,510,354	18,440,368	(1,210,926)	17,229,442
Total assets	**175,543,168**	**(8,103,560)**	**167,439,608**	**162,981,531**	**(8,467,758)**	**154,513,773**

Notes to the Financial Statements

31.5 Adoption of SLFRS 11 - Joint Arrangements in 2014/15 - Free Lanka Group (Contd.)

	Group 31 March 2014			Group 01 April 2013		
Statement of Financial Position	With proportionate consolidation Rs.'000	SLFRS 11 Adjustment/ Reclassification Rs.'000	Restated with Equity Method Rs.'000	With proportionate consolidation Rs.'000	SLFRS 11 Adjustment/ Reclassification Rs.'000	Restated with Equity Method Rs.'000
Liabilities and equity						
Liabilities						
Bank overdrafts	2,934,398	(115,096)	2,819,302	6,875,475	(97,378)	6,778,097
Trading liabilities	405,434	-	405,434	627,652	-	627,652
Deposits liabilities	49,614,880	-	49,614,880	35,397,144	-	35,397,144
Interest bearing borrowings	66,286,716	(2,237,827)	64,048,889	66,070,984	(488,263)	65,582,721
Insurance provision - life	271,792	-	271,792	116,139	-	116,139
Insurance provision - general	1,248,685	-	1,248,685	928,051	-	928,051
Current tax payables	1,082,927	(24,203)	1,058,724	983,976	(61,558)	922,418
Trade and other payables	4,670,380	794,017	5,464,397	5,164,051	(1,415,756)	3,748,295
Deferred tax liabilities	2,762,477	(541,641)	2,220,836	2,155,855	(457,649)	1,698,206
Deferred income	259,285	(247,895)	11,390	292,717	(260,924)	31,793
Retirement benefit obligations	1,151,932	(796,733)	355,199	996,729	(706,454)	290,275
Total liabilities	**130,688,906**	**(3,169,378)**	**127,519,528**	**119,608,773**	**(3,487,982)**	**116,120,791**
Equity						
Stated capital	475,200	-	475,200	475,200	-	475,200
Reserves	5,357,905	-	5,357,905	2,268,778	-	2,268,778
Retained earnings	17,069,012	-	17,069,012	18,144,262	-	18,144,262
Equity attributable to shareholders of the Company	22,902,117	-	22,902,117	20,888,240	-	20,888,240
Non-controlling interests	21,952,145	(4,934,182)	17,017,963	22,484,518	(4,979,776)	17,504,742
Total equity	**44,854,262**	**(4,934,182)**	**39,920,080**	**43,372,758**	**(4,979,776)**	**38,392,982**
Total liabilities & equity	**175,543,168**	**(8,103,560)**	**167,439,608**	**162,981,531**	**(8,467,758)**	**154,513,773**

32 Equity accounted investees - Associates

32.1 Company

As at 31 March	2015		2014	
	No. of Shares	Cost Rs. '000	No. of Shares	Cost Rs. '000
AgStar PLC	60,213,500	390,184	60,213,500	390,184
Galoya Plantations (Private) Limited	24,788,235	282,880	22,309,412	247,882
PRASAC Micro Finance Institution Limited	889,994	3,502,376	889,994	3,502,376
Seylan Bank PLC	72,906,885	2,674,765	58,604,924	2,068,807
Sierra Construction (Private) Limited	12,490,250	600,000	12,488,250	600,000
Sierra Holding (Private) Limited	4,496,492	200,000	4,494,492	200,000
		7,650,205		7,009,249

32.2 Group holdings in equity accounted investees

Details of the Group's equity accounted investees at the end of the reporting period are as follows;

			Proportion of ownership interest held by the Group			
As at 31 March			2015		2014	
	Investee	Investor Company	No. of Shares	Holding %	No. of Shares	Holding %
1	Associated Battery Manufacturers (Ceylon) Limited (ABM)	SFL	2,439,355	38.50%	2,439,355	38.50%
2	AgStar PLC (AFPLC) - Group	LOLC	60,213,500	19.58%	60,213,500	19.58%
		BIL	39,270,061	12.77%	39,270,061	12.77%
		Ajax	1,250,000	0.41%	1,250,000	0.41%
		Total AFPLC	100,733,561	32.76%	100,733,561	32.76%
3	Beira Parawood Products (Private) Limited (Biera)	LOIV	1,456,852	26.25%	1,456,852	26.25%
4	BRAC Lanka Finance PLC (BRAC)	LOMI	-	-	37,029,733	35.02%
5	Commercial Insurance Brokers (Private) Limited (CIB)	CLC	240,000	40.00%	240,000	40.00%
6	Galoya Plantations Limited (GPL)	LOLC	24,788,235	24.50%	22,309,412	22.05%
		BCL	22,309,412	22.05%	22,309,412	22.05%
		Total GPL	47,097,647	46.55%	44,618,824	44.10%
7	PRASAC Micro Finance Institution Limited (PRASAC)	LOLC	10,457,500	22.25%	889,994	22.25%

Notes to the Financial Statements

As at 31 March			2015		2014	
	Investee	Investor Company	No. of Shares	Holding %	No. of Shares	Holding %
8	Seylan Bank PLC - Group	LOLC	72,906,796	43.14% (NV)	58,604,835	34.68%
		LOLC	89	- (V)	89	0.00%
	V - Voting shares	LOIV	16,808,502	9.55% (V)	16,808,502	9.55%
	NV - Non-voting shares	BCL	24,416,750	13.87% (V)	24,416,750	13.87%
		BIL	-	- (NV)	11,998,208	7.10%
		Ajax	133,333	0.08% (NV)	133,333	0.08%
		CLC	74,261	0.04% (NV)	74,261	0.04%
		Total - V	41,225,341	23.43% (V)	41,225,341	23.43%
		Total - NV	73,114,390	43.27% (NV)	70,810,637	41.90%
9	Sierra Construction (Private) Limited (SCPL) - Group	LOLC	12,488,250	9.99%	12,488,250	9.99%
		BIL	12,488,250	9.99%	12,488,250	9.99%
		Total SCPL	24,976,500	19.99%	24,976,500	19.99%
10	Sierra Holdings Limited (SHL) - Group	LOLC	4,494,492	9.99%	4,494,492	9.99%
		BIL	4,494,492	9.99%	4,494,492	9.99%
		Total SHL	8,988,984	19.99%	8,988,984	19.99%
11	Taprobane Holdings PLC	BIL	200,587,305	20.00%	200,587,305	20.00%
12	Taprobane Plantation Limited (TPL)	BIL	22,500	44.94%	22,500	44.94%
13	Virginia International Limited (VIL)	BIL	800,000	40.00%	800,000	40.00%

32.3 The summarized financial information of equity accounted investees for the year ended 31 March 2015 not adjusted for the percentage of ownership held by the Group;

Component	Principal Activities	Total Assets Rs.'000	Total Liabilities Rs.'000	Equity Rs.'000	Income Rs.'000	Expenses Rs.'000	Comprehensive income for the period Rs.'000	Other comprehensive income for the period Rs.'000
ABM	Battery manufacturing	1,119,958	475,316	644,642	1,949,168	(1,850,151)	99,017	-
AFPLC	Fertilizer manufacturing	5,373,368	2,871,620	2,501,748	2,100,071	(1,887,096)	212,975	328,779
Beira	Brush manufacturing	2,098,208	856,535	1,241,673	1,929,887	(1,708,910)	220,977	-
CIB	Insurance broking	218,075	36,668	181,407	202,943	(195,458)	7,485	4,565
GPL	Sugar plantations	2,016,861	3,201,397	(1,184,536)	1,712,945	(1,938,372)	(225,427)	-
PRASAC	Micro finance	102,082,351	88,424,378	13,657,973	15,827,092	(11,477,198)	4,349,894	-
SBPLC	Banking	250,206,108	226,980,247	23,225,861	28,528,659	(25,144,125)	3,384,534	(711,261)
SCPL	Construction	15,051,556	12,001,589	3,049,967	9,934,260	(10,536,859)	(602,599)	83,428
SHL	Investing	23,709,002	17,427,072	6,281,930	16,099,350	(16,188,861)	(89,511)	363,758
THL	Investing	15,836,482	9,068,755	6,767,727	9,932,415	(9,766,180)	166,235	31,586
TPL	Leisure activities	29,268	59,250	(29,982)	94,849	(114,555)	(19,706)	-
VIL	Non-operational	12,199	361	11,838	732	(258)	474	-
		417,753,436	361,403,188	56,350,248	88,312,371	(80,808,023)	7,504,348	100,855

Notes to the Financial Statements

32.4 Fair values of equity accounted investees

The Directors' valuation of Investments in equity accounted investees has been done on net assets basis. The following associates are listed in Colombo Stock Exchange and their market value details given below;

As at 31 March	Group			
	2015		2014	
	No. of Shares	Market value Rs. 000	No. of Shares	Market value Rs. 000
AgStar PLC	100,733,561	594,328	100,733,561	443,228
BRAC Lanka Finance PLC	-	-	37,029,733	277,723
Seylan Bank PLC - voting shares	41,225,341	4,122,534	41,225,341	2,626,054
Seylan Bank PLC - non-voting shares	73,114,390	4,635,452	70,810,637	2,619,994
Taprobane Holdings PLC	200,587,305	782,290	200,587,305	501,468
		10,134,604		6,468,467

32.5 Equity value of investment in equity accounted investees to the Group

For the year ended 31 March 2015

	Equity accounted investee	Balance as at 01 April 2014 Rs.'000	Acquisitions / (Deposits Rs.'000	Reclassif - ications / transfers Rs.'000	Share of profit / (loss) net of tax Rs.'000	Share of other compre- hensive income Rs.'000	Dividend received Rs.'000	Foreign currency translations Rs.'000	Gain on bargain purchase / (Negative goodwill) Rs.'000	Balance as at 31 March 2015 Rs.'000
1	ABM	224,702	-	-	38,122	-	(14,636)	-	-	248,188
2	AFPLC	871,400	-	-	71,429	107,695	(11,691)	-	-	1,038,833
3	Beira	299,194	-	-	47,903	-	(16,949)	-	-	330,148
4	BRAC	339,920	(359,188)	15,554	3,714	-	-	-	-	-
5	CIB	71,413	-	-	2,994	(452)	(3,000)	-	-	70,955
6	GPL	-	34,998	-	(34,998)	-	-	-	-	-
7	PRASAC	1,841,065	-	-	952,357	-	-	70,345	-	2,863,767
8	SBPLC	7,402,627	128,649	-	1,087,605	(238,547)	(285,849)	-	39,613	8,134,098
9	SCPL	1,241,064	-	-	(124,408)	17,218	-	-	-	1,133,874
10	SHL	422,842	-		(5,177)	31,339	-	-	-	449,004
11	THL	754,089	-		34,364	6,530	-	-	-	794,983
12	TPL	-	-		-	-	-	-	-	-
13	VIL	4,000	-		-	-	-	-	-	4,000
		13,472,316	(195,541)	15,554	2,073,905	(76,217)	(332,125)	70,345	39,613	15,067,850

For the year ended 31 March 2014

	Equity accounted investee	Balance as at 01 April 2013	Acquisitions	Reclassi-fications / transfers	Share of profit / (loss) net of tax	Share of other compre-hensive income	Dividend received	Foreign currency translations	Gain on bargain purchase / (Negative goodwill)	Balance as at 31 March 2014
		Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
1	ABM	214,271	-	-	29,946	-	(19,515)	-	-	224,702
2	AFPLC	868,842	-	-	13,990	-	(11,432)	-	-	871,400
3	Beira	-	-	210,000	16,409	-	-	-	72,785	299,194
4	BRAC	-	333,267	-	1,393	5,260	-	-	-	339,920
5	CIB	65,771	-	-	8,853	29	(3,240)	-	-	71,413
6	GPL	116,358	-	-	(116,798)	440	-	-	-	-
7	PRASAC	1,134,256	-	-	664,840	-	-	41,969	-	1,841,065
8	SBPLC	6,031,124	276,735	-	906,290	437,952	(366,803)	-	117,329	7,402,627
9	SCPL	1,208,245	-	-	28,301	4,518	-	-	-	1,241,064
10	SHL	462,374	-	-	(70,285)	30,753	-	-	-	422,842
11	THL	-	190,200	397,843	14,441	-	-	-	151,605	754,089
12	TPL	-	-	-	-	-	-	-	-	-
13	VIL	4,000	-	-	-	-	-	-	-	4,000
		10,105,241	800,202	607,843	1,497,380	478,952	(400,990)	41,969	341,719	13,472,316

Notes to the Financial Statements

33 Deferred tax assets and liabilities

33.1 Recognised deferred tax assets

Deferred Tax Assets are attributable to the origination of following temporary differences:

As at 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Property, Plant & Equipment	(981,714)	(159,575)	(754,190)	(396,630)
Lease receivables	8,820	(674,191)	7,125	(674,191)
Unutilized tax Losses	2,408,679	1,181,882	942,102	1,201,388
Employee benefits	1,221,829	83,205	174,515	102,210
General provisions	168,498	12,951	165,001	-
Net Deductible Temporary Difference	2,826,112	444,272	534,553	232,777
Total Recognized Deferred Tax Assets	516,785	313,170	61,120	-

33.2 Movement in recognised deferred tax assets

For the year ended 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Balance as at the beginning of the period		313,170	486,309	-	65,178
Origination / Reversal to the Income Statement		(28,491)	(101,170)	68,403	5,218
Acquisition of subsidiaries	30.5.9	220,422	-	-	-
Directly charged to the Equity	33.7	2,266	(3,385)	-	-
Other adjustments / transfers		9,418	(68,584)	(7,283)	(70,396)
Balance as at the end of the period		516,785	313,170	61,120	-

33.3 Recognised deferred tax liabilities

Deferred Tax liabilities are attributable to the origination of following temporary differences:

As at 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Property, Plant & Equipment	1,829,820	1,881,996	-	599,637
Revaluation of properties	1,908,424	961,734	-	316,265
Lease receivables	363,715	7,013,058	-	301,476
Unutilized tax losses	(2,668,890)	(2,520,185)	-	(1,042,257)
Employee benefits	(1,104,601)	(215,645)	-	(149,112)
Forward exchange contracts assets	(15,337)	1,531	-	-
Consumer Biological Assets	6,380,137	-	-	-
Bearer Biological Assets	5,726,180	-	-	-
Net taxable temporary difference	12,419,448	7,122,489	-	26,009
Total Recognized Deferred Tax Liabilities	3,404,404	2,220,836	-	7,282

33.4 Movement in recognised deferred tax liabilities

For the year ended 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Balance as at the Beginning of the period		2,220,836	1,684,343	7,283	-
Originations / Reversal to the Income Statement		279,397	496,565	-	-
Acquisition of subsidiaries	30.5.9	939,728	-	-	-
Directly Charged to the Equity	33.7	(77)	107,655	-	77,678
Other adjustments / transfers		(31,480)	(67,727)	(7,283)	(70,396)
Balance as at the end of the period		3,404,404	2,220,836	-	7,282

33.5 Deferred tax expense

For the year ended 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Deferred Tax Assets	33.2				
Originations / Reversal During the period		28,491	101,170	(68,403)	(5,218)
Deferred Tax Liabilities	33.4				
Originations / Reversal During the period		279,397	496,565	-	-
		307,888	597,735	(68,403)	(5,218)

Notes to the Financial Statements

33.6 Unrecognized deferred tax assets for deferred taxation

Deferred tax assets have not been recognised in respect of these items because it is not probable that future taxable profit will be available against which the Company can utilise the benefits therefrom.

As at 31 March	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Unutilized Tax losses	6,874,561	4,993,316	-	-
	6,874,561	4,993,316	-	-

33.7 Deferred tax liability charged directly to equity

According to Sri Lanka Accounting Standard - LKAS 12 "Income Taxes", deferred tax shall be charged or credited directly to equity if the tax relates to items that are credited or charged, in the same or in a different period, directly to equity.

For the year ended 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Charged / reversed from					
Deferred Tax Assets	33.2	(2,266)	3,385	-	-
Deferred Tax Liabilities	33.4	(77)	107,655	-	77,678
	15.8	(2,343)	111,040	-	77,678

34 Intangible assets

As at 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Goodwill on acquisition	34.1	1,889,938	362,628	-	-
Other intangible assets	34.4				
Computer Softwares		288,204	268,984	131,174	136,438
License and Fees		15,894	14,297	8,847	5,838
Brand Value		47,392	56,871	-	-
Customer Base		9,885	19,769	-	-
Total		2,251,313	722,549	140,021	142,276

34.1 Goodwill on acquisition

For the year ended 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000
Cost recognized at the point of acquisition	34.2	1,925,137	421,628
Allowance for impairment		(59,000)	(59,000)
Effect on currency translation - TPC Goodwill	34.3	23,801	-
		1,889,938	362,628

34.2 Goodwill is attributable to the acquisition of following subsidiaries;

As at 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000
Commercial Leasing and Finance Company PLC		151,415	151,415
Palm Garden Hotels PLC		180,299	180,299
Speed Italia Limited		59,000	59,000
Excel Restaurant (Private) Limited		20,524	20,524
Ajax Engineers (Private) Limited		10,390	10,390
Thaneakea Phum (Cambodia) Limited	30.5.10	990,000	-
BRAC Lanka Finance PLC	30.5.10	400,364	-
Sun & Fun Resorts (Private) Limited	30.5.10	57,643	-
Ceylon Roots (Private) Limited	30.5.10	46,831	-
Creations Construction & Engineering (Private) Limited	30.5.10	8,671	-
		1,925,137	421,628

Goodwill as at the reporting date has been tested for impairment.

34.3 Effect on currency translation - TPC goodwill

Goodwill arising on the acquisition of TPC (an foreign operation) was treated as an asset of the foreign operation. Thus it was expressed in the functional currency of the foreign operation and translated at the closing rate.

Notes to the Financial Statements

34.4 Other intangible assets

Group	Computer Softwares Rs. '000	License and Fees Rs. '000	Brand Value Rs. '000	Customer Base Rs. '000	Total 2014/15 Rs. '000	Total 2013/14 Rs. '000
Note		34.5	34.6	34.6		
Cost/Valuation						
Balance as at 01 April	521,571	37,930	94,785	49,422	**703,708**	540,252
Additions	136,336	3,493	-	-	**139,829**	163,456
Acquisition of Subsidiaries	20,993	-	-	-	**20,993**	-
Balance as at 31 March	678,900	41,423	94,785	49,422	**864,530**	703,708
Accumulated Amortization and Impairement losses						
Balance as at 01 April	252,587	23,633	37,914	29,653	**343,787**	209,227
Amortisation charged	138,109	1,896	9,479	9,884	**159,368**	134,560
Balance as at 31 March	390,696	25,529	47,393	39,537	**503,155**	343,787
Carrying Amount						
As at 31 March 2015	288,204	15,894	47,392	9,885	**361,375**	
As at 31 March 2014	268,984	14,297	56,871	19,769	**359,921**	

34.5 License and fees

This includes the license obtained by LOLC Securities Limited (LOSEC) to operate as a registered stock broker in the Colombo Stock Exchange (CSE) in 2010/11 financial period. The useful life was decided as 20 years and amortization determined accordingly. The cost of the license amounted to Rs. 28,242,784/- and the remaining carrying amount as at 31 March 2015 is Rs. 23,416,046 (31 March 2014 - Rs. 24,828,185)

34.6 Brand value and customer base

These intangible assets were recognized with the acquisition of Commercial Leasing and Finance PLC in May 2008. These intangible assets identified are separable from the goodwill arose on the acquisition and are recognised based on the present value of the future cash flows separately identified for these assets.

The estimated useful lives are as follows;

	Initial estimation	Remaining useful life
Brand Value	10 Yrs	6 Yrs
Customer Base	5 Yrs	1 Yr

Company	Computer Softwares Rs. '000	License and Fees Rs. '000	Total 2014/15 Rs. '000	Total 2013/14 Rs. '000
Cost/Valuation				
Balance as at 01 April	281,306	9,687	**290,993**	198,164
Additions	36,259	3,493	**39,752**	92,829
Balance as at 31 March	317,565	13,180	**330,745**	290,993
Accumulated Amortization and Impairement losses				
Balance as at 01 April	144,868	3,849	**148,717**	102,731
Amortisation during the year	41,523	484	**42,007**	45,986
Balance as at 31 March	186,391	4,333	**190,724**	148,717
Carrying Amount				
As at 31 March 2015	131,174	8,847	**140,021**	
As at 31 March 2014	136,438	5,838	**142,276**	

Notes to the Financial Statements

35 Property, plant and equipment

Group	Freehold Lands Rs.'000	Leasehold Lands Rs.'000	Freehold Buildings Rs.'000	Leasehold Buildings Rs.'000	Freehold Motor Vehicles Rs.'000	Leasehold Motor Vehicles Rs.'000
Cost/Valuation						
Balance as at 01 April 2014	12,082,098	-	4,191,714	328,859	2,110,865	880,597
Additions / acquisition of subsidiaries	129,613	402,773	1,325,115	44,434	801,176	109,990
Revaluations	201,235	-	5,143	-	-	-
Disposals	(61,032)	-	(27,044)	(12,196)	(426,665)	(17,654)
Transfers / WIP transfers	(27,265)	-	466,118	11	(59,652)	(26,087)
Balance as at 31 March 2015	12,324,649	402,773	5,961,046	361,108	2,425,724	946,846
Accumulated Depreciation and impairement losses						
Balance as at 01 April 2014		-	244,030	121,313	1,140,150	76,730
Charge for the year		471	128,919	25,628	149,499	65,783
Depreciation on revaluations		-	(2,909)	-	-	-
Acquisition of subsidiaries		87,663	203,611	2,584	486,017	2,636
Depreciation on disposals / transfers		-	(2,655)	(3,700)	(302,398)	(1,279)
Depreciation on transfers		-	(7,975)	57	52,918	(15,374)
Balance as at 31 March 2015	-	88,134	563,021	145,882	1,526,186	128,496
Carrying Amount						
As at 31 March 2015	12,324,649	314,639	5,398,025	215,226	899,538	818,350
As at 31 March 2014	12,082,098	-	3,947,684	207,546	970,715	803,867

Furniture & Fittings Rs.'000	Office Equipment Rs.'000	Computers Rs.'000	Freehold Plant & Machinery Rs.'000	Leasehold Machinery Rs.'000	Assets on Operating Leases Rs.'000	Other Tangible Assets Rs.'000	Immovable (JEDB/ SLSPC) Assets on Finance Lease (Other than Bare land) Rs.'000	Capital Work in-Progress (CWIP) Rs.'000	Total Rs.'000
					Note	35.1	35.2		
1,170,509	558,320	641,802	782,374	-	357,093	186,057	-	1,662,110	24,952,398
281,206	359,740	198,177	914,608	46,167	116,267	1,112,332	171,589	1,683,482	7,696,669
-	-	-	-	-	-	-	-	-	206,378
(13,751)	(3,415)	(8,449)	(74,475)	-	(1,089)	-	-	-	(645,770)
26,106	92	11,063	77,429	-	89,296	344,675	-	(87,068)	814,718
1,464,070	914,737	842,593	1,699,936	46,167	561,567	1,643,064	171,589	3,258,524	33,024,393
589,472	312,345	369,836	313,567	-	202,223	72,378	-		3,442,044
143,451	116,267	112,163	86,680	-	48,854	25,543	-		903,258
-	-	-	-	-	-	-	-		(2,909)
21,894	170,073	70,060	604,666	2,157	1,336	293,898	-		1,946,595
(10,931)	(2,002)	(10,112)	(33,485)	-	(1,058)	-	-		(367,620)
469	(291)	302	(2,595)	-	(46,679)	-	157,995		138,827
744,355	596,392	542,249	968,833	2,157	204,676	391,819	157,995		6,060,195
719,715	318,345	300,344	731,103	44,010	356,891	1,251,245	13,594	3,258,524	26,964,198
581,037	245,975	271,966	468,807	-	154,870	113,679	-	1,662,110	21,510,354

Notes to the Financial Statements

35.1 Other tangible assets

Group	Water Sanitation & Others	Roads & Bridges	Penstock Pipe Line	Security Fences	Cutlery, Crockery & Glassware	Linen & Furnishing	Swimming Pool	Bare Lands	Others	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost/Valuation										
Balance as at 01 April 2014	-	-	-	-	19,730	68,743	67,500	-	30,084	186,057
Additions / acquisition of subsidiaries	25,710	151,256	253,254	4,080	5,168	8,660	(22,500)	313,567	373,137	1,112,332
Disposals/Transfers	-	-	-	-	(10,428)	(3,239)	40,767	-	317,575	344,675
Balance as at 31 March 2015	25,710	151,256	253,254	4,080	14,470	74,164	85,767	313,567	720,796	1,643,064
Accumulated Depreciation										
Balance as at 01 April 2014	-	-	-	-	14,484	42,901	3,938	-	11,055	72,378
Charge for the year	-	-	-	-	1,351	8,061	9,217	-	6,914	25,543
Acquisition of subsidiaries / disposals/ transfers	14,309	18,228	44,417	3,497	(10,429)	(3,240)	(910)	134,782	93,244	293,898
Balance as at 31 March 2015	14,309	18,228	44,417	3,497	5,406	47,722	12,245	134,782	111,213	391,819
Carrying Amount										
Balance as at 31 March 2015	11,401	133,028	208,837	583	9,064	26,442	73,522	178,785	609,583	1,251,245
Balance as at 01 April 2014	-	-	-	-	5,246	25,842	63,562	-	19,029	113,679

35.2 Immovable (JEDB/SLSPC) estate assets on finance lease (other than bare land)

Group As at 31 March 2015	Improvements to lands Rs. '000	Vested plantations Rs. '000	Buildings Rs. '000	Machinery Rs. '000	Water sanitation Rs. '000	Roads and bridges Rs. '000	Total Rs. '000
Capitalized value	8,234	3,134	113,366	27,872	16,383	2,600	171,589
Accumulated amortisation	6,032	2,375	103,100	27,872	16,337	2,279	157,995
Carrying value	2,202	759	10,266	-	46	321	13,594

All JEDB/SLSPC estate lease deeds have been executed to date (31st March 2015). In terms of the ruling of the UITF of the Institute of Chartered Accountants of Sri Lanka, all immovable assets in the JEDP/SLSPC estates under finance leases have been taken into the books of the Company retroactive to 22nd June 1992. For this purpose, Group decided that these assets be revalued at their book values as they appear in the books of the JEDP/SLSPC, on the day immediately preceding the date of formation of the plantation Companies. These assets are taken into the statement of financial position of the Group as at 22nd June 1992.

35.3 The following table shows the valuation techniques used in measuring the fair value of significant properties of the Group, as well as the significant unobservable inputs used.

Valuation Technique	Significant observable and unobservable inputs	Interrelationship between key inputs and fair value measurement
Sales comparison method - value derived based on recent transactions of similar properties	Per perch value Colombo Region - Rs. 2.5 Mn to 6.8 Mn Jaffna Region - Rs. 3 Mn to 5 Mn Anuradapura Region - Rs. 1.8 mn to 2.5 Mn Rathnapura Region - Rs. 1 Mn to 1.3 Mn Nuwara-eliya Region - Rs. 0.6 Mn to 0.8 Mn	The estimated fair value would increase (decrease) if: - comparable property value was higher / (lesser)
Depreciated replacement cost method	Value per square feet determined based on similar properties value and depreciated for period used	The estimated fair value would increase (decrease) if: - Depreciation rate was lesser / (higher) - Square feet value was higher / (lesser)"

Notes to the Financial Statements

35 Property, plant and equipment

Company	Freehold Lands	Freehold Buildings	Freehold Motor Vehicles	Leasehold Motor Vehicles	Furniture & Fittings
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cost/Valuation					
Balance as at 01 April	1,625,289	538,711	1,704,074	125,372	319,720
Additions	27,500	367	100,445	-	70,303
Revaluations	-	-	-	-	-
Disposals	-	(367)	(398,724)	-	(2,565)
Transfers	(2,355)	2,722	(67,823)	(21,473)	830
Balance as at 31 March	1,650,434	541,433	1,337,972	103,899	388,288
Accumulated Depreciation and impairement losses					
Balance as at 01 April		-	943,739	28,363	212,216
Charge for the year		14,516	40,526	12,253	40,877
Depreciation on disposals		-	(279,783)	-	(2,539)
Depreciation on transfers		40	51,874	(5,195)	469
Balance as at 31 March		14,556	756,356	35,421	251,023
Carrying Amount					
As at 31 March 2015	1,650,434	526,877	581,616	68,478	137,265
As at 31 March 2014	1,625,289	538,711	760,335	97,009	107,504

35.4 Property, plant & equipment includes fully depreciated assets that are still in use having a gross amount of Rs. 623.17 Mn as at 31st March 2015 (31 March 2014 - Rs. 593.11 Mn).

35.5 The fair value of the revalued properties were determined by Mr. P W Senaratne, independent valuer who holds recognized and relevant professional qualification and have recent experience in the location and category of the revalued properties.

Date of the revaluation	**31-03-2014**
Method of determining fair value	Sales comparison

There is no significant difference in fair value of properties from 31 March 2014 to 31 March 2015.

If land and buildings were measured using the cost model, the carrying amounts would be as follows:

As at 31 March	2015 Rs.'000	2014 Rs.'000
Cost	**986,168**	986,168
Accumulated depreciation and impairement	**(58,030)**	(49,920)
	928,138	936,248

Office Equipment	Computers	Assets on Operating Leases	Capital Work-in Progress (CWIP)	Total 2014/15
Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
352,371	430,619	213,873	23,309	5,333,338
61,163	56,770	-	321,213	637,761
-	-	-	-	-
(396)	(6,649)	(1,089)	-	(409,790)
(867)	37	89,296	(367)	-
412,271	480,777	302,080	344,155	5,561,309
214,108	242,511	146,156		1,787,093
56,504	71,001	29,040		264,717
(391)	(6,573)	(1,058)		(290,344)
(466)	(3)	(46,679)		40
269,755	306,936	127,459		1,761,506
142,516	173,841	174,621	344,155	3,799,803
138,263	188,108	67,717	23,309	3,546,245

Notes to the Financial Statements

35.6 Changes in estimates

The company re-estimated the realisable value and useful economic life of all its motor vehicles as at the reporting date. The financial impact on change in realisable value was taken into current financial year of 2012-2013 and impact on change in economic life will be considered from 1st April 2014 onwards.

	2014/15	2015/16	2016/17	Later
Effect of change to depreciation	**82,000,000**	82,000,000	82,000,000	-

36 Derivative liabilities

	Group		Company	
As at 31 March	2015	2014	2015	2014
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Forward rate agreements	**501,490**	405,434	**1,203**	6,443
	501,490	405,434	**1,203**	6,443

37 Deposits liabilities

37.1 Deposits from customers

	Group		Company	
As at 31 March	2015	2014	2015	2014
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Fixed deposits	**47,274,892**	46,862,628	-	-
Term deposits	**1,433,012**	1,278,213	-	-
Interest / profits payable	**1,879,335**	1,474,039	-	-
Total	**50,587,239**	49,614,880	-	-

38 Interest bearing borrowings

As at 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Commercial papers & Promisory Notes		**1,004,966**	4,678,308	**991,531**	3,879,181
Short-term loans and others		**48,930,616**	11,843,289	**14,550,288**	3,039,363
Debentures	38.1	**11,306,283**	4,250,000	**6,250,000**	4,250,000
Finance lease liabilities	38.2	**1,148,912**	489,230	**234,548**	339,815
Long-term borrowings	38.3	**50,722,815**	42,788,062	**2,634,812**	2,345,561
		113,113,592	64,048,889	**24,661,179**	13,853,920

38.2 Finance Lease Liabilities

As at 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Net Liability to Lessor of JEDB/SLSPC Estates	38.2.1	**292,830**	-	**-**	-
Other Lease Liabilities	38.2.2	**856,082**	489,230	**234,548**	339,815
Total Lease Liabilities		**1,148,912**	489,230	**234,548**	339,815

Notes to the Financial Statements

38.2.1 Net liability to lessor of JEDB/SLSPC estates

For the year ended 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Gross Liability				
Balance as at 1st April	-	-	-	-
On acquisition of subsidiaries	508,828	-	-	-
Balance as at 31st March	508,828	-	-	-
Finance costs allocated to future years	(215,998)	-	-	
Net Liability	292,830	-	-	-
Payable within one year				
Gross Liability	16,744	-	-	-
Finance costs allocated to future years	(11,623)	-	-	-
Net liability transferred to current liabilities.	5,121	-	-	-
Payable within two to five years				
Gross Liability	66,976	-	-	-
Finance costs allocated to future years	(44,359)	-	-	-
Net liability	22,617	-	-	-
Payable after five years				
Gross Liability	424,396	-	-	-
Finance costs allocated to future years	(159,304)	-	-	-
Net liability	265,092	-	-	-

Pussellawa Plantations Limited and Maturata Plantations Limited

The lease rental have been amended, with effect from 21st June 1996 to a substantially higher amount than the previous nominal lease rental of Rs. 500 per estate per annum.

The basic rental payable under the revised basis is Rs.16,744,000 per annum and this amount is to be inflated annually by the Gross Domestic Production (GDP) Deflator and is in the form contingent lease rental. Consequently, contingent lease rentals charged for the current year in the income statement amounts to Rs. 39,678,336.

This lease agreement was further amended on 21st June 2002, freezing annual lease rental at Rs. 22,928,105 for a period of six years commencing from 21st June'2002. Hence, the GDP Deflator adjustment had been frozen at Rs. 6,184,105 per annum until 21st June' 2008.

Lease rental has been revised by the Ministry of Finance after the relief period of 2002-2008. The rental has been computed in accordance with Amendment of Leases.

Gross contingent rental in respect of leasehold right to bear land for the remaining 30.25 Years of the lease term at the current contingent rental is estimated as Rs. 524,746,822.

38.2.2 Other lease liabilities

For the year ended 31 March	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Gross lease rentals payable as at 01 April	569,100	547,677	416,265	397,314
Leases obtained during the year	491,738	169,562	5,117	158,598
On acquisition of subsidiaries	55,464	-	-	-
Lease rentals paid during the year	(219,748)	(148,139)	(148,453)	(139,647)
Gross lease rentals payable as at 31 March	896,554	569,100	272,929	416,265
Less: Unamortized finance cost	(40,472)	(79,870)	(38,381)	(76,450)
Net lease liability	856,082	489,230	234,548	339,815
Repayable within one year				
Gross lease rentals payable	357,939	134,223	143,920	135,143
Less: Unamortized finance cost	(88,112)	(36,105)	(24,432)	(36,220)
Net lease liability	269,827	98,118	119,488	98,923
Repayable after one year before five years				
Gross lease rentals payable	692,008	430,974	129,010	281,122
Less: Unamortized finance cost	(105,753)	(39,862)	(13,950)	(40,230)
Net lease liability	586,255	391,112	115,060	240,892

38.3 Long-term borrowings

For the year ended 31 March	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Gross Balance as at 01 April	43,012,914	34,331,577	2,351,847	5,612,181
Received during the year	17,876,596	25,763,055	1,805,748	1,251,297
Disposal of subsidiaries	-	(356,420)	-	-
Acquisition of subsidiaries	15,179,594	-	-	-
Repaid during the year	(25,224,038)	(16,725,298)	(1,484,000)	(4,511,631)
Gross borrowings as at 31 March	50,845,066	43,012,914	2,673,595	2,351,847
Less: Unamortized finance cost	(122,251)	(224,852)	(38,783)	(6,286)
Balance as at 31 March	50,722,815	44,288,062	2,634,812	2,345,561
Long-term borrowings - current	19,734,233	11,900,865	774,474	1,016,091
Long-term borrowings - non-current	30,988,582	30,887,197	1,860,338	1,329,470
Total	50,722,815	42,788,062	2,634,812	2,345,561
Analysis of non-current portion of long-term borrowings				
Repayable within 3 years	27,128,266	24,506,834	1,844,635	1,157,769
Repayable after 3 years	3,860,316	6,380,363	15,703	171,701
Total	30,988,582	30,887,197	1,860,338	1,329,470

Notes to the Financial Statements

39 Insurance contract liabilities

As at 31 March	Note	Group 2015 Rs.'000	2014 Rs.'000
Life insurance contracts	39.1	774,865	271,792
Non-life insurance contracts	39.2	1,595,644	1,248,685
Total insurance contract liabilities		2,370,509	1,520,477

The company has satisfied liability adequacy test in both life & general insurance businesses.

39.1 Life insurance contract liabilities

	2015			2014		
	Insurance Contract liabilities Rs.'000	Reinsurance of liabilities Rs.'000	Net Rs.'000	Insurance Contract liabilities Rs.'000	Reinsurance of liabilities Rs.'000	Net Rs.'000
At 01 April	288,611	(16,817)	271,794	121,167	(5,722)	115,445
Premiums received	700,448	(21,074)	679,374	384,580	(14,657)	369,923
Claims incurred	(62,414)	14,094	(48,320)	(25,703)	1,893	(23,810)
Fees deducted	(73,709)	3,125	(70,584)	(37,056)	1,669	(35,387)
Investment return	48,706	-	48,706	26,005	-	26,005
Expenses	(421,350)	-	(421,350)	(230,576)	-	(230,576)
Gratuity - actuarial gain/(loss)	(1,349)	-	(1,349)	(17)	-	(17)
Net gain / (loss) on available-for-sale assets - Life Policyholders	22,374	-	22,374	10,484	-	10,484
Life deficit transfer	278,455	-	278,455	39,725	-	39,725
	480,292	(20,672)	759,100	238,417	(16,817)	271,792
Claims outstanding	15,765	(4,519)	11,246	5,164	(608)	4,556
	496,057	(25,191)	770,346	243,581	(17,425)	276,348

39.2 Non-life insurance contract liabilities

		2015			2014		
	Note	Insurance Contract liabilities Rs.'000	Reinsurance of liabilities Rs.'000	Net Rs.'000	Insurance Contract liabilities Rs.'000	Reinsurance of liabilities Rs.'000	Net Rs.'000
At 01 April							
Provision for reported claims	39.3	377,342	52,142	429,484	274,434	(27,784)	246,650
IBNR		155,498	-	155,498	91,134	-	91,134
Outstanding claims provision		532,840	52,142	584,982	365,568	(27,784)	337,784
Commission reserves		47,517	(35,533)	11,984	-	-	-
Provision for unearned premiums	39.4	1,214,993	(164,172)	1,050,821	951,550	(68,433)	883,117
Total non-life contract liabilities		1,795,350	(147,563)	1,647,787	1,317,118	(96,217)	1,220,901

39.3 Outstanding claims provision

	2015			2014		
	Insurance Contract liabilities Rs.'000	Reinsurance of liabilities Rs.'000	Net Rs.'000	Insurance Contract liabilities Rs.'000	Reinsurance of liabilities Rs.'000	Net Rs.'000
At 01 April	274,434	27,784	246,650	192,306	31,864	160,442
Claims incurred in the current accident year	846,344	81,652	764,692	872,635	31,972	840,663
Claims paid during the year	(743,436)	(57,294)	(686,142)	(790,507)	(36,052)	(754,455)
Total non-life contract liabilities	377,342	52,142	325,200	274,434	27,784	246,650

	2015			2014		
	Insurance Contract liabilities Rs.'000	Reinsurance of liabilities Rs.'000	Net Rs.'000	Insurance Contract liabilities Rs.'000	Reinsurance of liabilities Rs.'000	Net Rs.'000
At 01 April	17,101	(29,475)	(12,374)	-	-	-
Change in commission reserves	30,416	(6,058)	24,358	-	-	-
Total non-life contract liabilities	47,517	(35,533)	11,984	-	-	-

39.4 Provision for unearned premiums

	2015			2014		
	Insurance Contract liabilities Rs.'000	Reinsurance of liabilities Rs.'000	Net Rs.'000	Insurance Contract liabilities Rs.'000	Reinsurance of liabilities Rs.'000	Net Rs.'000
At 01 April	951,550	(68,433)	883,117	696,994	(16,373)	680,621
Premiums written in the year	2,054,181	(329,475)	1,724,706	2,096,094	(209,825)	1,886,269
Premiums earned during the year	(1,790,738)	233,736	(1,557,002)	(1,841,538)	157,765	(1,683,773)
At 31 March	1,214,993	(164,172)	1,050,821	951,550	(68,433)	883,117

40 Current tax payables

	Group		Company	
As at 31 March	2015 Rs.'000	2014 Rs.'000	2015 Rs.'000	2014 Rs.'000
Income tax payables	1,221,261	759,233	24,375	-
VAT payables	300,093	218,928	162,957	167,274
WHT payables	22,237	8,457	43	1,309
ESC payables	945	-	-	-
NBT payables	17,652	9,489	-	-
Stamp duty payables	73,539	62,617	6,526	10,603
	1,635,727	1,058,724	193,901	179,186

Notes to the Financial Statements

41 Trade and other payables

As at 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Financial liabilities					
Trade payables		**2,245,912**	1,782,649	**61,743**	103,204
Creditors for leased equipment		**2,525,149**	1,232,374	**-**	-
Amount due to related companies	50.3.2	**89,744**	76,123	**1,954,616**	158,350
Insurance Premium Payable		**57,025**	66,065	**-**	37
Other financial liabilities		**1,668,619**	1,416,916	**279,431**	240,112
		6,586,449	4,574,127	**2,295,790**	501,703
Non-financial liabilities					
Unclaimed dividends		**74,466**	81,374	**2,304**	1,819
Accrued expenses		**994,349**	535,069	**-**	2,765
Other non-financial liabilities		**419,532**	273,827	**29,223**	22,951
		1,488,347	890,270	**31,527**	27,535
		8,074,796	5,464,397	**2,327,317**	529,238

42 Deferred income

Group	Capital grants 42.1 Rs.'000	Operating lease receivabels - PHDT 42.2 Rs.'000	Trasnfer of shares 42.3 Rs.'000	Income received in advance Rs.'000	Total 2014/15 Rs.'000	Total 2013/14 Rs.'000
Gross Deferred Income						
Balance as at 01 April	-	-	-	34,739	**34,739**	31,793
Acquisition of subsidiaries	610,973	12,424	63,994	-	**687,391**	-
Deferred Income received	-	-	-	8,950	**8,950**	2,946
Transfers/re-classifications /Adjustments	-	-	-	-	**-**	-
Balance as at 31 March	610,973	12,424	63,994	43,689	**731,080**	34,739
Accumulated Amortization						
Balance as at 01 April	-	-	-	23,349	**23,349**	-
Acquisition of subsidiaries	212,892	5,177	7,746	-	**225,815**	-
Amortized to profit & loss	-	-	-	11,390	**11,390**	23,349
Transfers/re-classifications /Adjustments	-	-	-	-	**-**	-
Balance as at 31 March	212,892	5,177	7,746	34,739	**260,554**	23,349
Carrying Amount						
As at 31 March 2015	398,081	7,247	56,248	8,950	**470,526**	11,390
As at 31 March 2014	-	-	-	11,390	**11,390**	

42.1 Capital grants

The above capital grants represent the following:

1 Funds received from the Plantation Housing and Human Development Trust (PHDT), MTIP, MPI for the development of workers welfare facilities and improvements to institutional facilities.

2 Funds received from the Plantation Reform Project for the development of Forestry Plantations.

The amounts spent is capitalized under the relevant classification of Property, Plant and Equipment. The corresponding grant component is reflected under Deferred Income and is being amortized over the useful life span of the related asset.

Grant related to the biological assets which are measured at fair value less point to sell cost is directly charged to the carrying value of such assets in accordance with the Sri Lanka Accounting Standards.

42.2 Operating lease receivables - PHDT

Premises at St.Andrew's Drive in Nuwara Eliya has been leased out to Plantation Human Development Trust for a period of 20 years commencing from August'2005 at a total lease rental of Rs. 5,367,348/=.

Lease Rentals received are deferred and amortized over the lease period commencing from August'2005.

The timing of future operating lease rentals are as follows;

As at 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000
Less than one year	537	-
Between one and five years	2,147	-
More than five years	2,874	-
	5,558	-

42.3 Deferred income in respect of transfer of shares- Maturata Plantations PLC

This represents the value of 6,399,375 nos. of Ordinary Shares received by Maturata Plantations Limited originally equivalent to 20% of the issued Ordinary Shares of RFELL at Rs.10/- each in lieu of releasing the leasehold rights of 488 Hectares in Enselwatte , Deniyaya for Eco Tourism Project. The value of Ordinary Shares are deferred and amortized over the unexpired balance lease period. However, due to the rights issue shareholdings percentage has come down from 20% to 14.5% subsequently.

43 Retirement benefit obligations

For the year ended 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Movement in the present value of the defined benefit obligations					
Balance as the beginning of the period		355,199	279,775	149,112	96,841
Acquisition of subsidiaries	30.5.9	2,097,673	-	-	-
Benefits paid by the plan		(29,576)	(32,430)	(5,181)	(10,692)
Expense recognised in profit or loss	43.1	82,331	56,772	30,527	24,121
Re-measurement recognized in OCI		13,017	51,082	57	38,842
Balance as at the end of the period		2,518,644	355,199	174,515	149,112

Notes to the Financial Statements

43.1 Expense recognised in profit or loss

For the year ended 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Current service costs	46,455	36,944	16,361	11,604
Interest Costs	35,876	19,828	14,166	12,517
	82,331	56,772	30,527	24,121

43.2 Actuarial assumptions

Principal actuarial assumptions at the reporting date;

For the year ended 31 March		Group 2015	Group 2014	Company 2015	Company 2014
Discount rate	%	9.5% - 10.5%	10% - 11%	9.5%	10%
Future salary increases	%	5% - 10%	5% - 10%	9%	9%
Staff Turnover Factor	%	5% - 10%	5% - 10%	2.5% -15%	2.5% -15%
Retirement Age	Yrs	55-60	55-60	55	55

43.3 Sensitivity of the actuarial assumptions

For the year ended 31 March		2015		2014	
Assumption	Rate change	Financial Position - Liability Rs. '000	Comprehensive Income - Charge for the period Rs. '000	Financial Position - Liability Rs. '000	Comprehensive Income - Charge for the period Rs. '000
Group					
Discount rate	+1	(185,490)	185,490	(131,151)	131,151
	-1	212,575	(212,575)	131,151	(131,151)
Future salary increases	+1	214,252	(214,252)	127,354	(127,354)
	-1	(185,533)	185,533	(127,354)	127,354
Company					
Discount rate	+1	(12,284)	12,284	(9,684)	9,684
	-1	13,952	(13,952)	10,207	(10,207)
Future salary increases	+1	14,814	(14,814)	10,395	(10,395)
	-1	(13,245)	13,245	(9,171)	9,171

44 Stated capital

As at 31 March		Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Issued and Fully Paid	44.1	**475,200**	475,200	**475,200**	475,200
No. of Shares	44.2	**475,200**	475,200	**475,200**	475,200

All shares rank equally with regard to the Company's residual assets. The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

44.1 Movement in stated capital

As at 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Balance at the beginning of the period	**475,200**	475,200	**475,200**	475,200
Movement during the period	**-**	-	**-**	-
Balance at the end of the period	**475,200**	475,200	**475,200**	475,200

44.2 Movement in no. of shares

Balance at the beginning of the period	**475,200**	475,200	**475,200**	475,200
Movement during the period	**-**	-	**-**	-
Balance at the end of the period	**475,200**	475,200	**475,200**	475,200

45 Reserves

As at 31 March		Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Revaluation Reserve	45.1	**2,932,414**	2,752,543	**1,300,116**	1,300,116
Cash Flow Hedge Reserve	45.2	**(102,894)**	28,394	**719**	4,146
Fair Value Reserve on AFS	45.3	**244,963**	167,018	**266,963**	-
Translation Reserve	45.4	**327,120**	161,493	**-**	-
Future Taxation Reserve	45.5	**205,000**	205,000	**205,000**	205,000
Statutory Reserve Fund	45.6	**1,697,783**	1,290,782	**-**	-
Investment Fund	45.7	**-**	752,675	**-**	-
		5,304,386	5,357,905	**1,772,798**	1,509,262

Notes to the Financial Statements

Nature and purpose of reserves

45.1 Revaluation reserve

The revaluation reserve relates to the revaluation surplus of Property, Plant and Equipment . Once the respective revalued items have been disposed, the relevant portion of revaluation surplus if any is transferred to retained earnings.

45.2 Cash flow hedge reserve

The hedging reserve comprises the effective portion of the cumulative net change in the fair value of hedging instruments used in fair value hedges pending subsequent recognition of the hedged cash flows.

45.3 Fair value reserve on AFS

The fair value reserve comprises the cumulative net change in the fair value of available-for-sale financial assets until the assets are derecognised or impaired.

45.4 Translation reserve

The translation reserve comprises all foreign currency differences arising from the translation of the financial statements of foreign operations.

45.5 Future taxation reserve

This reserve was created in order to accommodate unexpected future tax liabilities that might arise at a future date.

45.6 Statutory reserve fund

The statutory reserve fund of the LOLC Micro Credit Limited involved in leasing business was created according to the Direction No. 05 of 2006 issued by the Central Bank of Sri Lanka under the Section 34 of the Finance Leasing Act No. 56 of 2000 which requires the Companies to transfer 5% of their annual profits to this reserve until the sum equals to Share Capital of those Companies.

The Statutory reserves of Lanka ORIX Finance PLC and Commercial Leasing and Finance PLC were created in accordance with the Finance Companies (Capital Funds) Direction No. 01 of 2003 issued under the Finance Business Act No. 42 of 2011 (which supersedes the Finance Companies Act No. 78 of 1988) which requires the Company to transfer 20% of its annual profit to this reserve.

45.7 Investment fund

Every Company supplying financial services are liable to pay VAT on financial services as per Section 25A-G of the Value Added Tax Act No.14 of 2002 and are required to deposit the respective sums in an Investment Fund Account established by the respective Company as per the Central Bank guidelines under the cover of letter No. 02/17/800/0014/01 dated 29 April 2011. The Company is required to deposit an amount equal to 8% of the value addition (profits) computed for financial VAT purposes on the same date of each month that VAT on financial services is paid and the 5% of the income tax liability on quarter tax payment. This requirement is effective from 01 January 2011.

46 Retained earnings

The carrying amount of the retained earnings represents the undistributed earnings held by the Group and the Company. This could be used to absorb future losses and dividend declaration.

47 Commitments and contingencies

47.1 Contingent liabilities

As at 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Guarantees issued to banks and other institutions		**1,743,465**	4,057,251	**133,269**	109,648
Corporate guarantees given to subsidiary companies to obtain loans		**9,869,545**	6,084,250	**5,231,770**	6,084,250
Stumpage payables	47.1.1	**50,800**	-	**-**	-
		11,663,810	10,141,501	**5,365,039**	6,193,898

47.1.1 Stumpage payables - Pussellawa Plantations Limited

Forest Department has imposed Rs. 50,800,000 as the stumpage payable to the Government by Pussellawa Plantations Ltd for harvesting of Forest Department's Pinus Trees at Delta Estate by the Timber Lake Company. However, the Company has requested Forest Department to re-consider the stumpage calculation, as the said fee is more than the market value of the Timber and is not keeping in line with the Supreme Court judgment. Therefore, the amount of liability and the date of liability are uncertain and will depend on the response of the Forest Department.

47.2 Commitments

As at 31 March	Note	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Forward exchange contracts	47.2.1	**19,099,453**	27,399,381	**82,194**	308,287
Capital commitments	47.2.2	**7,837,134**	10,269,024	**-**	-
Letter of credits opened		**130,479**	12,839	**99,330**	12,839
Facility limits not utilized		**6,997,381**	4,061,636	**-**	-
Operating lease commitments	47.2.3	**45,816**	41,136	**45,816**	41,136
		34,110,263	41,784,016	**227,340**	362,262

Notes to the Financial Statements

47.2.1 On the commitment for forward exchange contracts, the Group will receive USD 107,469,446, Euro 10,719,088, GBP 1,425,000, AUD 3,260,000 and the Company will receive USD 416,666 and Euro 1,085 on the conversion.

47.2.2 Capital commitments

The Group of Companies entered to following capital commitments as at the reporting date.

Samudra Beach Resorts (Private) Limited

Samudra Beach Resorts (Pvt) Ltd. has entered into an agreement for a contract with Sierra Civil Engineering (Pvt) Ltd. as a designing and building contractor to construct a 4-Star Hotel at Kosgoda. The total cost was estimated to be Rs.1,720 Mn. out of which Rs.1,678 Mn already incurred.

Riverina Resorts (Private) Limited

Riverina Resorts (Private) Limited is in the process of putting up a 475 key, 5 star, 20 Acre Resort situated in Golden Mile Bentota. The total cost was estimated to be Rs.7,200 Mn. out of which Rs.517 Mn already incurred.

Browns Healthcare (Private) Limited

Browns Healthcare (Private) Limited has entered into an agreement for a contract with Sierra Civil Engineering (Pvt) Ltd to construct a state of art medical facility centre in Ragama. The total cost was estimated to be Rs. 365 Mn. out of which Rs.103 Mn already incurred.

Tea Leaf Resort (Private) Limited (TLRHL)

TLRHL has entered into an agreement with Sierra Construction (Pvt) Ltd. For Rs. 850,000,000/- for the construction of two boutique style hotels. As per the existing agreement the cost of constructions are as follows.

	Giragama Estate Rs. '000	Ayr Estate Rs. '000
Commitment on Construction	494,000	356,000

F L C Hydro Power PLC

The Company has entered into various contracts to construct following Mini Hydro Power Projects

	Thebuwana Rs. '000	Stellenberg Rs. '000
Commitment on Construction	85,214	48,111

47.2.3 Operating lease commitments

	Group		Company	
	2015 Rs. '000	2014 Rs. '000	2015 Rs. '000	2014 Rs. '000
Less than one year	**35,667**	37,058	**21,725**	19,714
Between one and five years	**35,144**	45,567	**24,091**	21,422
	70,811	82,625	**45,816**	41,136

47.3 Contractual commitments

Maturata Plantations Limited

The Company has entered into an agreement with Ms. Whight & Company Ceylon (Private) Limited (WCCL) for a period from 01st April 2013 to June 2045 in respect of the followings;

1 To hand over the possession of "C" category fields (uneconomical) not less than 50 hectares per estate and in addition uncultivated land not less than 50 hectares per estate of Alma, Bramley, Gonapitiya, High Forest, Kabaragalla, Mahacoodagalla, Maha Uva and Maturata Estates in the High Grown region for the purpose of growing coffee plantations as a Mono Crop and Inter Planting. MPL is entitled for annual audited net profit share of 20%.

2 To hand over the possession of an abandoned tea factory called "Merigold Factory" to WCCL for the operation of Coffee Project for an annual rental of Rs. 300,000/- subject to 10% increase once in every 10 years. The repairs and improvements to the factory will be at the expense of WCCL.

3 To rent out Superintendent's Bungalow of Mahacoodagalla Estate to WCCL for an annual rental of Rs. 180,000/- for the operation of Coffee Project subject to 10% increase once in every 10 years. The repairs and improvements to the bungalow will be at the expense of WCCL.

48 Subsequent events

Segregation of composite insurance companies

In complying with the mandatory requirement of splitting insurance companies as directed by Section 53 of the Regulation of Insurance Industry (Amendment) Act No. 3 of 2011, LOLC Insurance Company Limited is required to split its life and general insurance businesses in to two seperate legal entities.

LOLC Insurance Company Limited will be re-named as LOLC Life Assurance Limited. General insurance business portfolio will be transferred to LOLC General Insurance Limited soon after the company receives the general insurance license from the Insurance Board of Sri Lanka (IBSL). The general portfolio transfer will be backed by the District Court Order. The life assurance business portfolio will remain under LOLC Life Assurance Limited.

Notes to the Financial Statements

49 Assets pledged

Nature of assets	Nature of liability	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
Foreign currency term deposits	Interest bearing loans and borrowings	**529,639**	991,663	**97,699**	65,340
lease, hire purchase and loans receivable	Term loan/bank drafts/short -term loan/ field and processing developments	**50,027,392**	14,208,856	**585,681**	589,713
Marketable shares and loans and buildings	Bank overdrafts/term loans/investments in field development	**3,768,485**	6,838,238	**2,363,185**	2,420,885
Leasehold right	Finance lease	**250,000**	502,511	**-**	-
Leasehold property and vehicles	Term loan	**68,478**	99,155	**68,478**	97,009
Freehold land & Buildings	Interest bearing loans and borrowings	**3,287,000**	-	**-**	-
Fixed deposits	Interest bearing loans and borrowings	**80,050**	-	**-**	-
		58,011,044	22,640,423	**3,115,043**	3,172,947

50 Related party disclosures

50.1 Transactions with key management personnel

According to Sri Lanka Accounting Standard (LKAS) 24 "Related Party Disclosures", Key management personnel, are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Board of Directors (including executive and non-executive Directors), personnel holding designations of Deputy General Manager and above positions as Key Management Personnel of the Company and Group

The immediate family members are defined as spouse or dependent/s. Dependent is defined as anyone who depends on the respective Director for more than 50% of his/her financial needs.

Key management personnel compensation

For the year ended 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
50.1.1 Short term Employment benefits				
Includes:				
Director's emoluments	**75,076**	80,954	**21,336**	26,369
Other KMP emoluments and other short term benefits	**267,427**	245,415	**180,181**	145,184
	342,503	326,369	**201,517**	171,553

50.1.2 Long term employment benefits ;

There are no long-term employment benefits paid to the Key Management Personnel during the year.

50.1.3 Other transactions with key management personnel

For the year ended 31 March	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Rentals paid	(4,659)	(5,084)	(4,659)	(5,082)
Balance rentals outstanding	3,388	8,047	3,388	8,047
Deposits balance	709,737	700,078	-	-
Interest paid	123,446	171,652	-	-

50.2 Transactions with related parties

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard 24 "Related Party Disclosures".

50.2.1 Transactions with subsidiaries, associates and joint-ventures

For the year ended 31 March Subsidiaries	Note	Company 2015 Rs.'000	Company 2014 Rs.'000
Fund transfers in		79,114,484	120,942,492
Fund transfers out		77,103,046	113,748,493
Expenses shared		2,349,110	2,388,489
Asset hire income	5.1	237,165	151,415
Interest received on fund transfer		460,796	1,278,722
Treasury handling changes	5.1	613,195	331,451
Royalty income	5.1	68,877	158,289
Restructuring and arrangement charges	5.1	70,000	578,000
Franchise fees	5.1	123,651	125,654
Advisory services for handling	5.1	183,000	147,538
Guarantee fee income	5.1	42,358	46,479
Investments in subsidiaries		97,654	3,604,211
Capitalization of subsidiaries		8,818,000	-
Assets purchased from subsidiaries		108,807	-
Interest received on facilities granted		731	-
Sale of investments & properties		-	4,931,000
Transfer of loans		-	441,501

Notes to the Financial Statements

50.2.1 Transactions with subsidiaries, associates and joint-ventures (Contd.)

For the year ended 31 March	Company 2015 Rs. '000	Company 2014 Rs. '000
Subsidiaries		
Transfer of staff loans	5,649,514	193,166
Assets transferred	-	1,399
Rendering of services received	-	6,000
Loan obtained	-	303,694
Associates		
Fund transfers in	-	-
Repayment of finance leases and loans granted	125,000	59,640,186
Loans granted	-	59,416,936
Interest received	43,630	198,952
Dividend income	170,842	184,455
Bank balances held	1,702	1,566
Joint ventures		
Repayment of finance leases and loans granted	12,406	30,169
Interest received	-	13,199
Commercial paper issued to (loans obtained)	-	2,474,393
Settlement of Commercial papers	-	2,457,310
Dividend income	88	-

Balance Outstanding on facilities granted to related parties as at 31 March

		Company 2015 Rs. '000	Company 2014 Rs. '000
Subsidiaries	Finance leases and loans granted	13,222	20,611
Associates	Finance leases and loans granted	327,168	518,760
Joint Ventures	Finance leases and loans granted	32,539	49,660
		372,929	589,031

Notes 50.3 shows other balances with related parties.

For the year ended 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000
Associates		
Insurance commission received	38,253	38,271
Term Deposits	-	65,693
Trading transactions		
- Sales	105,201	-
- Purchases	1,844,558	1,812,730
Interest received	227,308	190,347
Fund transfers	4,248	40,625
Loans granted	347,009	-
Repayment of loans and finance leases obtained	174,552	1,216,853
Expenses shares	1,584	37,984
Rental Income	2,268	-
Joint ventures		
Loans, advances and promissory notes obtained	200,000	-
Interest paid	108,112	119,030
Repayment of finance leases and loans obtained	209,642	133,973
Trading transactions		
- Sales	1,186	-
- Purchases	-	-
Term and savings deposits and Commercial papers	(325,000)	2,200
Deposits interest income	14,821	38,790
Dividend Income	21,111	56,306
Interest paid	14,395	-
Commercial paper issued	1,125,000	-
Insurance premium charged	5,522	3,331

Notes to the Financial Statements

50.2.2 Transactions and balances with other related parties

A number of key management personnel, or their related parties, hold positions in other entities that result in them having control or significant influence over the financial or operating policies of these entities.

A number of these entities transacted with the Group during the year. The terms and conditions of the transactions with key management personnel and their related parties were no more favorable than those available, or which might reasonably be expected to be available, on similar transactions to non-key management personnel related entities on an arm's length basis.

The transactions related to key management personnel and entities over which they have control were as follows;

	Group		Company	
For the year ended 31 March	2015	2014	2015	2014
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Loans obtained	7,783,116	1,600,000	1,750,579	500,000
Settlement of loans obtained	(1,368,780)	(1,750,998)	-	(500,000)
Interest paid on loans	982,638	1,015,452	16,786	12,945
Loans given	2,744,890	-	-	-
Repayment of loans given	-	(1,336,796)	-	-
Interest received on loans given	51,476	-	-	-
Interest paid on debentures	298,356	560,110	298,356	560,110
Commercial paper invested	75,000	645,000	-	-
Commercial paper matured	-	(338,130)	-	-
Interest paid on commercial papers	577	69,824	-	-
Stock brokering income	-	-	-	-
Balances payable on;				
- Loans obtained	12,472,830	6,058,493	1,750,579	-
- Debentures	3,000,000	3,000,000	-	3,000,000
- Commercial papers	75,000	645,000	-	-
Balances receivables on loans granted	2,744,890	-	-	-

50.3 Balances with related parties

50.3.1 Amounts due from related parties

As at 31 March	Group 2015 Rs. '000	Group 2014 Rs. '000	Company 2015 Rs. '000	Company 2014 Rs. '000
BRAC Lanka Finance PLC	-	-	868,927	2,676
Brown and Company PLC	-	-	35,548	-
Browns Hotel and Resorts Limited	-	-	97,069	18,986
Browns Health Care (Private) Limited	-	-	1,562	-
Browns Investments PLC	-	-	1,430	387
Commercial Leasing & Finance PLC	-	-	379,048	269,748
Dikwella Resort Limited	-	-	9,849	-
Diriya Investments (Private) Limited	-	-	227	131
Eden Hotels Lanka PLC	-	-	1,054	25,482
Excel Restaurant (Private) Limited	-	-	59	-
Fortune Fields Limited	-	-	6	-
Invest Land Limited	-	-	6	-
Lanka ORIX Finance PLC	-	-	1,950,125	646,099
Lanka ORIX Information Technology Services Limited	-	-	-	38,732
Green Valley Assets Holding (Private) Limited	-	-	1,163	1,138
LOLC Insurance Company Limited	-	-	69,865	75,662
LOLC Investments Limited	-	-	101,796	161,489
LOLC Micro Credit Limited	-	-	920,942	66,291
LOLC Micro Investments Limited	-	-	-	6,827
LOLC Motors Limited	-	-	274,665	461,645
LOLC Myanmar Micro-Finance Company Limited	-	-	147,817	112,602
LOLC Property Investments Limited	-	-	4,771	-
LOLC Realty Limited	-	-	191,766	225,181
LOLC Securities Limited	-	-	10,933	46,557
LOLC Technologies Limited	-	-	-	12,598
Millennium Development Limited	-	-	10,870	-
PALM Garden Hotels PLC	-	-	-	102,865
Pleasant Landscapes Limited	-	-	6	-
Riverina Resort (Private) Limited	-	-	30,582	171,299

Notes to the Financial Statements

50.3.1 Amounts due from related parties (Contd.)

As at 31 March	Note	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Speed Italia Limited		-	-	62,436	78,332
Sundaya Lanka (Private) Limited		-	-	-	-
Tropical Villas (Private) Limited		-	-	31,257	25,677
United Dendro Energy (Private) Limited		-	-	529,469	451,231
Associates Battery Manufactures (Ceylon) Limited		1,523	24,277	-	-
Galoya Plantations Limited		1,647,610	1,230,645	956	-
Sierra Construction (Private) Limited		57,522	202,100	-	-
Taprobane Plantations (Private) Limited		19,854	7,170	547	-
(-) Allowance for impairement	50.3.1.1	-	-	(476,779)	(425,780)
		1,726,509	1,464,192	5,257,972	2,575,855

50.3.1.1 Allowance of impairement

As at 31 March	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
United Dendro Energy (Private) Limited	-	-	433,181	390,454
Speed Italia Limited	-	-	43,598	35,326
	-	-	476,779	425,780

50.3.1.2 Movement in allowance of impairement

For the year ended 31 March	Group 2015 Rs.'000	Group 2014 Rs.'000	Company 2015 Rs.'000	Company 2014 Rs.'000
Opening balance	-	-	425,780	-
Provided for the period	-	-	50,999	425,780
Closing balance	-	-	476,779	425,780

50.3.2 Amounts due to related parties

	Group		Company	
	2015	2014	2015	2014
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Central Services (Private) Limited	-	-	25	5
Dikwella Resort (Private) Limited	-	-	-	12,143
Lanka ORIX Information Technology Services Limited	-	-	442,713	-
LOLC Eco Solutions Limited	-	-	4,599	4,678
LOLC Estates Limited	-	-	14,001	14,001
LOLC Factors Limited	-	-	1,342,578	126,242
LOLC Land Holdings Limited	-	-	51	97
LOLC Micro Investments Limited	-	-	145,310	-
LOLC Property Investments Limited	-	-	-	1,184
LOLC Technologies Limited	-	-	5,339	-
AgStar PLC	10,325	-	-	-
Associates Battery Manufactures (Ceylon) Limited	48,859	49,222	-	-
Galoya Plantations Limited	14,258	20,090	-	-
Sierra Construction (Private) Limited	8,126	-	-	-
Taprobane Plantations (Private) Limited	8,176	6,811	-	-
	89,744	76,123	1,954,616	158,350

Notes to the Financial Statements

51 Valuation of financial instruments

51.1 Fair value hierarchy

The Group's accounting policy on fair value measurements is discussed in accounting policy 3.4.3.6

The Group measures fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements.

1 Level 1: Quoted market price (unadjusted) in an active market for an identical instrument.

2 Level 2: Valuation techniques based on observable inputs, either directly (i.e. as prices) or indirectly (i.e. derived from prices). This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

3 Level 3: Valuation techniques using significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments where significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

The table below analyses financial instruments measured at fair value at the end of the reporting period, by the level in the fair value hierarchy into which the fair value measurement is categorised.

Group As at 31 March 2015	Note	Level 1 Rs. '000	Level 2 Rs. '000	Level 3 Rs. '000	Total Rs. '000
Trading assets - fair value through profit or loss					
Unit trusts	18.1	264,492	-	-	264,492
Government securities	18.2	-	3,052	-	3,052
Equity Securities	18.3	757,052	-	-	757,052
Derivative assets held for risk management	18.4	-	81,845	-	81,845
		1,021,544	84,897	-	1,106,441
Investment securities					
Available-for-sale investment securities					
Government securities	19.1.1	-	5,282,307	-	5,282,307
Designated available-for-sale investment securities	19.1.2	582,464	-	-	582,464
Equity securities with readily determinable fair values	19.1.3	3,999	-	-	3,999
Unquoted equity securities	19.1.4	-	59,056	-	59,056
		586,463	5,341,363	-	5,927,826
		1,608,007	5,426,260	-	7,034,267

51.1 Fair value hierarchy (Contd.)

Group As at 31 March 2014	Note	Level 1 Rs. '000	Level 2 Rs. '000	Level 3 Rs. '000	Total Rs. '000
Trading assets - fair value through profit or loss					
Government securities	18.2	-	1,115	-	1,115
Equity Securities	18.3	854,682	-	-	854,682
Derivative assets held for risk management	18.4	-	30,005	-	30,005
		854,682	31,120	-	885,802
Investment securities					
Available-for-sale investment securities					
Government securities	19.1.1	-	6,429,013	-	6,429,013
Designated available-for-sale investment securities	19.1.2	464,980	-	-	464,980
Equity securities with readily determinable fair values	19.1.3	58,075	-	-	58,075
Unquoted equity securities	19.1.4	-	56,301	-	56,301
		523,055	6,485,314	-	7,008,369
		1,377,737	6,516,434	-	7,894,171

Company As at 31 March 2015	Note	Level 1 Rs. '000	Level 2 Rs. '000	Level 3 Rs. '000	Total Rs. '000
Trading assets - fair value through profit or loss					
Equity Securities	18.3	514,556	-	-	514,556
		514,556	-	-	514,556
Investment securities					
Available-for-sale investment securities					
Equity securities with readily determinable fair values	19.1.2	582,464	-	-	582,464
		582,464	-	-	582,464
		1,097,020	-	-	1,097,020

Company As at 31 March 2014	Note	Level 1 Rs. '000	Level 2 Rs. '000	Level 3 Rs. '000	Total Rs. '000
Trading assets - fair value through profit or loss					
Equity Securities	18.3	536,325	-	-	536,325
		536,325	-	-	536,325
Investment securities					
Available-for-sale investment securities					
Equity securities with readily determinable fair values	19.1.2	315,502	-	-	315,502
		315,502	-	-	315,502
		851,827	-	-	851,827

Notes to the Financial Statements

51.2 Financial instruments not measured at fair value

The following table sets out the fair values of financial instruments not measured at fair value and analyses them by the level in the fair value hierarchy into which each fair value measurement is categorised.

As at 31 March 2015		2015		2014	
	Note	Carrying amount Rs. '000	Fair Value Rs. '000	Carrying amount Rs. '000	Fair Value Rs. '000
Group					
Financial assets					
Loans & receivables	19.2	**12,374,437**	**12,413,079**	9,164,577	9,268,314
Finance lease receivables, hire purchases and operating leases	20	**41,335,375**	**41,560,280**	36,259,242	36,307,478
Advances and other loans	21	**98,525,051**	**98,629,448**	54,285,641	54,362,698
		152,234,863	**152,602,807**	99,709,460	99,938,490
Financial liabilities					
Deposits liabilities	37.1	**50,587,239**	**50,807,157**	49,614,880	49,693,278
Interest bearing borrowings	38	**113,113,592**	**112,992,570**	64,048,889	66,379,362
		163,700,831	**163,799,727**	113,663,769	116,072,640
Company					
Financial assets					
Loans & receivables	19.2	**99,506**	**99,506**	67,231	67,231
Finance lease receivables, hire purchases and operating leases	20	**1,684**	**1,684**	1,069	1,069
Advances and other loans	21	**1,310,259**	**1,195,712**	1,513,662	1,514,652
		1,411,449	**1,296,902**	1,581,962	1,582,952
Financial liabilities					
Interest bearing borrowings	38	**24,661,179**	**23,265,416**	13,853,920	13,860,363
		24,661,179	**23,265,416**	13,853,920	13,860,363

For the cash and cash equivalents, short term receivables and payables, the fair value reasonably approximates its costs.

There are various limitations inherent in this fair value disclosure particularly where prices may not represent the underlying value due to dislocation in the market. Not all the Group's financial instruments can be exchanged in an active market. The Group obtains the fair values for investment securities from quoted market prices where available. Where securities are unlisted and quoted prices are not available, the Group obtains the fair values, by means of discounted cash flows and other valuation techniques that are commonly used by market participants. These techniques address factors such as interest rates, credit risk and liquidity.

The following table sets out the fair values of financial instruments not measured at fair value and analyses them by the level in the fair value hierarchy in to which each fair value measurement is categorized.

	Group			
	Level 1 Rs. '000	Level 2 Rs. '000	Level 3 Rs. '000	Total Rs. '000
As at 31 March 2015				
Financial assets				
Investment securities - Loans & receivables	-	12,413,079	-	12,413,079
Finance lease receivables, hire purchases and operating leases	-	-	41,560,280	41,560,280
Advances and other loans	-	-	98,629,448	98,629,448
	-	12,413,079	140,189,728	152,602,807
Financial liabilities				
Deposits liabilities	-	-	50,807,157	50,807,157
Interest bearing borrowings	-	-	112,992,570	112,992,570
	-	-	163,799,727	163,799,727
As at 31 March 2014				
Financial assets				
Investment securities - Loans & receivables	-	9,268,314	-	9,268,314
Finance lease receivables, hire purchases and operating leases	-	-	36,307,478	36,307,478
Advances and other loans	-	-	54,362,698	54,362,698
	-	9,268,314	90,670,176	99,938,490
Financial liabilities				
Deposits liabilities	-	-	49,693,278	49,693,278
Interest bearing borrowings	-	-	66,379,362	66,379,362
	-	-	116,072,640	116,072,640

	Company			
	Level 1 Rs. '000	Level 2 Rs. '000	Level 3 Rs. '000	Total Rs. '000
As at 31 March 2015				
Financial assets				
Investment securities - Loans & receivables	-	99,506	-	99,506
Finance lease receivables, hire purchases and operating leases	-	-	1,684	1,684
Advances and other loans	-	-	1,195,712	1,195,712
	-	99,506	1,197,396	1,296,902
Financial liabilities				
Interest bearing borrowings	-	-	23,265,416	23,265,416
	-	-	23,265,416	23,265,416
As at 31 March 2014				
Financial assets				
Investment securities - Loans & receivables	-	67,231	-	67,231
Finance lease receivables, hire purchases and operating leases	-	-	1,069	1,069
Advances and other loans	-	-	1,514,652	1,514,652
	-	67,231	1,515,721	1,582,952
Financial liabilities				
Interest bearing borrowings	-	-	13,860,363	13,860,363
	-	-	13,860,363	13,860,363

Notes to the Financial Statements

52 Maturity analysis of financial assets and liabilities

52.1 Maturity analysis of financial assets

As at 31 March 2015	Note	Carrying amount Rs. '000	less than one month Rs. '000	1-3 months Rs. '000	4-12 months Rs. '000	13-60 months Rs. '000	> 60 months Rs. '000
Group							
Cash and cash equivalents	17.1	7,934,390	2,385,022	5,549,368	-	-	-
Trading assets - fair value through profit or loss							
Unit trusts	18.1	264,492	-	-	264,492	-	-
Government securities	18.2	3,052	-	-	3,052	-	-
Equity Securities	18.3	757,052	-	-	757,052	-	-
Derivative assets held for risk management	18.4	81,845	-	-	81,845	-	-
Investment securities							
Available-for-sale investment securities	19.1	5,927,826	-	4,400,454	-	954,447	572,925
Loans & receivables	19.2	12,374,437	3,288,876	585,925	7,357,090	1,139,000	3,546
Finance lease receivables, hire purchases and operating leases							
Finance lease receivables	20.1	41,005,505	1,720,995	3,848,250	13,971,143	21,422,845	42,272
Hire purchase receivables	20.2	328,186	66,856	65,320	101,944	94,019	47
Operating lease receivables	20.3	1,684	-	1,684	-	-	-
Advances and other loans							
Advances and loans	21.1	89,356,136	3,358,431	8,919,058	27,714,400	49,358,218	6,029
Factoring receivables	21.2	8,424,912	2,039,711	6,263,805	35,540	85,856	-
Pawning advances	21.3	744,003	-	617,692	126,311	-	-
Trade and other current assets							
Financial Assets	25	6,846,542	1,133,310	2,401,623	3,024,764	286,845	-
		174,050,062	13,993,201	32,653,179	53,437,633	73,341,230	624,819
Company							
Cash and cash equivalents	17.1	229,710	229,710	-	-	-	-
Trading assets - fair value through profit or loss							
Equity Securities	18.3	514,556	-	-	514,556	-	-
Investment securities							
Available-for-sale investment securities	19.1	582,464	-	-	-	-	582,464
Loans & receivables	19.2	99,506	1,807	-	97,699	-	-
Finance lease receivables, hire purchases and operating leases							
Operating lease receivables	20.3	1,684	1,684	-	-	-	-
Advances and other loans							
Advances and loans	21.1	1,310,259	618,332	36	77,704	614,187	-
Trade and other current assets							
Financial Assets	25	5,337,433	5,234,907	6,428	33,897	41,963	20,238
		8,075,612	6,086,440	6,464	723,856	656,150	602,702

52.2 Maturity analysis of financial liabilities

As at 31 March 2015	Note	Carrying amount Rs. '000	less than one month Rs. '000	1-3 months Rs. '000	4-12 months Rs. '000	13-60 months Rs. '000	> 60 months Rs. '000
Group							
Non-derivative liabilities							
Bank overdrafts	17.2	6,118,548	2,506,800	3,611,748	-	-	-
Deposits liabilities							
Deposits from customers	37.1	50,587,239	338,258	15,464,807	21,892,395	12,891,779	-
Interest bearing borrowings							
Commercial papers & Promisory Notes	38	1,004,966	7,610	825,714	171,642	-	-
Short-term loans and others	38	48,930,616	8,847,638	10,780,509	29,302,469	-	-
Debentures	38	11,306,283	-	-	-	11,306,283	-
Finance lease liabilities	38.2	1,148,912	9,934	20,161	244,853	608,872	265,092
Long-term borrowings	38.3	50,722,815	175,946	764,514	6,177,013	43,605,342	-
Other current liabilities	41	6,586,449	1,874,691	1,102,414	3,609,344	-	-
Derivative liabilities	36	501,490	1,036	57,682	442,772	-	-
		176,907,318	13,761,913	32,627,549	61,840,488	68,412,276	265,092
Company							
Non-derivative liabilities							
Bank overdrafts	17.2	354,777	354,777	-	-	-	-
Interest bearing borrowings							
Commercial papers & Promisory Notes	38	991,531	-	762,184	167,804	61,543	-
Short-term loans and others	38	14,550,288	14,550,288	-	-	-	-
Debentures	38	6,250,000	-	-	-	6,250,000	-
Finance lease liabilities	38.2	234,548	9,755	19,798	89,934	115,061	-
Long-term borrowings	38.3	2,634,812	-	60,505	713,968	1,844,635	15,704
Other current liabilities	41	2,295,790	-	2,295,790	-	-	-
Derivative liabilities	36	1,203	1,036	167	-	-	-
		27,312,949	14,915,856	3,138,444	971,706	8,271,239	15,704

Notes to the Financial Statements

53 Operating segments

	Financial Services Rs. '000	Insurance Rs. '000	Trading Rs. '000	Leisure Rs. '000	Others / Adj Rs. '000	Total Rs. '000
2014/15						
Gross income	34,740,806	2,831,262	10,927,299	1,211,350	(5,125,112)	44,585,605
Net Interest Cost	(12,873,440)	-	(606,562)	(491,126)	1,462,758	(12,508,370)
Cost of Sales	-	-	(7,147,320)	(246,308)	154,093	(7,239,535)
Profit before Operating Expenses	21,867,366	2,831,262	3,173,417	473,916	(3,508,261)	24,837,700
Operating Expenses	(14,778,226)	(3,066,951)	(2,596,156)	(1,033,532)	2,188,107	(19,286,758)
Results from Operating Expenses	7,089,140	(235,689)	577,261	(559,616)	(1,320,154)	5,550,942
Share of Profit from Associate Companies	-	-	-	-	1,938,465	1,938,465
Gains on bargain purchases	-	-	-	-	660,947	660,947
Profit Before Taxation	7,089,140	(235,689)	577,261	(559,616)	1,279,258	8,150,354
2013/14						
Gross income	30,319,104	2,246,279	11,826,671	1,333,855	(5,521,186)	40,204,723
Net Interest Cost	(15,513,011)	(19,506)	(1,101,657)	(350,906)	2,135,902	(14,849,178)
Cost of Sales	-	-	(7,251,424)	(217,876)	38,510	(7,430,790)
Profit before Operating Expenses	14,806,093	2,226,773	3,473,590	765,073	(3,346,774)	17,924,755
Operating Expenses	(10,672,834)	(2,144,415)	(2,931,870)	(1,100,034)	1,332,387	(15,516,766)
Results from Operating Expenses	4,133,259	82,358	541,720	(334,961)	(2,014,387)	2,407,989
Gain on disposal of subsidiaries	-	-	-	-	79,845	79,845
Share of Profit from Associate Companies	-	-	-	-	1,454,158	1,454,158
Gains on bargain purchases	-	-	-	-	493,586	493,586
Profit Before Taxation	4,133,259	82,358	541,720	(334,961)	13,202	4,435,578
2014/15						
Depreciation and Amortization	503,429	47,905	248,750	220,126	46,968	1,067,178
Net impairment loss on financial assets	4,137,860	(11,025)	7,142	-	-	4,133,977
2013/14						
Depreciation and Amortization	374,252	29,276	186,993	188,615	87,579	866,715
Net impairment loss on financial assets	3,494,439	-	(3,920)	-	-	3,490,519
As at 31 March 2015						
Total Assets	213,876,427	4,944,626	24,438,659	23,528,618	(20,725,105)	246,063,225
Total Liabilities	172,558,087	2,788,911	12,240,719	6,473,261	(5,265,503)	188,795,475
As at 31 March 2014						
Total Assets	146,386,740	2,508,779	20,690,139	20,562,490	(22,708,540)	167,439,608
Total Liabilities	114,230,297	1,762,193	8,999,447	6,296,755	(3,769,164)	127,519,528

54 Financial risk management

The Group has exposure to the following risks from financial instruments:

1 Credit risk

2 Liquidity risk

3 Market risk

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital.

Risk management framework

The board of directors of each Company has overall responsibility for the establishment and oversight of Group's risk management framework for the companies within the group. The Board has established Integrated Risk Management Committees (IRMC) for each financial sector company, which are responsible for developing and monitoring financial services risk management policies in their specified areas. All Board committees have both executive and non-executive members and report regularly to the Board of Directors on their activities.

The Group's risk management policies are established to identify and analyze the risks faced by Group , to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered. The Company, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment, in which all employees understand their roles and obligations.

The Audit Committee of each Company is responsible for monitoring compliance with the risk management policies and procedures, and for reviewing the adequacy of the risk management framework in relation to the risks faced by the each Group of Company. Each financial sector Company's audit committee is assisted in these functions by Enterprise Risk Management division (ERM). ERM undertakes both regular and ad-hoc reviews of risk management controls and procedures, the results of which are reported to each financial sector Company's Audit Committee.

1 Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's loans and advances to customers.

The Group exposure to the credit risk is mainly derived from financial sector companies as the sector engage primarily in providing financing facilities to its customers. The Credit risk is managed by evaluating the credit worthiness and by periodical review on the credit granted.

Notes to the Financial Statements

Management of credit risk

The Board of Directors of each financial sector Company has delegated responsibility for the oversight of credit risk to its Credit Committee. A separate Credit department, reporting to each Credit Committees, is responsible for management of the Financial sector Companies' credit risk, including:

1. Formulating credit policies in consultation with business units, covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures, and compliance with regulatory and statutory requirements.
2. Establishing the authorization structure for the approval and renewal of credit facilities. Authorization limits are allocated to business unit Credit Officers. Larger facilities require approval by Group Credit, Head of Group Credit, Credit Committee or the board of directors as appropriate.
3. Reviewing and assessing credit risk. Group Credit assesses all credit exposures in excess of designated limits, prior to facilities being committed to customers by the business unit concerned. Renewals and reviews of facilities are subjected to the same review process.
4. Reviewing compliance of business units with agreed exposure limits, including those for selected industries, country risk and product types. Regular reports on the credit quality of local portfolios are provided to Group Credit who may require appropriate corrective action to be taken.
5. Providing advice, guidance and specialist skills to business units to promote best practice throughout the financial sector in the management of credit risk.

Impaired facilities and loans

Individually impaired loans and securities are loans and advances for which each financial sector Company determines that there is objective evidence of impairment and it does not expect to collect all principal and interest due according to the contractual terms of the loan/investment security agreement(s).

Past due but not impaired loans and investment debt securities

Past due but not impaired loans and investment debt securities, other than those carried at fair value through profit or loss, are those for which contractual interest or principal payments are past due, but each financial sector Company believes that impairment is not appropriate on the basis of the level of security/collateral available and/or the stage of collection of amounts owed to each Company.

The following table shows the overdue amounts for the financial assets categories.

	Group		Company	
	Neither past due nor impaired Rs. '000	Overdue Rs. '000	Neither past due nor impaired Rs. '000	Overdue Rs. '000
Cash in hand and favorable bank balances	7,934,390	-	229,710	-
Trading assets - fair value through profit or loss	1,106,441	-	514,556	-
Investment securities	18,302,263	-	681,970	-
Loan portfolio	102,146,148	37,714,278	1,128,535	183,408
Trade and other current assets	6,846,542	-	5,337,433	-

Impairement losses related to each of the above asset classes are shown in note 9 to these financial statements.

The following table shows the maximum exposure and net exposure to credit quality by class of financial assets.

	Group		Company	
	Gross exposure Rs. '000	Net exposure Rs. '000	Gross exposure Rs. '000	Net exposure Rs. '000
Cash in hand and favorable bank balances	7,934,390	7,934,390	229,710	229,710
Trading assets - fair value through profit or loss	1,106,441	1,106,441	514,556	514,556
Investment securities	18,302,263	11,693,686	681,970	681,970
Loan portfolio	139,860,426	26,235,093	1,311,943	396,989
Trade and other current assets	6,846,542	6,846,542	5,337,433	5,337,433

Notes to the Financial Statements

Loans with renegotiated terms

Loans with renegotiated terms are loans that have been restructured due to deterioration in the borrower's financial position. In respect of some of these loans, financial sector companies have made concessions that it would not otherwise consider. Once the loan is restructured it remains in this category independent of satisfactory performance after restructuring.

Allowances for impairment

Each financial sector Company establishes an allowance for impairment losses on assets carried at amortized cost that represents its estimate of incurred losses in its loan. The main components of this allowance are a specific loss component that relates to individually significant exposures, and, for assets measured at amortized cost, a collective loan loss allowance established for each financial sector Company's homogeneous assets as well as for individually significant exposures that were subject to individual assessment for impairment but not found to be individually impaired. Assets carried at fair value through profit or loss are not subject to impairment testing as the measure of fair value reflects the credit quality of each asset.

Write-off policy

Each financial sector Company writes off a loan, and any related allowances for impairment losses, when management determines that the loan or security is uncollectible. This determination is made after considering information such as the occurrence of significant changes in the borrower's/issuer's financial position such that the borrower/issuer can no longer pay the obligation, or that proceeds from collateral will not be sufficient to pay back the entire exposure. For smaller balance standardized loans, write-off decisions generally are based on a product-specific past due status.

Each financial sector Company holds collateral against loans and advances to customers in the form of mortgage interests over property, other registered securities over assets, and guarantees. Estimates of fair value are based on the value of collateral assessed at the time of borrowing, and generally are not updated except when a loan is individually assessed as impaired.

Trade & Other Receivables

Each group of Company establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade and other receivables. The main components of this allowance are a specific loss component that relates to individually significant exposures, and a collective loss component established for each group of Company's similar assets in respect of losses that have been incurred but not yet identified. The collective loss allowance is determined based on historical data of payment statistics of the portfolio.

2 Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

Management of liquidity risk

The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's entities.

For the financial sector companies, a Central Treasury manages the liquidity risk for financial sector. Central Treasury receives information from other business units regarding the liquidity profile of their financial assets and liabilities and details of other projected cash flows arising from projected future business. Central Treasury then maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment securities, loans and advances to customers and other inter-group facilities, to ensure that sufficient liquidity is maintained within the financial sector as a whole. The liquidity requirements of business units and subsidiaries are met through short-term loans from Central Treasury to cover any short-term fluctuations and longer term funding to address any structural liquidity requirements.

When a financial sector subsidiary is subject to a liquidity limit imposed by its local regulator, the subsidiary is responsible for managing its overall liquidity within the regulatory limit in co-ordination with central Treasury.

The financial sector relies on deposits from customers and issued debt securities and borrowings as its primary sources of funding. While the Group's debt securities have maturities of over one year, deposits from customers generally have shorter maturities and a large proportion of them are repayable on demand. The short-term nature of these deposits increases the financial sector's liquidity risk and the sector actively manages this risk through maintaining competitive pricing and constant monitoring of market trends.

Maturity analysis for financial liabilities

Note 52 to these financial statements shows the discounted cash flows on the Company's non-derivative financial liabilities on the basis of their earliest possible contractual maturity.

To manage the liquidity risk arising from financial liabilities, the Group holds liquid assets comprising cash and cash equivalents and investment securities for which there an active and liquid market is available.

3 Market Risk

Market risk is the risk that changes in market prices, such as interest rates, equity prices, foreign exchange rates and credit spreads will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return on risk.

Overall non-trading interest rate risk positions are managed by Financial sector's Central Treasury, which uses investment securities, advances to customers, deposits from customers and derivative instruments to manage the overall position arising from the Group's market based activities.

The management of interest rate risk against interest rate gap limits is supplemented by monitoring the sensitivity of the Company's financial assets and liabilities to various standard and non-standard interest rate scenarios. An analysis of the Company's sensitivity to an increase or decrease in market interest rates, assuming no asymmetrical movement in yield curves and a constant financial position, is as follows;

Sensitivity of projected	net interest income		reported equity	
Group	1% parallel increase Rs. '000	1% parallel decrease Rs. '000	1% parallel increase Rs. '000	1% parallel decrease Rs. '000
For the year ended 31 March 2015	200,877	(200,877)	145,379	(145,379)

Sensitivity of projected	net interest income		reported equity	
Company	1% parallel increase Rs. '000	1% parallel decrease Rs. '000	1% parallel increase Rs. '000	1% parallel decrease Rs. '000
For the year ended 31 March 2015	(107,534)	107,534	(77,424)	77,424

Notes to the Financial Statements

Currency risk
The Group has exposure to the currency fluctuations through its foreign assets and liabilities held by following main foreign subsidiaries.

Subsidiary

	Country of incorporation	Functional currency
Thaneakea Phum (Cambodia) Limited	Cambodia	Cambodian riel - KHR
LOLC Myanmar Micro-Finance Company Limited	Myanmar	Burmese kyat - MMK

Sensitivity analysis
A reasonably possible strengthening (weakening) of KHR and MMK against all other currencies as at 31 March 2015, would have affected the measurement of individual assets and liabilities denominated in a foreign currency and affected equity by the amounts shown below. This analysis assumes that all other variables, in particular interest rates remain constant and any change in assets liability positions

As at 31 March 2015	100 basis points movement in strengthening Rs. '000	Weakening Rs. '000
KHR	(35,106)	35,106
MMK	(914)	914

55 Change in classification

During the current year, the Group reclassified certain prior year figures in the statement of profit or loss as reported below;

Statement of profit or loss	Group			Company		
For the year ended 31 March 2014	Prior classification Rs.'000	Re-classification Rs.'000	2014 Re-classified Rs.'000	Prior classification Rs.'000	Re-classification Rs.'000	2014 Re-classified Rs.'000
Gross income	41,657,286	(1,452,563)	40,204,723	5,460,558	-	5,460,558
Interest Income	-	23,936,293	23,936,293	-	2,063,488	2,063,488
Interest expenses	-	(14,849,178)	(14,849,178)	-	(2,720,484)	(2,720,484)
Net interest income	-	9,087,115	9,087,115	-	(656,996)	(656,996)
Revenue	10,783,295	-	10,783,295	-	-	-
Cost of sales	(7,430,790)	-	(7,430,790)	-	-	-
Gross profit	3,352,505	-	3,352,505	-	-	-
Income	27,524,846	(23,936,293)	3,588,553	2,111,378	(2,063,488)	47,890
Other income/(expenses)	3,349,145	(1,452,563)	1,896,582	3,349,180	-	3,349,180
Finance costs	(16,301,741)	16,301,741	-	(2,720,484)	2,720,484	-
Profit before operating expenses	17,924,755	-	17,924,755	2,740,074	-	2,740,074

The reported reclassification was made to reflect the meaningful presentation of financial sector performance, where the sector's main operating results (net interest income) was shown separately from the rest of the Group's performance.

56 Current/non-current distinction

As at 31 March 2015	Note	Group Carrying amount Rs.'000	Group Non-current Rs.'000	Group Current Rs.'000	Company Carrying amount Rs.'000	Company Non-current Rs.'000	Company Current Rs.'000
Assets							
Cash in hand and favorable bank balances	17.1	7,934,390	-	7,934,390	229,710	-	229,710
Trading assets - fair value through profit or loss	18	1,106,441	-	1,106,441	514,556	-	514,556
Investment securities	19	18,302,263	2,669,918	15,632,345	681,970	582,464	99,506
Finance lease receivables, hire purchases and operating leases	20	41,335,375	21,559,183	19,776,192	1,684	-	1,684
Advances and other loans	21	98,525,051	49,450,103	49,074,948	1,310,259	614,187	696,072
Insurance premium receivables	22	602,099	-	602,099	-	-	-
Inventories	23	1,833,672	-	1,833,672	10,250	-	10,250
Current tax assets	24	1,183,563	-	1,183,563	213,429	-	213,429
Trade and other current assets	25	9,103,067	6,559,697	2,543,370	5,526,203	250,971	5,275,232
Prepaid lease rentals on leasehold properties	26	342,816	342,816	-	-	-	-
Investment properties	27	8,807,369	8,807,369	-	344,000	344,000	-
Real estate stocks		-	-	-	-	-	-
Biological assets;							
Consumer biological assets	28	6,383,655	6,383,655	-	-	-	-
Bearer biological assets	29	5,803,318	5,803,318	-	-	-	-
Investments in group of companies;							
Subsidiary companies	30	-	-	-	42,126,050	42,126,050	-
Jointly controlled entities	31	-	-	-	-	-	-
Equity accounted investees - Associates	32	15,067,850	15,067,850	-	7,650,205	7,650,205	-
Deferred tax assets	33.1	516,785	516,785	-	61,120	61,120	-
Intangible assets	34	2,251,313	2,251,313	-	140,021	140,021	-
Property, plant and equipment	35	26,964,198	26,964,198	-	3,799,803	3,799,803	-
Total assets		246,063,225	146,376,205	99,687,020	62,609,260	55,568,821	7,040,439

Notes to the Financial Statements

56 Current/non-current distinction (Contd)

As at 31 March 2015	Note	Group Carrying amount Rs.'000	Group Non-current Rs.'000	Group Current Rs.'000	Company Carrying amount Rs.'000	Company Non-current Rs.'000	Company Current Rs.'000
Liabilities							
Liabilities							
Bank overdrafts	17.2	6,118,548	-	6,118,548	354,777	-	354,777
Trading liabilities	36	501,490	-	501,490	1,203	-	1,203
Deposits liabilities	37	50,587,239	12,891,779	37,695,460	-	-	-
Interest bearing borrowings	38	113,113,592	55,785,589	57,328,003	24,661,179	8,286,943	16,374,236
Insurance provision - life	39.1	774,865	774,865	-	-	-	-
Insurance provision - general	39.2	1,595,644	1,595,644	-	-	-	-
Current tax payables	40	1,635,727	-	1,635,727	193,901	-	193,901
Trade and other payables	41	8,074,796	3,609,344	4,465,452	2,327,317	-	2,327,317
Deferred tax liabilities	33.3	3,404,404	3,404,404	-	-	-	-
Deferred income	42	470,526	470,526	-	-	-	-
Retirement benefit obligations	43	2,518,644	2,518,644	-	174,515	174,515	-
Total liabilities		188,795,475	81,050,795	107,744,680	27,712,892	8,461,458	19,251,434

Supplementary Information

Property Details of the Company

	Address	Land Extent	Building Extent	Cost		Accumulated Depreciation	Last Valuation		Carrying Amount	
				Land	Building		Land	Building	2015	2014
		A-R-P	Sq. Ft.	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
1	No. 100/1, Sri Jayawardenapura Mawatha, Rajagiriya	1A-0R-04.86P	57,250	35,795	49,205	14,931	41,870	409,130	**1,140,272**	1,151,000
2	No. 100 A, Sri Jayawardenapura Mawatha, Rajagiriya	0A-2R-20.00P	-	45,000	-	-	375,000	-	**375,000**	375,000
3	No. 25/7, Wimalawatta Road, Mirihana, Nugegoda	0A-0R-33.40P	-	20,000	-	-	30,000	-	**30,000**	30,000
4	No. 103, Sri Jayawardenapura Mawatha, Rajagiriya	0A-1R-12.50P	-	66,399	-	-	236,000	-	**236,000**	236,000
5	No. 28A, Badulla Road, Nuwara Eliya	0A-0R-21.03P	5,426	56,974	57,425	6,435	33,648	41,352	**73,879**	75,000
6	No. 52/40, Stanly Road, Jaffna	0A-0R-37.31P	-	64,630	-	-	112,000	-	**112,000**	112,000
7	No. 241 A, Maithreepala Senanayake Mawatha, Anuradhapua	0A-0R-13.01P	-	18,130	-	-	26,000	-	**26,000**	26,000
8	No. 240, Moragahayata, Colombo Road, Ratnapura	0A-0R-15.80P	10,173	20,919	8,400	925	20,540	36,460	**56,086**	57,000
9	No. 1163/A, Cotta Road, Rajagiriya	0A-0R-08.70P	8,750	34,546	38,253	3,587	35,000	52,000	**85,628**	87,000
10	Boralukanda, Athabendiwewa Road, Thalakiriyagama	2A-3R-15P	440	2,647	-	-	12,877	2,123	**14,947**	15,000
11	No. 54, Queen Mary Road, Gampaha	0A-0R-22P	-	27,500	-	-	-	-	**27,500**	-
				1,192,540	253,282	25,876	1,622,935	541,065	**2,177,312**	2,164,000

Information on Company's Listed Debentures

Interest rate of comparable government security

Buying and Selling prices of Treasury Bonds at the auction held on 27 th March 2014

	Buying		Selling	
	Price	Yield	Price	Yield
4 Year Bond	100.44	8.59%	100.85	8.47%
5 Year Bond	93.07	8.75%	93.48	8.65%

Market prices and yield during the year (ex interest)

	Market Yield	Market Price
4 Year Bond	8.53%	98.01
5 Year Bond	8.81%	100.86
Debt to equity		0.72 times
Interest cover		1.27 times
Quick asset ratio		2.25 times

Related Party transactions

Related Party transactions exceeding 10% of the Equity or 5% of the total assets of the Entity as per Audited Financial Statements, whichever is lower.

There are no related party transactions those require specified disclosure in accordance with the continuing listing requirements of Colombo Stock Exchange.

Ten Year Summary

	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015
For the year ended 31st March (Rs.'000)										
GROUP										
OPERATING RESULTS										
Revenue	-	-	-	3,495,607	3,571,367	15,531,630	16,849,174	16,988,149	10,783,295	**10,728,830**
Cost of sales	-	-	-	(2,993,076)	(2,869,272)	(9,911,222)	(10,958,288)	(10,721,916)	(7,430,790)	**(7,239,535)**
Income	2,586,502	3,950,751	5,934,772	9,843,454	9,941,904	11,971,270	18,020,866	22,890,876	27,524,846	**32,253,672**
Other income/(expenses)	55,571	207,675	313,376	282,660	1,388,560	5,003,070	662,714	2,512,150	3,349,145	**2,700,791**
Interest costs	(895,570)	(1,787,751)	(3,403,965)	(6,441,182)	(6,178,137)	(6,504,682)	(9,345,806)	(14,527,658)	(16,301,741)	**(13,606,058)**
Profit before operating expenses	1,746,503	2,370,675	2,844,183	4,187,463	5,854,422	16,090,066	15,228,660	17,141,601	17,924,755	**24,837,700**
Other operating expenses	(1,037,153)	(1,372,936)	(1,880,700)	(3,080,622)	(4,386,721)	(8,373,770)	(11,345,046)	(15,182,502)	(15,516,766)	**(19,286,758)**
Results from operating activities	709,350	997,739	963,483	1,106,841	1,467,701	7,716,296	3,883,615	1,959,099	2,407,989	**5,550,942**
Negative goodwill	-	-	131,293	-	1,423,837	271,911	2,914,536	1,500,943	493,586	**660,947**
Profit/(loss) on disposal of subsidiaries and associates	-	-	-	-	(167,088)	-	-	-	79,845	**-**
Share of profit of associate companies	-	-	88,277	140,458	116,337	178,522	269,649	246,129	1,454,158	**1,938,465**
Profit before tax	709,350	997,739	1,183,053	1,247,299	2,840,787	8,166,729	7,067,801	3,706,171	4,435,578	**8,150,354**
Income tax expense	(20,762)	52,443	160,443	(192,122)	(455,382)	(1,259,279)	(1,364,033)	(1,153,884)	(1,366,889)	**(1,870,647)**
Net profit after tax	688,588	1,050,182	1,343,496	1,055,177	2,385,405	6,907,450	5,703,768	2,552,287	3,068,689	**6,279,707**
As at 31 March										
ASSETS										
Net lending portfolio	11,123,245	16,103,706	21,434,958	32,697,993	35,084,686	58,416,332	79,353,502	88,118,116	90,994,472	**140,144,453**
Total assets	16,226,692	24,483,950	32,994,258	46,287,066	75,371,319	113,070,643	145,204,176	162,981,531	167,439,609	**245,969,077**
LIABILITIES										
Total liabilities	13,295,525	20,659,031	27,816,389	40,195,588	55,631,672	78,255,809	101,990,824	119,608,773	127,519,529	**188,795,470**
SHAREHOLDERS' FUNDS										
Share capital	475,200	475,200	475,200	475,200	475,200	475,200	475,200	475,200	475,200	**475,200**
Reserves	2,424,847	3,309,657	4,649,019	5,536,270	7,428,554	12,581,747	19,093,875	20,413,040	22,426,917	**27,906,246**
Minority interest	31,120	40,062	53,650	80,008	11,553,927	21,757,886	23,644,277	22,484,518	17,017,963	**28,792,157**
Shareholders' funds	2,931,167	3,824,919	5,177,869	6,091,478	19,457,681	34,814,834	43,213,352	43,372,758	39,920,080	**57,173,603**
INVESTOR RATIOS										
Return on assets (%)	5	5	5	3	4	8	4	2	2	**3**
Return on equity (%)	26	31	30	19	26	37	39	7	7	**13**
OTHER INFORMATION										
No. of branches	16	18	22	26	48	73	80	80	87	**85**
No. of LIOC/mini branches	-	-	10	14	13	22	25	25	36	**42**
No. of service centres	-	-	-	11	36	81	87	87	11	**13**
No. of subsidiary companies	8	8	9	9	41	48	66	84	69	**121**
No. of associate companies	-	-	2	2	7	7	9	10	13	**12**
No. of joint ventures	-	-	1	1	15	18	18	19	18	**-**

	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015
For the year ended 31st March (Rs.'000)										
COMPANY										
OPERATING RESULTS										
Gross income	1,908,291	3,034,110	4,960,979	6,626,308	4,722,479	3,511,733	3,016,783	3,541,670	2,111,378	**1,046,238**
Other income/(expenses)	93,449	291,840	261,254	71,445	1,022,138	2,832,627	4,544,494	1,141,958	3,349,180	**1,868,138**
Interest costs	(703,399)	(1,442,881)	(2,972,057)	(4,205,474)	(3,090,912)	(2,384,015)	(2,571,566)	(3,464,147)	(2,720,484)	**(1,686,278)**
Profit before operating expenses	1,298,341	1,883,069	2,250,176	2,492,279	2,653,705	3,960,346	4,989,712	1,219,481	2,740,074	**1,228,098**
Other operating expenses	(621,628)	(972,865)	(1,408,840)	(1,910,159)	(2,162,578)	(2,062,356)	(1,917,994)	(1,151,579)	(2,051,032)	**(769,894)**
Results from operating activities	676,713	910,204	841,336	582,120	491,127	1,897,989	3,071,718	67,902	689,042	**458,204**
Profit before tax	676,713	910,204	841,336	582,120	491,127	1,897,989	3,071,718	67,902	689,042	**458,204**
Income tax expense	(12,701)	76,390	217,901	(76,532)	(164,187)	(374,646)	(94,464)	(33,718)	5,218	**45,408**
Net profit after tax	664,012	986,594	1,059,237	505,588	326,940	1,523,343	2,977,254	34,184	694,260	**503,612**
As at 31 March										
ASSETS										
Total assets	13,297,988	20,888,694	28,996,068	31,335,180	29,737,969	54,212,952	58,028,455	53,239,340	49,254,147	**62,609,260**
LIABILITIES										
Total liabilities	10,447,735	17,194,407	24,233,931	26,233,467	24,309,315	23,602,917	24,776,791	20,518,752	15,124,870	**27,712,892**
SHAREHOLDERS' FUNDS										
Share capital & reserves										
Share capital	475,200	475,200	475,200	475,200	475,200	475,200	475,200	475,200	475,200	**475,200**
Reserves	2,375,053	3,219,087	4,286,937	4,626,513	4,953,454	30,134,835	32,776,464	32,245,388	33,654,077	**34,421,168**
Shareholders' funds	2,850,253	3,694,287	4,762,137	5,101,713	5,428,654	30,610,035	33,251,664	32,720,588	34,129,277	**34,896,368**
INVESTOR RATIOS										
Gross dividends	142,560	71,280	106,920	133,056	-	-	-	237,600	-	**-**
Total assets to shareholders' funds (times)	5	6	6	6	5	2	2	2	1	**2**
Return on assets (%)	6	6	4	2	1	4	5	0.06	1.35	**0.90**
Return on equity (%)	26	30	25	10	6	24	9	0.10	2.08	**1.46**
OTHER INFORMATION										
No. of employees	346	414	521	664	787	848	948	1,007	1,075	**1,086**

Summarised Quarterly Statistics

Income Statement (Rs.'000)

	2014/15				2013/14			
For the 3 months ended	30-Jun	30-Sep	31-Dec	31-Mar	30-Jun	30-Sep	31-Dec	31-Mar
COMPANY								
Gross income	207,656	267,123	256,263	315,196	538,242	616,579	493,606	462,951
Other Income/(Expenses)	368,592	388,053	365,939	745,556	417,522	219,531	839,929	1,872,198
Interest Costs	(397,252)	(404,713)	(390,464)	(493,850)	(800,816)	(636,996)	(661,981)	(620,691)
Profit before operating expenses	178,996	250,463	231,738	566,902	154,948	199,114	671,554	1,714,458
Other operating expenses	(134,598)	(228,690)	(207,988)	(198,619)	(140,268)	(175,336)	(137,364)	(1,598,063)
Results from operating activities	44,398	21,773	23,750	368,283	14,680	23,778	534,190	116,395
Income tax expense	-	-	(11,178)	56,586	-	-	(34,510)	39,728
Net profit after tax	44,398	21,773	12,572	424,869	14,680	23,778	499,680	156,123

Balance Sheets (Rs.'000)

As at	30-Jun	30-Sep	31-Dec	31-Mar	30-Jun	30-Sep	31-Dec	31-Mar
Assets	50,095,282	55,223,447	53,202,001	62,609,264	55,674,392	54,340,464	52,986,010	49,254,152
Liabilities	15,897,338	20,729,973	18,667,801	27,712,895	22,938,216	21,717,629	19,761,451	15,124,874
Net Assets	34,197,944	34,493,474	34,534,200	34,896,369	32,736,176	32,622,835	33,224,559	34,129,278
Share capital & reserves	34,197,944	34,493,474	34,534,200	34,896,369	32,736,176	32,622,835	33,224,559	34,129,278
Share capital	475,200	475,200	475,200	475,200	475,200	475,200	475,200	475,200
Reserves	33,722,744	34,018,274	34,059,000	34,421,169	32,260,976	32,147,635	32,749,359	33,654,078

Income Statement (Rs.'000)

	2014/15				2013/14			
For the 3 months ended	30-Jun	30-Sep	31-Dec	31-Mar	30-Jun	30-Sep	31-Dec	31-Mar
GROUP								
Revenue	2,268,378	2,537,153	2,928,167	3,044,023	2,919,642	3,525,687	1,967,720	2,770,247
Cost of sales	(1,647,164)	(1,743,317)	(2,004,297)	(1,818,012)	(2,212,234)	(2,139,405)	(1,462,093)	(1,617,058)
Income	6,800,436	7,701,282	8,026,211	9,570,058	6,342,308	6,050,513	7,275,439	7,456,585
Other Income/(Expenses)	328,640	914,995	246,343	1,194,545	1,008,464	650,949	637,741	1,051,989
Interest Costs	(3,365,747)	(3,373,350)	(3,207,149)	(3,584,975)	(4,213,961)	(3,986,232)	(4,156,884)	(3,944,664)
Profit before operating expenses	4,384,543	6,036,763	5,989,275	8,405,639	3,844,219	4,101,512	4,261,923	5,717,099
Other operating expenses	(3,454,034)	(4,308,170)	(4,064,122)	(7,454,541)	(3,088,695)	(3,839,276)	(3,309,581)	(5,279,214)
Results from operating activities	930,509	1,728,593	1,925,153	951,098	755,524	262,236	952,342	437,885
Negative goodwill	-	-	-	676,536	50,343	82,345	72,785	288,113
Profit / (Loss) on disposal of subsidiaries and associates	-	-	-	-	-	-	6,649	73,196
Share of profit of associate companies	423,319	625,380	418,215	471,551	128,563	422,582	197,049	705,966
Profit before tax	1,353,828	2,353,973	2,343,368	2,099,185	934,430	767,163	1,228,825	1,505,160
Income tax expense	(341,354)	(560,909)	(811,784)	(156,598)	(240,492)	(428,247)	(371,203)	(326,947)
Net profit after tax	1,012,474	1,793,064	1,531,584	1,942,587	693,938	338,916	857,622	1,178,213

Balance Sheets (Rs.'000)

As at	30-Jun	30-Sep	31-Dec	31-Mar	30-Jun	30-Sep	31-Dec	31-Mar
Assets	177,180,703	204,314,999	214,286,292	245,970,406	167,141,572	170,052,900	165,662,135	166,752,277
Liabilities	131,333,990	154,150,141	166,960,900	188,797,138	123,657,676	126,707,336	128,593,083	126,832,197
Net Assets	45,846,713	50,164,858	47,325,392	57,173,268	43,483,896	43,345,564	37,069,052	39,920,080
Share capital,reserves & minority interest	45,846,713	50,164,858	47,325,392	57,173,268	43,483,896	43,345,564	37,069,052	39,920,080
Share capital	475,200	475,200	475,200	475,200	475,200	475,200	475,200	475,200
Reserves	23,319,033	25,260,664	26,724,721	27,906,915	20,259,550	20,744,557	19,490,140	22,426,917
Minority interest	22,052,480	24,428,994	20,125,471	28,791,153	22,749,146	22,125,807	17,103,712	17,017,963

Value Addition

	2014/15 (Rs.)	(%)	2013/14 (Rs.)	(%)
GROUP				
Value added				
Income	35,742,967		30,877,351	
Other income	2,700,791		3,349,145	
Cost of borrowing and services	(30,989,329)		(30,963,865)	
Provisions	4,133,977		3,490,519	
Goodwill on consolidation	660,947		493,586	
Gain on disposal of subsidiaries	-		79,845	
Share of profits of associate companies	1,938,465		1,454,158	
Value added tax	1,559,668		1,761,725	
	15,747,486		10,542,464	
Distribution of Value added				
To Employees	4,970,286	32	3,478,446	33
Remuneration and other benefits	4,970,286		3,478,446	
To Government	3,430,315	22	3,128,614	30
Indirect taxes	1,559,668		1,761,725	
Direct taxes	1,870,647		1,366,889	
To Providers of Capital	880,522	6	1,552,922	16
Dividends to shareholders	-		-	
Minority interest	880,522		1,552,922	
To Expansion and Growth	6,466,363	41	2,382,482	23
Retained profits	5,399,185		1,515,767	
Depreciation and amortisation	1,067,178		866,715	
	15,747,486	100	10,542,464	100

	2014/15 (Rs.)	(%)	2013/14 (Rs.)	(%)
COMPANY				
Value added				
Income	1,046,238		2,111,378	
Other income	1,868,138		3,349,180	
Cost of borrowing and services	(1,977,917)		(4,261,384)	
Provisions	(16,135)		(72,392)	
Value added tax	352,170		259,500	
	1,272,494		1,386,282	
Distribution of Value added				
To Employees	155,396	12	129,311	10
Remuneration and other benefits	155,396		129,311	
To Government	306,762	24	254,282	18
Indirect taxes	352,170		259,500	
Direct taxes	(45,408)		(5,218)	
To Expansion and Growth	810,336	64	1,002,689	72
Retained profits	503,612		694,260	
Depreciation and amortisation	306,724		308,429	
	1,272,494	100	1,386,282	100

Milestones

1992

- Launched its first subsidiary - LOFAC

1995

- First branch office opened in Kandy
- Negotiated the first long-term Rupee loan from FMO

1996

- The first to extend Dollar denominated leases to BOI companies

1997

- The first to introduce export factoring through LOFAC
- Branch office opened in Matara

1998

- Branch offices opened in Badulla and Ratnapura

1999

- LOFAC enters into strategic alliance with Dunn and Bradstreet
- Branch office opened in Anuradhapura
- Launched its insurance subsidiary, LOIB

2000

- Negotiated the second tranche of long-term Rupee loan from FMO
- Branch office opened in Kochchikade

2001

- Launched its finance subsidiary - LOFC
- Branch offices opened in Kurunegala and Kalutara

2002

- The first leasing company to be recognised as a Participating Financial Institution for the Indian Line of Credit
- Branch office opened in Galle

2003

- Received the first US Dollar long-term Loan from OPEC Fund
- The first to win the Leasing Category 'Award for Excellence in Annual Reports and Accounts' conducted by The Institute of Chartered Accountants of Sri Lanka
- Negotiated the third tranche of longterm Rupee loan from FMO
- Branch offices opened in Nuwara Eliya and Kiribathgoda

2004

- Entered into stock broking through LOSEC
- Launched LOITS, the Information Technology arm
- The first to win the 'Non-Banking Sector Award' at the South Asian Federation of Accountants (SAFA) for Best Presented Accounts Competition
- Branch office opened in Gampaha

2005

- The first Leasing Company to be ranked among the Top 10 Brands by Sting Consultants Brand Power Index
- Launched LOPD, the project development subsidiary
- LOLC cricket team emerged Mercantile 'C' Division Champions
- Negotiated the second tranche of longterm US Dollar Loan from OPEC Fund
- Negotiated the fourth tranche of long-term Rupee loan from FMO
- Negotiated the long-term US Dollar Loan from Praparco
- Branch offices opened in Kegalle, Embilipitiya and Polonnaruwa

2006

- Negotiated the long-term US Dollar Loan from DEG
- Negotiated the long-term US Dollar Loan from OPEC Fund
- Branch office opened in Wattala
- The first Regional Expansion to Cambodia through 18% holding of PRASAC
- First to introduce a branded product 'Guardian' range from an insurance broker through LOIB
- Won the Leasing Category 'Award for Excellence in Annual Reports and Accounts' conducted by The Institute of Chartered Accountants of Sri Lanka for 2005/06

2007

- Branch offices opened in Chilaw and Mahiyangana
- Ranked among the Top 50 brands by Super Brands
- Launched the New Strategic Plan for the Company and its Subsidiaries
- Opened the first Hospital Savings Centre in Oasis
- Opened the first Student Savings Centre at Royal College - Polonnaruwa
- LOFC operations expanded to Wattala, Kegalle, Mahiyangana, Mount Lavinia and Chilaw
- LOPD received Cabinet sub-committee approval for the project on Off-Shore Sand Mining, Washing, Sieving and Grading to supply construction and related industries
- Signed up with LIOC to establish LOLC sub-branches at LIOC filling stations
- LIOC Centres opened in Morawaka and Trincomalee
- Set up the Islamic BU with an in-house Shari'ah Supervisory Board
- Dairy farmer loans, cultivation loans, business set up loans and skills enable loans were introduced
- Partnered with GTZ for capacity building of the microfinance staff, setting up low cost branch network and development of a microbanking system

2008

- Launched a lottery for customers with a house as the prize
- Launched Western Union Money transfer services at LOLC branches
- Entered into a joint venture agreement with Agri Tec for manufacture of precipitated silica and allied products using rice husk ash
- LIOC Centres opened in Pilimathalawa, Seeduwa, Aluthgama, Kadawata, Ambalangoda, Debarawewa, Beliatta and Talawakelle
- Won Bronze Award at Effie Awards 2008 in the Financial Services/ Products Category
- Spin-off of Micro Finance Business Unit as LOLC Micro Credit Ltd. (LOMC) together with FMO
- LOLC Micro Credit Ltd. was appointed as the only representative from the private sector to the Micro Finance Steering Committee appointed by the Department of Development Finance attached to Ministry of Finance and Planning
- Won the International Assets and Liability Management competition held by FMO and DEG
- Joined with Sri Lanka Post to open up Isuru Diriya Centres at post offices and sub-post offices

2009

- Opened 40 Service Centres in Post Offices around the country consequent to the agreement with Sri Lanka Post to offer products of LOLC Micro Credit Ltd. to the rural community
- Opened branches in Jaffna, Ampara, Batticaloa, Vavuniya and Trincomalee, thereby making our services available to the Northern and Eastern Regions of the country
- Opened the first dedicated Shari'ah finance branches in Kathankudi, Oddamavadi and Kalmunai.
- Selected as the Winner of the Specialised Banking and Finance Category at the National Business Excellence Awards
- Received BOI status for Lanka ORIX Information Technology Services Ltd. (LOITS - the IT arm)
- IT arm, Lanka ORIX Information Technology Services Ltd. earns 'ISO/IEC 27001:2005' certification for its enterprise data and software development functions
- Ranked amongst the Top 20 Brands in Sri Lanka by Brand Finance Lanka
- Won Best Annual Report Award and a Merit Award for Best Website from ADFIAP (Association of Development Finance Institutions in Asia and the Pacific)
- Won the Silver Award at the Sri Lankan HR Awards 2010 organised by the Association of HR Professionals Sri Lanka together with the Hewitt Associates, India Milestones
- LOLC Micro Credit Ltd. (LOMC) received a total of $14 Mn from Symbiotics and Three Triodos Funds to expand Microfinance Operations in Sri Lanka
- Lanka ORIX Finance Company Ltd. started to transact in international financial markets via SWIFT

Milestones

- Received a USD 5.0 Mn guarantee facility from USAID
- Invested in United Dendro Energy (Pvt) Ltd. through LOLC Eco Solutions Ltd.

2010

- Opened 29 Service Centres in Post Offices around the country
- Opened branches in Avissawella, Pettah, Moneragala, Trincomalee, Matugama, Homagama, Nawalapitiya, Kohuwala, Hatton, Ambalangoda and Elpitiya
- Acquisition of Confifi Hotel Holdings PLC, Riverina Hotels PLC and Tropical Villas (Pvt) Ltd.
- National Business Excellence Awards 2010 - conducted by the National Chamber of Commerce, Sri Lanka - Gold Award for 'Diversified Group of Companies Sector', Silver Award for Best 'Capacity Builder' and Bronze Award for 'Extra Large Sector'. LOLC Leisure Ltd. was awarded Silver for 'Hospitality' for Eden Resorts and Spa.
- IT arm - Lanka ORIX Information Technology Services Ltd. (LOITS) earns re-certification for its conformance with the ISO/IEC 27001:2005, covering 'The Management of Information Security for Providing IT Services at Enterprise Data Center'
- LOITS was the only winner in the category of programme and application security at the ISACA Security Awards last year
- Investments made in Sierra Holdings, Sierra Constructions and AgStar Fertilizers
- Received a long-term loan from Symbiotics
- Received a long-term loan from Triple Jump
- Received a long-term loan from Minlam
- Received a long-term loan from Praparco
- Received a long-term loan from Triodos
- Most Outstanding Financial Performer 2010/11 in the Global ORIX Network
- Top 20 Most Valuable Stocks in the Colombo Bourse

2011

- Excellent Performance in the Overseas Operations Category for FY 2012 in the Global ORIX Network
- LOLC won the Achievement Award for Governance, Risk Management and Compliance (GRC) from the Open Compliance and Ethics Group (OCEG), USA
- First Money Exchange Outlet opened in Matara
- Launch of eZ pay services
- LOLC Micro Credit (LOMC) became the largest agriculture implement financier in Sri Lanka with an excess of over 100,000 customer base
- Commencement of operations of LOLC Insurance Co. Ltd.
- Formation of LOLC Securities Ltd.
- Formation of LOLC Motors and authorised distributors for FIAT in Sri Lanka
- The LOLC team won the Mercantile Basketball Championship in their respective division
- The LOLC Badminton team were placed second at the Mercantile Badminton Team Championships for 2011
- LOLC obtained the consent of the Central Bank of Sri Lanka (CBSL) to relinquish its leasing license from April 2011 and LOLC consolidated its position as a Holding Company
- LOFC obtained CBSL approval to list on the CSE and was renamed as Lanka ORIX Finance PLC
- LOLC Leisure acquires 100% ownership of Dickwella Resort & Spa
- LOFC became one of the largest deposit base holders in the Registered Finance Company sector
- LOLC was awarded the Most Outstanding Financial Performer 2010/11 in the global ORIX network, by the ORIX Corporation of Japan
- LOLC Annual Report 2010/11 won Gold at the ARC Awards 2011 and won the Grand Prize in its category

- LOLC Annual Report 2010/11 won Gold at the League of American Communications Professionals (LACP) Vision Awards 2010 in the 'Conglomerates and Holding Companies' category
- LOLC Annual Report 2010/11 wins the ADFIAP Awards 2012 for 'Best Annual Report' in the Special Awards category
- 2010 Annual Report of Al-Falaah - the Islamic Business Unit of LOFC, won Bronze at the League of American Communications Professionals (LACP) Vision Awards 2011
- LOLC becomes the Overall Silver Winner; Winner for Best 'Capacity Builder'; First Runner-up for 'Extra Large Sector' and Runners-up for 'Diversified Group of Companies' and 'Excellence in Business & Financial Performance' at the National Business Excellence Awards 2010/11
- Eden Resort & Spa of LOLC Leisure Ltd. was awarded Runners-up in the 'Hospitality' category at the National Business Excellence Awards 2010/11
- Eden Resort & Spa won an overall 36 medals at the 14th Culinary Art 2011 organised by the Chefs Guild of Sri Lanka and was also placed 7th in the overall ranking amongst 211 hotels and other catering establishments in Sri Lanka
- Eden Resort & Spa received the ISO 9001:2008+HACCP certificate for an additional period of 3 years, effective from January 2012
- LOLC was ranked among Business Today's Top 20 Corporates of Sri Lanka 2011
- LOLC's Brand was listed among the Most Valuable Brands of 2011 by Brand Finance Lanka
- LOLC was ranked among LMD's Top 50 Listed Companies of Sri Lanka
- LOLC became the Top 20 Most Valuable Stocks/Companies in the Colombo Bourse 2011
- LOLC was placed among the Top 20 Most Respected Entities in Sri Lanka 2010/11
- During the FY, a total of 36 service points were opened across the island
- LOLC records highest ever profits of Rs. 10.3Bn PBT

2012

- LOLC, Lanka ORIX Finance and Commercial Leasing & Finance were independently assigned Issuer Rating of '[SL] A-'with stable outlook by ICRA Lanka Ltd.
- LOLC Micro Credit secures the largest micro finance syndicated loan of USD 55.5Mn in Sri Lanka
- LOLC was awarded the Best Financial Services Provider at SLIM – Nielsen Peoples Awards 2013
- LOLC ranks 5th top corporate at Business Today Top 25 Awards 2012
- LOLC amongst LMD's top 100 leading listed companies of Sri Lanka
- LOLC amongst Sri Lanka's Leading Brands for 2012 by Brands Finance
- ICRA Lanka assigns [SL]A- with stable outlook to the Rs 1.25 Bn unsecured debenture programmes of LOLC
- Newly constructed LOLC CARE Child Development Centre was opened.
- Eden Resort & Spa emerged Runners-up (Large Category) at the National Business Excellence Awards 2012
- Eden Resort & Spa becomes the only leisure brand honoured with a National Level Merit Award (National Level Extra Large category -Services sector) at the CNCI Achiever Award 2012 organised by The Ceylon National Chamber of Industries.
- Eden Resort & Spa wins Gold for Sri Lanka at the World Culinary Olympics 2012, wins Travelers' Choice 2013 award and receives Certificate of Excellence by Tripadvisor for 2012
- Al-Falaah opens first Shari'ah Compliant Student Savings Centre in Sri Lanka
- Al-Falaah opens 5th branch in Akkaraipattu.
- Al-Falaah renews identity of Al-Falaah Junior Minor Savings Account
- Al-Falaah wins Gold for 'Financial services – General' Summary Annual Review Category at the 2012 ARC International Annual Report Awards and wins 2 bronze awards for 'Written Text and Printing & Production", and 2 Honors awards for 'Cover / Photo Design and Interior Design' for the 2010/11 Annual review 'Values Generate Value'.
- Al-Falaah wins Silver Award in the "Financials – Diversified Services" category at the 2011 League of American Communications Professionals (LACP) Vision Awards and is placed among the Top 25 Sri Lankan Annual Reports for the year in review.
- Lanka ORIX Finance expands foot print to North & East with new branches opened in Mannar, Mullaitivu, Nelliady, Chunnakam and Chavakachcheri.
- Branches were also opened in Dehiattakandiya, Medawachchiya, Aralaganwila, Nikaweratiya, JaEla, Balangoda, Kekirawa and Tissamaharama.

Milestones

2013

- LOLC Micro Credit becomes the first ever Sri Lankan Micro Finance Institute to receive certification on Client Protection.
- LOLC Technologies achieves ISO/IEC 20000: 2011 certification.
- LOLC wins the first ever Gold at SLITAD People Development Award.
- LOLC wins accolades at the SLIBFI Awards 2013.
- Al-Falaah's Annual Report "Choice" wins Gold.
- Eden Resort & Spa wins awards at CNCI Achiever Awards 2013.

2013

- Al-Falaah Ladies launch "Empress" the first ever discount card for ladies.
- LOLC lays foundation stone for new regional office in Anuradhapura.
- LOLC Micro Credit becomes the first ever Sri Lankan Micro Finance Institute to receive certification on Client Protection.
- LOLC Technologies achieves ISO/IEC 20000: 2011 certification.
- LOFC introduces product extensions and benefits for "Speed Draft".
- LOLC wins the first ever Gold at SLITAD People Development Award.
- LOLC Insurance launches new life products.
- LOLC wins accolades at the SLIBFI Awards 2013.
- Al-Falaah's Annual Report "Choice" wins Gold.
- Eden Resort & Spa wins awards at CNCI Achiever Awards 2013.
- LOLC, LOMC & CLC among the Top 5 Best Companies to work in Sri Lanka.
- Al-Falaah Ladies launched.
- BRAC & LOLC acquires Nanda Investments.
- LOLC ranked among Business Today's Top 25 Corporates for the year 2013.
- LOFC & CLC ranked among LMD's 100 Leading Listed Companies of Sri Lanka.
- LOLC & CLC among the Brand Annual's most valuable brands.
- New branches were opened in Ambalantota and Matale.

2014 - 2015

- LOLC Technologies wins the Gold Award for Best Islamic Finance IT Solutions Provider at the 3rd consecutive Sri Lanka Islamic Banking and Finance Industry (SLIBFI) Awards.
- Al-Falaah was adjudged the Islamic Finance Entity of the Year 2014 at the 4th Sri Lanka Islamic Banking and Finance Industry (SLIBFI) Awards.
- At the 4th SLBFI Awards, Al-Falaah also emerged at the top for the Social Upliftment Award (CSR) category by winning Gold and a Silver award in the category for the Rising Islamic Personality of the Year 2014.
- LOFC introduces "Fixed Deposit Bond" which is the first transferable term investment product introduced to the financial services sector in Sri Lanka.
- LOLC Insurance holds Inaugural Sales Convention & Awards Night.
- LOLC ranked among the top 20 most respected entities in Sri Lanka.
- LOLC Group acquires 60% stake in Cambodian Microfinance Company, TPC.
- LOLC Leisure rebranded as Browns Hotels and Resorts.
- LOLC Insurance and Al-Falaah joins in partnership to introduce "Al-Falaah Takaful".
- LOLC announces record breaking production at Hingurana Sugar Factory.
- LOLC wins "Silver Award" at HRP awards organised by the Human Resources Professionals Sri Lanka.
- LOFC Joins LankaPay's Electronic Fund Transfer Network.

Group Companies/ Directors

Company Name	Directors
Lanka ORIX Leasing Co. PLC	Mrs. R L Nanayakkara, I C Nanayakkara (also alternate to R M Nanayakkara), W D K Jayawardena, Mrs. K U Amarasinghe, M D D Pieris, R M Nanayakkara, R A Fernando, H Yamaguchi, H Nishio, T. Kaneda (alternate to H Yamaguchi), K. Okuno (Alternate to H Nishio)
Lanka ORIX Finance PLC	W D K Jayawardena, I C Nanayakkara, Mrs K U Amarasinghe, Dr Harsha Cabral, Mrs D P Pieris, Justice R K S Suresh Chandra, B C G de Zylva
Commercial Leasing & Finance PLC	W D K Jayawardena, I C Nanayakkara, Mrs K U Amarasinghe, Dr Harsha Cabral, P D J Fernando, D M D K Thilakaratne
LOLC Micro Credit Ltd	I C Nanayakkara, W D K Jayawardena, Mrs. K U Amarasinghe (also alternate to Mr. I C Nanayakkara), R D Tissera, I Wijesiriwardena, Drs. P Kooi
LOLC Insurance Co. Ltd	W D K Jayawardena, Mrs K U Amarasinghe, J M Swaminathan
BRAC Lanka Finance PLC	I C Nanayakkara, W D K Jayawardena, R D Tissera, Dr H Cabral, P D J Fernando
LOLC General Insurance Ltd	W D K Jayawardena, K A K P Gunawardena, J M Swaminathan
Brown & Company PLC	I C Nanayakkara, S V Somasunderam, H P J De Silva, W D K Jayawardena, Mrs.K U Amarasinghe, R M Nanayakkara, T Bandaranayake
Browns Investments PLC	I C Nanayakkara, R P Sugathadasa, D S K Amarasekera, S Furkhan, Mrs. K U A Amarasinghe, W D K Jayawardena, S V Somasunderam, Dr. H Cabral, J M Swaminathan, R M Nanayakkara
LOLC Securities Ltd	W D K Jayawardena, S Gurusinghe, K A K P Gunawardena, J M Swaminathan
LOLC Factors Ltd	K A K P Gunawardena, J B W Kelegama, F G A Lawrence
LOLC Investments Ltd	K A K P Gunawardena, J B W Kelegama, P D G Jayasena
LOLC Micro Investments Ltd	K A K P Gunawardena, R D Tissera, J B W Kelegama
Seylan Bank PLC	N Jayamanne PC, I C Nanayakkara, Rear Admiral B A J G Peiris, S P S Ranatunga, W D K Jayawardena, P L S K Perera, Ms M C Pietersz, K P Ariyaratne
Browns Hotels and Resorts Ltd	K A K P Gunawardena, Mrs V G S S Kotakadeniya, J B W Kelegama, D S K Amarasekera
Palm Garden Hotels PLC	W D K Jayawardena, Mrs. K U Amarasinghe, D S K Amarasekera, J M Swaminathan
Eden Hotels Lanka PLC	W D K Jayawardena, Mrs. K U Amarasinghe, D S K Amarasekera, M T A Furkhan, S Furkhan, J M Swaminathan
Bodufaru Beach Resort Private Limited	D S K Amarasekera, K A K P Goonewardena, I Riswaan, M Niham

Group Companies/ Directors

Company Name	Directors
Riverina Resorts (Pvt) Ltd	W D K Jayawardena, Mrs. K U Amarasinghe, D S K Amarasekera, K A K P Gunawardena
Dickwella Resorts (Pvt) Ltd	K A K P Gunawardena, J B W Kelegama, P D G Jayasena
F L C Holdings PLC	I C Nanayakkara, D S K Amarasekera, A I Fernando, U H Palihakkara, W D K Jayawardena, Mrs. K U Amarasinghe, Mrs. V G S S Kotakadeniya
F L C Hydro Power PLC	D S K Amarasekera, Dr. T Senthilverl, U H Palihakkara, I C Nanayakkara, W D K Jayawardena, K A K P Goonewardena, Mrs. V G S S Kotakadeniya, Mrs. K U Amarasinghe
F L M C Plantations (Pvt) Ltd	I C Nanayakkara, Mrs. V G S S Kotakadeniya, G D Seaton, D S K Amarasekera, A J Chaytor, H Ramasamy, K A K P Goonewardena, W D K Jayawardena, Mrs. K U Amarasinghe
F L P C Management (Pvt) Ltd	D S K Amarasekera, Mrs. V G S S Kotakadeniya, K A K P Goonewardena
F L C Power Holdings (Pvt) Ltd	Mrs. V G S S Kotakadeniya, K A K P Goonewardena
Dolekanda Power (Pvt) Ltd	D S K Amarasekera, Mrs. V G S S Kotakadeniya
Enselwatte Power (Pvt) Ltd	D S K Amarasekera, Mrs. V G S S Kotakadeniya
F L C Properties (Pvt) Ltd	D S K Amarasekera, Mrs. V G S S Kotakadeniya, K A K P Goonewardena
F L C Estate Bungalows (Pvt) Ltd	D S K Amarasekera, Mrs. V G S S Kotakadeniya
F L C Joint Venture Co. (Pvt) Ltd	K A K P Gunawardena, D S K Amarasekera, R P Sugathadasa, Mrs. V G S S Kotakadeniya
Pussellawa Plantations Ltd	D S K Amarasekera, G D Seaton, S K Kusalakumaran, I C Nanayakkara, W D K Jayawardena, Mrs. K U Amarasinghe, Mrs. V G S S Kotakadeniya
Maturata Plantations Ltd	Mrs. V G S S Kotakadeniya, D S K Amarasekera, M J R Puviraj, K A K P Goonewardena
Halgranoya Hydro Power (Pvt) Ltd	D S K Amarasekera, Mrs. V G S S Kotakadeniya
Thebuwana Hydro Power (Pvt) Ltd	D S K Amarasekera, Mrs. V G S S Kotakadeniya, K A K P Goonewardena
Stellenberg Hydro Power (Pvt) Ltd	D S K Amarasekera, Mrs. V G S S Kotakadeniya, K A K P Goonewardena
Ceylon Estates Teas (Pvt) Ltd	I C Nanayakkara, A Wickramasuriya, D S K Amarasekera, K A K P Goonewardena, J M S De Mel, Mrs. V G S S Kotakadeniya, G J Aloysius, G A Aloysius (Alternate Director to Mr.G J Aloysius)
Melfort Green Teas (Pvt) Ltd	L T D Peiris, H D A D Perera, Mrs. R V Perera, D S K Amarasekera, Mrs. K U Amarasinghe, Mrs. V G S S Kotakadeniya
F L M C Sudima Timber Products (Pvt) Ltd	J M S De Mel

Company Name	Directors
Sierra Holdings (Private) Limited	F A W Irugalbandara, D N N Lokuge, W A P Perera, E A T B Perera, D S K Amarasekara, K A Suraweera (Alternate to E A T B Perera)
Sierra Construction (Private) Limited	F A W Irugalbandara, D N N Lokuge, W A P Perera, E A T B Perera, J H P Ratnayeke, E M M Boyagoda, I C Nanayakara, D S K Amarasekara, A C P Irugalbandara (Alternate to F A W Irugalbandara), K A Suraweera (Alternate to E A T B Perera)
AgStar Fertilizers PLC	N G R Karunarathna, D N N Lokuge, A P Weerasekara, W A P Perera, I C Nanayakara, D S K Amarasekara, H P J De Silva, A G Weerasigha, Ms. S Wickramasingha
Lanka ORIX Information Technology Services Ltd	F K C P N Dias, K A K P Gunawardena, J B W Kelegama
LOLC Technologies Ltd	F K C P N Dias, K A K P Gunawardena, J B W Kelegama
LOLC Motors Ltd	K A K P Gunawardena, P D G Jayasena, Mrs V G S S Kotakadeniya
Speed Italia (Pvt) Ltd	K A K P Gunawardena, P D G Jayasena
Commercial Insurance Brokers Limited	M P Jayawardena, R A M Seneviratne, D M D K Thilakaratne, I Thilakawardana, S P S Ranatunga, P D J Fernando
Green Paradise (Pvt) Ltd	M Edo, P Graziano, Ms. E M Biancato (Alternate Director to M Edo), E Cianciullo, D S K Amarasekera, K A K P Gunawardena, Mrs. K U Amarasinghe, T Selviah (Alternate Director to D S K Amarasekera)
Sun & Fun Resorts Ltd	C Melappati, T Rusiripala, V K Vemuru, D S K Amarasekera, K A K P Gunawardena, T Selviah (Alternate Director to D S K Amarasekera), Mrs. K U Amarasinghe
Excel Restaurants (Pvt) Ltd	T Selviah, D S K Amarasekera, K A K P Gunawardena, E C Wijeratne
LOLC Corporate Services (Pvt) Ltd	K A K P Gunawardena, Miss C S Emmanuel, Mrs. R T Seneviratne, Mrs. J K Vaas
LOLC Asset Holdings Ltd	K A K P Gunawardena, J B W Kelegama
Galoya Holdings (Private) Ltd	R M G K B Ratnayake, Ms. M A Nandani, K A K P Gunawardena, W K D T Abeyrathne, S G Kaliyadasa, Ms. J Chandramohan
Galoya Plantations (Pvt) Ltd	S G Senarathna, K A K P Gunawardena, R M G K B Ratnayake, N R Sooriyaarachchi, Ms. S R S De Silva, Ms.C S Perera, T Wanigasinghe
Browns Health Care North Colombo (Pvt) Ltd	Mrs. R L Nanayakkara, Dr. K S Narangoda, S V Somasunderam, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara)
Browns Tours (Pvt) Ltd	Mrs. R L Nanayakkara, S V Somasunderam, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara), T Selviah, D S K Amarasekera, P A D F Perera
S.F.L.Services (Pvt) Ltd	Mrs. R L Nanayakkara, S V Somasunderam, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director To Mrs. R N A Nanayakkara)
Associated Battery Manufacturers Ceylon Ltd	G Chattergy, I C Nanayakkara, S V Somasunderam, W Wong, A K Mukherjee, S Arnab, M Ramachandran

Group Companies/ Directors

Company Name	Directors
Engineering Services (Pvt) Ltd	Mrs. R L Nanayakkara, S V Somasunderam, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director To Mrs. R N A Nanayakkara), R M Nanayakkara, I C Nanayakkara (Alternate Director To R M Nanayakkara), K A K P Goonawardena
Klevenberg (Pvt) Ltd	M Balasubramaniam, P Balasubramaniam, S V Somasunderam, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara)
Sifang Lanka Trading (Pvt) Ltd	Mrs. R L Nanayakkara, S V Somasunderam, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara)
Sifang Lanka (Pvt) Ltd	Mrs. R L Nanayakkara, S V Somasunderam, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara), Z Haifeng, H Yilin
PRASAC Micro Finance Co. Ltd	R Fernando, J Hoess, H Halbertsma, I C Nanayakkara, O S Oeun, P Touch
LOLC Myanmar Micro Finance Co. Ltd	I C Nanayakkara, R D Tissera, K A K P Gunawardena
Thanneakea Phum (Cambodia) Ltd	K A K P Gunawardena, Ms. F Lima, R D Tissera, M Moormann, I Wijesiriwardana
Browns Group Industries (Pvt) Ltd	Mrs. R L Nanayakkara, S V Somasunderam, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara), K Joseph
The Hatton Transport and Agency Company (Pvt) Ltd	Mrs. R L Nanayakkara, S V Somasunderm, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara)
Walker & Greig (Pvt) Ltd	Mrs. R L Nanayakkara, S V Somasunderam, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara)
Southern Cleaners (Pvt) Ltd	D S K Amarasekera, K A K P Gunawardena, J B W Kelegama
Central Services (Pvt) Ltd	D S K Amarasekera, K A K P Gunawardena, J B W Kelegama
Tropical Villas (Pvt) Ltd	D S K Amarasekera, K A K P Gunawardena, J B W Kelegama
LOLC Logistics (Pvt) Ltd	K A K P Gunawardena, J B W Kelegama, P D G Jayasena
Distant Horizons (Pvt) Ltd	K A K P Gunawardena, J B W Kelegama, P D G Jayasena
Fortune Fields (Pvt) Ltd	K A K P Gunawardena, J B W Kelegama, P D G Jayasena
Invest Land (Pvt) Ltd	K A K P Gunawardena, J B W Kelegama, P D G Jayasena
Golden Vistas (Pvt) Ltd	K A K P Gunawardena, J B W Kelegama, P D G Jayasena
Fairview Lands Ltd	K A K P Gunawardena, J B W Kelegama, P D G Jayasena

Company Name	Directors
Pleasant Landscapes (Pvt) Ltd	K A K P Gunawardena, J B W Kelegama, P D G Jayasena
LOLC Eco Solutions Ltd	K A K P Gunawardena, P D G Jayasena, J B W Kelegama
United Dendro Energy Puttalam (Pvt) Ltd	K A K P Gunawardena, P D G Jayasena
United Dendro Energy Kawantissapura (Pvt) Ltd	K A K P Gunawardena, P D G Jayasena
United Dendro Energy Walawewatte (Pvt) Ltd	K A K P Gunawardena, P D G Jayasena
United Dendro Energy Ambalantota (Pvt) Ltd	K A K P Gunawardena, P D G Jayasena
Thurushakthi (Pvt) Ltd	K A K P Gunawardena, P D G Jayasena
LOLC Land Holdings (Pvt) Ltd	K A K P Gunawardena, P D G Jayasena, J B W Kelegama
LOLC Realty (Pvt) Ltd	K A K P Gunawardena, P D G Jayasena, J B W Kelegama
Green Orchard Property Investments (Pvt) Ltd	K A K P Gunawardena, P D G Jayasena, J B W Kelegama
Green City Estates(Pvt) Ltd	K A K P Gunawardena, P D G Jayasena, J B W Kelegama
Green Valley Asset Holdings (Pvt) Ltd	K A K P Gunawardena, P D G Jayasena, J B W Kelegama
Browns Thermal Engineering (Pvt) Ltd	Mrs. R L Nanayakkara, S V Somasunderam, D Fernando, A K D Munidasa
Browns Motors (Pvt) Ltd	R M Nanayakkara, Mrs. I Nanayakkara, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director for Mrs. R N A Nanayakkara)
Snowcem Products Lanka (Pvt) Ltd	S V Somasunderam, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara)
Browns Healthcare (Pvt) Ltd	Mrs. R L Nanayakkara, Dr. K S Narangoda, S V Somasunderam, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara)
Browns Real Estates (Pvt) Ltd	Mrs. R L Nanayakkara, S V Somasunderam, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara)
E.S.L. Trading (Pvt) Ltd	Mrs. R L Nanayakkara, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara)
Browns Holdings Ltd	R M Nanayakkara, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara and R M Nanayakkara), S V Somasunderam
B.G.Air Services (Pvt) Ltd	Mrs. R L Nanayakkara, S V Somasunderam, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara), D S K Amarasekera
Samudra Beach Resorts(Pvt)Ltd	Mrs. R L Nanayakkara, D S K Amarasekera, R P Sugathadasa, S V Somasunderam, T Selviah (Alternate Director for D S K Amarasekera), K A K P Gunawardena
Millennium Development (Pvt) Ltd	D S K Amarasekera, T Selviah, K A K P Gunawardena, E C Wijeratne

Group Companies/ Directors

Company Name	Directors
Excel Global Holdings (Pvt) Ltd	D S K Amarasekera, T Selviah (Alternate Director to D S K Amarasekera), K A K P Gunawardena
Taprobane Plantations Ltd	D A B Dassanayake, R P Sugathadasa, R R Anthony, A G Weerasinghe
Ajax Engineers (Pvt) Ltd	S Karunarathne, J Sheriff, D S K Amarasekera, R P Sugathadasa, Mrs. S Kotakadeniya
Browns Industrial Park Ltd	Mrs. R L Nanayakkara, S V Somasunderam, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara)
Ceylon Roots (Pvt) Ltd	S A N Perera, P A D F Perera, D S K Amarasekera, K A K P Gunawardena
Creations Construction & Engineering (Pvt) Ltd	A P Weeratunga, Ms. H M Mangalika, K A K P Goonawardena, D S K. Amarasekera
Browns Global Farm (Pvt) Ltd	Mrs. R L Nanayakkara, S V Somasunderam, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara), D S K Amarasekera
B I Commodities and Logistics (Pvt) Ltd	D S K Amarasekera, K A K P Gunawardena
Virginia International Investments Limited	A R Gunawardena, D S K Amarasekera, E M M Boyagoda, T N M Peiris, E K I De Zoysa
Masons Mixture Limited	Mrs. R L Nanayakkara, S V Somasunderam, Mrs. R N A Nanayakkara, R M Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara and R M Nanayakkara),K A K P Goonewardena
Browns Group Motels Ltd	Mrs. R L Nanayakkara, S V Somasunderam, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara)
C F T Engineering Ltd	Mrs. R L Nanayakkara, S V Somasunderam, Mrs. R N A Nanayakkara, I C Nanayakkara (Alternate Director to Mrs. R N A Nanayakkara)
Lanka ORIX Project Developement Ltd	K A K P Gunawardena, J B W Kelegama, P D G Jayasena

Share Information

Share Distribution

Shareholding As At 31St March

	2015			2014		
Range	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
1 - 1,000	2,100	759,871	0.16	2,078	820,076	0.17
1,001 - 10,000	833	3,126,020	0.66	891	3,316,243	0.70
10,001 - 100,000	285	8,725,262	1.83	305	9,621,161	2.03
100,001 - 1,000,000	42	11,217,667	2.36	41	11,458,336	2.41
Over 1,000,000	16	451,371,180	94.99	16	449,984,184	94.69
	3,177	475,200,000	100.00	3,331	475,200,000	100.00

Categories of Shareholders

	2015			2014		
Range	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Local Individuals	2,919	284,470,952	59.86	3,076	284,532,489	59.88
Local Institutions	211	27,124,400	5.71	202	26,886,837	5.66
Foreign Individuals	37	982,279	0.21	43	1,262,880	0.26
Foreign Institutions	10	162,622,369	34.22	10	162,517,794	34.20
	3,177	475,200,000	100.00	3,331	475,200,000	100.00

Share Prices for the Year

	As at 31/03/2015	As at 31/03/2014
	(Rs.)	(Rs.)
Market price per share		
Highest during the year	102.00	80.50
Lowest during the year	75.00	49.50
As at end of the year	76.60	75.00

Public Holding

The percentage of shares held by the public is 15.50% (2014 – 15.50%) comprising 3,170 shareholders.

Share Information

Twenty Largest Shareholders of the Company as at 31st March

	Name of the Shareholder	31.03.2015		31.03.2014	
		No. of Shares	% of Issued Capital	No. of Shares	% of Issued Capital
1	Mr. R M Nanayakkara	172,492,292	36.30	172,492,292	36.30
2	ORIX Corporation	142,560,000	30.00	142,560,000	30.00
3	Mr. I C Nanayakkara	59,895,500	12.60	59,895,500	12.60
4	Mrs. K U Amarasinghe	23,760,000	5.00	23,760,000	5.00
5	Employees Provident Fund	15,182,259	3.20	15,182,259	3.20
6	HSBC INTL Nom Ltd-Bbh- Matthews International Funds-Matthews Asia Growth Fund	12,121,473	2.55	12,121,473	2.55
7	HSBC INTL Nom Ltd-State Street Luxembourg C/O SSBT-ABN Amro Multi-Manager Funds	6,937,775	1.46	6,937,775	1.46
8	Dr. R R De Silva	4,893,476	1.03	3,506,480	0.74
9	Employees Trust Fund Board	3,407,737	0.72	3,407,737	0.72
10	Mrs. I Nanayakkara	2,827,948	0.60	2,827,948	0.60
11	Bank of Ceylon - No. 2 A/C	1,546,000	0.33	1,546,000	0.33
12	Estate of Late Mariapillai Radhakrishnan (Deceased)	1,500,000	0.32	1,500,000	0.32
13	HSBC/Mr. Romesh Charitha De Silva	1,150,000	0.24	1,150,000	0.24
14	Mr. G G Ponnambalam	1,044,960	0.22	1,044,960	0.22
15	Dr M. Ponnambalam	1,044,960	0.22	1,044,960	0.22
16	Swastika Mills Ltd	1,006,800	0.21	1,006,800	0.21
17	Mr. R C De Silva	963,000	0.20	1,000,000	0.21
18	Mrs. S N Fernando	818,440	0.17	818,440	0.17
19	Mr. S Nadesan	660,000	0.14	660,000	0.14
20	National Savings Bank	606,900	0.13	606,900	0.13
		454,419,520	95.64	453,069,524	95.34
	Others	20,780,480	4.36	22,130,476	4.66
	Total	475,200,000	100.00	475,200,000	100.00

Corporate Information

Name of the Company
Lanka ORIX Leasing Company PLC

Country of Incorporation
Sri Lanka

Date of Incorporation
14 March 1980

Legal Form
A quoted public company with limited liability.

Company Registration No.
PQ 70

Stock Exchange Listing
The ordinary shares of the Company are listed on the Colombo Stock Exchange.

Registered Office
100/1, Sri Jayewardenepura Mawatha,
Rajagiriya, Sri Lanka.

Head Office
No. 100/1, Sri Jayewardenepura Mawatha,
Rajagiriya, Sri Lanka
Telephone: 011-5880880
Fax: 011-2865606 (Gen)
Website: www.lolc.com

Directors
Rohini Lettitia Nanayakkara
Non Executive Chairperson

Ishara Chinthaka Nanayakkara
Executive Deputy Chairman
(Also alternate to R M Nanayakkara)

Waduthantri Dharshan Kapila Jayawardena
Managing Director / Group CEO

Kalsha Upeka Amarasinghe
Executive Director

Minuwanpitiyage Dharmasiri Dayananda Pieris
Independent Director

Ravindra Ajith Fernando
Independent Director

Rajah Mahinda Nanayakkara
Non Executive Director

Harukazu Yamaguchi
Non Executive Director

Hiroshi Nishio
Non Executive Director

Shinji Yamana
Non Executive Director
(Alternate to H Yamaguchi)
(Resigned w.e.f. 29th May 2015)

Mrs. Kyoko Mori
Non Executive Director
(Alternate to H Nishio)
(Resigned w.e.f. 29th May 2015)

Takeshia Kaneda
Non Executive Director
(Alternate to H Yamaguchi)
(Appointed w.e.f. 29th May 2015)

Keiji Okuno
Non Executive Director
(Alternate to H Nishio)
(Appointed w.e.f. 29th May 2015)

Board Sub Committees

Audit Committee
Mrs. R L Nanayakkara
Committee Chairperson
Non-Executive Chairperson

M D D Pieris
Independent Director

R A Fernando
Independent Director

Remuneration Committee
R A Fernando
Committee Chairman
Independent Director

M D D Pieris
Independent Director

Corporate Governance Committee
M D D Pieris
Committee Chairman
Independent Director

R A Fernando
Independent Director

Mrs. R L Nanayakkara
Non-Executive Chairperson

W D K Jayawardena
Managing Director / Group CEO
(Appointed w.e.f. 27th February 2015)

Mrs. K U Amarasinghe
Executive Director
(Appointed w.e.f. 27th February 2015)

Corporate Information

Integrated Risk Management Committee

Mrs. R L Nanayakkara
Committee Chairperson
Non-Executive Chairperson

M D D Pieris
Independent Director

W D K Jayawardena
Managing Director / Group CEO

Mrs. S Wickremasekera
Chief Risk Officer

Mrs. S Kotakadeniya
Chief Financial Officer

F K C P N Dias
Chief Information Officer

K A K P Gunawardena
Chief Legal Officer

R Perera
GM - Treasury

J Kelegama
Chief Credit Officer

A Dharmaprema
CEO - Recoveries

P Uluwaduge
Head of HR
(Appointed w.e.f. 31st April 2015)

P Pathirana
Head of IT Security and Compliance
(Appointed w.e.f. 31st April 2015)

IT Steering Committee

Mrs. R L Nanayakkara
Committee Chairperson
Chairperson

Mr. W D K Jayawardene
Managing Director / Group CEO

Mrs. K U Amarasinghe
Executive Director

Mrs. S Wickremasekera
Chief Risk Officer

Mrs. S Kotakadeniya
Chief Financial Officer

F K C P N Dias
Chief Information Officer

Nomination Committee
(dissolved w.e.f. 27/02/2015)

M D D Pieris
Committee Chairman
Independent Director

R A Fernando
Independent Director

I C Nanayakkara
Executive Deputy Chairman

Company Secretaries

LOLC Corporate Services (Private) Limited

Auditors

Ernst & Young,
Chartered Accountants

Lawyers

Julius & Creasy

Nithya Partners

Registrars

P.W. Corporate Secretarial (Pvt) Ltd.

Principal Activities

Monitoring and managing the Group's investments and providing centralized support services to its subsidiaries and associates.

Bankers

Bank of Ceylon,
Standard Chartered Bank,
Citi Bank N A,
Hatton National Bank PLC,
Hongkong & Shanghai Banking Corporation,
Deutsche Bank AG,
Nations Trust Bank PLC,
Commercial Bank of Ceylon PLC,
NDB Bank PLC,
Public Bank of Berhad,
Sampath Bank PLC,
Seylan Bank PLC,
Pan Asia Banking Corporation PLC,
Union Bank PLC,
ICICI Bank,
MCB Bank

Glossary

A

Accrual Basis

Recognising the effects of transactions and events when they occur, without waiting for receipt or payment of cash or cash equivalent.

Amortisation

Amortisation is the systematic allocation of the depreciable amount of an intangible asset over its useful life.

Associate

An associate is an entity, including an unincorporated entity such as a partnership, over which the investor has significant influence and that is neither a subsidiary nor a joint venture.

Available-for-Sale Financial Instruments

Non-derivative financial assets that are designated as available for sale or are not classified as (a) loans and receivables, (b) held-to-maturity investments or (c) financial assets at fair value through profit or loss.

C

Cash Basis

Recognising the effects of transactions and events when receipt or payment of cash or cash equivalent occurs.

Cash Equivalents

Short-term highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk in change in value.

Consolidated Financial Statements

Financial Statements of a Group presented as those of a single company.

Corporate Governance

The process by which corporate entities are governed. It covers the way in which power is exercised over the management and direction of entity, the supervision of executive actions and accountability to owners and others.

D

Depreciation

Depreciation is the allocation of the depreciable amount of an asset over its estimated useful life. Depreciation for the accounting period is charged to profit or loss for the period either directly or indirectly.

E

Executions

Advances granted to customers under leasing, hire purchase, installment sales and loan facilities.

Earned Premium The proportion of net written premium recognised for accounting purposes as income in a given period.

F

Fair Value

Fair value is the amount for which an asset could be exchanged or a liability settled between knowledgeable, willing parties in an arm's length transaction.

Financial Asset

Any asset that is cash, an equity instrument of another entity or a contractual right to receive cash or another financial asset from another entity.

Finance Lease

A lease that transfers substantially all the risks and rewards incidental to ownership of the asset to the lessee. Title may or may not eventually be transferred.

Financial Liability

Contractual obligation to deliver cash or another financial asset to another entity.

G

Goodwill

Any excess of the cost of the acquisition over the acquirer's interest in the fair value of the identifiable assets and liabilities acquired as at the date of the exchange transaction and is recognised as an asset.

Gross Dividend

The proportion of profit distributed to shareholders inclusive of tax withheld.

Glossary

Gross Portfolio

Total rental installment receivable of the advances granted to customers under leasing, hire purchase, installment sales and loan facilities.

H

Hire Purchase

A hire purchase is a contract between hirer and financier where the hirer takes on hire a particular article from the financier, with the option to purchase the article at the conclusion of the agreed rental payments.

I

Impairment

Amount by which the carrying amount of an asset or cash-generating unit exceeds its recoverable amount.

Insurance Provisions

Amounts set aside on the basis of actuarial calculations to meet obligations to policyholders.

Intangible Asset An intangible asset is an identifiable non- monetary asset without physical substance held for use in the production or supply of goods or services, for rental to others, or for administrative purposes.

Interest Cost

The sum of monies accrued and payable to the sources of borrowed working capital.

Interest in Suspense

Interest income of non-performing portfolio; these interests are accrued but not considered as part of income.

Investment Property

Investment property is property (land or a building - or part of a building - or both) held (by the owner or by the lessee under a finance lease) to earn rentals or for capital appreciation or both, rather than for use in the production or supply of goods or services or for administrative purposes; or sale in the ordinary course of business.

J

Joint Venture

A joint venture is a contractual arrangement whereby two or more parties undertake an economic activity which is subject to joint control.

K

Key Management Personnel

Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly.

L

Lease

A lease is an agreement whereby the lessor conveys to the lessee in return for a payment or series of payments the right to use an asset for an agreed period of time.

M

Minority Interest

Part of the net results of operations and of net assets of a subsidiary attributable to interests who are not owned, directly or indirectly through subsidiaries, by the Parent.

N

Negative Goodwill

Any excess, as at the date of the exchange transaction, of the acquirer's interest in the fair values of the identifiable assets and liabilities acquired over the cost of the acquisition and is treated as income in the period it arises.

Net Portfolio

Total rental installment receivable excluding interest of the advances granted to customers under leasing, hire purchase, installment sales and loan facilities.

Non-Performing Portfolio

Facilities granted to customers who are in default for more than six months.

O

Operating Lease

An operating lease is a lease other than a finance lease.

P

Provision

Amounts set aside against possible losses on net receivable of facilities granted to customers, as a result of them becoming partly or wholly uncollectible.

R

Reinsurance

An arrangement whereby Insurers transferring portions of risk portfolios to other parties (Reinsurers) in order to reduce part or all of the liability assumed by the insurer under a policy or policies of insurance.

Related Parties

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operating decisions.

Related Party Transactions

A transfer of resources or obligations between related parties, regardless of whether a price is charged.

Residual Value

The estimated amount that is currently realisable from disposal of the asset, after deducting estimated costs of disposal, if the asset was already of the age and in the condition expected at the end of its useful life.

Revenue Reserve

Reserves set aside for future distribution and reinvestment.

S

Segmental Analysis

Analysis of information by segments of an enterprise, specifically the different industries and the different geographical areas in which it operates.

Shareholders' Funds (Equity)

Total of issued and fully-paid ordinary share capital and reserves.

Stated Capital

All amounts received by the Company or due and payable to the Company - (a) in respect of the issue of shares, (b) in respect of calls on shares.

Subsidiary Company

Subsidiary is a company that is controlled (power to govern the financial and operating policies of an enterprise so as to obtain benefits from its activities) by another company known as the Parent.

Substance Over Form

The consideration that the accounting treatment and the presentation in Financial Statements of transactions and the events should be governed by their substance and financial reality and not merely by legal form.

U

Unearned Premium

Premiums received by an insurer outside the current accounting period (unearned premium). Such premiums are not treated as income until they become earned during the period to which they relate.

V

Value Addition

Value of wealth created by providing leasing and other related services considering the cost of providing such services.

RATIOS

Method of computation and indicates

C

Cost to Income Ratio

Operating expenses excluding provision for bad and doubtful debts as a percentage of total operating income, net of interest cost. Efficiency of cost management in generating income.

D

Debt to Equity (Gearing) Ratio

Total debts divided by equity. The extent to which debt contributes to fund total assets, compared to the contribution from equity.

Dividend Cover

Profit attributable to ordinary shareholders divided by gross dividends of ordinary shares. Number of times dividend is covered by current year's distributable profits.

Dividend Per Share (DPS)

Value of the dividend proposed and paid out to ordinary shareholders divided by the number of ordinary shares in issue. Share of current year's dividend distributable to an ordinary share in issue.

E

Earnings Per Share (EPS)

Profit attributable to ordinary shareholders divided by the weighted average number of ordinary shares outstanding during the year. Share of current year's earnings attributable to an ordinary share in issue.

I

Interest Cover

Earnings before interest and tax divided by interest charges. Ability to cover or service interest charges of the debtholders.

Glossary

M

Market Capitalisation

Number of ordinary shares in issue multiplied by market value of a share. Total market value of all ordinary shares in issue.

N

Net Asset Value Per Ordinary Share

Ordinary shareholders' funds divided by the number of ordinary shares in issue. Book value of an ordinary share.

Non-Performing Facilities Ratio

Total gross non-performing portfolio divided by total gross portfolio. Percentage of total gross non-performing portfolio against the total gross portfolio.

P

Price Earning Ratio (PER Ratio)

Market price of a share divided by Earnings Per Share (EPS). Number of years that would be taken to recoup shareholders' capital outlay in the form of earnings.

R

Return On Assets (ROA)

Net profits expressed as a percentage of average total assets. Overall effectiveness in generating profits with available assets; earning power of invested total capital.

Return On Equity (ROE)

Net profit, less preference share dividends if any, expressed as a percentage of average ordinary shareholders' funds. Earning power on shareholders' book value of investment (equity).

Notice of Meeting

NOTICE IS HEREBY GIVEN THAT THE THIRTY SIXTH ANNUAL GENERAL MEETING of the Company will be held on 25th August 2015 at 11.30 a.m. at Park Premier Banquet Hall, Excel World Entertainment Park, No. 338, T B Jayah Mawatha, Colombo 10 for the following purposes:

1. To receive and consider the Report of the Directors and Statement of Accounts for the year ended 31st March 2015 with the Report of the Auditors thereon.
2. To re-elect as a Director Mrs. K U Amarasinghe who retires by rotation in terms of Article 88 (i) of the Articles of Association of the Company.
3. To re-elect as a Director H Yamaguchi who retires by rotation in terms of Article 88 (i) of the Articles of Association of the Company.
4. To re-elect as a Director R M Nanayakkara, who retires in terms of Section 210 of the Companies Act No. 7 of 2007. Special Notice has been received from a shareholder of the intention to pass a resolution which is set out below in relation to his re-election (see note 4 below)
5. To re-elect as a Director Deshamanya M D D Pieris, who retires in terms of Section 210 of the Companies Act No. 7 of 2007. Special Notice has been received from a shareholder of the intention to pass a resolution which is set out below in relation to his re-election (see note 5 below)
6. To re-appoint M/s Ernst and Young Chartered Accountants as auditors for the ensuring financial year at a remuneration to be fixed by the Directors
7. To authorise the Directors to make donations.

By order of the Board
LANKA ORIX LEASING CO. PLC

Miss Chrishanthi Emmanuel
Director
LOLC Corporate Services (Private) Limited
Secretaries

30th July 2015
Rajagiriya (in the greater Colombo)

NOTE:

1) A member entitled to attend and vote at the Meeting is entitled to appoint a Proxy to attend and vote instead of him/her. A Proxy need not be a member of the Company

2) The completed Form of Proxy should be deposited at the registered office of the Company, 100/1, Sri Jayawardenapura Mawatha, Rajagiriya, not later than 11.30 a.m. on 23rd August 2015.

3) A Form of Proxy accompanies this Notice

4) Special Notice was received by the Company from a shareholder of the Company giving Notice of intention to move the following Resolution at the above Annual General Meeting :

   "Resolved that Mr. R M Nanayakkara who reached the age of 70 years in 2010, be and is hereby re-elected a Director of the company and it is further specifically declared that the age limit of 70 years referred to in Section 210 of the Companies Act No. 7 of 2007 shall not apply to the said Director, Mr. R M Nanayakkara"

5) Special Notice was received by the Company from a shareholder of the Company giving Notice of intention to move the following Resolution at the above Annual General Meeting :

   "Resolved that Deshamanya M D D Pieris who reached the age of 70 years in 2007, be and is hereby re-elected a Director of the company and it is further specifically declared that the age limit of 70 years referred to in Section 210 of the Companies Act No. 7 of 2007 shall not apply to the said Director, Deshamanya M D D Pieris."

Notes

Form of Proxy

I/ We ……..……..…… of
……..……..……..……
being a member/members of the Company hereby appoint;
…… of
…… whom failing

I C Nanayakkara	of Colombo or failing him
W D K Jayawardena	of Colombo or failing him
Deshamanya M D D Pieris	of Colombo or failing him
R M Nanayakkara	of Colombo or failing him
Mrs. K U Amarasinghe	of Colombo

as my/our proxy to represent me/us and vote on my/our behalf at the Thirty Sixth Annual General Meeting of the Company to be held on 25th August 2015 and at any adjournment thereof and at every poll which may be taken in consequence of the aforesaid Meeting.

		For	Against
1	To re-elect as a Director Mrs. K U Amarasinghe who retires by rotation in terms of Articles 88(i) of the Article of Association of the Company.	☐	☐
2	To re-elect as a Director H Yamaguchi who retires by rotation in terms of Articles 88(i) of the Article of Association of the Company.	☐	☐
3	To re-elect as a Director R M Nanayakkara, who retires in terms of Section 210 of the Companies Act No. 7 of 2007.	☐	☐
4	To re-elect as a Director Deshamanya M D D Pieris, who retires in terms of Section 210 of the Companies Act No. 7 of 2007.	☐	☐
5	To re-appoint as auditors M/s Ernst and Young Chartered Accountants for the ensuring financial year at a remuneration to be fixed by the Directors	☐	☐
6	To authorise the Directors to make donations.	☐	☐

dated this ……... day of ……. 2015

……
Signature of Shareholder

NOTE:
1) a proxy need not be a member of the company
2) Instruction as to completion appear on the reverse hereof

INSTRUCTIONS AS TO COMPLETION

1 Please return the completed Form of Proxy after filling in legibly your full name and address, signing on the space provided and filling in the date of signature.

2 The completed Form of Proxy should be deposited at the registered office of the Company No: 100/1, Sri Jayawardenapura Mawatha, Rajagiriya not less than 48 hours before the time appointed for the holding of the Meeting.

Designed & produced by

emagewise

Digital Plates & Printing by
Softwave Printing and Publishing (Pvt) Ltd
Photography by Taprobane Street & Danush De Costa

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the possibilities

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